Hindustan Unilever Ltd. (HINDUNILVR)

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Dear Sir /Madam ,
Sub: Transcript of the Earnings Call for the quarter and half year ended 30th September , 2022

This is further to our letter dat ed 21st October , 2022, whereby the Company had submitted the link to the audio/video recording of the Earnings Call held post announcement of the Unaudited Financial Results for the quarter and half year ended 3 0th September , 2022 .
Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the Transcript of the said earnings call, for your information and records.
The transcript of the earnings call is also available on the Company's website at https://www.hu l.co.in/investor- relations/quarterly -results/september- quarter-2022- results/ .
Please take the above information on record.
Thanking You.
Yours faithfully,
For Hindustan Unilever Limited
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Sensitivity: Public

"September Quarter 2022 Earnings Call of
Hindustan Unilever Limited "

October 21, 2022

Speakers:
Mr. Sanjiv Mehta, Chief Executive Officer and Managing Director
Mr. Ritesh Tiwari, CFO and Executive Director, Finance and IT
Mr. A Ravishankar, Group Finance Controller and Head of Investor Relations

Sensitivity: Public Moderator: Ladies and gentlemen, good day and welcome to Hindustan Unilever Limited conference call for the results for September quarter 2022.
As a reminder, all the participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call , please signal the operator by pressing "*" then "0" on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. A. Ravishankar, Group Controller and Head of Investor Relations. Thank you, and over t o you, sir.
A. Ravishankar: Good evening everyone and welcome to the conference call of Hindustan Unilever Limited. We will be covering this evening the results for the quarter ended 30th September 2022. On the call with me is Sanjiv Mehta, our CEO and Managing Director; and Ritesh Tiwari, our CFO. We will start the presentation with Sanjiv sharing an overview of our performance in the quarter and the operating environment. Then Ritesh will cover our financial results in more detail and share our future out look.
Before we get started with the presentation, I would like to draw your attention to the safe harbor statement included in the presentation for good order sake. With that, over to you, Sanjiv.
Sanjiv Mehta: Good evening everyone. I am delighted to hav e you all join us for the call. My best wishes to you, your loved ones, everyone in your business and wish all of you a very happy Diwali. Let me first start with a quick summary of our performance for the quarter and then cover the external environment an d our strategy, then of course, we will have Ritesh, our CFO, take you through the results and the outlook in detail.
From our lens, it was very clearly another quarter of strong all -around performance. Our top line grew at a solid 16% with an underlying v olume growth of 4%. We continue to significantly outperform the market with more than 75% of our business winning value and volume market shares. EBITDA margins at 23.3% remain healthy despite the unprecedented inflation that the industry is witnessing. Ou r EPS grew 20%, including the benefit that we got

Sensitivity: Public from one -off prior period tax credits . Profit after tax but before exceptional items grew 9%. A consistent strong performance is reflective of our strategic clarity, strength of our brands, our immense capa bilities, our talented people, and the agility to run the business. I am very pleased to report that we have added more than Rs. 4,000 crores to our top line in the first half of the fiscal and had a turnover in excess of Rs. 28,500 crores. Ritesh will, of course, cover the first half performance in much more detail.
Now let me spend some time on the external environment, the inflationary situation and the FMCG market growth. While there has been some easing of commodity prices and supply chain pressures, i nflation still continues to be a significant challenge for the industry. Except palm oil, which has seen a meaningful correction from its peak, most commodities remain volatile and elevated. In fact, some commodities such as soda ash, milk powder, barley, and cereals have further inflated during this quarter. The other source of inflation has been the currency. Globally, high levels of inflation have triggered aggressive monetary tightening measures from central banks globally across the world. This has led to a strengthening of US dollars . US dollar -INR rate which was around 74 at the beginning of this fiscal has crossed the 80 rupee mark, hovering around 82, halfway through the year. CPI inflation continues to be above RBI's threshold since January of this year, driv

en of course by high fuel and energy prices and the food inflation. Within this, rural inflation was higher than urban.
Let me now talk about FMCG market growth s with reference to the categories we operate in. In the September quarter, markets grew in mid -single digit. If you compare this versus the last 12 months, value growth has improved marginally driven by higher pricing. Volume continue to decline in both ur ban and rural markets with a more pronounced drop in rural. Of course, if you look at the last 3 -month numbers on a 3 -year CAGR basis, both urban and rural markets have grown in mid -single digit , with a marginal decline in volume. It

is quite natural for c onsumers, especially at lower income levels to feel the pinch of increased pressure on the wallets due to the high inflation and they do adjust volumes and prioritize essentials over discretionary to manage their household budgets.
 Hence, to summarize the last 2 slides : the FMCG market context hasn't changed significantly in this quarter and continues to remain challenging.
We have a very clear and compelling strategy and that remains unchanged. The 2 imperatives are: Firstly , we will continue to navigate t he short -term challenges with agility and grow our consumer franchise , whilst protecting our business model. For instance, when it comes to pricing - with a meaningful correction that we have seen in the palm oil prices, we are now taking price cuts in big chunks in our skin cleansing portfolio, to pass on the benefits to consumers and maintain the right price value equation. While on the other hand, in Home Care, we have taken further pricing in the September quarter , as we saw more inflation in key input materials.
The second imperative is that we need to continue single -mindedly on our journey to create a purpose -led future -fit HUL and deliver our 4G growth agenda. Growth as all of you are aware, we talk about in terms of consistent, competitive, profitable , and responsible. I am sure you are familiar with the 5 strategic choices. In my next couple of charts, I am going to elaborate a bit more on developing our portfolio and our progress in the sustainability journey.
First, let me bring to life how we are developing our portfolio leveraging the capabilities that we are building under Reimagine HUL. Our premium beauty business unit, which is an incubator of our digital brands and capabilities, has launched two new digital brands – “Acne Squad ” and “Find Your Happy Place”. Acne Squad is a specialist brand, co -created with dermatologists an d backed by patented technology , that addresses unmet needs of the hyperconnected consumer. It includes a range of 11 skin care products and curated regime kits proven to offer best -in-class acne treatment at each stage of Acne Lifecycle.
Find Your Happy Place has four mood -transforming experiential bath and body ranges that includes moisturizing shower gel, bath scrub, bath salts, candles, body lotions and body butter. These are, again, crafted for hyperconnected digital consumers in an era where the trend and need for self-care is at an all -time high. Each of the fourfragrance families has been specially
 designed to appeal to Indian sensibilities - all of them rekindling a memory of one's favorite place, person, or feeling.
These are completely digital brands launched throug h our agile innovation platform right from trend spotting through digital and social media listening to use of digital technology to curate mixes in an agile manner. For instance, through our studies, we realized that acne is one of the most common searche s on skin care and amongst the top concerns faced by hyperconnected consumers - yet there are very few

specialist brands that address this concern. Very quickly, we were able to curate the right mixes providing targeted solutions for every state of the acn e life cycle. This agile innovation approach has enabled us to launch new products in half the time it used to take earlier.
Our 3 nano factories give us the flexibility to manufacture closer to demand and in small batch sizes. We now have 14 bespoke D2C p latforms to give unique shopping experience to the consumer. We are extensively using digital marketing and influencer campaigns to reach out to our hyperconnected consumers. Digital media contributes to more than 25% of our total media spends. We are leve raging latest digital tools and technologies to create end to end digital journeys for our consumers.
Now let me talk about responsible growth. We are a company of brands and people with a clear purpose - to make sustainable living commonplace. We believe in doing well by doing good.
Dove's purpose is to make beauty a source of confidence and not anxiety. As part of its ‘Self Esteem Project’, Dove is helping young people build positive body confidence and self -esteem. Last year, Dove began a movement “Stop

the Beauty Test" to raise voice against beauty biases girls have to face while finding a life partner. In the second leg of this campaign, Dove is breaking stereotypes and urging the society to place emphasis on education instead of seeing g irls from the eyes of prospective groom.
Project Shakti, we had launched this in the early part of this millennium with the aim to financially empower and provide livelihood opportunities to women in rural India.
 Today, we have more than 160,000 Shakti ent repreneurs. We are now digitizing the Shakti Ammas through our flagship Shikhar app to bring them to the forefront of the new digital India. Till date, we have onboarded over 50,000 Shakti women on the app who are now able to place orders at their convenie nce and get HUL products in an easy and reliable way.
Our Dapada Home Care manufacturing site , has added a new feather in the cap. The site has been recognized by World Economic Forum as a Sustainability Lighthouse , first company in India across sectors to achieve this status. The sustainability lighthouse status reflects the use of revolutionary technologies including digitally enabled manufacturing processes that have amplified speed and agility and has lessened environmental impact by reducing energy, water, and material waste. This recognition comes on the back of the unit being accorded the designation of an advanced Fourth Industrial Revolution Lighthouse earlier this year, a fitting example of making HUL purpose -led and future -fit.
With this , let me now hand over to Ritesh, our CFO, to talk about our performance in this quarter and our outlook in much more detail. Ritesh, over to you.
Ritesh Tiwari: Good evening everyone. My greetings to you and your family for the lovely festive season ahead . I will now walk you through our in -quarter performance and our outlook.
We continue to build on our strong growth momentum with the top line growing 16% in the quarter. Despite the high levels of inflation and declining market volumes, we have delivered a robust underlying volume growth of 4%. Our performance has been significantly ahead of the market and more than 75% of our business is winning value and volume market shares.
Moving to the bottom -line, net profit at Rs. 2,616 crores grew 20%. Profit af ter tax before exceptional items grew 9%. There were one -off prior period tax credits in this quarter and that largely explains the difference in the growth of net profit and profit after tax before exceptional items. Our EBITDA margin was at a healthy 23. 3% despite the unprecedented inflation.
 Let me spend a couple of more minutes talking about how we are navigating this challenging environment through dynamic financial management. As we had anticipated and called out earlier, almost all commodities sans p alm oil continue to remain at significantly elevated levels. This along with consumption of higher cost inventory has led to a 590 bps year -on-year increase in our cost of goods sold in this quarter. This also includes an impact of 70 bps coming from highe r investment in consumer promotions.
Despite this, we have been able to hold EBITDA margins at a healthy 23.3%, which translates to 180 bps year -on-year decline and 10 bps sequential improvement. This was possible due to our clear focus on fundamentals tha t we have been consistently speaking about and these are to start with :
1) Operating our business with agility and ensuring that we provide the right price value equation to our consumers.
2) Adequately supporting our brands with marketi ng investments , whilst sharply attributing media spends to growth and maintaining our share of voice ahead of our market shares.
3) Investing in our products and giving better value to the consumers. As we had called out, our product superiority continues to be 2x the pre -COVID levels.
4) And importantly, we continue to drive savings harder and optimize all non - consumer facing costs. Through this frugal mindset and growth leverage, we

have delivered a net 160 bps reduction between Other expenses and Employee costs where in employee costs increased by 20 bps on account of salary inflation and variable pay true -up for the fi rst half performance.

Moving on to performance across our 3 segments; Home Care delivered another stellar performance growing at 34% with double digit volume growth. Beauty and Personal Care grew ahead of the market at 11%. Foods & Refreshment had a steady quarter growing at 4%, led by strong performance in Foods, Coffee, and Ice cream. Despite the significant inflation, our margins in all 3 segments remained at healthy levels, with Home Care at 17%, BPC at 25% and F&R at 20%.

 We will click down to talk about performance within each of the divisions in subsequent slides.

Talking about innovation, this has been a busy quarter for our marketing team as we have launched several products across many of our brands. This is in addition to our 2 n ew digital brands, 'Acne Squad ' and 'Find Your Happy Place', which Sanjiv talked about.

Let me pick up a few to elaborate. Our digital brand, Simple and Love Beauty and Planet have expanded their portfolio further. Simple has launched a new Vitamin C range for complete skin care regime. Love Beauty and Planet has launched new hair care products. Our iconic beauty brand Lakme launched a new foundation which is infused with goodness of serum that works both as a makeup and skin care. Glow & Lovely launched Hy draGlow, a cream enriched with rose serum. Extending our Horlicks franchise, we have seeded a new format 'Gummies' and launched two products – Nutri Gummies and Diabetes Gummies – on our digital platforms. Nutri Gummies are specially crafted to fulfill nut ritional gaps and is enriched with 12 vitamins and minerals. Diabetes gummies is powered with Mulberry leaf extract, which helps to manage the risk of diabetes in a convenient way.

Kwality Wall's added exciting new flavors such as Nolen Gur, Gulab Jamun, and Milk Cake to add more joy to the festive season.

Surf Excel Matic introduced Power Concentrate, a revolutionary concentrated liquid formulated to give 2x cleaning power with an intense long -lasting fragrance. Expanding the Peanut butter range, Kissan has launched new Hazelnut Choco Peanut spread.

Talking about our new marketing campaign, B

oost has activated a new film which aims to break stereotypes around girls and sports. Glow & Lovely has a new communication for its Ayurvedic face cream. Hama m was relaunched in this quarter with a new superior product. The relaunch was followed with a campaign around building courageous girls to embrace the outside world.

Moving on to our performance in Home Care, our business delivered yet another stellar qua rter at 34% with robust performance both in Fabric Wash

 and Household Care. Despite high pricing, Home Care grew volumes in double digits, reflecting the strength of our brand s and portfolio. Fabric Wash delivered high double -digit growth and handsome mark et share gains led by robust performance across the portfolio. Supported by our strong market development actions, liquid detergents and fabric conditioners continue to outperform and is now more than Rs. 2,000 crores annual business. Household Care grew i n high -double digits driven by solid performance in dishwash. Our dishwash brand 'VIM' won the Kantar's Creative Effectiveness Award for its Unstereotype campaign. With more input cost inflation, we have taken calibrated pricing actions both in Fabric Wash and Household Care.

Next, talking about Beauty & Personal Care, the business grew 11% driven by outperformance in the premium portfolio. Skin cleansing delivered broad based strong double -digit growth. Beauty and Premium brands viz. Lux, Dove, and Pears c ontinue to outperform and deliver mid -single -digit volume growth. Lifebuoy soap grew in high teens and continues to be the market leader in this segment. We are now passing on the benefit of lower commodity cost to consumers and taking price cuts in big ch unks. Hair Care further strengthened its market leadership with strong broad -based performance.

Our innovation and future formats such as masks and serums continue to gain consumer relevance. As in previous quarters, skin care and color cosmetics performan ce has been a story of 2 halves. Premium parts of the portfolio such as Lakme and Pond's outperformed delivering double -digit growth. However, inflation impact on discretionary consumption affected the performance of our mass segment such as Glow & Lovely and Talc. Oral Care had a steady quarter led by Closeup.

Let me now turn to Foods & Refreshment. F&R grew 4% led by strong performance in Foods, Coffee, and Ice cream. Tea continued to cement its market leadership and grew volumes in mid -single digit. In -quarter performance was muted as price cut impacted overall value growth. Coffee sustained its strong growth momentum and grew in double digits. In Health Food Drinks, we continued with our market development actions to build category relevance. In this quarter alone, we have reached almost 9 million consumers through our home -to-home connect program and launched new TV

 campaigns. Horlicks Mothers Plus partnered with PharmEasy to build nutrition awareness and drive trials with new mothers. We also seeded new formats and launched Nutri Gummies and Diabetes Gummies on our digital platforms, as I mentioned earlier. All these actions have helped us continue gaining m arket shares and penetration. Overall category growths have remained subdued due to the impact of inflation on discretionary consumption.

Foods delivered strong double -digit growth with volumes growing in mid - teens. This was led by Jam s and Food Solutions business. As we had called out earlier, the reopening of schools has increased the consumption occasion for jams. Our Food Solutions business that provides products for chefs and restaurants continues to scale up and is now almost double of pre -COVID level s. Ice cream had another strong q

uarter with double -digit growth on a very high base. Our innovations such as Feast Black forest and Trixy Cheesecake continue to perform well. Ahead of the festive season, we have added more exciting flavors that I mentioned earlier.

Now let me summarize , our performance has been strong in the quarter with 16% sales growth and 20% growth in Net Profits. As I mentioned earlier, we had a one -off tax prior period adjustment in this quarter and including that, our ETR for this fi scal year is expected to be around 24 %.

Let me quickly take you through the results for the first half of this fiscal. We delivered a strong performance both on top line and bottom line. We have added more than Rs. 4,000 crores to our top line , growing at 18% and taking our turnover to Rs. 28,530 crores. Despite unprecedented levels of inflation, we have maintained EBITDA margins at a healthy 23.2%. Net profit at Rs. 4,905 crores, grew 15%. Profit after tax and before exceptional items grew 13%.

Taking into account the strong performance of the company, I am pleased to inform you that the Board of Directors have declared an interim dividend of Rs. 17 per share for the year ended March 31, 2023, which is a step up of Rs. 2 as compared to the inte rim dividend of last fiscal.

Now moving on to our outlook, let me start with giving you some more color on how inflation is panning out. Our September quarter's net material inflation

 is at 22% and this is sequentially higher than June quarter. This is in line with what we had called out earlier during June quarter results. Consequently, our COGS has increased sequentially by 150 bps to 55% in this quarter. You will recall from our earlier slide that Sanjiv covered, most commodities are still at significant ly inflated level and are holding firm. Strengthening of the US dollar is also adding to further inflation. However, a few commodities, largely palm oil, have corrected from their highs. With this softening and if other commodities remain at their current elevated levels, we expect our December quarter NMI to be slightly lower than our September quarter numbers, albeit remaining significantly high on a year -on-year basis.This will help us to marginally reduce the price versus cost gap and ai d in sequential gross margin improvement.

With the likely increase in media intensity, we will dial -up our brand and marketing investment and continue to ensure our Share of voice remains ahead of our Share of market. Needless to say, we will continue to extensively driv e productivity improvement and operate our business with agility to maintain price -value equation for our consumers.
Looking ahead we are cautiously optimistic. In the near term, demand environment remains challenging and growth will be price -led. If commo dities were to remain where they are today, we expect the price versus cost gap to marginally narrow leading to a sequential improvement in gross margin in December quarter. With the likely increase in media intensity, we expect a step-up in our A&P invest ments.
Our 2 clear imperatives remain : First, our priority is to grow our consumer franchise and protect our business model. We will do this by investing competitively behind our brands, ensuring right price -value equation for our consumers and driving sav ings harder. And second, continue with our journey to create a purpose -led, future -fit HUL and deliver 4G growth , growth that is consistent, competitive, profitable, and responsible.
Before we move to Q&A, let me summarize what we covered till now. We continue to build on our strong growth momentum and delivered 16% top line growth with 4% underlying volume growth. In the first half of this fiscal, we

have added more than Rs. 4,000 cro res to our top line growing at 18%. Our growth was significantly ahead of the market with more than 75% of our business winning both value and volume shares. Despite the unprecedented level of inflation, our EBITDA margins remain healthy. Considering the s trong performance, Board of Directors have declared an interim dividend of Rs. 17 per share. We are cautiously optimistic about the near -term demand environment with growth being price -led. We expect our December quarter NMI to be marginally lower than Sep tember quarter, albeit remaining significantly high on a year -on-year basis. Consequently, gross margin in DQ is expected to improve sequentially along with a step -up in A&P investments. With this, let me hand over to Ravi to commence our Q&A session.
A. Ravishankar: We will now move on to the Q&A. As usual, we would request you to restrict your questions to maximum of 2 at a time. In case there are further questions, you are always welcome to join the queue again. In addition to the audio, our participant s have an option to post the questions through the web option on your screen. We will take these questions just before we end. With that, I would like to hand the call back to Tanvi to manage the next session for us.
Moderator: We will now begin the questi on & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Abneesh Roy from Nuvama Institutional Equities . Please go ahead.
Abneesh Roy: My first question is, in categorie s where deflation has started, is HUL playing a different template? Why I am asking this is in tea, there is around 7% to 8% price correction at the consumer level. Against that, your 5% volume growth looks impressive given the other large player has repor ted negative volume and Nielsen overall FMCG is negative volume in both urban and rural. So, unlike earlier times, when deflation happened, regional players used to come back. This time, it seems you have gained market share in tea from regional and clearl y the other large players. Could you help us understand that and similar template can it be followed in skin cleansing also because there also deflation has started?
 Sanjiv Mehta: Before I hand it over to Ritesh, Abneesh, we launched Nolen Gur ice cream fo r you. I hope you have tasted it.
Abneesh Roy: Yes, sir, it was very good. I like that.
Sanjiv Mehta: Wonderful.
Ritesh Tiwari: Abneesh, there are pockets, and exactly called out tea and skin cleansing are the 2 categories which have seen commodity costs c oming off. It was tea commodity earlier and then vegetable oil later on. Outside these 2 categories and commodities, there is significant year -on-year inflation across the board,

which impacts all other categories. On tea, our strategy has been consistent. It's a portfolio play. It's a play where our Winning in Many India s strategy is brought alive excellently well with our products, with our innovation and the way we manage our formulation and pricing across the country.
And with our portfolio in tea, the focus has always been, as I mentioned, that whenever inflation has come and impacted us, our strategy is very clear: grow the consumer franchise and protect our business model. And that's exactly what we have done with the tea category as well. We cemente d our market leadership, as we called out, we have grown volumes, and we have also passed on the benefit of price reduction through price cuts to the consumers.
And our pricing strategy which is very similar to what we had spoken earlier. If in the market inflation happens, we take price increases in small bites so that we are able to land those prices effectively and ensure that we are able to hold and keep growing con

sumer franchise. But conversely, whenever market commodities come off to some extent in s elect places, we take larger bite decreases. And one has to do that; otherwise, inventories in the trade will get caught in between price points. That's exactly what we have done in tea.
And to your point, very similar we have recently done in skin cleansi ng as well, where there is a meaningful correction in palm oil prices. Of course, in the last week or 10 days' time, you have seen a further 15% to 20% increase in palm oil prices have happened, but our strategy will exactly remain consistent, which is kee p growing the consumer franchise and protect the business model. While doing that, our entire focus is on driving savings hard across lines of P&L and
 challenging every non consumer -facing cost, that continues and we are running our business with agility and in the meantime, we will move prices up and down as required to ensure competitiveness and to ensure that the price -value equation remains and gets maintained with the consumers. That strategy will continue d epending upon which way commodity pans out for different categories that we deal in.
Abneesh Roy: My second and last question is on Food. Nestle also reported very strong growth, and they pointed out quick commerce really helping them. In your case, Ice cr eam saw a great first quarter because of hard summer. Q2 also has been very good. If you could elaborate how much help you are getting from quick commerce? Any numbers you can put in any of your food categories, especially Ice cream? And second one on food s is, how much is the addressable market in terms of Nutri Gummies and Diabetes Gummies? Now, further milk inflation has happened. Quarter on quarter, more milk inflation has happened. So, on the core part of Horlicks, are things getting even more tougher because milk prices clearly matter in that consumption?
Ritesh Tiwari: There are 3 -4 different questions. Let me pick them one by one, Abneesh. First, you talk about foods growth. Within Foods & Refreshment as a division, our Foods business has grown doubl e digit and as I alluded earlier, Ice cream, Food within that Coffee; these are the businesses within Foods and Refreshment; have seen good double -digit growth across the business. And we have absolutely taken benefit of quick commerce. Today, IC Now as we call it, our ice cream business where it gets distributed through quick commerce and such digital chain. Now more than 10 percentage of our ice cream business is today generated using this medium of distribution.
Talking about Horlicks and Nutri Gummies, we have expanded our format of what we sell in Horlicks, and you have seen our launch of 2 gummies, one is with 12 different vitamins and minerals, Nutri Gummies, and second is to manage diabetes better, Diabetes Gummies. These formats now we have launched online on our D2C platform. And as relevant, we have already extended one of the two into online pure play as well as we speak. At this point in time, these got seeded in the market, and of course, we will learn more in
 this format and from consumer s’ reaction we get f or these products. That's for Gummies.
As far as core Horlicks is concerned, no change in strategy, exactly what we had mentioned to all of you that market development is the job to be done in

this area. Having done full job of integratio n of Horlicks, which has happened very well, realizing savings of supply chain integration and other overhead integration fully realized, our focus is now to continue to build penetration and consumption in the category.
This quarter alone, we have done mo re than 9 million home -to-home connects. We have launched a new adve

rtisement campaign to bring alive our portfolio.
That effort across the portfolio has also started to yield results. For example, our penetration is building, we are gaining penetration. W e are also seeing our market share improving, and this , as I had mentioned earlier , is a job that we have done in medium term. We will be working towards developing this category and segment, and we should start seeing traction with this continued effort o f staying consistent with our market development strategy with Horlicks.
Moderator: We will move to the next question which is from the line of Avi Mehta from Macquarie. Please go ahead.
Avi Mehta: On the commodity inflation, you highlighted that commodity inflation has been broadly along the expectation even though this increase is happening in this quarter. In that backdrop, would you retain your comment that you made in the first quarter that 3Q should see the benefit of commodity moderation in palm oil versus the margin that we saw in the first quarter?
Ritesh Tiwari: Absolutely right , in the last quarter we had announced the June quarter results , our net material inflation was 20%. And I had alluded at that point in time that we expect to see sequential ly more inflation in the next quarter. And that's exactly what we have now also shared with you that our inflation this quarter is 22% net material inflation. So, it has panned out the way we had anticipated. Our outlook for the quarter starting the Decemb er quarter we should see slight reduction in the net material inflation for December quarter. And the large component of that reduction basically is vegetable oil, and that should lead to

slight reduction. And the reason I am using the word slight reductio n is because every single commodity outside vegetable oil remains elevated. Crude oil: It is still firm at 90+ and with US dollar strengthening, rupee at 83, that impact almost makes crude equivalent to US$100 plus what we had some time back. So is milk, cereals, soda ash. Across the board, many commodities remain elevated on a year -on-year basis.
Now with this some amount of cooling off of vegetable oil, we should see, slight improvement in the net material inflation and hence we should see sequential gr oss margin improvement in the next quarter. As that happens, I am also very mindful that media intensity might increase as there is some cool - off in certain pockets of commodities that will happen, and with media intensity increasing, we will continue to d o what we have done, which is maintain our share of voice ahead of the share of market. So, I also expect advertising and sales promotion intensity to go up and hence our investment in A&P to go up next quarter. I anticipate that will be ultimately an outc ome of amount of impact we will end up seeing on commodity and hence NMI and hence gross margin and the amount of media intensity, which will calibrate our A&P investments. And that will ultimately determine the outcome of EBITDA. But those are the few var iables which will be played looking ahead for the second half of this financial year.
Avi Mehta: Sorry, Ritesh, let me rephrase. What I meant is, while I kind of take your point that you have seen some input, seen inflation in the second quarter, but when you were kind of going into that slide, you mentioned that this increase was broadly in line with what we were expecting. So, from an inflation perspective, it seems that nothing has surprised you on the negatives, as inflation has not come ahead of what y ou were expecting. That is the backdrop and hence, I was kind of looking at from the lens that I was in or when we were looking in the first quarter whatever margins we were expecting in the second half is the margin that we will still expect to be in the second half. Is that understandin

g
correct is what I was trying to allude to. That is what I wanted to kind of appreciate. Is it fair that that is what is the case?
Ritesh Tiwari: Avi, our read of a) Commodity b) FMCG has not changed in the last 3 months'

time. It is very consistent to what we spoke last quarter. Be it the outlook of
 commodity, we had mentioned and as you reiterated of seeing the peak in September quarter and some cool off after that, a nd we had mentioned that it is largely led out of vegetable oil. It is indeed the case. Our read on FMCG market overall – the impact of consumption, impact of rural and hence volumes – again remains very consistent. So, yes, at this point in time, you are right, there is no different read that we have in second half of the year and margins for second half of the financial year. It's a very similar read, a consistent read, and which is what I gave a little more granular data points to you that we will see, .Sequential gross margin improvement and media intensity, of course, is what we will see as to what pans out. But yes, very similar read.

Avi Mehta: Got it, Ritesh. It gives me a sense on the sequential increase as well because one sees the comparison. Fair point. The second question was on the rural recovery. Just wanted to get your sense on how do you feel about rural right now? Are you feeling more constructive versus what you felt last quarter? Or any comments on that? That's all from my side.

Ritesh Tiw ari: Rural as we had called out, and let me just use some data points out here. And if I look at a 3 -year CAGR, rural and urban both for the FMCG market, is growing at mid -single digit. And again on 3 -year CAGR, urban and rural both are flat – near flat – on volume. If I look at a near -term period, latest 12 -week or a MAT basis, urban is clearly outpacing rural, where urban growths are stronger than rural and also volume decline in rural is more steeper compared to urban. So, the read that we had that infla tion is biting in rural more compared to urban, that is indeed the outcome that we are seeing. And that inflation impact is seen in volume decline in the market in rural and hence overall value growth of rural continues to be muted. So, that spins out. Of course, as far as Hindustan Unilever is concerned, we have gained comprehensively market share both in urban and rural, but overall, growth will be determined by what happens in terms of the market.

Now, coming to outlook, I do believe the single biggest factor which will determine rural outcome as far as FMCG is concerned is the impact of commodity. If at all we see a broader basket of commodities cooling off the way vegetable oil has, that should help prices to come down. And if that helps the prices to come down, that will augur well as far as consumption is
 concerned – volume – and hence FMCG growth. This is when I look at FMCG. Of course, there are macro factors at play.

The good news is urban employment is increasing, which would mean that rural migration and nonfarm income will increase and hence giving money back to the rural area and hence having more money in the pockets in rural economy - that augurs well.

Monsoon has been normal. And the reason I say that it was good rain, but we all know t hat spatial coverage has been volatile and also the timing of monsoon in certain places basically has a mixed outcome. We are yet to see how that pans out in terms of the crop going forward. That's one element which is there in the mix.

Government is clear ly lea ning in; the news that we had of earlier fertilizer subsidy, the fuel duty cuts that is helping. The recent decision of the government also to extend the food grain subsidy till the end of the year will also au

gur well. So, there are definitely macro factors and including what we all know, the Rs. 7.5 lakh crore CapEx investment which the government has committed as part of this budget. All of that should augur well for the rural economy, but we have to see more data points to be comfortable. When I l ook at this latest quarter, the data points for the September quarter are not very different than the read that we had for the last few quarters. So, the read remains consistent, and there are macro factors which are helping, and we do hope that in times t o come, we see an outcome which is better compared to what we have seen today.

Moderator: The next question is from the line of Harit Kapoor from Investec India. Please proceed with your question.

Harit Kapoor: I just had two questions. Firstly, I just wan ted to get your sense on the A&P spend number, at about 7 -odd percent at a multiyear low for a quarter. You did mention that media intensity is increasing, but for the quarter specifically, would you say that share of voice has largely been maintained? And is the significant reduction only on account of lower volume or lower rates as well?

 Ritesh Tiwari: For us, our brands along the people are the 2 most valuable assets. And hence, we continue to invest behind our brands to build long -term memory structure. We do what is right from a strategic point of view that is essentially long-term sanctity of the business model. And the point you mentioned about A&P, of course, the number in the quarter, Harit, will always get determined by the media intensity which is there. Given the broad -based inflation which FMCG industry is facing, the overall amount o f media investment in the industry has come down. And because of that, the absolute amount of levels of investment are determined basis what media heat is in the system.

If I look at our own A&P percentage turnover, there are 2 factors. In fact, half of th at is the volume /growth leverage that we have. Since our business has grown at 16 percentage, everything else being equal, the A&P percent turnover looks better. Half of that is basically the market heat which is lower in a high inflationary atmosphere and hence absolute amount of reduction on that count in terms of media investment.

Suffice to say, our share of voice is ahead of our share of market. We maintain competitive levels of spends both from a salien ce and reach perspective. But at the same time, we do drive a very sharp media attribution to growth. Hence, also media efficiency, the way we deploy our investments, is very well measured. But we will not blink. Time and again, we have reiterated our share of voice will continue to remain ahead of our share of market.

Harit Kapoor: My second question is on fabric wash. The growth rates over the last few quarters have been extremely strong. I just wanted to get a sense of how much of this is being driven by actual category growth and how much of this is by your market share gains. The reason I ask is, once there is a normalization of base where you had some COVID -led impact as well, category growth should start to normalize to probably historical level. So, I just wanted to get a sense of how much of this accelerated growth is category -led, how much of it is market share led in whichever way you can help us.

Ritesh Tiwari: On fabric wash, there are a few variables out here. First of all, one of the points I was mentioning was product superiority. The kind of work that we have done in that space has started seeing results across the board for us and which is why

 in fabric wash, of course, is the market growth, but we have grown ahead of the market and also have handsome market sha

re gains in fabric wash. So our performance is ahead of the market where it is. This is also the outcome of building the portfolio over the last several years. You know the way we have built our portfolio from mass to popular, popular to premium, premium to liquids, and that benefit is what you see also in our growth momentum as you see. I was giving you an example earlier of our liquids portfolio which is both liquid detergent and fabric conditioner liquids. Put together, that is more than Rs. 2,000 crores annualized business that we run today. There are many more elements apart from pricing – your point is right – which, of course, is also helping to drive growth. But at the same time, the product superiority, a strong portfolio, and right amount of consumer price -value equation has also made us grow volumes. And as I mentioned earlier, in this quarter, we also have driven very strong volumes in Home Care. So, it's a pretty all -round performance as far as fabric wash is concerned.

Moderator: The next question is from the line of Percy Panthaki from IIFL. Please go ahead.

Percy Panthaki: My first question is on the 2 digital brands that you have launched. Are these something completely new? Or are they sort of taken from the global portfolio?

Ritesh Tiwari: Percy, both these brands that you see, Acne Squad and Find Your Happy Place, these are mixes that we have crafted. Acne Squad is crafted completely locally for India. If you look at the skin overall as a category need state, acne comes as one of the top need state, and which is why we crafted this portfolio working with dermatologists, and we launched all the 4 different platforms within Acne Squad which are for the different life cycle of acne that impact. It's a mix which is crafted in India and launched in India. Find Your Happy Pla ce has been launched in one part of the world by Unilever and the second market in the world is India where we do believe it has far more relevance and hence we brought that brand and we launched that mix in India. Both of these, as you picked up, are laun ched digitally. They have been launched on our D2C website, and they also have been launched on Pure Play .

 Percy Panthaki: Just I wanted to know basically what is the thought process or decision -making framework for launching new brands in the D2C space versus trying to address sort of needs through existing brand variants, etc. And do you think under this framework, there would be more brand launches in the future as well?
Ritesh Tiwari: Percy, as you know that we already had launched 3 brands in t he prior periods, be it Simple, be it Love Beauty and Planet, or for that matter may be Baby Dove which are all our 3 direct -to-consumer brands. And we saw demand spaces that we could activate and then we could start playing and which is why we then said i n acne space, which is becoming a good important need space, we need a portfolio in that space. The way we worked and one of the examples we had quoted earlier as part of our capability, we have our own Agile Innovation Hub where we scrub all the trends wh ich are emerging with consumers across the country. And then depending upon what relevant trends we pickup, our first decision is does our existing portfolio cater to those trends. If yes, of course, our portfolio is activated and we serve those needs, and we have large brands across our portfolio in FMCG, it does the job. But if there are demand spaces which are developing and they are becoming relevant at this point in time, in which case, then we choose them to deploy our portfolio in that demand space. Acne is a classic example of that demand space or for that matter a bath indulgence is a fabulous demand space. The very fact these are niche and which is why it makes sense to go digital rather than do an offlin

e
launch at this point in time. You have to build awareness before you can start talking offline, and which is why exactly the thought process and the business model out here has been that look at the trends which are relevant. Where we think a portfolio launch will make business sense, then we will launch those mixes. And our capability to launch digital just gives us that power of experimentation before we scale up in any other format or any other channel. That's the business models which are behind it. Now, is this the first and the last of it? Th e answer, of course, is no. We have done 3 before, we have done 2 now. We will keep looking at trends. And the moment we find a trend, a demand space which is substantial and it makes relevant to invest with a product portfolio, we will innovate and we wil l launch products in that portfolio in that space.

 Percy Panthaki: My second question is on the market shares, where you mentioned that 75% of your portfolio is growing market share. Could you throw some light on what are the parts – the 25% where you are not – which are those categories? And you mentioned this over the last 2 -3 quarters. Is this 25% the same over the last few quarters or is there a rotation there also that this quarter it has gained but next quarter it falls into the losing bucket, etc.?
Ritesh Tiwari: First of all, Percy, our narrative is very clear. Our market share performance and our competitive performance is very robust. More than 75 percentage of our business is winning. And that was the narrative we had in the previous few quarters as well, where more than 75 percentage of our portfolio has been winning. And this win is pretty comprehensive. This win is across the geography in the country, this win is across channels, be it traditional trade channels, general trades, be it the modern channels of trade . These are gains in urban, this is in rural, and all this ultimately has also translated into corporate market share gain as well. So, this is what we also do in our business. We keep looking at a different segmentation of our business a nd in every segment how competitive our performance is, and which is why, as I mentioned, it is a pretty

comprehensive performance and when more than 75% of our business is gaining share.

Percy Panthaki: Any clarity you can give on what are those categorie s which are not gaining market share?

Ritesh Tiwari: I will not get, Percy, into detailed categories which are growing shares and which are not growing shares . As I mentioned earlier, at the end of the day, we deal in the market which is extremely competitive. There will be ups and downs in the portfolio. In the long term if we are maintaining the strength of business winning at more than 75 percentage, it will translate into corporate market share gain. And that's the exact reason why, in our mind, we keep looking at our business winning of more than 75 percentage and we have delivered that quarter after quarter. And we have seen that exactly leading us also translating into corporate market share gain as well.

In a quarter, if we have few bps up and few bps down, of course, that portfolio in that quarter might be not winning and it might be the reason why not at 100

 percentage. But then, it's a matter of time. I am saying as we see some sense in certain categories and then we of course lean in more in that space. So, it's always a mix of that. But the fact is when you have more than 75% portfolio which you are winning, it's a comprehensive business performance, and this is where we basically angle ourselves into.

Moderator: The next question is from the line of Arnab Mitra from Goldman Sachs. Please go ahead.

Arnab Mitra: My first

question was actually also on the laundry business where despite putting more pricing, the volume growth has actually accelerated. The last time when such high price increases were put, maybe 10 years back in the category, there was definitely some pressure on down trading. Just wanted to check, are there any trends of that sort? An d your acceleration in the face of increasing pricing, is it largely to do with market share gains accelerating in these last 2 quarters?

Ritesh Tiwari: There are a few elements out here, Arnab. First of all, you are absolutely right. I think in the last o ne decade the way HUL has transformed the portfolio of Home Care and the point I was making earlier of liquid part of the portfolio, be it liquid detergent, be it liquid conditioner, which is now a more than Rs. 2,000 crore business. So: a) portfolio devel opment; b) product superiority - those are the elements and of course, the strength of our brands that we have, popular brands from Surf Excel to Wheel to Rin, and the strength of our brands have also allowed us: a) to take pricing; b) to maintain price va lue equation; and c) to hold and keep growing our consumer franchise. So, it's a pretty all - round performance the way the portfolio has panned out. But your point on as to down grading/ down trading, what we have seen in times of very high inflation, consum ers seek more value. In certain portions and certain parts of the portfolio, more value comes from price point packs. There might be low price point packs of Rs. 1 sachet or a Rs. 2 pack or a Rs. 5 Horlicks sachet. In certain parts of the portfolio, especi ally laundry, the large packs, as you know, offer better value. And hence, consumers by default go to a pack which offers them higher value. In this case, larger packs in laundry. We have seen a mix of that as well, and we have played our portfolio very we ll across price points and across the portfolio. The premium part of the portfolio, and this I am talking

 largely overall as Hindustan Unilever, has grown at twice the pace than the rest of the portfolio. So, we have seen in laundry as well, as you know, w e have premiumized our portfolio. And that overall behavior that we have seen: a) of consumers; and b) the strength of our brand and portfolio, we have seen their benefit in our growth as well, where the premium part of the business is growing at twice the pace; so, be it premium brand like Surf Excel laundry in case. Those are 4 or 5, I would say, strong reasons why our performance is so robust not only from a value growth perspective but also from a volume growth perspective and absolutely also from a com petitiveness perspective, as I mentioned, we have one of the best market share at this point in time in fabric wash.

Arnab Mitra: And my last question is on Horlicks. This launch of gummies , when the brand was with GSK, they had made multiple attempts to u se the brand outside of the MFD. Do you think from here on, HUL would also look to do that, and this is a starting point or we should not see too much into this launch of the new format?

Ritesh Tiwari: As we acquired the business of Horlicks – and let me t alk brand, then let me talk format, and let me then get into demand status. 1) From a brand perspective, we have spoken about as we acquired the business, we activated Boost across the country. Now we have Boost present along with Horlicks across the natio n at this point in time. That was the first job we did in terms of portfolio maximization from the Horlicks portfolio and from the GSK what we acquired. 2) We also then activated the plus range. And we mentioned that this is when we deployed our high scien ce range, be it diabetes plus, be it Horlicks for bones, be it for women, be it for lactating mothers, and that part of the portfolio also had seen good

traction as we have activated. And then after having done the job with Horlicks and Boost, after having done the job with plus, the third area that now we have seeded is gummies. And as I mentioned, this is more of a seeding than a launch full fledged. This is more in D2C , of the 2 products that we launched, both the Nutri Gummies and Diabetes Gummies, one of the two we launched earlier, as you know, Nutri Gummies which we launched D2C, then we have taken them now to also Pure Play . Then we launched after that the portfolio of gummies for di abetes. That we launched on our D2C website, and we will see consumer traction how we get for these

products and how we are able to develop these products. That's the whole intention of launching and seeding this business as well alongside the portfolio of the 2 brands and our portfolio that we activated in the plus range. This entire attempt of looking at what are different ways we are able to serve consumer needs in functional nutrition is what our attempt will always be. At the cornerstone of all of that is one singular insight that India as a nation overall, we do have micronutrient deficiency. Our diet is very high on carbohydrates. And hence, this becomes a fabulous need for us to use our functional nutrition portfolio and to play to the demand space where people might be eating enough calories but might not be having right micronutrients as part of their food pallet. And this is where the portfolio makes sense, and we will keep looking for such opportunities within the portfolio.

Moderator: The next q uestion is from the line of Latika Chopra from JP Morgan. Please go ahead.

Latika Chopra: I have a few small follow -ups to comments that you made earlier. The first one was a check on Beauty and Personal Care premium segment doing well. Is there an element of festive prebuying in the channel for premium skin care that could have helped the quarter? Is that salien ce material?

Sanjiv Mehta: Latika, are you saying whether the premium has been impacted by any activity during the quarter? Is that the question?

Latika Chopra: Yes. Has that been positively impacted from pre -festive buying through the channels?

Sanjiv Mehta: Latika, premium has been growing consistently over this period. And that is a very clear trend. As you would recall, we are over-indexed on the premium segment. The premium segment, we are over indexed and it continues to do well. Even if you look at it from a lens of market, premium is growing faster than popular, popular is growing faster than mass. This is a very clear trend and it is, in many ways, intuitive because people who have more money are a bit more resistant to inflation than people at the bottom of pyramid.

Latika Chopra: The second question that I had was on price reductions for soaps. Just wanted to clarify, is i t pure MRP cuts that you have undertaken? Or is there a kind of

a grammage increase also at low price packs that the company has deployed? And are there any reductions in the laundry portfolio also that you have considered?

Ritesh Tiwari: Let me just proba bly come back, Latika, a little more comprehensively. As I was talking earlier, tea and skin cleansing are the 2 portfolios where we have seen commodity coming off. Earlier, it was tea and then the latest has been vegetable oil. And we have reacted, and th e point I was making earlier, when prices went up, in small bites we took price increases. And when we have seen a meaningful commodity correction, we have taken in large chunks price decreases as well, be it tea or be it skin cleansing.

The inflation impa ct in home care has continued. And you have seen that crude has remained firm at $90+ and now with

US dollar strengthening, if I just look at the data point today and a year ago, it's a 12% impact on Indian rupee, and that impacts overall commodity costs b ecause either the commodities are international markets or at least they are sold and bought at International port parity. So, crude, the point I was making, though it is $90+ firm, but if I add the impact of currency, it is almost $100+ equivalent in Indi an rupee. So, we are seeing more inflation and because of that in the September quarter, we did take sequential price increases in home care, laundry portfolio. And within laundry, Latika, also we had called out soda ash has seen a meaningful amount of inf lation, again, coming from energy and overall demand supply of the commodity. Depending upon which commodity basket impacts which category of ours, we will keep being very agile and nimble on this front. And if at all, we do see commodities coming off, we will go with price decreases, as I mentioned, in big chunks. And where we do see commodity remaining firm as required to protect the business model, we will take price increases.

If I look at the latest September quarter, the point I was quoting earlier wi th a 22% net material inflation and a 12% price, we have a pretty substantial 10% price versus cost gap. I do believe that with crude oil remaining firm, as I mentioned to you, because of the currency, but with some cooling off happening to some extent in vegetable oils, there should be slight improvement in price versus cost gap in the next quarter. But we will have to see this quarter after quarter, month after month, and depending upon which commodity and

 which category gets impacted, but we will be very agile and nimble with our decision -making and with the speed at which we are doing. And the kind of reflex muscles we have developed with our science of pricing, that is something which has been a pretty strong competitive edge for us during such difficul t times of high inflation across the portfolio or for that matter commodity volatility that we have seen across the portfolio.

Latika Chopra: Ritesh, I was just checking because there were certain media articles which reported price reductions for laundry as well. And I was just trying to confirm that reductions are so far only in the soaps portfolio and probably also checking there could be some grammage increases at price points, not just MRP cuts.

The other bit that I wanted to check was on increase in e mployee cost of nearly 20% sequentially and YoY. Any specific reason here?

Ritesh Tiwari: There are 3 different variables. Overall, the employee costs have gone up by 20 bps, we have seen in terms of percentage turnover. There are 3 reasons out here: a) th e overall inflation of wage inflation in the country and which is why there is a salary inflation, which is there and part of the mix. b) We also had a VPA true -up as part of our first half performance, which is pretty robust, as you have seen with our res ults. So, we have upped our provision for our variable pay as part of that, and that has also impacted the numbers in the quarter. And there is also a component of our overall cost, which is shares of Unilever, which employees get. And depending upon the m ovement of share price of Unilever and GBP vis -a-vis INR which has seen in this quarter an uptick. Those are the 3 reasons put together you have seen overall the employee cost being higher compared to where our top line growth has increased. There is alway s some amount of variability you will see, Latika, in terms of employee costs. But if I look at overall, let me say, at trailing 12 months or a 12 -month view, we will always be efficient where our overhead cost we keep getting leverage. a) because we have a very frugal mindset goes across all lines of overheads; and b) growth leverag

e that we have because of a stellar growth performance that we have. Put together, overall cost will always see leverage, but there will be some volatility like this on quarter on quarter.

Moderator: I now hand it over to Mr. Ravishankar for further proceedings.

 A. Ravishankar: We have one question on the web from Richard Liu. Richard asks whether we can give some perspective on how exit trend has been as far as growth is concern ed, especially from a rural perspective. Given that August and September base months last year would have had slower rural growth built -in, is the market number starting to look better relative to other months, at least on headline basis? And how would you read this data?

Ritesh Tiwari: Richard, if I break up the September quarter FMCG market growth into 2 parts, July and August put together as 1 bucket and September as other bucket, definitely, month September has been better than July and August put toget her. The factor which has come out is, 1) Essential demand generation which we have seen more in modern trade channel. 2) There is also that this time the phasing of festival season a little different than last year where Diwali and Dussehra both are a cou ple of weeks ahead of what it was last year. In my mind, there is some impact of that as well in September month but clearly September month has been better than July and August put together, which is also the reason why, as you would see that the overall FMCG market in the latest 3 months in this September quarter is ahead of the MAT. MAT is more at mid -single digit, and September quarter is more at 6.6 to 7 percentage. So, we have seen September month a little better.

How this pans out in the next 3 month s' time? In my mind, the single biggest variable will be commodity inflation and what happens to currency and hence impact of currency on commodities. That will ultimately determine the consumption levels in rural and overall consumption levels in FMCG. An d that, in my mind, will be the single biggest determinant of what we should expect going forward.

I spoke earlier about rural in terms of macro. There are elements of rural macro which are in favor. And hopefully, they pan out as the government's intentio n has been and as government's intervention has been, and that should help both farm and nonfarm income. And if that happens, it should augur well for the rural economy. And hence, in turn, if commodities, we see a broad -based impact. And if at all the rural economy just pan out basis government intervention, we should see a better outlook. But as I mentioned earlier, we would want to see for a few more months before we start signaling a tra jectory

 change at this point in time. And we have been measured with our commentary. And the latest quarter, 3 -month number of September quarter, has only borne out of what we have been giving our narrative on outlook even in the prior quarters.

A. Ravishankar: With that, we will draw the Q&A session to an end. I know we haven't been able to take all the questions. If there is anything still unanswered, please feel free to reach out to any of us in the IR team.

Before we end, let me also remind that the playback of this event will be available on our website in a short while from now. Once again, our greetings to you and your families for the festive season. Thank you, and best wishes.

Moderator: On behalf of Hindustan Unilever Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2023

(no extractable text — likely a scanned image PDF)

Call: Jul 2023

26th July, 2023

Stock Code BSE: 500696
NSE: HINDUNILVR
ISIN: INE030A01027

Dear Sir /Madam ,

Sub: Transcript of the Earnings Call for the quarter ended 30th June , 202 3

This is further to our letter dated 20th July, 202 3, whereby the Company had submitted the link to the audio/video recording of the Earnings Call held post announcement of Financial Results for the quarter ended 3 0th June , 2023.

Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the Transcript of the said earnings call, for your information and records.

The transcript of the earnings call is also available on the Company's website at https://www.hul.co.in/investor -relations/results -present ations/quarterly -results/june -quarter - 2023 -results/

Please take the above information on record.

Thanking You.

Yours faithfully,
For Hindustan Unilever Limited

Dev Bajpai
Executive Director , Legal & Corporate Affairs
and Company Secretary
DIN:00050516 / FCS No: F3354

BSE Limited,
Corporate Relationship Department,
2nd Floor, New Trading Wing,
Rotunda Building, P.J. Towers,
Dalal Street,
Mumbai – 400 001 National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra – Kurla Complex,
Bandra (E),
Mumbai – 400 051

"June Quarter 2023
Earnings Call of
Hindustan Unilever Limited"

July 20, 2023

Speakers:
Mr. Rohit Jawa, Chief Executive Officer and Managing Director
Mr. Ritesh Tiwari, CFO and Executive Director, Finance and IT
Mr. A Ravishankar, Group Finance Controller and Head of Investor Relations

Sensitivity: Public Moderator: Ladies and gentlemen, good day, and welcome to Hindustan Unilever Limited Conference Call for the results for June quarter ended 30th June 2023. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. A. Ravishankar, Group Controller and Head of Investor Relations. Thank you, and over to you, sir.
A. Ravishankar: Thank you, Yashashr i. Good evening everyone, and welcome to the conference call of Hindustan Unilever Limited. We will be covering today the results for the quarter ended 30th June 2023. On the call with me is Rohit Jawa, CEO and Managing Director; and Ritesh Tiwari, CFO.
We will start with prepared remarks from Rohit and Ritesh, which I expect to take around 20 minutes, leaving us about an hour for our Q&A session at the end. Before we get started with the presentation, I would li ke to draw your attention to the Safe Harbor statement included in the presentation for good order sake. With that, over to you, Rohit.
Rohit Jawa: Thanks, Ravi. Good evening, everyone. I'm delighted to be here for my first earnings call as the CEO and Man aging Director of this great company. I look forward to engaging with all of you.
Since I have come onboard in April as CEO designat e, I have been spending time reconnecting with the business and meeting our people, consumers and customers. It has helped m e to better understand our purpose -led future -fit business, our winning strategy and our distinctive capabilities. While so much has changed in the business over the years, what remains constant is our values, our belief that what is good for India is good for HUL and the high- quality talent that we have in the company.
I have had the opportunity to also witness first -hand the on-ground impact that we have created through our working communities across the country, I'm very proud of that. We have delivered this quarter a resilient and competitive performance, which was again marked by challenging operating environment.

Sensitivity: Public Let me now hand over to Ritesh to cover our results in detail. I will then come back to share my perspectives about the operating environment and our outlook. Ritesh, over to you.
Ritesh Tiwari: Thank you, Rohit, and good evening, everyone. I will begin with FMCG market context and then cover our quarter performance in detail. Starting with market growth for HUL relevant categories, we are seeing a gradual recovery in market volumes with aggregate volume growth now at mid -single digit.
Urban markets continue to lead the grow th for FMCG. Rural market volume, which at one point was declining in double digit has just turned positive in this quarter. Having said that, we need to be cognizant that these growths have come on back of volume decline in June quarter 2022.
If we were t o look at market growth on a 2- year CAGR basis, total volume growth is still marginally negative, with rural volumes declining at 4 %. With most commodities remaining stable, the year -on-year inflation continued to moderate. There are however 2 call-outs th at I would like to highlight :
• First, within our portfolio, we do see some divergence in commodity trends, input materials for Home Care and BPC, like crude and palm derivatives remain ed benign , whilst F&R commodities like coffee, cereal and skimmed milk powder continue to witnes

s high levels of inflation
year-on-year.
• Second, as we said earlier, we need to be mindful that most commodities continue to be at level s higher than their historical averages.
With this moderation in year -on-year inflation, we have seen more players passing on benefits of lower input cost to consumers. This is reflected in a sequential reduction in the price growth that we see in the market, albeit it being in high single digits. In anticipation of lower prices, we are seein g trade reducing the stock levels by 1 to 3 days.
As we highlighted earlier, there's a time lag between companies taking price reductions and consumers experiencing the benefit of lower prices due to trade pipeline stocks. This is seen in the Nielsen offtake data where price growth is in high single digit.

 Volumes will recover gradually due to high levels of cumulative inflation that consumers are facing and the fact that consumption habits typically recover with a lag.
With softening in input cost, we ar e witnessing increased competitive intensity in the market. If you look at media deployment, which saw a steep reduction during high inflationary period has started normalizing and is now at 95% of June quarter 2019. With increasing share of digital spend in A&P, one can anticipate that the overall media deployment is now very similar to pre -Covid levels.
We are also seeing resurgence of small and regional players in select categories and price points, many of whom had vacated the market during peak of inflation.
In this backdrop, HUL delivered a resilient all -round performance. Our underlying sales grew 7% with an underlying volume growth of 3%. B oth these measures strip out the impact of disposal of our salt and a tta business.
Talking about our bottom -line performance, EBITDA margin at 23.6% remained healthy and improved 40 bps year -on-year. I will cover the details of EBITDA movement in a subsequent slide.
Profit after tax before exceptional items (PAT bei) at Rs. 2,500 crores was up 9%. Net profit at Rs. 2,472 crores increased 8% year -on-year. Slightly higher levels of restructuring cost explains the difference between N et Profit and PAT bei growth.
Talking about our market share performance. Our growth was competitive with more than 75% of our business winning market shares, both value and volume . Premium portfolio continues to lead growth for us, and this reflects in higher share gain in this part of the portfolio.
As I said earlier, we are seeing resurgence of small and regional players due to moderating commodity prices. Consequently, there are certain pockets of our portfolio, primarily in mass segment and specific regi ons where we have seen a dip in our market shares. However, on an aggregate basis, our shares are ahead of what it was pre -inflation.

 On a 2 -year basis, we continue to significantly outperform the market with our sales CAGR at 13% and our UVG CAGR of 5%.
Moving on to performance across our 3 segments.
Home Care delivered yet another quarter of robust performance and grew 10% on a very strong base. Beauty & Personal Care delivered a volume -led growth of 4%. Foods & Refreshment grew 5%.
Margins in all 3 segments remained healthy with Home Care at 18%, BPC at 26% and F&R at 18%.
This time, we have included information on segment and category level UVG, which we normally do not disclose. We have done this to help you better appreciate our volume performance, especially with the divergence in the operating context of each

division. Both Home Care and BPC delivered a mid-single -digit UVG while F&R had a near flat UVG.
Let me give you some more color on our UVG performance across the various categories.

As you c an see, all categories in Home Care continue to have strong volume growth. Household Care had a double -digit volume growth where L aundry grew in mid -single digit.
Moving on to BPC, S kin Care and Color cosmetics had a high single -digit volume growth driven by Ponds, Lakme and Vaseline. Hair and Oral Care had a mid -single -digit volume growth. Skin C leansing UVG was in low single digit.
When it comes to F&R, Tea continue to grow volume ahead of the market, volumes in Foods, HFD and C offee was impacted due to price increases taken to cover the input cost inflation. Ice cream had a very high base last year and was also impacted by the unseasonal rains in April.
In summary, Home Care and BPC which constitutes 75% of our business is growing volumes in mid- to high single -digit range .

 Hopefully, this helps you better understand our volume growth trajectory and the divergence we have seen between categories. For the sake of abun dant clarity, we don't intend to make this a standard disclosure.
Now talking about our innovations for this quarter. Surf Excel Matic liquid was relaunched with a superior WiMI formulation and new packaging.
Comfort perfume wardrobe hanger is a line exten sion from our fabric enhancer brand Comfort, this ensures the wardrobe and clothes in it remains fresh and fragrant .
Dove Men+Care two- in-one shampoo plus conditioner was launched in 3 variants: Thick and Strong, Anti -Dandruff and Fresh & Clean.
Pureit has launched a new range of water purifier Revito with best -in-class filtration technology independently certified for heavy metal removal and gives higher water recovery of up to 70%.
Indulekha has extended its franchise into S kin Cleansing with I ndulekha soap and ayurvedic proprietary medicine, which is clinically proven to help repair visible signs of skin damage like dark spots, uneven skin tone and acne marks.
Expanding this product line further Knorr introduced a range of Chinese sauces - Gree n Chilli, Red Chilli and Dark Soy Sauce. T he perfect choice for restaurant like Chinese at home.
Horlicks biscuit was relaunched in South India as a Millet based biscuit. We are using the power of 2 millets - Ragi and Sorghum with whole wheat to create a special M illet biscuit.
Vim launched an all -new product called Vim Shudhham for brass and copper vessels in easy -to-use format of gel and spray.
On the occasion of World Social Media Day, Brooke Bond Red Label launched a beautiful film called Red Label, I ndia's favorite social network, reminding that Chai is India's original social network.
Building further on its purpose of owning chores, Vim’s new activation ‘ Apne Bartan Apne Aap’ , is a ‘ call to action to men and society to own the chores ’.

 Moving on to our performance in Home Care. This was another solid quarter for Home Care, with strong performance in both Fabric Wash and Household Care. Revenues grew 10% with mid -single -digit volume growth. Fabric Wash delivered double -digit growth led by premium portfolio. Household Care had double -digit value and volume growth, led by outperformance in d ishwash.
Talking about Beauty and Personal Care, our business delivered 4% revenue growth with mid- single -digit UVG.
Skin Cleansing had a modest volume- led growth with LUX and Hamam continuing to outperform. Benef

it of lower input costs were passed on to consumers through pricing actions taken in the quarter.
Hair Care delivered mid- single -digit UVG led by TRESemme, Indulekha and Clinic Plus.
Skin Care and Color cosmetics grew double digit on back of strong performance in the premium portfolio. We continue to build our S kin Care portfolio in high- growth demand spaces through innovations and further scale

up of our digital brands.
Oral Care delivered a strong double -digit growth led by C loseup.
Let me now turn to Foods and Refreshment. F&R grew 5% .
• Starting with Tea the category continued to witness consumer
downgrading due to high inflation in premium teas vis -a-vis loose tea.
Overall, the business delivered a m odest volume led growth in the quarter.
• Coffee grew in mid- single digits led by pricing.
• Health Food Drinks had a good quarter with both Horlicks and Boost
performing well.
• Foods grew in mid- single digits, led by strong performance in Ketchup
and Food So lutions.
• Ice-cream delivered mid -single -digit growth on an exceptionally high
base. Ice- cream consumption was impacted due to unseasonal rains in the
quarter.

 Softening commodities coupled with our sharp focus on savings and ensuring
the right price value equation to consumers has led to our gross margin
improving 140 bps sequentially, taking it to 49.2%.
As I mentioned earlier, media intensity has increased in the market. We have stepped up our A&P investments to keep our S hare of voice ahead of S hare of
Market and ensure our brands are well supported. A&P spends in this quarter
was higher by 110 bps versus March quarter 2023. This is an additional investment of almost Rs. 200 crores.
Summarizing our performance for this quarter, we had a resilient top line and
bottom -line delivery. I've already covered most of the lines but let me give you
a quick highlight on a few other items.
• Our other expenses was up year -on-year due to step- up of investment in
building capabilities and impact of the new royalty and central services
arrangement. There was also a favorable impact in the base due to phasing
of costs.
• Our ETR for the quarter was 26.5%. We expect this to come down slightly
on a full year basis.
• I would like to remind you that our ETR in F inancial Year '23 was
positively benefited due to prior period tax adjustments.
Speaking about progress made on some of our key sustainability initiatives,
• HUL in partnership with HSBC and BMC has established 12 Suvidha
centers in Mumbai, which provides safe sanitation facilities to 3 lakh
people in low -income communities annually. During the quarter, we
signed a strategic partnership with JS W Foundation to establish 10 new
Suvidha centers in Mumbai. These new centers will save 300 million liters
of water over a decade and will run on solar energy.
• In association with Genpact, we launched Be.Seen, an accelerator program
to help scale businesses owned by minority and underrepresented groups
in India. This program aligns our ESG goals of increasing procurement from diverse businesses.
• FICCI has set up a center for sustainability leader ship with HUL as a
founding member. The center aims to help accelerate India Inc.'s climate

 action in line with government's net -zero commitment embodied in the
‘Panchamrit ’ framework.
Let me now move on to our near -term outlook.
The situation on weather front remains erratic. We have seen unseasonal rains,
heatwave and a delayed monsoon. El Nino has set in early, wh

ich could impact
latter parts of monsoon. While monsoon has picked up pace o ff late, spatial
variations persist. We have seen unfortunate floods in parts of the country.
Consequently, cropping especially of rice and pulses seem to have been
impacted. Higher reservoir levels and better agri infrastructure should
hopefully contain the impact.
On non- agri fr ont, we are seeing mixed trends. While MNREGA demand

remains high, remittances to rural have improved.
Looking at demand from consumer lens, we should be mindful that consumers are still facing high levels of cumulative inflation. As you saw earlier, due to pipeline stocks, they are consuming higher -priced inventory and hence, the volume recovery will continue to be gradual .
Clearly, the operating environment remains volatile and we should be watchful of how these variables pan out.
In this context, we will continue to manage our business with agility and take actions to ensure long- term 4G growth, growth which is consistent, competitive, profitable and responsible. Speaking specifically about outlook for the next couple of quarters.
• Price gr owth will tail off further with lapping of high prices in the base and sequential price reductions. If commodities remain where they are, we expect our price growth to be near flat or marginally negative.
• With inflation moderating, the competitive intensi ty is likely to go up further.
• We remain focused on providing superior value to our consumers, building back our gross margins and investing competitively behind our brands. With this, we expect to sustain our volume growth momentum.

 With this, I complet e my prepared remarks, and let me pass on to Rohit for his perspectives .
Rohit Jawa: Thanks, Ritesh. Let me start with my perspective of this quarter’s performance.
I'll summarize this as another good quarter for HUL, delivering consistent, competitive profitable and responsible growth. On a high base, we grew 7%, equally balanced between price and volume. We have stepped up our gross margin and increased A&P investment behind our brands. Our business fundamentals remain strong - More than 75% of our business is winning shares and gaining penetration. Our brand power scores are looking healthy, product security is significantly better, and we continue to make good progress on our long- term strategic priorities. We have a clear and compelling strategy t hat has delivered strong results for us.
Let me now turn to the operating context and our outlook. I'm pleased to see that commodities, which a few quarters back were at record levels have now corrected and inflation is moderating.
Market volumes are recovering, although gradually . Rural market volume growth has just turned positive in the quarter, and we are seeing sequential improvements. However, we need to be cogni sant of the soft base that the market is lapping. On a 2 -year basis, total market volumes are near flat and rural market volume has declined. We expect volumes to continue recover gradually due to the high levels of cumulative inflation and the fact that consumption habits typically recover with a lag.
With inflation moderating, we are witnessing increased competitive intensity, small regional players who vacated the market during high inflation are now coming back. We're also seeing increased media investmen ts by FMCG players.
On the weather front, the situation remains challenging. We've seen some extreme weather events playing out in the last few months, such as the unseasonal rains in the summer, followed by heat phase and delay onset of monsoon. Recently, monsoon has picked up pace, and we've also seen unfortunate floods in parts of the country. El Nino has set in early

and hence, that could impact the latter part of the monsoon.

 Clearly, the operating environment continues to remain volatile. In this context, we will continue to manage our business dynamically, provide superior value to our consumers and invest behind our brands and future -fit capabilities.
Notwithstanding these near -term concerns, I remain confident and positive

about the mid to long- term outlook for FMCG sector in India and HUL's
growth prospects. Our focus remains on delivering 4G growth.
I now hand over to Ravi to commence the Q&A session. Thank you.
A. Ravishankar: Thank you, Rohit. Thank you, Ritesh. With this, we will now m ove to the Q&A
session. We request you to kindly restrict the number of questions to a maximum of two at a time so that we are able to address questions of more participants. In case you do have any further questions, feel free to join the queue again.
In addition to audio, as usual, participants have an option to pose the questions
through the web option on your screen. With that, I'd like to hand the call back
to Yashashr i to manage the next session for us.
Moderator : Thank you very much. We will now begi n the question- and-answer session.
We have our first question from the line of Abneesh Roy from Nuvama
Institutional Equities.
Abneesh Roy: I have two questions. My first question is on the impact of palm oil price cost
correction. So, when I see the biscuit companies and the other listed soap
company, there, we are seeing very strong G ross margin and EBITDA margin
expansion on Y -o-Y basis for the past few quarters or maybe for one or two
quarters. When I see your Q1 number in terms of the Beauty and Personal Care,
the margins are almost stable.
So, wanted to understand if you are being more aggressive in S kin Cleansing
in terms of advertising spends and promotion or giving back to the customer. Why it's not visible in terms of the volume growth? And is there a lagged impact? So , supposing you are more aggressive currently, does it mean that
later you will get that benefit?
Ritesh Tiwari: Yes. Thanks, Abneesh. Let me pick it up. See, overall, let me start at aggregate level. Of course, there are different cycles of commodity. If you look at

Sensitivity: Public aggregate numbers for Hindustan Unilever, there are commodities like P alm to
the point that you made Crude oil, Indian rupee which has, by and large,
remained stable, are factors which has led overall i nflation to moderate.
But equally at a total company level, we also have Food and R efreshment
efficient business where Coffee, Milk, Barley are materials, which are
significantly inflated. So , when you look at total company level, you're just
ensure that y ou have looked at both the elements put together. At the peak of
inflation in September quarter '22, at that point in time, we have seen a 600 bps
impact to our Gross margin.
Again, as you know, across the industry, this was a better performance where
our price versus cost bleed was lower than many other players. From that front
of 600 bps, we have already recovered 400 bps of G ross margin in the last 3
quarters between December quarter, March quarter and June quarter. And a
good portion of this 400 bps G ross margin that we have improved over the last
3 quarters has gone behind A&P . It was roughly 7 percentage for us, 3 quarters
back, and now, as we speak, it's almost 10 percentage.
So, we have dial led up 300 bps of investment in A&P . Of course, w here
required, we did lean in with price reduction, wit

h more amount of grammage
to be filled back, and we will see the impact of these changes, the point that Rohit articulated earlier that we should see impact of these changes in consumer behavior and volumes in times to come.
Typically, this takes 2 to 3 quarters for the whole thing to stabilize. When we do price cuts and price changes, it goes to trade, trade has high price inventory,
we liquidate that first, and it goes to consumer. Consumers also have pantry
stock at home, which typically will be higher price d, bought earlier. And when
that inventory in the pipeline clears up, consumers start experiencing lower
priced product. And of course, after that, we expect them to start changing their behavior and start to consume more.
This transition typically takes 2 to 3 quarters. And we have seen that, Abneesh
in the past as well. If I go back a decade ago, for example, Laundry in 2012 & 2013, similar conversation . A year later, in Tea 20 14, 2015 similar
conversation. Even if I go back, say, 2008 and 2009, similar conversation for
Skin Cleansing. Each of this period, we have seen substantial inflation and post

Sensitivity: Public that as commodities came down, we saw it took 2 to 3 quarters for consumption
levels t o start to recover. And we expect it to be similar this time as well.
Abneesh Roy: Sure. That was helpful. Just one follow -up on that. I understood you explained
on an overall basis, the Gross margins are getting flowed back. My specific
question was on t he Beauty & Personal Care, there why we are not seeing the
margin expansion in terms of the EBIT because clearly, S kin Cleansing would
have seen a very strong margin expansion.
So here, my specific question is, in terms of the palm oil inventory, would you
be a bit more in terms of the pricing versus, say, some of the other players?
And in terms of your non Skin Cleansing, Beauty Personal Care, how is the
cost inflation there? That math I'm still not able to understand.
Ritesh Tiwari: Yes. So, both elements , element of (A) price actions in S kin Cleansing, (B)
dialing up A&P in S kin Cleansing and equally dialing up investments be hind
other categories within Beauty & Personal Care. And you've seen the impacts
of those. For example, we grew in double -digit Skin Care and Color cosmetics.
We had good volume growth in Hair Care, Oral Care, and those are the
examples where the investments that we have done in A&P across BPC
categories, we are seeing impact of it coming in. And of course, overall, one
of the charts you saw me presenting in media intensity has gone up it's almost back to 2019 levels.
So, it's a summation of (A) we have increased G ross margin. In fact, a large
portion of G ross margin of 400 bps has come from categories which got
impacted in the first place through commodity, be it L aundry or be it Skin
Cleansing, and hence, recovery also has been led on G ross margin on those
categories. But a mix between inflation impact, G ross margin improvement
and investing in A&P behind categories.
Abneesh Roy: Sure. My last question is on Oral Care. You have also done well. Our sense is the other two players listed are also doing well. So, what's the reason for all
three players doing well? Is it a market share loss for the unlisted player? And second is when you see the recovery in the Oral Care versus some of your other
Personal Care business, is there any difference in terms of the consumer
behavior, which is driving this?

Sensitivity: Public Ritesh Tiwari: No, Oral Care, one of the conversations we'

ve spoken for last few quarters, the
amount of work we have done with C lose up. And our perform ance, as we
speak in this quarter, has been driven by C lose up. So, Close-up has seen good
traction with consumers, and our activations have worked pretty well, and so is innovation. So, we are seeing the benefit of that in terms of overall growth
that we see in Oral Care.
Oral Care as a category you can imagine is a highly penetrated category. Of course, there's a job to be done in terms of increasing the brushing occasion .
That's a long longer -term job to be done. But the overall price value equation,
the kind of distribution that we have done and the innovation activation put together, we have seen C lose up basically driving the growth of Oral Care
overall for us.
Abneesh Roy: So, thanks. That's all for me.
Moderator : We have our next question from the line of Vivek M from Jefferies.
Vivek M : I have two questions. First, a broader question to you Rohit. So HUL is a very well-run company. But in the last few months that you have spent here, where
do you think there are still some gaps that you want , that you've identified and
you want to work on from a next 12- month perspective? If you can elaborate
on that, that would be useful.
Rohit Jawa: Thanks a lot, Vivek, for the question and happy to speak to you and hope to
work again also in the future together. So, to your question, I have now been
immersed last few months , as a designator , in the business meeting different
customers. Our teams also the branches, and I've been to a factory or two. So,
I have a sense of really how the business is and seen the impact on the ground.
So first of all, let me just say that clearly, it's a great busine ss with very, very
sound fundamentals. I have come back after two decades, but I must say I'm very proud of the scale and the quality of the talent we have. I'm very proud of the impact we make in the communities through our ‘doing well by doing
good’ mission. Particularly, I'm also impressed with the portfolio and the
quality, the discipline of our oper ations, our supply chain teams.

So by and large, I would say we have a fundamentally a very strong business that's well poised for growth in the long- term s tory of India, which, as you

 know, is very exciting, and we have very strong positions and we should be able to leverage and exploit that to grow our company to the next level and doing that by fulfilling our mission of what's good for India is good for HU L.

So, I feel quite good. It's coherent and in good space. Of course, as you look forward, the country is at a moment of big inflection. We all know the opportunity, the macro tailwinds that are supporting the market. There are lots of changes, the clock s peed of the country has gone up. We see the transformation on what we need to do on the portfolio, in channels and also deepening our sustainability and of course, our distinct capabilities and taking them to the next level, such as Winning in Many India s, which I believe is a very, very strong moat.

The digitization agenda, which must go to the next level, especially when it comes to our eB2B platforms like Shikhar. So, I see more opportunities than gaps, to be honest. And I think I 'm in that sense, quite optimistic. I do feel, of course, that there will be some jobs to be done like any other business, whether it's to drive the opportunity of portfolio in Skin Care , or to get more and more growth in our Health Food Drinks business or for that matter, also expand the opportunity we have in the consumer -packaged foods business, which again is quite a promising space. So, all in all, I feel pretty optimistic and really it' s about us to leverage and exploit th

e opportunity then to actually fill any gaps.

Vivek M : Great. And Rohit, one follow -up to that. Two portfolios, I want to know your specific views. One is the HF D category. And my estimate is that this quarter, it would have declined probably mid- single digits in volume terms. And since the acquisition, we have seen this portfolio probably performing lower than what the expectations were.

The other bit is Beauty and Personal C are. So, on the L aundry side, you have on a phenomenal job over the last decade, but Beauty and Personal still has been somewhat lower than what the expectations would have been. So, what are your views or problem areas in both these portfolios , any specific views on this?

Rohit Jawa: Yes. If you pull back and let 's take one by one, the two of them that you mentioned, I 'll ask Ritesh as well to help support my thinking. If you look at basically the Health Food Drinks, it 's bang on the sweet spo t of the portfolio

 that worked for Hindustan Unilever. It 's purposeful because it serves to fill the deficiency in m icronutrients. It has huge opportunity and space for growth because only a quarter of our households use it. It 's got a very wide footprint where we could drive synergies in distribution and supply chain, which we have.

It's at the moment, on business case when it comes to the cash cumulative generation, there is a job to be done when it comes to top line. And here, it's a little bit more nuan ced. Some parts of the H FD portfolio have , are showing growth already. So, I would say that like Boost and some of our more premium clinical -based parts of the portfolio are in tailwinds. When it comes to the more of the core, which is where the heart of the business it has been impacted over the last few years by inflation in m ilk, but also in its basic cost, and that does impact consumption in heartlands.

That said, we do see penetration growing. We do see market shares growing. In that sense, therefore, the business, I believe, is poised for growth, and we have to see this mor e in the longer term, I'm absolutely convinced that this is a great fit it's in the sweet spot in heartland of our, what we do well. What we now need to do is to make sure we get the relevance increased, and we have done that.

We made attempts for instance, our advertising has gone back to the core proposition of sharper , packaging is being improved. We are activating it and sampling it quite aggressively. So, we'll stay the course. We keep driving the

core up in its relevance, will keep running the value u p through value -added
varian ts and building the portfolio widely, and it's a big brand, and I'm very
hopeful that in the years to come, this will prove to be a very, very good part of our portfolio. So, I'll stop there on the HFD part.
That's really how I think about HFD . And I think this quarter, for what it's
worth we grew 10%, largely through price, but this is one of the better quarters
we've had, and we'll see how the future shapes up. But in the medium to long term, we feel confident about the business and we are on it.
When it comes to the BPC side, let's more specifically on the Beauty Care and Personal Care, the two parts of that business. I think we have a very high
market strength where the relative market shares are high. If you take S kin

 Care is 4x, on hair, we have a 55- odd share. On Skin Cleansing, we are about ,
we are the largest player. Oral Care, we've talked about that C lose up is doing
quite well. Let's stick to these three

big categories. So, if you look at it, we are
in a very, ver y strong position.
And the per capita consumption of all of these categories is low. There is a
huge opportunity for market development , category growth and also of course,
huge opportunity for up- trading because consumers in Beauty , in Hair Care
and even in Personal Wash are willing to upgrade to better formats.
So specifically speaking, we already start to see in Skin Cleansing growth in
our Body Wash liquids , its doubling, but it's a small base. So, 10 years down
the line, that's going to be a very large share of our total Skin Cleansing . We
feel quite confident about the trends we're seeing in our Skin Care portfolio,
especially the premium end with Ponds and Lakme. We see tailwinds there,
and we see growth coming in and high return on investment .And as far as hair
is concerned, I think we have a beautiful portfolio right from Clinic Plus all the
way up to TRESemme, and we will keep expanding that to serve the needs of
consumers at all ends of the ma rket. And here, again, is a beautiful market to
be in high margin, high growth.
So, all in all, I feel that, yes, it's true, that Home Care has been a star performer
in the last decade. But that said, we do have two very large parts of our portfolio, BPC & F&R and there's only opportunity for us to leverage into the
right moves on. And I'm confident that as we go forward, we'll see these
components also delivering value creat ion to our company as they have done
previously as well. I hope that is a comprehensive response to your two
questions, Vivek.
Vivek M : No, indeed, it was quite detailed. And second, one quick very small question on other expenses, Ritesh while you mentioned 20% and royalty impact despite
that, is there any one -off setting in that number, Ritesh?
Ritesh Tiwari: Yes. So, we did have one -off in the base period, Vivek, hence year -on-year
when look at it, you will see the impact of coming in. If you look at sequentially
what we had a number of other expenses in the previous quarter, March quarter, is very similar. The only item, as I mentioned, (A) the impact of royalty which
has gotten booked in this quarter. And hence, year -on-year, that royalty and

 central expenses that has gone up. But apart from that and impact on the base
of one -off explains by and large, what has changed year -on-year basis on that
line.
Plus, we also have stepped up investment in capabilities, Vivek. And that
expense also basically shows the amount of investment that we have to bring
into different parts of the business to dial up capabilities, and there's a
conscious choice we've done to lean- in on that front as well. So those are the 3
reasons put together while you see other expenses of where they are. But
suffice to say, Vivek, we do drive across length and breadth of the P&L of our
savings agenda, be it trade promotions, be it supply chain cost, be it other costs.
And we ensure that we are able to balance between generation of savings and then deployment of savings, be it on

capabilities in overheads & other expenses
or be it on advertising sales promotion to dial up, as media intensity goes up.
So that's how we end up managing the P&L across lines.
Moderator : Thank you. We have our next question from the line of Percy Panthaki from
IIFL.
Percy Panthaki: Rohit, just to continue the question that Vivek asked in terms of what will be your priorities going ahead. One of the things I wanted to sort of put forth to
you is the Skin Cleansing portfolio. I mean, if I look at it over a fairly long
period of time, like around 15 years or so, there has been significant market share erosion in this. So just wanted to understand,

I mean, what is the reason why this has happened? And what a re we planning to do in order to sort of
stem this decline and reverse it?
Rohit Jawa: Yes. Maybe Ritesh can respond to the more near term and then I'll come back on how I see the category.
Ritesh Tiwari: Yes. So let me pick up Skin Cleansing and we'll han d over to Rohit on the
question you asked on long term, how does Rohit see in terms of overall evolution of FMCG.
Skin Cleansing, we did call out Percy . Yes, if I look at last mor e than a decade,
our shares are lower compared to what it was at we say a dec ade or 15 years
ago. Some parts of that have been portfolio choices, where a part of the

 segment, which was not making profit and at the lower end, we did vacate that
part. That was one reason.
There were also competi tive reason where we lost shares in the initial part of
the decade and we had called out. The learnings we had were two. Number
one, product superiority; and number two, dialing up the rigor of Winning in
Many India s. And these are the exact two things that we deployed in Skin
Cleansing where our propositions, LUX, for example, the way we se ll LUX in
North , East and South is different, the fragrance, the proposition and the overall
mix that gets sold.
So, we dialed up WiMI , in Skin Cleansing as number one, broad action.
Number two, we dialed up big- time product superiority, as I mentioned earlier.
And both these elements of action put together gave us good results. And which
is why in the last couple of years, our we g rew ahead of the market also gained
shares. So that has been a Skin Cleansing journey over the last 10 - 15 years.
The focus remains in short term, the focus for Skin Cleansing is very simple
and clear, maintain competitive price value equation, whilst doing the job, as
Rohit mentioned earlier, there are vectors like Body Wash , we want to ensure
that, that starts growing, that's one of the market development cells, how do we
accelerate growth of segments like that.
So, maintain price -value equation, dial -up market development part of the
portfolio and keep doing the job of ensur ing that we segment the market as
Winning in Many Indias and then keep looking at the growth opportunities
appropriately.
So that, I would say, will summarize Skin Cl eansing , but let me pass over to
Rohit on long- term overall trends and growth.
Rohit Jawa: Yes. Thanks, Ritesh. So to your question Percy , Skin Cleansing is a heartline
of our business. We've all grown up in this company selling a Lifebuoy. So
that is real ly, really close to all of us. And I think , so I think over the medium
to long term, the Skin Cleansing consumption because per capita consumptions
are low, is going to grow up both in terms of volume and value, because just
the share nature of the secular effect.
So, we need as the market leader, our job is to really grow the market. So I see
3 big lever s was to follow. Number one, given that we are almost a $1 billion

 business there, our first job is to play the portfolio smartly, which is through
price segments, central benefit segments, and we have really good brands, as you know, right from Lifebuoy, LU X, Dove, Pears, Hamam, Indulekha now as
well entering the sort of source segment.
So, first job is to make sure we play the portfolio, full portfolio and make sure
that we are smart when it comes to price value equation, Winning in Many

India s is pretty mu ch what Ritesh spoke. The second point of emphasis is on premiumization because consumers

are up trading. We do see that on growth
rates and for instance, in our premium part of the portfolio, where Pears and
Dove have shown smart growth, and we expect that to continue, so in urban
areas, for instance. So that's the second driver.
And the third driver of value is new formats and regimes. So even though it's
quite small, the shower gels, growth are doubling, but this will get close to the
20% mark in the medium term because that's what happens to liquids when
they become accessible very close to soaps, in terms of cost per wash.
So, we expect liquids to grow, including regimes like scrubs and bath and
shower experie nces. So, there's a lot of growth that exists in basically getting
consumers to expand and upgrade their shower experiences. So yes, that's
really see very optimistic, and we'll continue to drive the innovation in our portfolio to leverage these 3 drivers that I mentioned.
Percy Panthaki: Right. My second question is a little bit more on the near term. So, you
mentioned in your PPT that soon the pricing growth will become flat or even negative on a Y -o-Y basis. So, in light of this, how do you see the volum e
responding? And how do you see the overall sales growth in light of this? Like
in the longer term, HUL has done a high single digit, 9% type of overall sales
growth. Do you think that with the pricing being flat, this number is at risk?
Or do you think t hat the volume growth would pick up to a high single digit in
the second half to sort of keep the overall revenue growth in line with the longer -term average? And if you think that is the case, then what really will
drive that change from a 4%, 5% or 3%, 4% to 8%, 9% kind of a number?
Ritesh Tiwari: Let me pick it up, Percy. So, see, overall, let me start with market to start with.
This quarter, as we speak, market grew volume in mid -single digit. Same
period last year, market had declined volumes by 6 perc entage. And hence, one

Sensitivity: Public of the things we spoke on the chart when you look at a 2- year number, CAGR
market volumes are roughly flat over 2 years. As far as HUL is concerned, we
had 6% volume growth in period last year and a further 3% growth this year. So over 2 years, we've grown a 5 percentage of our volumes.
So, volume trajectory is very strong and robust in comparison to where markets
are growing. And hence, that's also the reason Percy, why over 2- year period,
we have substantial outperformance compared to the market. And hence, we also gained compared market share in the last 2 years substantially. That's
number one. Number two, when I look at in short -term here and now, market
is in transi tion. The point I was mentioning to Abneesh earlier that whenever
you see substantial increase in commodity cost and then commodity cost
comes off, it takes 2 -3 quarters for market volumes to recover.
(A) Trade does destocking , and we have seen across categories anywhere from
one to three days, trade has destock ed because they do want to ensure that they
are able to get out the high price inventory before they source and they stock up lower price inventory. And consumers, of co urse, end up experiencing the
lower price inventory a little later.
You also see the divergence between the price growth that we as a business, we declared this quarter, we spoke about 4% price growth to our business, by and large, which is coming off the price that we've taken in the previous period.
Market had shown a price growth in this quarter of 8 percentage. So, there's
always a lag between what we end up doing as businesses and what market
ends up showing.
So, this transition, and I was quoting 3 pe riods, 2012, 2013 L aundry, year after
Tea, if I go back to 2007 and 2008, in terms of Skin Cleansing

, each of these
periods, we saw 2 -3 quarters, so market will be in transition and the volume
recovery of the market will be gradual.
In short term, as we sp eak, this will be the reality in terms of overall gradual
volume recovery of the market. Price growth in short term, we called out that
if commodities remain where they are, I do expect our price growth to be either flat or marginally negative. So, the gro wth for the next couple of quarters will
be fully led by volume.

 Now of course, this is a transitionary period. Long term, FMCG industry grows
by both volume and price. So once the cyclical trends settle in, now, of course, that's anybody's guess when the price tables commodity settle in, but we had called out at the peak of inflation even in September 22, that commodities are cyclical in nature. Ultimately high- price impact s demand, high demand
impacts price, and they do normalize the curves. And which is why we did see
that the inflation started moderating of any commodity which had significant amount of inflation.
Now with that getting let me say just stabilize. Hopefully, in near to medium
terms post some quarters, we should start seeing this equilib rium coming back.
Coming back, which was a high price growth situation, which was there, let me say, last year in several quarters. And a situation now where, as I mentioned, next couple of quarters, we do see volume leading growth. And hopefully, if commodities do stabilize, hopefully industry goes back to what
its long -term trends are, roughly 1/3 or 40% comes from price and what about
2/3 or 60% comes from volume, that equilibrium should start getting
established.
Price did lead growth. You've seen our overall numbers in last year as well.
Last Financial Year , we had roughly 11% - 12% pricing. Now that pricing is
no more there for the next couple of quarters, and hence, overall amount of
absolute growth, to your point, will be very different and growth wi ll be led by
volume. And how much volume we sell, as I mentioned, depends upon this transition, how quickly it settles in across different parts of the country, and
across different categories.
This, of course, external environment, we spoke about, be it r ural demand or
for it matter, be it weather related uncertainties. We have to put all that into
mix. But in summary, I do see next couple of quarters to be in transition.
Percy Panthaki: Right, Ritesh. Thanks very much. That's all for me.
Moderator : We hav e our next question from the line of Manoj Menon from ICICI
Securities.
Manoj Menon: Team, I know that there's maybe two questions, but allow me to ask three. Basically, the first one is actually on the inflation part of it from a consumer
lens. It's been Ritesh , first of all, I want to thank you for making it very clear

 about the interplay between inflation and the volume price elasticity , how the
consumer sees it.
Rohit actually from your global experience, if you could actually call out a few
examples or learning actually on, let's say, how the interplay plays out. Because
we are in a unique situation in India where from a consumer staples, it's an
industry point of view, where we ha ve actually seen material inflation in the
last couple of years versus, let's say, which is not the case from a consumer
lens 5 -6 years prior to that.
So how do you see actually this, I don't want to call deflation, but let's say,
lower inflation or deflation from a consumer lens. That's question number one.
Second actually, on the GSK part of the nutrition

part of it, how do you see
actually the issues which you have as a company in terms of solving the
consumer problems.
The third is, it's more of an obse rvation than a question. When I look at more
of the listed space in consumer staples in India currently, it appears that most
companies are trying to solve the problem in the premium end, not necessarily at the bottom of the pyramid. Let me explain that, f or example, at least I don't
hear from any listed consumer , a staple company talking about, let's say,
solving the or creating the next Fair and Lovely or Glow and Lovely or the
Wheel. So, three questions.
Ritesh Tiwari: Inflation, I think good reflection Manoj you are posing . If you look at market
price growth, FMCG, over 2 years, we've seen overall as an industry, there has been 22% price increase. This is substantial and which is why the impact on
volumes is no surprise. The point I mentioned earlier, a 5% volume growth on
the back of a 6% volume decline of the industry. And hence, 2 years CA GR

has been flat on volume front. That has been the impact of these categories. In
the meantime, we did see this got more pronounced at the beginning of the inflation on discretionary categories.
Mass Skin Care got impacted, how's Health Food Drinks got impacted where
the bite was higher and consumers basically did more prioritization on kitchen inflation and hence kitchen essentials and they did dial back on discretionary category.

 Now is this and I spoke to the point earlier of elasticity. So, we do see this
coming up in terms of in the next couple of quarters, we do see gradual
recovery happening in overall consumption trends. Overall, if I see within the
portfolio, Skin Care , if I look at Skin Cleansing , Hair, Laundry, bulk of the
commodities, which impact these parts of the portfolio have seen moderation.
Of course, the point still remains over 2 years, there is cumulative inflation,
but it has seen moderation. Income levels to some extent have caught up. Rur al
demand to some extent has got supported because of this inflation getting
moderated. And equally, the job now has to be on driving more volume and driving more consumption.
That remains the focus area for us. Keeping aside the price elasticity of these categories, the job of in medium to long term on market development, on making the portfolio more premium on entering high demand spaces. That remains a fundamental for us, product superiority, driving WiMI, that remains
a fundamental for us. And that's a playbook in terms of driving growth in the business. So that's basically overall the inflation playbook. And the point I was mentioning earlier, there ar e still parts of the portfolio.
Milk, Cereals, mostly barley in this case, and Coffee, substantial inflation we
have seen in these commodities. And like, I'm hoping like crude like vegetable oil, these also will be cyclical in nature and these commodities will start deflating in times to come. But there's alw ays an interaction of price inflation
and demand for these commodities. So that interplay we have seen in India, we're seeing across the world in many markets, emerging markets.
At least in India, we don't have a large interplay on currency at this point i n
time. But we've seen in many international markets, Latin American markets, currency ends up playing a very large implication on overall inflation and
hence price tables . Indian rupee after having, I would say, to some extent,
depreciated last year, the last 6 to 8 months' time, it has remained pretty stable,
and that has helped overall inflation in the economy.
As I come to GSK, there have been multiple jobs that we have to do, as I was articulating earlier. We had a job of integration, which the

job has been pretty
well executed. Go- to-market has got fully integrated, business has been
onboarded. We had a job to be done in terms of correcting the price value

 equation. We launched sachets and ensured that we're able to increase access
to sachets and small price point packs
Market development at scale, almost last year, we spoke about 45 million plus
home -to-home contacts to ensure that we're able to educate on the benefits of
Health Food Drinks , where the food palate by and large, is carbohydrate heavy
and micronutrient deficient, how Horlicks ends up playing a role in supporting that and missing that meal pla te more balance. So that job of educating and
increasing the relevance of the category and driving consumption is the single
biggest focus area.
As part of that, we did the job of activating Boost across the country, we did
the job of ensuring that the plus range backed by high sciences has got activated, and we're seeing good amount of growth in that part of the business.
So, in summary, all relevant jobs to be done in terms of building penetration,
building relevance of the category and boosting consumption has been in play.
Inflation has played a spoilsport. Earlier, we had a peak of as we acquired the
business, as you know, we had this was a peak of COVID and post that, a very high amount of inflation as a basket overall and then our overall inflation impacting in particular HFD category milk essentially.
So those impacts have overall had a tell on the HFD growth. And you saw in this quarter, we had a value growth, but volumes were just below flat, to marginal decline. But medium to long term, we do see for this category, our
ability to build relevance t hrough market development and focus on driving
growth remains and we are very confident about that.

Let me hand over to Rohit, on the premium end and the mass segment, how do we ever play at both the end FMCG market.
Rohit Jawa : Yes. Thank you. I think this is to really simplify this. The first point to note is that we're a highly penetrated company with reach 9 out of 10 households,
multiple categories, and we are of the scale because we have over the years played the full port folio. So, from the lower to the middle to the upper price
segments.
So, if you look at if you consider that context, the second point is that we are,
therefore, two big parts of the portfolio. There's a core, which is really what

 drives our baseline. And this is all about getting the right what you call
sometimes mass , but it 's basically the one that gets us to every household, gives
us that reach in distribution in GT, but also in every home. And this is where
we got to make sure we have the right price quality equation, the right mix,
right region, which you call WiMI . And this is what drives the fundamental
baseline of the business.
This doesn't take away from the fact that as for the growth is coming from the premium end, which is about 1/3 of the business now growing faster. And here,
in fact, much of the focus of our innovations, our A&P spends, our market
development and our portfolio expansion is happening. So, we are focused on
both the e nd and drive the core usership, keep it healthy, keep the baseline
humming and drive the growth of our premium end because that's the secular
trend of the market and make the right investment in mixes, innovations,
market development and portfolio expansion.
So, I hope this answers your question on how we see these to sort of simplify
the ends of the busine

ss.
Manoj Menon: Thank you, Rohit, and thank you, Ritesh, for response. Sorry, if I may if I can push an envelope a bit. Rohit actually, the context I was trying to get from you in the call today , this is the first call. When you take a step back and go 2013
,
maybe longer in the history, HUL or Unilever in those days or HLL in those
days created, a Fair and Lovely, created a Clinic Plus , Wheel etc.
The context is that today, it appears that the strategy does not necessarily have those ingredients saying that, look, we're not going to, let's say, solve the
problems of bottom of pyramid from a brand point of view, we'll probably
solve the problem from a, let's say, pricing per unit point of view. That is my
only question about the premium versus BOP.
Rohit Jawa: Yes. So I think the what we talked about is, indeed, about
category expansion. We have , we do have the right brands like Taaza, Wheel,
Lifebuoy, LUX, Glow and Lovely, these are deeply penetrated solutions, and
you're right. We want to make sure that they keep serving the consumers in the right way, and they still have a lot of runway of growth. When it comes to category creation, the category creation is going through the underserved areas,
new benefits, and we are building brands there , TRESemme is a great example,

 excellent vibrant brand did not exist many years ago. Now it has helped us
increase our market share in the hair category to well over 50. The brand is
positioned on a new trend, it's a sal onization trend and is doing very well. And
equally, there are brands that will get stretched even for the premium for instance Lakme, to solve the beauty needs of every Indian. And there is a
segment that's emerging that Lakme will serve. So, I think our thesis of growth
continues to be at the primary level market development, category growth
because that's a story of India for the next many, many years to come. So yes, it is a part of our genetic code.

Manoj Menon: And one last thing, if I may ask a follow -up. If Rohit from your global
experience actually, when a country or a geography which you cover, moves
from, let's say, significant inflation to lesser inflation to, let's say, deflation or rather lower inflation. So how do you manage the P&L? Because these are
things whi ch are not that easy to handle.
The reason I'm asking because when I look at India in the last, let's say, 10 years. India has really not seen material inflation,

which I presume most consumer staples CEO and CFO would allow to see it because th at's where you
get operating leverage from. In the last few years, you have seen material inflation that's been a tailwind in different ways,
let's say, in a home care segment or digital segment, etc. Now it's actually reversing. So, anything from
your global experiences on handling the inflation to lesser inflation, stroke
deflation would be super helpful.
Rohit Jawa: Yes, I think there's collective knowledge and experience of the company, and
we've been through cycles in India a few times. And as Ritesh m entioned,
we've seen analogies of what have happened, of course, it might not exactly be
the same because things do change in the number of factors that play may be different.
We are, at the moment, specifically focused on driving competitive volume growth. That at one level is on the top line job. And
at the bottom line, we do have tailwind of reducing commodity costs. Some of that we are passing in higher A&P investments.
We want to keep our brands strong, penetration is

 growing

. And we do have our productivity program Symphony to drive the
savings.
So, it's really about, from a margin point of view, its about driving the levers
of pricing, mix and cost and we know that machine well. And from a top line point of view is to drive volume growth competi
tively in the quarters to come.
Thereafter, I think when price returns back to the market or in our categories, we will go back to, we hope, the organic trend of
about 2/3 volume and one-
third price but driving volume and mix in any case is absolutely the most
virtuous thing to do, which is what we focused on at this point.
Moderator : We move on to our next question from the line of Arnab Mitra from Goldman Sachs.
Arnab Mitra: My first question is your comments around the resurgence of local competition, especially in Laundry and Tea.
So given, again, your past experience, what do
you expect here? Does this mean that some of these categories could have a bit
of a subpar growth for a year as the market conditions normalize? And
therefore, the market share is normalized between local players and national
players. And also in Laundry specifically and Tea does it really affect the lower
end of your portfolio? Or does it also affect the entire price ladder, which
includes premiumization into your premium brands?
Ritesh Tiwari: Yes. Thanks. And as you called out, in this period when we have seen a very high amount of inflation and
inflation high is one element, but second important element is huge volatility. And this is a time where the business model
becomes a li ttle more tricky to manage, and that's the time we have seen
that players did vacate the market. And now as we have seen commodities moderating, we've seen more number of players
participating in the market, especially small players. The whole conversation comes on the ability to
manage such amount of variations in the business model. And we have seen
more players now participating.
One of the charts that we have put earlier that because of that, we did see in
Tea in overall Laundry that the small players are growing ahead of the large
players because there are more players participating in the market. And by and large, these conversations is in the lower
price point of the market. Now when
I look at Tea , apart from this the question we mentioned earlier, the current tier

 Tea commodity cycle led to a widening of gap between premium tea and lo ose
tea.
In nowhere else across the portfolio, we have seen downgrading happening.
The point as mentioned quite a few times earlier, we did see consumers seeking value and either uptrading or downtrading,
but we ’re not seeing downgrading
happening. In tea, given the divergence of premium tea and loo se tea, we saw
consumers downgrading. And we do have brands like T aaza, which has done
pretty good bu siness. So that's one clear job.
When it comes to overall price value equation, the interaction usually in this
part of the market is in the mass segment. There is never an interaction
between, let me say, a mass brand, let me say, mass brand and a premium
brand. That interaction doesn't exist. It's usually within the price point. And
also the fact is the cumulative inflation has been pretty significant.
The point I mentioned market price per se over a 2- year period has seen 22%

inflation in terms of price increase. So even in our hard business, we've seen
cumulative inflation of 18% NMI. So there has been a pretty high amount of inflation and hence linked pricing decision. These equations in my mind will
settle as commodities overall stabilize, the overall segments of the market, they
become normalized. And then the job that we typically have, the point we spoke earlier of price volume balancing to

a historical norm, whatever 2/3, 1/3 60-40 that keeps happening.
And also mentioned, just to complete Arnab I'm sorry, that over this 2- year
period, where we've seen the players basically vacating the market. We've seen
players coming back to the market over 2 ye ars, this inflation period, we have
grown significantly ahead of the market. And our market shares today are
higher than what they were before the inflation started kicking in materially.
Arnab Mitra: Sure. And similar to what you said about the consumer adjusting to the price,
this market share or, let's say, market forces adjustment, would you expect this also to be a 2 -3 quarter kind of phenomenon? Or this could be like a full year
reset where you had gone to a much higher level of share in the market, which
probably somewhere in looking you started and where you ended last year.
Ritesh Tiwari: Yes. So, these players coming back is more of a last couple of quarters
phenomenon as commodity started moderating. And in our m ind where

 commodity levels are today, they are by and large, they have got moderated.
Now something can go up and down, we'll see in times to come. So hence, the let me say, more players participating has got fully paid out.
Now of course, the year -on-year implication in the next few quarters. But
sequentially, in our mind, I'm saying that players have participated more, so
that has got played out.
Arnab Mitra: Sure. Understood. And my last question is on your margin side. So, as you take
up your A&P spend s, if you look back, you had this 11.5% to 12% A&P spend
for many years. All other things remaining same, should that be the broader
level of A&P spend that you need to be? To support market development,
normal market conditions over a period of time. And therefore, if there is any
expansion in EBITDA margin it would only happen if your G ross margin
expansion is higher than the level of A&P increase we tried to get to that level.
So just trying to understand that dynamic between A&P and G ross margin.
Ritesh Tiwari: Sure. To the point, I mentioned earlier that with the peak of inflation, we did
have a 600 bps impact on our G ross margin. We built that 400 bps out of that
in last 3 quarters. And a bulk part of that got invested behind A&P. Now A&P, there are al ways 2 ways we look at it. It is not the percentage turnover that
typically drives the model , investment model in this space.
We always look at the reach objective and the frequency objective to ensure that we've been able to communicate the messages of our brands to our consumers and ensure that innovations land in the marketplace. So, there's
always a, let me say, a bottom -up way in which we compute is to watch the
amount of investment that we require in a category or a brand for that matter
in the quarte r.
Second is always a competitive element where overall media heat goes up, the
point that I spoke in one of the charts that, we're almost back to 2019 levels
now where the media intensity has been. That's the second element which
determines the absolute amou nt of investment that we got to do in A&P. The
bottom -line principle still remains, S hare of V oice ahead of S hare of Market.
Now with peak inflation, the point I mentioned earlier of in our case, for
example, 18 percentage. With peak inflation, we had seen overall media

 intensity had come down as the price versus cost bleed across industry went
up. And in our case, we had lower price versus cost bleed at margin.
So, we have

seen at those levels, media intensity came down, which is starting
to come up. So, will this go from here higher media intensity? I do expect the
short -term that to further happen, which is why we did call out that if I look at

next few quarters, the priority remains - single important line of margin remains Gross margin. Idea is to keep building gross margin and invest competitively behind A&P.
EBITDA margin for the next few quarters will be an outcome. Now where we are at this point in time, 23.6 percentage even last few quarters approximately at 23.5 percentage. It's a pretty healthy ma rgin, and which is why our objective is to drive gross margin and invest in A&P. EBITDA margin will be an outcome of what evolved in terms of development of commodity hence G ross margin and what evolves in terms of A&P investment need to maintain SOV ahead of SOM. So, it will be more of an outcome of the two, but the focus will remain on driving gross margin.
Moderator : We have a next question from the line of Richard Liu from JM Financial.
Richard Liu: One thing that struck me is that your earlier comments on rural slowdown bottoming out seems to be missing from the deck this time around. And instead, you introduced a new comment on weather -related issues. Can you give a persp ective on whether there's any change in your reading of what's happening on the ground on rural? And how should we look at the progression here on. You need may be more circumspect than before on this front?
Ritesh Tiwari: Sure, sure. So rural, as you call ed out for the last few quarters that slowdown has bottomed out. And indeed, this time, in fact, we did not repeat that comment because we also spoke hard numbers as well.
Let me summarize 3 or 4 elements, Richard, in rural. First, we had seen in these last few last quarter, year , year and a half , double -digit volume decline of the rural market. And from that space, as we spoke in the latest quarter, market for rural has turned positive and say market was 2% up. Still job to be done. If I look at 2 years CA GR, rural has a 4% circa 4% volume decline, but it is definitely looking up compared to what it was.

 So there are a few elements which are helping this recovery. Where it has bottomed out and now it's on the path of recovery. And what's helping this recovery. Overall, inflation moderating and hence, overall commodity, we have given commodity linked savings we passed on, in terms of volume, in terms of price reduction. That is one thing which is helping rural recovery, number one. Number two, we are very conscious that government has maintained its heightened amount of rural expenditure. That supports overall situation of income levels in rural area. Third, the amount of capex, which government has committed last fiscal, this fiscal put together, and we have seen capex investments going up, including states spending money. And ultimately, as that happens, we know the non- farm income does get benefited in the rural area. If I look at data for the last few months' time, I do see remittances improving.

Rural wages, yet we have seen the point are on a real -term basis, are almost flattish. It has a small margin decline as we saw previous quarter. Now it's come back to almost being flat on a real basis. So, there are forces which are supporting and helping at this point in time on many fronts. The only place where we have to watch out is the impact of monsoon and weather -related risk. El Nino has come earlier, and we know that when it comes early in the season grows more in the season.
So, we have to see what impact that has. And we know that it's not on the quantity of rain, it's also where the rain distribution happens, that's eq

ually important. And, timing of the rain is equally important. So, all 3 quantity, timing and placement of the rain, all 3 have to work to ensure that the monsoon supports the overall agri growth and hence, overall rural growth.
That is one element is what we called out as part of unknown and all of us need to learn and we can watch out. We did see some fl oods in parts of the country in the last few weeks. So that is also a reality we are facing at this point in time. And this is why the only single business risk we called out is weather everything else is looking good. I've seen data on MNREGA, more enrollments, but I'm hoping and as suming that with capex spend, boosting remittances, that should help overall the non- farm income component of the

Sensitivity: Public rural economy. So yes. So that's in summary, I would say the encouraging
signs, we ather in my mind, is the only watch out.
Richard Liu: Sorry, Ritesh. Ritesh, second question, and you've alluded to this a bit already,
but let me try my luck once again on this rather massive growth in other expenses this quarter. To put it more simply, this is a line that we are used to
seeing growing low to mid- single digits. And that's why I'm finding it difficult
to see this 10% to 15% kind of growth in this line even if I were to strip out the
impact of the higher royalty. Wanted to get a flavor from you on th is step-up
in growth on this line? And what are the factors that's driving a different but a
higher level of cost growth versus what we're used to seeing in the past?
Ritesh Tiwari: The 2 lines, let me speak, Richard, I know you asked me about line. Let me
talk about 2 lines. I'll talk about line, which is other expenses, we also talk
about a line called exceptional items that we are restructuring. So let me start
with the expenses. Other expenses this quarter is very similar to what we had
in the last March quarter. In the base period I was responding to Vivek earlier,
we had a one -off in the base, which impacts the year -on-year read.
Of course, we had seen salary inflation, which we have passed on to. We have done salary increases in the system w hich was one driver of cost increase. We
have seen capability investment in the business, which has led to increase in cost. You did call out, of course, increase year -on-year on royalty and central
services. And investments behind capabilities. If I look at e ven all these
elements put together, and if you look at total expenses that we have at
Hindustan Unilever, then I compare across industry, we are still at the lower
end of the industry benchmark on other expenses.
So, we are extremely economical the way we run. We have a frugal mindset,
any cost, which is adding value to consumer gets prioritized. Everything else
we have extremely frugal mindset. We have savings program to drive cost of other expenses also down. To give you an example, look at the distribut ion
expenses, it is part of other expenses. One of the items we have spoken about
our entire job of driving less er number of kilometers of product needs to travel
before it gets out to the customer. Items like that we are driving in the system.
So, we're l ooking at our infrastructure as part of Nakshatr a over distribution
setup. If I look at overall other expenses, if I look at manufacturing expenses

Sensitivity: Public in supply chain, we called out even in the space of Horlicks which I was
responding earlier, that one of the jobs that we have, we still have more space
to go in terms of driving supply chain synergies and cost transf

ormation in area
of HFD.
Current quarter, we invested in restructuring expenses to drive better cost
structures in HFD and we have more work to be done in supply chain in HFD
to drive cost reduction. And there are other elements in the system we are
working on.
So and you will see that those expenses as time comes relevant, whereas part
of Nakshatra , we will invest restructuring expenses to ensure that we're able to
lower our supply chain manufacturing cost. Sans the procurement cost of
materials, and we will drive them down by ensuring that we spend on
restructuring as required to lower our supply chain expenses. So, you will see
some amount of movements on the se expenses overall.
But you will see always us being at a benchmark level. Across the industry,
you will see that we will operate always at the lower end of the industry in terms of overall costs that we end up having. Quarter -on-quarter, there'll be
some puts and takes as explained. But overall, is assured, tha t's a line which
has a hawk -eye attention in the organization, and we run with a frugal mindset.
A. Ravishankar: What we'll do now is take one question from the web and then we'll call it time. So, there's a question from Latika. On 3 parts to the question . One is what's the
impact that trad e destocking had in the quarter? Second, she says that you
mentioned, it takes 2 to 3 quarters for consumer behavior to change.
In some categories like Skin Cleansing, price reduction started 2 quarter s ago,

and Laundry, Shampoos , etc, perhaps it started a quarter back. So, is it reasonable to expect volume growth recovering to 6% to 8% in the second half of the fiscal? And the third one is around rural and whether our optimism on rural recovery is lower versus what it wa s a quarter ago given the weather risks.
Ritesh Tiwari: Yes. So, thanks, let me just pick up the 3 or 4 questions together. So, the trade destocking, of course, is always linked to the price change that we end up doing. We did speak about price change in the previous quarter. But even in current quarter, Latika, we have done price changes in Skin Cleansing and in Laundry . And of c ourse, the trade an overall impact of volume recovery and

 overall trade impact in pipeline, basically will be 2- 3 quarters as we finish doing all this job.
Now where commodities are today. As we saw in current quarter, we have spoken a number of small amount marginal amount of deflation effect we saw in commodity costs. And which is why in this quarter, we did do price decrease
of this new price has further landed in the market. If you look at the price growth that Nielsen , for example, has spoken, they're talking 8% price growth. That's what consumers are paying at this point in time, where we have a 4% price growth as we declared our results.
So, there's still a transition as you speak, happening in the trade, because of the latest set of price decreases t hat we did in the quarter. And that's the point I was making that we finished doing these price decreases. And assuming no further commodity up and down happens, this is the point where 2- 3 quarters it will take for overall transition to complete, where tr ade, which is destocking by 1 to 3 days time. Where they're having higher price inventories, they will liquidate that. We will then stock of lower price inventory, consumers will end up using their higher price inventory pantry stock at home. They will sta rt experiencing the lower price inventory. And with the lower price inventory, it's also the more volumes that we give it to consumer, and we want them to
consume higher volumes and then come back with repeat purchase. Now that transition of 2- 3 quarters i t is what will end up taking. The abs

olute amount of
volume growth, price, we had already clarified Latika that we see near flat stroke marginal negative price growth for the next couple of quarters if
commodities don't change materially compared to where they are.
When it comes to volume growth expectations, I think one is be mindful where markets are. The point I mentioned earlier, market grew volume at 5 percentage on the back of a 6% volume decline in same period last year. 2 -year market
CAGR is near flat. As far as HUL is concerned, we grew our volume by 3% this quarter on the back of 6% growth last year's same quarter. So, we had a 2 - year CAGR of 5 percentage.
I think hence, if I look at next few quarters, the point of transition, I mentioned, we will have to see volume recovery and consumers habit coming back in terms of more consumption and market growth will, of course, will end up driving the amount of volume growth we are able to do on the base that we have against

 the market base. Once you add those two ele ments, you will see how things play out. Now coming to rural, yes , compared to earlier, I did mention that the slowdown has bottomed out. It's on the path of recovery, all right signs in terms of macro level. And the only element which is unknown, and we'l l know in the next few months' time, how that plays out is weather.
And that's the reason we called out that unknown element. That's the element which we got to wait and watch. But if I take that element out, there are many factors which are helping in our mind, a rural recovery and which is why we
did mention that we are optimistic sans the weather concern s.
So that's how I'll summarize Latika. Sorry, we will not be able to guide you to a precise number of volume growth in the next few quarters, but I hope that the narrative helped you to gauge where our minds are at this point in time, the way we see this panning out.

A. Ravishankar: Thank you, Ritesh. With that, we will come to an end of the Q&A session.
Before we end, let me remind you that the playback of this event will be
available on our website in a short while from now. Thank you, everyone, for
your participation, and wish you a great evening. Thank you.
Moderator : Thank you. On behalf of Hindustan Unilever Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This transcript has been edited to remove any grammatical inaccuracies or incons istencies of English language that might have occurred inadvertently while speaking.

Call: Oct 2023

26th October , 2023
S
tock Code BSE: 500696
NSE: HINDUNILVR
ISIN: INE030A01027
Dear Sir/Madam,
Sub: Transcript of the Earnings Call for the quarter ended 30th September, 2023
This is further to our letter dated 19 th October , 2023, whereby the Company had submitted the link to the audio/video recording of the Earnings Call held post announcement of Financial Results for the quarter and half year e nded 30th S eptember, 2023.
Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the Transcript of the said earnings call, for your information and records.
The transcript of t he earnings c all is also available on t he Company's w ebsite a t https://www.hul.co.in/investor- relations/results- presentations/quarterly -results/september-quarter-2023- results/ .
Please take the above information on re cord.
Thanking Y ou.
Yours f aithfully,
For H industan U nilever L imited
Dev Bajpai
Executive D irector, L egal & Corporate A ffairs
and Company Se cretary
DIN:00050516 / F CS N o: F3354 BSE Limited,
Corporate Relationship Department,
2nd Floor, New Trading Wing,
Rotunda Building, P.J. Towers,
Dalal Street,
Mumbai – 400 001 National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra – Kurla Complex,
Bandra (E),
Mumbai – 400 051

"September Quarter 2023
Earnings Call of
Hindustan Unilever Limited"

October 19, 202 3

Speakers:
Mr. Rohit Jawa, Chief Executive Officer and Managing Director
Mr. Ritesh Tiwari, CFO and Executive Director, Finance and IT
Mr. A Ravishankar, Group Finance Controller and Head of Investor Relations

Sensitivity: Public Moderator: Ladies and gentlemen, good day and welcome to Hindustan Unilever Limited
Conference C all for the R esults for September Q uarter E nded 30th September
2023.
As a reminder, all participant lines will be in the listen only mode, and there
will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call , please signal an
operator by pressing "*" then "0" on your touch tone phone. Please note that
this conference is being recorded.
I now hand the conference over to Mr. Ravis hankar , Group Controller and
Head of I nvestor R elations. Thank you a nd over to you sir .
A. Ravishankar: Thank you, Neerav. Good evening all and welcome to the Conference Call of
Hindustan Unilever Limited. This evening, we will be covering the r esults for
the quarter and half-year ended 30th September 2023. On the call with me is
Rohit Jawa , our CEO and Managing Director and Ritesh Tiwari , our CFO.
We'll start the presentation with Rohit sharing an overview of the operating
environment, our performance in the quarter and our key focus areas. Ritesh
will then cover our financial results in more detail and also share the near -term
outlook. We expect the prepared remarks to take about 20 to 25 minutes, and
leaving us with ample time for Q &A.
Before we get started with the presentation, I would like to draw your attention
to the S afe Harbor statement included in the presentation for good order sake.
With that , over to you Rohit.
Rohit Jawa: Thanks Ravi. Good evening, everyone. It 's a pleasure to interact with all of
you.
Let me first start before I begin the presentation to share a milestone that you
have crossed recently. We completed 90 years of corporate existence on 17
th
October . This is a testament to the strength of our business, dedication of our
people, unwavering support of all our stakeholders, and a long- held belief that
'What is good for India is good for HUL '. It is indeed a proud moment for us
to share with you.

Sensitivity: Public Starting now, with an overview of the operating environment. The demand
trends in this quarter remain ed stable and were similar to last quarter. M arket
volumes grew in high single digits year -on-year. However, we need to be
mindful that this came on a base period where volumes declined mid- single
digits and hence, cumulatively two year s market volumes remain ed largely flat .
Urban and within that modern trade and large packs are leading growth for the
FMCG market. On the other hand, rural demand remained subdued, with volumes continuing to decline marginally on a two -year basis. Price growth in
the market is tailing off as expected with FMCG players continuing to pass on
the benefit of lower input cost s to consumer s. This is reflected in a sequential
reduction in market price growth with September quarter at 3% versus 8% in
June quarter. Consumer s are yet to experience deflation which largely explain s
why the volume recovery is gradual. The other lens to look at is price growth
over a three -year period which as you can see is a substantial 25% increase.
FMCG market continues to witness height ened competitive intensity. As we
spoke during June quarter results, we are seeing the resurgence of small and
regional players in select categories and price- points, many of whom ha d
vacated the market during the peak of inflation. For instance, when you look
at Tea or D etergent bars, smaller players are growing significantly ahead of
large players .
We are also seeing a sharp increase in the media intensity . Aggregate media
deployment in our category increased by over 20% versus the same period last
year.
In this chal

lenging backdrop, we deliver ed a resilient performance in the
quarter . We have scaled a new milestone by crossing Rs.15,000 crores
quarterly turnover mark for the first time .
Our Underlying Sales Growth was 4% with the U nderlying Volume Growth of
about 2.5%.
EBITDA margin at 24.6% improved 1 30 basis points year-on-year. Profit after
tax before exceptional items and EPS grew 12% and 4% respectively.

Sensitivity: Public Talking about market share performance - our growth was competitive with about 60% of our business winning value shares. We continue to win volume shares in more than 75% of the busines s, which is an important mark er as we move from price lead growth to a volume lead growth.
There are certain pockets of our portfolio primarily in the mass end, where we have seen a dip in our value market shares. However, on a sustained basis we have been winning shares in large parts of our business leading to significant corporate share gains over the last two years .
Speaking about progress made on some of our key sustainability initiatives :
As a part of our sustainability goals that we had announced last year we have Net zero goals, which aim to achieve zero emission in our operations by 2030
and across the value chain by 2039. We have been decarbonizing our own operations driven by the rapid adoption of clean energy in our factories . Nearly 100% of our electricity is from renewable sources and we have replaced fossil fuels with biofuels for thermal energy.
However, large part of emissions comes from outside o f our operations through ingredients purchased from our suppliers. More than half of our scope three emissions is actually in the Home Care business value chain .
With an aim to mobilize actions to achieve net zero , we hosted more than 100 representatives from our Home Care supplies across the world in our first Clean Future India Summit. As part of the Summit, we announced two major initiatives :
1. “World’s First Near Zero Carbon Soda Ash” in partnership with Tuticorin Alkali Chemicals & Fertilizers Limited .
2. The scale- up of low carbon sodium silicate in partnership with Sudarshan Silicate Private Limited.
Talking about another initiative , you must be aware of our Shakti program. We work with over 1.9 lakh women entrepreneurs to transform the ir lives and livelihoods. A couple of weeks back I visited Kanjatapur, a village in South Bengal where I met Paromita . She is one of our Shakti entrepreneurs. She has

Sensitivity: Public been associated with us for over 12 years, I was delighted to hear her proudly narrate her passion with sales, financial independence and being able to provide for her family. She ’s an influencer in her own right . She also spoke about amplifying HUL ’s nutrition awareness project which we call ‘ Mera Poshan Mera Gaon ’ - a reminder that she doesn’ t just sell H UL product s in the hinterland, but she also serves as a beacon of social change and entrepreneurship in her community.
Shakti entrepreneurs are up skilling and becoming digitally savvy and restocking their products using our e-B2B app, Shikhar . We have now onboarded over one lakh Shakti entrepreneurs on the Shikhar app. Shakti continues to grow from strength to strength and is indeed a testament to our belief of doing well by doing good.
As you are also aware, w e were the first FMCG company which partnered with ONDC when we went live with U -Shop a year back . We are further extending our partnership with ONDC by leveraging Shikhar with an intent to democratize e- commerce for small retailers.
With the help of an integrated module in Shikhar called the Shikhar Seller app, neighbourhood kiran a stores can now

go on live on ONDC seamlessly and sell the entire catalo gue of products online.
This is now live in two cities, New Delhi and Bengaluru, covering about 60 outlets as a pilot and we will be further scaling it based on retailer feedback.
Let me shift focus from the ‘ here and now ’ to the longer term . I’m a big believer in the India story and opportunity. We are the fifth largest economy with the GDP worth $3 trillion , growing at a fast pace and well poised to become the third largest in the few years. The demographics also stack in our favor - 20% of the world ’s working population , over a billion reside in India . 10 million get added every year to the workforce , giving us a huge demographic dividend.
India is leading the D igital revolution. The India Stack is one -of-its-kind digital scalable public infrastructures, based on identity , payments and consent -based

 data sharing. Just to give you the magnitude, we have more than 130 c rore Aadhaar card holders . In the years to come , application based on the digital infrastructure , such as ONDC for digital commerce , ULIP for logistics, Ayushman Bharat for electronic health records amongst others , will spur innovations and new growth . While in several other more developed nations , digitalization is a privilege , in India digitization has been democratized to reach even the grass root levels, with the initiatives such as Aadhaar, Jan Dhan Yojana and U nified payment interface .

All these factors augur very well for our FMCG industry and offers a huge runway for growth. India 's per capita FMCG consumption when compared to other similar economies is significantly low and within that rural is highly under indexed. Penetration levels for many of our large categories are still very low. Premiumization is bound to accelerate as India becomes more affluent and more urban. The more affluent population is expected to double by 2027, naturally their per capita FMCG consumption is much higher at about 1.5 to 2 times compared to national average.

In this context, w e are well placed to win. A s Indian's largest FMCG company we are well placed to lead this growth opportunity. Each of our three divisions by itself will be larger in size than most FMCG companies in the country.

9 out of 10 households in India use one of our products. We are proudly the market leader in more than 85% of our business. We have a wide and a resilient portfolio of 50+ brands of which 19 brands clock more than a Rs. 1000 crore turnover annually.

We have reach ed about 3 million outlets directly of which 2.3 million outlets are covered through our distribut or network and the remaining by our Shakti entrepreneurs in the rural hinterlands.

While our supply chain one of the most complex it also gives us significant competitive edge. To give you the perspective, we manufacture and sell more than 65 billion units every year, which is about 45 units per Indian. That 's the scale of our supply chain.

 We continue to be the employer of choice for many years in a row and now if you look at our track record in the last decade , we've added 33,000 crores top line to our turnover growing at a CAGR of 9% , well balance d between volume and price growth. We have improved our EBITDA margin by over 800 basis points from 15% to 23% and a large part of this has come from our culture of saving and by driving premiumization . Our net profit in the last decade grew at 10% CAGR.

Clearly we have a very strong business model, and our track record is reflective of that.

That brings me to the key thrusts . Let me now outline the key thrusts that will enable us to continue winning in

the marketplace . Our core belief of 'What is good for India is good for HUL' and the integrated approach to sustainability remains unchanged. A lot of what we have already been doing has strengthened our business and we 'll continue to build on it while adapting to the changing consumer trends and shopping behaviors .

Our first thrust is to grow the core, which includes the 1 9 large brands through product superiority and WiMI led execution.

Second, we 've spoken about the opportunity to build categories of the future through market development. We will do this through persua sive communications , large scale consumer contact programs, driv ing mental and physical reach . Innovations and formats of the future will propel premiumization .

Third, w e have the job to continue transforming parts of our portfolio to the on-trend demand spaces especially in beauty and f oods .

Fourth, Winning in Channel s of the future through brilliant execution, and curating a tailored portfolio by leveraging our design to channel approach remains an important thrust.

We will also need to structurally reset our cost base which will help generate
fuel to invest back in growing the business. To this end, we ’ll continue

 leveraging our Net Revenue Management and symphony programs to drive savings across all lines of the P&L.

We will further sharpen our distinctive capabilities by :
1. Doubling down on WiMI and digital .
2. Deeply embedding sustainability in our business .
3. Building a culture of innovation, agility and intelligence risk taking through empower ed teams operating with an owner’s mindset.

These are the summary, our focus areas for now, as we evolve and sharpen our strategy for the next phase. I look forward to sharing more details in due course.
Now, let me hand over to Ritesh to cover our results in detail .
Ritesh Tiwari: Thank you, Rohit . And good evening, everyone. Let me now take you through our quarter results in detail .
Rohit covered the overall FMCG market context, which remains challenging.
In this backdrop, we have delivered another quarter of resilient performance. Our Underlying Sales Growth was 4% with an U nderlying Volume Growth of
2%. Talking about our bottomline performance , EBITDA margin at 24.6%, improved 130 bps year-on-year. P rofit after tax before exceptional items a t Rs. 2668 crore w as up 12% . Net profit at Rs. 2717 crores increased 4% year - on-year.
The quarter numbers include the benefit of a one- off credit that we receive d due to favorable resolution of an indirect tax litigation. This slide explains the impact of this credit.
Excluding the one -off, our Underlying Sales Growth would have been 3% with Underlying Price Growth being flat . PAT bei growth would have been 7% with net profit declining marginally year-on-year.
From a segment perspective, the benefit is entirely in Beauty and Personal Care .

 Talking about our margin performance . Our gross margin improved 700 bps year-on-year to 52% a nd is back to pre -inflationary levels.
With the increase in competitive intensity, we have stepped up A &P investments by about 700 c rore year-on-year to ensure our S hare of V oice remains ahead of our S hare of M arket. This is a 420 bps increase versus September quarter 22. We will continue to invest behind our brands to protect our competitive position and ensure the long- term health of our business.
Let us now look at performance across the three segments: Home Care grew 3%, both Beauty and Personal Care and Foods and Refreshment grew 4% .
Margins in all three segments remain healthy with Home Care at 19%, BPC at 27% and F &R

at 19%.
When it comes to Underlying Volume Growth, the divergence between segments that we saw in June Q uarter continued. Both Home Care and BPC delivered mid -single digit U VG, while F &R saw a mid-single digit decline primarily due to sustained input cost inflation in coffee and HFD categories.
I will now click down to talk about performance in each segment.
Starting with innovations in Home Care:
• Comfort expanded its range with Intense Fabric conditioners created specifically for sportswear.
• A new range of Vim Dishwashing Liquids ‘Vim Pure ’ was launched. It is a superior 100% plant based , paraben and phosphate free formulation.
• Leveraging WiMI , Vim liquid was re -launched with an improved formulation to suit the varying needs of consumers.
Moving on to Home Care performance in the quarter, the business grew 3% on a high base of 34% in SQ 22. Volumes grew in mid- single digit led by strong performance in both Fabric Wash and Household Care .

 Our premium portfolio in Fabric Wash continue d to outperform with both Surf and Comfort growing volumes in double digits. Household C are delivered high single digit volume growth led by D ishwash .
We have taken further price reductions in both Fabric Wash and Household Care to pass on the benefits of lower input costs. A &P investments ha ve been stepped -up to protect our competitive position.
Now talking about Beauty and Personal Care . This has been a busy quarter for our BPC team with the launch of several innovations. These actions reflect the key thrusts which Rohit spoke about earlier.
We are transforming our Skin Care portfolio through innovations in evolving and on- trend demand spaces. P ond's has extended its moisturizer range to build a hydration regime which includes a c leanser, gel moisturizer , night gel and a serum .
Building on its strong a yurvedic credentials , Indulekha has launched a new anti-dandruff Hair Oil and Shampoo.
Vaseline has introduced a new range of premium moisturizers for rich sensorial experience.
Lakme has introduced new 'glitterati collection ' for the upcoming festival and wedding season. Lakme also launched Eyeconic Pro brush l iner in pen format.
Moving on to our performance in Beauty and Personal Care, we delivered a volume led mid -single digit growth.
Skin Cleansing grew volumes in low single digit with both Lux and Hamam continuing to outperform. Bodywash continues to scale up well .
Hair Care saw a high single digit growth led by Clinic Plus, Sunsilk and Indulekha. Future formats such as serums and masks continue to do well.
Skin Care and Color Cosmetics grew in double -digit with robust performance in Vaseline and Ponds . Our focus ed interventions in new demand spaces such

 as hydration, sun protect and in channels of the future including e -commerce is helping us drive growth.
Oral Care deliver ed mid -single digit growth led by Close Up.
Now talking about innovations and activations in F &R. Let me start with the bottom half of the chart -what you see is an innovative billboard by Taj Mahal Tea. It uses raindrops that fall on the billboard to generate Indian classical music. It has won us a Guinness W orld record for being the world' s largest environmentally active billboard.
We have launched an exclusive range of artisinal Ice Cream s called Slow Churn ice -cream s. It is made with 100% fresh cream and real fruit s and it 's available in the E-commerce channel. I would strongly recommend you to try it, my favorite is Guava .
We have extended our H orlicks Plus range with two new variants Strength Plus for adults and Growth Plus for children

in selected geographies and channels.
Horlicks "Barsat pe bharosa" campaign is focused on higher immunity benefits.
Lipton G reen T ea was re -launched in the quarter with a better tasting blend.
Talking about performance in the quarter F&R is seeing divergent input cost trends when compared to Home Care or BPC. We continue to see inflation in this business and have therefore taken judicious price increases to offset the impact of inflation.
Tea saw moderate growth as the category continue d to witness consumer downgrading. C offee delivered double digit growth driven by pricing.
Health Food Drinks delivered a mid- single digit price led growth. I 'll spend some more time on HFD performance in the subsequent slide.
Food and Ice Cream , both grew in mid- single digit on a high base. Mayonnaise as well as Peanut Butter continues to see strong consumer traction and Food Solutions remain resilient with double digit growth momentum.

 Now in this chart, let me cover HF D performance in a bit more detail. It has been a little over three years since we acquired the business. HFD is an under -penetrated category. Hence, our focus has been on recruiting new

consumers into the category . Through access packs, focus ed communication, increased distribution cove rage and doubling down on home -to-home connect s, we have been able to handsomely grow penetration in this category which was relatively stagnant for many years prior to the acquisition. We also further strengthened our market share in the category.
While recruitment of new consumers into the category has been healthy , consumption across existing users has declined over last few years. The category was initially impacted by COVID a nd recently by high inflation
especially that of milk. High milk prices create a double whammy impact for HFD - not only it is an ingredient in the production of HFD, but typically the product is consumed with milk. Hence the end -cup cost of Horlicks and Boost saw a significant increase in past few quarters.
Let me also cover in some detail what is happening on cost synergies and margin. As far as margins are concerned, we have seen two impacts - one is the inflation that I spoke about . Secondly, due to the planned strategic interventions of access pack and sachets, we have had adverse mix.
When it comes to cost synergies, we have unlocked most of the plan ned synergies with some more expected to come from manufacturing efficiencies over the next two to three years. These synergies have provided us the fuel for growth to invest in growing the business and count ering the impact of inflation.
Consequently, the EBITDA margin for the business remains ahead of what it was at the time of acquisition, despite the significant inflationary cost.
Now, I would like to use this opportunity to clarify a question which comes up in some of our discussion. You would recall that we had mentioned an underlying EBITDA of 31% for the business at the time of acquisition. I would like to remind you that this number includes the benefit of Consignment Selling Arrangement for the O TC products of Haleon , which we had announced
 earlier , ends effective November 23. The income from this business was more than 300 crores in the last fiscal .
With that being the context , our single -minded focus on market development remains unchanged. We want to bring in more users into the category while creating more occasions for consumption and premiumizing our portfolio.
We are driving three main actions to achieve this –
1. We have sharpened our pr oposition to focus on outcome -based claims and owning occasions like monsoons.
2. Stren

gthening our science back ed credentials to recruit new user s and at the same time premium izing our portfolio. For instance, our plus range focus es on specialized nutrition requirements to address various lifestyle stages and condition s.
3. And third, expanding our portfolio to new demand spaces like Mother P lus or the new millet -based chocolate Horlicks to future proof the portfolio.

We remain confident about the long- term prospects of the category and in our ability to unlock volume lead growth through market development. Of course, as we have said before, market development takes time and one needs to stay the course for long term value creation.
Moving on, let me quickly summarize our performance for this quarter . Let me reiterate what Rohit said. We are delighted that we have crossed the 15,000 crore quarterly turnover mark for the first time. This is truly a testament to the strength of brands and ex ecution prowess of Hindustan Unilever.
I have already taken you through most of the lines, but here let me explain the movement from 9% EBIT growth to 4% Net profit growth in next slide.
Net finance income has benefited from better treasury yields, higher cash balance and dividend received from subsidiaries.
When it comes to the tax line, there are two impacts. As we have mentioned earlier , we expect regular ETR for the year to be about 26.5% versus 26% that we had in the last fiscal. This ha d an adverse 1% impact on net profit growth.
 Further, we had substantial gains from prior period tax adjustments in SQ 22 as many past year assessments were concluded . Since we are lapping this, we have an adverse impact of 9% on net profit for the quarter.

Lastly, net exceptional cost was marginally lower year -on-year, giving a 1% benefit.
Hopefully this helps you to better understand the movement between profit lines.
Moving on to our first half performance . Our turnover just shy of 30,000 crore mark grew 5% year -on-year, EBITDA margin at 24.1% increased 90 bps, PAT bei and Net Profit grew 11% and 6% respectively.
Considering our resilient performance in the first half of the year, the B oard of Directors have declared an interim dividend of Rs. 18 per share for the year ended 31st of March 2024 . This is a 6% increase compared to the interim dividend of last fiscal year.
Let me now turn to Outlook:
Looking ahead in the near term, we remain cautiously optimistic . Moderating inflation and upcoming festive season should improve consumer sentiment. At the same time, we need to be watchful of heightened competitive intensity , volatile global commodity prices as well as the impact of uneven monsoon on crop output and reservoir levels.
Overall, we expect volume recovery to remain gradual .
If commodity prices remain where they are, we expect our price growth to be marginally negative. Our focus remains on driving competitive volume growth, stepping up investments behind our brands and maintaining EBITDA margin in a healthy range.
We will continue to manage our business with agility and take actions to ensure long term 4G growth, growth which is consistent, competitive, profitable and responsible.

 With this, we conclude our prepared remarks and will now hand back to Ravi to commence the Q &A session.
A. Ravishankar: Thank you Rohit and thank you Ritesh . With this, we will now move to the Q&A session. We request you to kindly restrict the number of questions to a maximum of two at a point in time, in case you have any further questions, feel free to join the queue again. In addition to audio, our participants do have an option to pos t the questions through the web o

ption on your screen, we will take these questions just before we end . With that, I ’ll hand the call back to Neerav to manage the Q&A session for us. Over to you Neer av.
Moderator: Thank you very much. We will now begin the question- and-answer session. The first question is from the line of Abneesh Roy from Nuvama. Please go ahead.
Abneesh Roy: Thanks for the opportunity. My first question is on Skin Care and Color Cosmetics. So , you have seen double digit growth, which is a good achievement, even Nykaa saw 20% growth in B2C business in Q2. So, my question is, is this growth sustainable a nd how is rural demand in Skin Care given general rural slowdown , is that impacting your double -digit growth in a big way. And second is you briefly alluded to the focused intervention in the new demand cases, could you elaborate that more because currently I understand those will be smaller pieces of your overall Skin Care business. So, is that impacting overall growth in a big way?
Rohit Jawa: Thank you for the question, if I understand you well, you spoke to the Beauty growth or Skin Care , I could n’t hear that very well. The first part ?
Abneesh Roy: Yes, Skin Care and Color Cosmetics double digit growth.
Rohit Jawa: We feel very excited with this category because we have a s et of great brands, master brands that can stretch across formats, such as Lakme, P onds, to name a few , Indulekha which is another rising star and Dove and of course Glow & Lovely. We have a high relative market share, so we feel confident , we understand the consumer. We have brands stretching across the price pyramid , and we have extended all our brands now into new growth spaces and into new

 formats, such as s un care for instance, even new format like serums for argument’s sake. So, we have been mapping the market, we also have already seeded and seen some promise in brands such as S imple, which is mainly a face wash b rand, but has a full portfolio. So, we are also there for innovating quite aggressively. In this market , you spoke of Nykaa, Nykaa of course , we are going faster than this number in that platform. And Lakme is one of the top three brands , in that platform if I 'm not wrong. So, we feel very excited about this category , this category has a virtuously strong growth rate, higher profit profile, where we have both the technology, R&D and brand assets. So, in some substance this is a very exciting space, and you should see more and more of our effort going in this direction. We spoke to the high growth demand spaces , there are two parts of the market. Of course, we have high growth demand spaces, frankly in all categories that we play in because we are in India, which is a great market to be in where this promise of great future because the per capita consumption are so low compared to other markets. And each and every category we pl ay in, in a broad state of categories we know are going to go through their S curves. We've shown we can play our S curve for instance i n Home Care with liquids that we have done with Fabric Conditioner . Similarly, we see S curve opportunity in new demand spaces. But we are particularly excited about new demand spaces in Beauty and in Foods, Packaged Foods where there 's a lot more new benefits and new consumer habits and new ways of shopping such as through digital E -commerce that are beginning to take place. So, I'm hoping this gives you a pretty good flavor of how we are thinking about this entire space .

Abneesh Roy: Thanks Rohit , that was useful. And on a question on rural demand in that part of the business that was slow in the earlier quarters, and generally rural is slow in most FMCG. So, how are you seeing in this part of the business in rural ?

Rohit Jawa: Maybe I

ask Ritesh to join in, he has really been studying the rural, the trends and patterns and he will probably give you a much more richer answer. Ritesh.

Ritesh Tiwari: So, Abneesh , let me pick up the rural question. See overall, if I just start with the number, rural in this quarter, I 'm just talking volume growth because price growth overall in FMCG has come down from the peak of 14% as an industry to 3% in this quarter. And the expectation, of course is that we further get

moderated going forward, given the pricing actions that all the players are doing. But for a minute let me just focus on volume growth of rural. So, rural volumes grew at 8% this quarter as market and in FMCG and same period last year we know that overall market ha d declined. So, when rural markets grew at 8% this quarter , the market had declined by 6% same period last year. So, overall, when you look at the total market it has grown at 1% over two-year CAGR. If I double click within th at rural, rural for this quarter grew at 7% , but on a back of 9% decline same period last year, which means on a two year period, two year CAGR average , rural has still not fully recovered the volume that it had before i t's in minus 1%, but the good news is the minus 1% 2Y CAGR now is better than what we saw minus 4% CAGR in the previous quarter, June quarter. So, we have seen gradual recovery coming, albeit on a soft base. Now, of course, the single biggest factor which is supporting rural recovery is inflation moderating, it leads to more disposable income and hence more amount of expenditure gets incurred in FMCG for that matter . Real rural wages, we all know that overall, the wage inflation has always been higher for the last many quarters now in urban compared to rural. But we also have seen that real rural wages have now started to get into some positive territory which again in my mind is good news. Government ha d continued its thrust on rural , so the heightened amount of expenditure in rural and investment for last few years it has been maintained and on top of that, we know also that after agriculture, the second most important area where rural people get jobs is construction and hence the entire CAPEX getting tied up that should start showing more impact in rural. Now of course, there are watch outs, we know that overall job participation is increasing. And you also saw the M GNREGA demand. In fact, the M GNREGA demand is higher in 2019. And equally monsoon has been uneven against a long period average there 's a 6% deficit on monsoon and also the reservoir levels as we are exiting the monsoon season. So, that will have some amount of knock- on impact as the Kharif crop gets harvested and as we get sold. So, overall, if I summarize, we are cautiously optimistic, and we expect demand to continue to recover gradually. So, that 's our overall read on rural .

Rohit Jawa: Glow & Lovely which is our biggest rural brand is also showing better outcomes recently, which is also very encouraging.

 Abneesh Roy: So, thanks. My second and last question is on the resurgence of small players slide which you have put and that has two sub parts, first is on T ea. Now, T ea has not seen too much of deflation a nd normally local players come back when there 's a sharp deflation. So, when you have said that local players are growing 1.4x of the two pan India players, what is driving this because when I see 5% decline in your F &R business, the sense I 'm getting is your T ea business would have seen a sharper decline. So, correct me if I 'm wrong there. And second for the national Tea consumers, generally they are far more sticky so y

our
customer will be sticky he may downgrade within your brands. But does it happen that there will be almost 7% - 8% kind of a decline in your tea volume?
He goes out of your brands, and he goes to regional brands and what 's driving that?
Ritesh Tiwari : Yes, so let me kick off, and then Rohit, I will hand it over to you. So, overall, it's a good area spend some time Abneesh . And again, it 's not only what happened in this quarter, just important to see the last four to six quarter what has happened to Tea. So, Tea all of us know had significant inflation and followed by that price s started coming down. And in fact , a point in time the commodity year-on-year is also declin ing. In this period, what has happened second factor apart from commodity volatility is also decoupling of loose tea which is basically Plainer Tea the commodity and the Premium Tea . The Plainer Tea had seen more amount of price moderation because of a better crop compared to Premium Tea , again I'm talking commodity which ha d seen a little more inflation compared to the Plainer Tea . So, in effect what has happened, the price table between a Plainer Tea and Premium Tea has widened , when this widens so Plainer Tea which is what by and large the loose tea players end up using and Premium Tea will have over index consumption into our tea basket, you have seen some amount of divergence and decoupling of the commodity trend. Now, in the overall context of inflation to start with not only tea, I'm saying overall inflation , the point is in last three years in FMCG ,
consumers have seen 25% inflation in the last three years. So, that has had an impact where T ea was the first category where we saw consumers downgrading, downgrading more towards loose tea and hence smaller players. Within our own portfolio exactly to your point, we 've seen more amount of ,let me say, traction to Taaza as compared to premium tea 's. But the market overall
 has also moved towards loose tea and downgrading, that has had an impact. That's one , second of course question was overall F &R. And of course, if I look at our business that we have , two third businesses sits between H FD and Tea and both in H FD as well, the point that we mentioned earlier, we have seen dairy inflation, which is why our growth in HF D is price led and we have seen volume decline , because of high amount of prices and hence we had to increase our prices, though judiciously.
Similarly for coffee . Coffee has seen 60 % to 70% price inflation; I'm saying commodity inflation over the last two years. Again, because of that the growth that we have in coffee is a price led growth with of course volumes have got impacted on consumption because of the impact of high inflation. So, if you look at F&R portfolio, be Tea downgrading, be it HFD price increase, or be for that matter C offee these are the reasons why volumes in F&R overall have got impacted .
Abneesh Roy: Sure. My second sub part and this is my last question. So, essentially on detergent bar, you have mentioned resurgence the issue is you have given a very star k data , 6Y versus Y it looks like a very stark data. So, could you give some real absolute numbers to have a better understanding and detergent powder mass end, there also you are seeing local players grow much faster, just like detergent bars?
Rohit Jawa: Yes, so the point of this that we quoted , we used two examples a nd of course there are parts of the portfolio especially at mass end, at those price points in certain geographies is what we have seen is behavior and which of course two examples we quoted out of that which is detergent bar and tea and in these spaces as commodity soften we have seen resurgence of many small players,

and which is why at an agg

regate market level these players have grown ahead
of the large players. And of course, as you know we are market leaders in these categories. So, as this development happens, it has impacted to us in pockets
where our market share is limited . Something very similar we had also captured
in our last quarter's narrative. And we 've seen that consistently playing out.
Now, of course this reality is, probably if I just go back to a little more longer
history, 2007 - 2008, when we saw this happening for Skin Cleansing, 2012 -
13 happening for Laundry, 13 - 14 happening for T ea. In each of these periods

Sensitivity: Public we have seen this behavior where when commodity price goes up, after that it
comes down volume recovery takes some time to happen. And we do have seen this behavior where we see small players
who basically vacate the market when commodity is extremely vola tile, and they start participating in the market
when commodity becomes benign. And after some point in time, like
everything else in life. These are cyclical in nature in terms of commodities
and as price table stabilizes the market equilibrium gets estab lished.
Moderator: Thank you. Next question is from line of Vivek M from Jefferies India . Please
go ahead.
Vivek M: Good evening team. I have two questions. So, my first question is on the slide
on the market share. So, where you have mentioned, let 's say 60% of the
portfolio is winning value share, whereas over 75% is winning volume share
with all that you have explained, I 'm still not able to understand why would
that be the case so, I would have thought that value share would have been,
portfolio gaining value share will have been higher than volume share given
that there is a competition at the bottom and so on and so forth , why do you
think there is this disconnect between the two?
Ritesh Tiwari: Okay, let me pick it up this question Vivek . So, very similar what I just
mentioned with softening input cost , small players growing at mass and faster
than the larger player and remember as Hindustan Unilever we are over
indexed on premium portfolio. And hence, when the mass end of the market
becomes larger because in certain pockets like this with growth, it leads to
value volume disconnect in short term as we are transitioning this inflationary
period. And I quoted example , Vivek , of Tea, Loose Tea take Taaza and take
Premium Tea. A s the market is overall downgrading in our case as well Ta aza
for example, which again is a lower end of the price will see more better growth
compared to let me say Premium Tea. So, hence overall when we look at
portfolio which is over indexed on premium compared to industry, and if m ass
is growing with higher weight age, this is the volume -value disconnect which
you get in short period. If you look at the volume share , more than 75%
portfolio is gaining volume share and these are the pockets where you see the
volume -value disconnect leading to about 60% value share gain, but this is
basically the volume -value disconnect in short period as market tables of

Sensitivity: Public pricing are getting stabilized a nd as this demand curves are getting into
transition and getting stabilized.
Vivek M: Okay. So, just to get it right Ritesh, when there is a, let say , the mid and the
bottom which is growing faster s o you are saying while that is happening you
are still gaining market share but it is just the value ?
Ritesh Tiwari: Overall value gets impacted , typically as Hindustan Unilever we called it many
times out. For us mix, remember our UVG measure is volume and mix , mix is
usually a factor which is accretive, in these times where the mix changes little
bit in categori

es like example I quoted on detergent bar , example I am quoting
of Tea, when down gradation happens I am saying , overall value per tonne
which industry sell comes down and which is a mix impact you end up seeing
and which is why we end up seeing a volume -value disconnect.
Vivek M: Okay , sure . The second question is for Rohit , so this is the first conference call
where you are addressing , and HUL is by far always considered to be gold
standard. But what are the areas so we know all the positives, but Rohit what
are the key focus areas from a near to medium term perspective that you are
thinking about at this point of time?

Rohit Jawa: Hi, Vivek e xcellent question, and I am only thinking about HUL day and night for some time now. And, first ly what I am really impressed, and I have said this before in the last, in other interactions that we fundamentally have very, very robust business. And I talked about in my presentation, the reason why I feel inspired and excited to be a part of this business today for its deep strength . When I look closely at even our operational health, and all indicators, in the moment I see that we have very high, large part of our portfolio is growing penetration which is a good sign, we have our product quality being superior than competitive bench marks more like 60% in blind which is very good of turnover, we have increasing assortment, our distributor strength is strong in holding, we in fact doing very well in some parts of rural areas like Shakti , where we are seeing sustained growth. We also have strong brands, and a large majority of brands are growing brand power, there are of course a few fixes to be done. So, on the whole, the portfolio is strong. That said, when you look at the, my most important emphasis is going forward and I tried to cover that in

 what I call the key thrust chart, that there are parts of our strategy that must be continued because they are appropriate for the opportunity you are seeing . As I mentioned to you that the Indian market is at a point of inflection, I feel it 's like 10 , 15 years behind China, where I worked for some years, similar trends although of course they are not exactly the same. Whether it 's the big growth in affluence that one can see already in high er income households sort of doubling every five years, or you see the opportunity of the digital and the hard infrastructure that' s creating for consumers to access brands both, a way how they consume the brand messages and buy the brands. And also, of course the way brands are built is changing as well because social for instance has become a big deal in India already. Whether it 's rural or urban, because of the deep access for instance cell phones and YouTube and platforms such as those. There 's of course fragmentation one can see in channels, but also in benefit segments. And ye t, there 's every category we are in is going to go through an S curve or is going through an S curve of growth. And I 'm particularly excited with taking the s trength s we have forward and then we are evolving some more to be ready for the future. So, as I mentioned to you my priority in the moment and we will sharpen them as we go along and at some stage in a few months I would like to give you more deep color what it means for us, and what changes it means for us, but for sure, the first thing is to drive and forward the st rategy that's working and shape it for the future. So, as I mentioned to you, for me very crystal clear that our big 19 or 20 brands worth of thousand crores will have to be the first engine of growth and our strength in making sure the y are superior in execution end -to-end across our 16 clusters of W inning in Many India's is the first discipline d capability I need to keep repeating. The sec

ond
is, market development which we have shown we can do a great job within particularly Home Care with Fabric Conditioners liquid, we replicate that in Shower Gel s for instance, and we replicate that in Face Wash , and so on so forth we will see that is a repeatable model that we need to exercise more widely, especially for more premium formats w hether it 's benefit segments of sun care, or a new format such as serums, we have identified a certain set of market developmen t bets , we will stay multiyear committed to . The number three is transforming t wo specific parts of portfolio where we believe we can do better in terms of coverage, although we have a very good portfolio which fills the price pyramid. But , Beauty care and F ood, Packaged Foods are two

 areas where we can actually leverage our big brands and in fact bring in new brands including from Unilever to s tretch and fill out new demand spaces. That's what I meant by, on trend demand spaces. And finally, second but last is this whole area of winning channels. And we are very strong in general trade, and we have an above average fair share in modern trade. But there' s a new way in which consumers are shopping, they are shopping in E-commerce like Nykaa , one of our colleague mentioned Abneesh, or the y are shopping in quick commerce which is happening now as well. And of course, Amazon , Flipkart customers such as those are also going deep established so E-commerce, quick commerce, and of course our B2B strength through the Shikhar app, which is an amazing asset , which we will actually leverage and make it even a deeper moat. So, digitally selling to our customers and consumers a nd also building strengths in new channels such as quick commerce in pharma is clearly an opportunity we will not let go. And finally, we have a very good strong muscle of frugality, and operational tightness we call "Symphony: Fuel for growth." So, while our value creation is more driven by top line, we do want to inch up the margin to increase fuel for growth. And that 's why you see, we will continue driving our reputable mode l on symphony, which is our end-to-end P&L squeeze off productivity, and we are going to take it to the next level. So, we can generate big funds that can go behind a big BMI or A &P that we need find all of these opportunities. And all of this, I want to really reinforce some existing strengths like WiMI and take it to the next level. In digital we are, as I mentioned Shikhar , we are also going to look at what we can do around consumer and the operation and more details on this later. So, reimagining agenda taking forward, sustainability we are going to focus more on things like net zero, plastics, water, and community of course and we will build a culture - we have a great culture of leadership , of discipline of rigor of being thought leaders, we will make sure that our scale becomes an advantage, and we become big and fast. So, scale insurgence , even going forward when we take intelligent risks, we have already 16 clusters, we have 16 small category teams, each of them can be our operating unit independent on their own s o creating that entrepreneurship and empowerment, so that we can really collectively move very, very fast. And really tapping all these opportunities, culturally as well, would be something that I 'll be working on to take to the next level. So, I don't know if this gives you a good flavor , but this is the sort of thing that we

 are thinking of as a team. And we are sharpening our agenda and making sure that it we evolve this agenda for the next phase of HULs growth journey. I hope it gave you

a good sense of both the heart and the mind of really where our agenda is for HUL .

Moderator: Thank you. Next question is from the line of Arnab Mitra from Goldman Sachs. Please go ahead.

Arnab Mitra: Thanks for taking my questions. My first question was actually on the near - term outlook. So, last couple of quarters you have mentioned a few factors, destocking in the channel due to the price cuts , some rise at local competition , this quarter of course there' s a bit of festive timing issue. So, on the first two, do we believe now that those are behind or that adjustment of pipeline and small players versus large players is something that could continue for some more time. And in the similar light, does festive season really matter for FMCG if yes, if you could give some flavor of how much could be the impact of that timing ?

Rohit Jawa: Ritesh , if you could just pick this up for Arnab, please, thank you.

Ritesh Tiwari: Sure. So, Arnab let me just talk about the outlook for volume to start with . Long term Rohit cover ed extremely comprehensively about what drives FMCG and what are the kind of opportunities in the long highway for growth of the category and of course us as Hindustan Unilever. So, if I just z oom in now to short term, there are factors which are supporting continued volume recovery, we had called it out that we will see post this high inflationary period a gradual recovery in volumes and what are the factors that are supporting , three of them . #A, inflation is moderating and the full impact in this quarter as we speak, in Laundry and Skin Cleansing, we have taken sequential price reductions, which is why a t an overall aggregate level we saw HUL had roughly flat price growth in this quarter . FMCG industry as per Nielsen Data is still showing 3% price, which the point I had mentioned earlier , that it takes basically a quarter or so for it to stabilize and start reflecting what manufacturers are selling at. So, consumers will start seeing the impact of deflation as you start seeing the price growth going away. That 's number one. Secondly, the upcoming festival season. Of course, there are as you know

 phasing of festival this time all the days of festival lands in December quarter

unlike last year where there were some days of festival which came in
September quarter and of course a larger part of days came in December
quarter . This time we have all days coming into December quarter. So, with
inflation moderating , higher disposable income in hands of consumers , urban
leading growth overall in the industry for FMCG for now, and urban income,
more resilient and having seen better wage inflation, we see that again as a
third factor which is helping in short term for volume recovery. Of course, as
an economy we know that between growth, inflation and currency, the country
is in excellent job in managing the three vectors very well. So, we have on the
back of a resilient economy . Watch outs, equally like support factors, in my
mind will be three, #A, monsoon, we all d iscussed the kind of uneven monsoon
we had, and the potential impact of that that could have in rural. And second, of course, is global commodity prices. As we speak crude is coming up a nd it's
more than 90, as we speak and with geopolitical stability again being
questioned and as all of us know what 's happening this time around. Those
factors put together are in my mind a short term w atch out. And hence in
summary, post a high inflation period the gradual recovery should in our view
continue and which is why we are cautiously optimistic but equally confident of gradual volume recovery. So, that I would say in short term is our view
where it is, from a pricing perspective we had called out in our commentary that if at all commodity price

remain s where they are, we will see margin ally
negative price growth going ahead.
Arnab Mitra: So, Ritesh just to clarify, so the channel destocking component, and this local
competition versus national competition, is that largely behind in your view,
or there is a little bit more of adjustment there required given where you see
the market. The rest of the points of course are there but these two are they
kind of behind now ?
Ritesh Tiwari: Yes, so let me first pick up the channel players . So, the channel inventory
overall, since at least I can talk about Hindustan Unilever, with all the
commodity that have gotten moderated, we have finished doing our pricing
action this quarter. And as an industry assuming the same thing happens which
is the 3% price growth which Nielsen show s moves to zero, I think , by next

Sensitivity: Public quarter they should all be set square. So , I think, that transition in my mind
should get done unless we end up seeing more amount of commodity volatility
which brings a new story altogether. So, sans that this should get stabilized
next quarter number one, and number two the small player -of course this is
something which is again very much linked to the commodity cycle. Again, as
commodity cycle starts to stabilize , in our mind of price equilibrium, w ill start
get to stabilize . The bigger job there would be, of course overall demand
scenario, and demand scenario across different price point, if market does not
continue to downgrade example in T ea, or for that matter, small players at a
mass end example in Laundry Bars , that behavior will have to change for this
equilibrium to set equal. Again, as I mentioned we 've seen in the past this
happens, and then in few quarters, it starts to then go back to the same equilibrium of competitiveness across the price point as it always is. So, in our
view it's still in short term couple of quarters .
Arnab Mitra: Sure, thanks t hat's very helpful. My second and last question was on H FD. So,
you explained the steps that HUL has taken, obviously you have put in a huge
amount of effort on every line of what you could have done to grow that business. In F ood, what we are seeing in other companies is wherever there is
very high price growth, volumes are subdued, but revenue growth are very high, HFD seems to be one of those categories where even the revenue growth
is just about mid -single digit with a lot of pricing. So, my question really was
that, could it really be a structural issue where the consumers who are reducing
consumption are doing it for other re asons of other sources of nutrition , is there
something that gives you confidence that this is purely an inflation related issue
and therefore once the stability is achieved there, you should get back to
volume growth ?
Rohit Jawa: If you look at the benchmark market Arnab for similar categories in Southeast
Asia, the size and scale of such brands is very, very strong. And given that the
HFD categor y penetration levels are low. And we are actually fully, we have
basically South and E ast and we have North and West still to go to. The
headspace on this category should be a lot, and apart from the fact that it 's got

this market development runway, this is also a category which is good for the
country and that 's why we like it so much because it helps address the mal
 nutrient gap that exists within our society. So, given that of these two reasons this is definitely a long- term bet. Now, it is possible that , we know that for a fact that consumers hav e titrated the consumption because the cost of each cup had gone up. And we start to see already in the last few quarters, as milk prices h

ave stabilized. And we focus our communication on why this category makes sense, why it 's so important , and we have started customizing our communication as well, to different regions , we have stabilized our assortment. And our whole incentive curves on our SKUs, we start to see green shoots. Secondly, there 's also a big opportunity in the premium end of this category, which is in the space of science- based supplements that are focused on adults, on women, women 's health, and so on so forth, and those are doing quite well. And we have low share in that segment. So, there 's also an opportunity to do that is to grow there and then of course Horlicks and Boost and B oost, by the way is doing very well , it's already in the double -digit levels. We do see an opportunity for as well to also stretch these brands, leveraging their strong equity. So , I see many levers, or like we said in the chart more users, more usage and more premium, many, many more opportunities to draw this category and take it to the next level. It 's already a scaled category for us, almost €500 million in scale. So, I 'm optimistic but we need to stay disciplined and patient and keep working for the long term.

Moderator: Thank you. Next question is from the line of Jitendra Arora from ICICI Prudential . Please go ahead.

Jitendra Arora: I just had one question with respect to your A &P expenditure, given the sharp growth year -over-year, I just wanted to understand the characteristics of the expenditure in the base as well as current year if you can help me in terms of how much would be advertising a nd how much would it be towards promotion and within advertising how much would it be let 's say to a traditional medium and the digital medium?

Ritesh Tiwari: Thanks, Jitendra, for the question. So, this quarter, as you' ve seen our results, we have 11.4% A&P expenses. Same period last year, we had 7.2% and which is why you see a pretty strong 420 bps year-on-year increase in A&P expenses, which is 700 crore and a 65% increase. Now, of course to some extent it is the base and remember again, September quarter same period last year it was a
 peak of inflation, and hence overall, the GRPs in industry had come down, where there' s a much higher price versus cost gap for the industry. And on the low base of last year, same time when you compare 11.4% looks a substantial increase. But even if I ignore the base, if we just look at the overall full year number, same period last year 8.4% was our annual A&P . And that A&P number we have gradually kept increasing from 7.2 % to 8%, to 8.8 %, 9.9% and then 11.4 % in the current quarter. Now for us what are the principles for A&P resource allocation, the first ground principle is share of voice ahead of share of market , that determines the amount of intensity, #A competitive intensity and basis that the amount of allocation that you want to do for resource. Second, of course your reach , objective and your frequency objective basis the amount of innovation that we want to land in the market t hat's the second driver, which then determines the absolute amount A&P investment which you end up doing. Suffice to say where we are at a little lower 11%, between 11 % to 12 %. That 's the kind of a benchmark at some stage we had pre inflation. And the way I see this number will remain firm, given the amount of competitive intensity this number will remain firm .

Jitendra Arora: I'm sorry Ritesh , but that does not address my question. I just wanted to understand the characteristic of this expenditure rather than why it has grown.

Ritesh Tiwari: Yes. So, in terms of characteristics see overall when we look at our total let say 100 pie to a question 1/3 is digital media , 2/3 is traditional media.

So, that's
how we typically split our expenses. Now, the other sub question, is it

promotion driven, it is advertising driven? It is advertising driven .
Moderator: Thank you. Next question is from line of Amit Rustagi from UBS G roup.
Please go ahead.
Amit Rustagi: I have just one question on the sale of 3 - 7 or 3 - 9. Where do you think that
our increased A&P spends will lead through on a higher volume growth for the
second half of the year ?
Ritesh Tiwari: Sorry, did not get your question, can you please come again please?

 Amit Rustagi: So, like I 'm saying how confident we are on a scale of 1 to 10, that how much
volume growth, we can drive in the second half of the year with the increase d
A&P spen t and when gross margins are going to stay here. So, are we going to
continue with the higher A&P spen t in the coming quarters as well?
Ritesh Tiwari: Yes. So, let me take your second question first. And the first question you are
trying to ask is the outlook, that we have a volume going ahead. So, that's clear.
Of course, the job that we have which is to keep driving our re flex muscles,
and generating overall s ymphony saving the program that we use internally, in
the organization called symphony where our objective always is to drive
savings across all the lines of the P&L, be it promotions, be it advertising, be
it supply chain cost, or for that matter overhead cost. Some portion of that gives
benefit in gross margin, other element of the lines of the P&L also get benefit
of the overall savings program that we drive . That effort of driving savings
across all lines of the P&L will continue. And to Rohit's earlier articulation
will only further step it up, with full intention to ensure that we are able to
invest in back in the business . Invest it back in terms of ensuring competitive
levels of expenditure of A&P which as I mentioned will rem ain firm that's how
we read , inves t it back in terms of capability building when we do "Shikhar "
when we do "Reimagine HUL ," they all require investments to get done. And
that's how when we generate sources to invest in the business and see of course
invest back in terms of product superiority and invest back in terms of overall
portfolio development. So, that job of generating resources in the P &L and
deploying to drive growth and that cycle will continue to do. So, that's how we
look at , when we look at the financial growth model is to keep looking for
sources of investment. And of course, areas that we need to invest to drive
growth. And then coming back to outlook is what I was responding earlier. We
have seen a gradual recovery of demand as high inflationary period are
stabilizing. And as we mentioned that in summary, we remain cautiously
optimistic in terms of t his gradual recovery of demand as high inflationary
period is hopefully behind us. And we have a more stable outlook going
forward in terms of commodity and hence impact of that in terms of positive
impact of that on the demand generation overall in the industry. I know you would love to hear a number from me. But I can
only tell you qualitatively
what are the factors as I was responding earlier, which we see in short term

 driving and supporting the growth and be it overall inflation coming down. B e
it overall festival demand or the resilient economy that we have. And of course,
the factors I did call out between monsoon, volatile commodity, and
geopolitical stability which are the factors which might work against as this
recovery is happening. Which is of course see when all these things put
together , we'll see how demand situation pans out. Bu

t the overall aggregate
narrative is , cautiously optimistic with continued recover y of demand out look.
Moderator: Thank you. Next question is from line of Kunal Vora from BNP Paribas . Please
go ahead.
Kunal Vora: My first question is on pricing, portfolio level how much price cut have you
taken from the peak and how many quarters the pricing would remain negative
and the price cuts mostly are they in value segment or are they broad based?
Ritesh Tiwari: So, Kunal I called out that the price in this quarter , that September quarter there
are two categories essentially where we have taken price decreases
sequentially. Number one, we called out our Skin Cleansing and second, we
called out in the area of Laundry, Soap , Detergent . Of course, as I mentioned
earlier to one of the questions there are also areas where we have also increased
prices, be it coffee, be it HFD where we have seen input cost inflation. Now of

course, as we speak to the extent where commodities are today, and whatever near term outlook we have, as far as we are concerned, we have finished doing the job in terms of price adjustments that we had to do to our portfolio, which is why if commodities remain where they are in short term , short term could be three months, four months, all depends as to where commodities end up settling in or a little longer period than few months. All depends upon where commodity settles. So, at least in short term, we do see our price growth to be marginally negative if commodities remain where they are today.

Kunal Vora: Okay . And can you talk about your priority like say as the GM expand s, would you raise ad spends but it looks like price cuts don 't seem to be very large. You also have increased competitive intensity. Like why prioritize ad spends and not pass on some benefits to the customers especially with intense competition ?

Ritesh Tiwari: So, we have done both one of the factor Kunal we had mentioned that when you have such prices going up coming down, the single most important priority is to ensure competitive price value equation of all of our products across the board, equally when the commodity price is going up, and hence we have to increase prices or for that matter when commodity cost comes down we then decrease prices. In fact , our pricing principle has been when commodity cost goes up we take price increases in smaller chunks. When commodity cost comes down, we take decrease in larger chunks so that we don't disrupt trade pipeline with frequent changes in pricing. So, to the extent we ha d to take prices down judiciously to ensure competitive pric e value equation, that job we have done. And of course, as that has happened and the bleed of price versus cost has come down w hich is apart from everything else that we 've done to drive costs down is one of the reason why we 've seen pretty good amount of gross margin recovery which turns back to a pre inflation level where we are today at around 52% . So, that's what we have done in terms of #A, first port of call has been to ensure competitive price value equation . And then as we needed to invest money behind A &P competitively with the principle of share of voice ahead of share of market is what we' ve done. But again, that doesn 't mean that other elements of jobs to be done in terms of inv esting in product to drive product superiority, investing in capability like Shikhar, Reimagine HUL, that we kept doing or for that matter dialing up more amount of innovation that we want to bring to the marketplace. We spoke this quarter, we were very busy with BPC with a good amount of innovation across the board that we have landed. So, the resources then which get generated in the P &L, they get basically deployed in all of these priorities to drive all r

ound growth and business development.

Kunal Vora: Sorry to continue on this but like, when competitive intensity has increased significantly, you have let say portfolio is gaining less market share, why not just take larger price cuts. When like, why have 700 bps margin expansion over the last one year instead like, maybe that could have been reinvested a bit more in pricing?

Ritesh Tiwari : Of course, it 's a very complex set of decision. And you can imagine business decisions are very complex, the way you deploy your entire 6P from

development to deployment to pricing, to promotion to product and this entire 6P mix we have to always look what will give us a competitive edge in the market. And it can never be a uni -dimensional view that cut price will get more growth, only if life was so simple .

Kunal Vora: And just one last point, historically has elections had an impact on the growth rates. How do you see the elections coming in?

Ritesh Tiwari: We have seen one thing our read over last several years in this space has been where there are structural interventions that the government does , be it for example we have spoken on last couple of years of heightened amount of capital expenditure that government has done or for that matter when you contain inflation. When infra spend goes up, we have seen those long- term measures have a higher impact on FMCG demand and because #A, they drive disposable income , they drive better amount of jobs and hence the y also drive more amount of money being available to be spent. So, our read has been that

those macro factors developed and deployed by government has larger impact
on FMCG demand. So, that' s where we see higher correlation.
A. Ravishankar: Okay . We are at 7 :30. So, we will end the session here. Before we end, let me
remind you that the playback of this event will be available on the Investor Relations website i n a short while from now. If there are further questions, feel
free to reach out to any of us in the IR team and we will be happy to address
them. Once again, thanks for the participation and have a great evening ahead.
Ritesh Tiwari : Thank you so much for all your engagement really appreciate. Thank you.
Moderator: Thank you very much. On behalf of Hindustan Unilever Limited that concludes
this conference. Thank you for joining us, you may now disconnect your lines .
Thank you.

Disclaimer: This transcript has been edited to remove any grammatical inaccuracies or inconsistencies of
English language that might have occurred inadvertently while speaking.

Call: Jan 2024

25th January , 2024

Stock Code BSE: 500696 NSE: HINDUNILVR
ISIN: INE030A01027
Dear Sir /Madam ,
Sub: Transcript of the Earnings Call for the quarter ended 31st December , 202 3

This is further to our letter dated 20 th January , 202 4, whereby the Company had submitted the link to the audio/video recording of the Earnings Call held post announcement of Financial Results for the quarter ended 31st December, 2023.
Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the Transcript of the said earnings call, for your information and records.
The transcript of the earnings call is also available on the Company's website at https://www.hul.co.in/investor- relations/results -presentations/quarterly -results/december-quarter- 2023- results/
Please take the above information on record.

Thanking You.
Yours faithfully,
For Hindustan Unilever Limited

Dev Bajpai
Executive Director , Legal & Corporate Affairs
and Company Secretary
DIN:00050516 / FCS No: F3354
BSE Limited,
Corporate Relationship Department,
2nd Floor, New Trading Wing,
Rotunda Building, P.J. Towers,
Dalal Street,
Mumbai – 400 001 National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra – Kurla Complex,
Bandra (E),
Mumbai – 400 051

"December Quarter 2023
Earnings Call of
Hindustan Unilever Limited"

January 19, 202 4

Speakers:
Mr. Rohit Jawa, Chief Executive Officer and Managing Director
Mr. Ritesh Tiwari, CFO and Executive Director, Finance and IT
Mr. A Ravishankar, Group Finance Controller and Head of Investor Relations

Sensitivity: Public
Moderator: Ladies and gentlemen, good day, and welcome to Hindustan Unilever Limited Conference Call for the results for December quarter ended 31st December 2023. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. A. Ravishankar, Group Controller and Head of Investor Relations. Thank you, and over to you, sir.
A. Ravishankar: Thank you, Yashashri. Good evening, everyone, and welcome to the conference Hindustan Unilever Limited. Best wishes to all of you and your families for a wonderful 2024. This evening, we'll be covering the results for the quarter ended 31st December 2023. On the call with me is Rohit Jawa, CEO and Managing Director and Ritesh Tiwari, CFO.
We will start with prepared remarks from Rohit and Ritesh, where we will cover an overview of the operating environment, our performance in the quarter and outlook. We expect this to take around 25 minutes, leaving us with an hour for the Q&A session. We w ill try and end the call by half past 7.
Before we get started with the presentation, I would like to draw your attention to the Safe Harbor statement included in the presentation for good order sake.
With that, over to you, Rohit.
Rohit Jawa: Thanks, Ravi. Good evening, everyone. Wish you a great 2024. Thank you for joining us on the call today. It's always a pleasure to interact with all of you. Let me start with an overview of the operating environment. The effect of uneven monsoon was felt on the Kharif crop output impacting agricultural yields and rural incomes.
Lower reservoir levels continue to be a cause of concern for the Rabi crops, although the crop sowing has been recovering off l ate. Further, on the weather front, winter this year has not only been delayed, but has also been less severe with higher -than-average minimum and maximum temperatures recorded in many parts of the country.

 This has impacted the winter categories, which we will cover later in the presentation. Due to lower agriculture yields and uncertainty of future crop outputs, rural consumer sentiment remains subdued. Consequently, the anticipated buoyancy from festive season did not materialize. The dualism we've seen in the recent past continues with certain parts of the market recovering faster than the rest.
Urban growth continued to outpace rural across many industries, we see premium segments doing better than mass. These factors have p layed out in shaping the FMCG market demand as well.
Overall, FMCG demand trends have largely remained stable and similar to what we saw last quarter.
While market volumes grew at high single digits year -on-year, this came on a base period where volumes declined in mid- single digit. Hence, cumulatively over 2 years, market volumes have grown marginally at 2% CAGR. Within this, urban continuous to lead gr owth. Urban markets grew 3% on a 2- year basis, while rural was 1% in the same period.
At channel and price segment cuts, the same urban and rural dualism in consumption patterns is visible. As we've seen in the recent quarters, Modern Trade is doing well and continuous to outpace General Trade . Similarly, volume growth of premium products significantly ahead of mass products in the market. Price growth in the market continues to tail off as expected. This is reflected in a sequential reduction of market price

growth from 8% in June quarter to m arginally negative in current quarter. However, view ed over a 3 - year period, we see relatively high levels of pricing reflecting in the broad base of unprecedented levels of commodity cost increase, we saw in our markets.
Three -year cumulative price increase in December quarter '23 is circa 25%, similar to what we had in the past couple of quarters.
In this challenging operating backdrop, we delivered a resilient performance.
Our Underlying Volume Growth was 2% in the quarter, but divergence between segments and volume growth remained with Home Care and Beauty & Personal Care continu ing to see volume recovery while Foods & Refreshment declin ed volumes on account of the pricing taken. Ritesh will cover this in more detail when he explains the performance of the 3 segments.

Sensitivity: Public Underlying Sales Growth was flat, impacted by negative Underlying Price Growth as a result of the price cuts taken during the year, particularly in categories like Personal Wash and Home Care. EBITDA margin at 23.7% improved 10 bps year -on-year. Profit after tax before exceptional items declined 2% and Net Profit grew 1%.

While there have been near term macro challenges, we have been focused on ensuring that the fundamentals of our business remains strong. We continue to expand our consumer franchise despite heightened competitive intensity in the market. Circa 60% of our business is winning value market share on MAT basis. Ritesh will cover this metric in more detail later.

More than 75% of our business is g aining penetration both absolute and relative penetration, which means not only are we expanding our consumer base, we are also doing it ahead of the rest of the market.

With more than 80% of our business either growing or maintaining brand power scores, we are winning when it comes to mental reach as well. This is a testament to our iconic brands, long -term engagement platforms, superior products and sustained investments behind them. Our absolute A&P spends in the 9 months of this fiscal is 33% higher than the same period last year.

We have now 3x more superior products, when compared to the 2019 base and the rest of the products are at par with competition on functionality. We are winning with our consumers through product superiority, which translates into increased brand loyalty and repeat purchases. Excellent execution is a bedrock of strong consumer goods business. We have continuously stepped up our effective coverage, which now stands at 1.25x of 2019 levels. We reach about 3 million outlets directly, of which 2.3 million outlets are covered through our distributor network and the remaining by Shakti Entrepreneurs in the rural hinterlands . Our strong business fundamentals provide us with a solid base, which will hold us in good stead as we continue to build for the future.

Let me also take this opportunity to speak about some of the recent changes we made in the organization as we embark on the next phase of growth and transformation. From 1st April 2024, the Beauty & Personal Care business will transition into 2 independent business units, namely Beauty & Wellbeing and Personal Care.

Sensitivity: Public Beauty & Wellbeing business unit will have Skin Care, Premium Beauty, Hair Care, Color Cosmetics, and Health and Wellbeing categories, while Personal Care will include Skin c leansing, Oral care and Deodorants. We believe this is the right time for this transition given the diverging trends in the business models, innovation rhythm and competitive landscape.

The other change we made is the appointment of a Chief Digital Officer, who will steer the next phase of HUL's digital transformation journey focused on e

nhancing consumer and customer experience through digitization. I'm very excited about these changes, I'm confident that these steps will go a long way in further building our strengths to win in the marketplace.

Moving on to an update on responsible growth. Sustainability is the core to our business, and I'm very happy to report that we've received in industry leading ESG ratings from rating agencies such as Dow Jones, CRISIL and others. Further, we were awarded for excellence in BRSR reporting by the Institute of Charter ed Accountants of India. Th ese achievemen ts stand as a powerful testament to our unwavering commitment to sustainability and ensuring transparent and clear disclosures on progress are made on our ESG initiatives.

We recently announced our strategic partnership with Brookfield to set up solar energy park within 45 Megawatts capacity in Rajasthan. We will invest up to 32% of equity share capital for Special Purpose Vehicle incorporated by Brookfield. This initiative will contribute towards achieving our Net zero goals by increasing green energy consumption in our own and collaborative manufacturing units.

It's been 10 years since we have started ‘Prabhat ’, our sustainable community development initiative. Since its inception, ' Prabhat ' has le ft a profound mark on the lives of nearly 10 million people across 1,200 plus villages in the communities around our factory and depot locations. Through a multifaceted approach to community developments, ' Prabhat ' has showcased the tangible outcomes of economic empowerment, improved health and nutrition and our commitment to environmental sustainability. The past decade has not just been about the number of years, but about the li ves transformed, the communities uplifted and the spirit of a positive change that ' Prabhat ' embodies.

 With this, let me now hand over to Ritesh to talk about our performance in this quarter and our outlook in detail. Ritesh, over to you.

Ritesh Tiwari: Thank you, Rohit, and good evening, everyone. My best wishes to you and your families for a great 2024. Let me now take you through our results in detail. Rohit spoke about FMCG market trends, which have largely remained stable and similar to what we had seen in the last quarter. In this context, we have delivered a steady Underlying Volume Growth of 2%.

As you're aware, we have taken price cuts in past few quarters in commodity linked categories to pass on the benefits of lower material prices to our consumers. Consequently, we had an overall negative price growth of 2 percentage leading to a flat Underlying Sales Growth. If you were to split this by division, Home Care and BPC had negative Underlying Price Growth in mid-single digit. F&R continues to see positive pricing with inflation in commodities like coffee and sugar.

Talking about our bottom -line performance, EBITDA margin remained healthy at 23.7% and improved 10 bps year -on-year. Profit after tax, before exceptional items, declined 2 percentage. Net Profit grew 1% year -on-year. The difference between PAT bei growth and Net Profit growth is due to lower restructuring costs in the current quarter.

Let me now talk about how we have done competitively. On a 2- year basis, we continue to outperform the market with underlying Volume Growth CAGR being ahead of market growths. This is reflected in our market share position as well. Compared to 2021, we have improved our corporate value market share by almost 200 bps. This is the result of strong operating fundamentals that Rohit spoke about earlier and our ability to manage the business with agility.

As we said previously, we are seeing resurgence of small and regional players who had vacated the market during peak of inflation. Consequently, in recency, the pace at which we are gaining

incremental market share has slowed down. But it is important to note that we're holding on to almost all the gains made in 2021 and 2022.

In the near term, we expect our MAT Business winning metric to be impacted as we lap the high deals. We expect it to dip below 60 percentage for a couple

 of quarters before coming back towards second half of calendar year 2024. However, on a 2- year basis, we would continue to have substantial market share gains and a very healthy percentage of business winning share.

One of the key pillars of our strategy has been to grow premium and market development segments ahead of the rest of the business, and that is exactly what we have done.

This is a result of our focused long -term strategic actions that we have taken involving seeding the right categories, increasing accessibility and improving mental and physical reach through a series of consumer interactions. On a YTD financial year basis , premium portfolio continues to lead growth for us, growing at more than 2.5x of the mass portfolio.

Premium products, to remind you, are those with the relative price index greater than 120 percentage of the category average. Let me quote a few examples of premium and market development portfolios that are seeing strong traction and expanding, demonstrat ing our ability to do market development at

scale. Our Premium Beauty business unit, the plus range within Horlicks,
Mayo and Peanut Butter in Foods and our premium Laundry portfolio are a
few examples of segments growing in strong double digits in this fiscal.
Let us now look at performance across the 3 segments. When it comes to Underlying Volume and Price Growth , the divergence between the segments
continued. With the benefit of lower commodity costs being passed on to consumers in Home Care and Beauty & Personal Care, these business units continue to see volume recovery and had mid- single -digit underlying volume
growth.
Put together, these 2 segments constitute about 75% of our business. It is also worth noting that this volume growth has come on a strong performance in the
base period. Consequent to price cuts taken during the year, USD for Home
Care declined marginally, and Beauty & Personal Care remained flat.
Foods & Refreshment on the other hand, saw a low single -digit decline in UVG
primarily due to the pricing taken in the year to offset the impact of higher
commodity costs. Consequently, US G was 1%. If you were to get down in
F&R, again, 3/4 of our portfolio is HFD, coffee and tea where we are yet to see
volume recovery. HFD & Coffee is witnessing commodity inflation, and we

 have spoken about consumers downgrading in tea due to the price differential
between premium and plain tea.
I hope this gives you some color on volume recovery across our segments. Moving on to margins. All 3 segments remained healthy with Home Care at 18%, BPC at 26% and F&R at 19%. The transition of Beauty & Personal Care
into 2 separate business units will be effect ive 1st April 2024. Hence, we will
begin reporting performance for 4 segments instead of 3 from June quarter '24
onwards.
I will now click down to talk about performance in each segment. Starting with
activations and launches in Home Care. Comfort had an activation around
winter, which highlighted the key advantage of Comfort in enhancing the
fragrance of cloth and addressing the musky smell that comes with drying
closing winter. Surf Excel has launched a new campaign in North India on
detergent bars with a superior proposition and winning communication. Rin
Matic liquid expanded its physical reach and launched a campaign wit h a
superior propositi

on.
Moving over to Home Care performance in the quarter. We delivered a robust
volume at performance on a very high base in December quarter '22. Home Care had a strong 14% revenue growth on a 2-year CAGR basis, driven by
high single -digit UVG. In the quarter, volumes grew in mid -single digits in
fabric wash.
Our premium portfolio continued to outperform with both Surf and Comfort leading growth for the category. At the mass end, especially in detergent bars,
we continue to see heightened competitive intensity due to benign commodity
environment. Household Care delivered low single -digit volume growth led by
Dishwash.
Talking about Beauty & Personal Care, we continued our good momentum and innovation with launch of several new products this quarter. Simple expanded
range with an active skin barrier care range, which is powered by ceramide
booster and hyaluronic acid to help restore a damaged skin barrier and s oothe
dry sensitive skin. Sunsilk has introduced hair serums with a superior mix and at affordable price points.

 Lakmé had a number of innovations this quarter. One of them was lash boost
mascara, which is part of the show st opper collection unveiled at our iconic
Lakmé Fashion Week. Our latest launch of Close -up toothpaste in 3 different
variance, clove and orange, lemon and sea salt, and green tea and clay is made with a 95% natural original formula to provide specific oral care benefits and
up to 12 hours of freshness.
Moving on to our performance in Beauty & Personal Care, we delivered a mid-
single -digit volume growth for the quarter. Skin cleansing declined year -on-

year with pricing actions to pass on the benefit of lower commodity prices
impacting top line delivery. B ody wash continues to scale up well and is seeing
good growth. Hair care had a strong quarter. Volumes grew in double digits
led by TRESemmé, Dove, Sunsilk and Clinic Plus. Our focused intervention in premium and for mats of the future such as serum, mask and conditioners are
delivering good results.
In December quarter, winter portfolio typically constitutes 1/3 of Skin Care category. This portfolio declined year -on-year on account of delayed onset and
lower intensity of winter. However, our non- winter premium portfolio
continues to perform well. Lakm é and Ponds Skin grew volumes in double
digits on back of strong innovations and a beauty- focused execution at the
marketplace. Oral Care delivered mid -single -digit growth led by Close -up.
Now talking about innovations and activations in F&R. Bru Gold expand ed its
product portfolio with a new range of flavored coffee. Available in 3 flavors,
vanilla, caramel and hazelnut, this freeze -dried coffee is sure to transform your
usual cup of coffee into a luxur ious treat . Following the launch of Korean Meal
Pot, Knorr launched Korean noodles in popular flavors Kimchi and
Jjajangmyeon. Continuing with its endeavour to de-seasonalise ice cream
consumption Kwality Walls had activations around Diwali and Puja festivals.
Talking about F&R performance in the quarter. We continue d to see the impact
of judicious price increases taken during the year to offset the impact of inflation. Consequently, volumes have declined year -on-year in low single
digits. Tea further strengthened market leadership in the quarter with strong gains in bo th value and volume. Business had a muted performance year -on-
year as we continued to witness consumers downgrading. Green tea and

 flavored tea performed well. Coffee delivered double -digit growth driven by
pricing.
Health Food Drinks delivered competitive price led growth driven by Plus
range. We remain focused on driving growth through bringing in more users
into

the category while creating more occasions for consumption and
premiumizing our portfolio.
Mayonnaise as well as peanut butter continues to see strong consumer traction
and food solutions remain resilient with double -digit growth momentum. Ice
cream grew in mid -single digit on a high base. As you would have noticed,
market development portfolio across F&R categories is leading growth for us.
I will now take a moment to elaborate on the construct of EBITDA margin for the quarter. At 23.7%, EBITDA has improved 10 bps year -on-year. Gross
margin at 50.6% has improved by 400 bps year -on-year. I will cover gross
margin in more detail in subsequent s lides. Advertising and promotion
investments at 10 .7% is up 270 bps year -on-year.
Our absolute A&P investments were up almost INR 400 crores higher than last
year as we continue to invest competitively behind our brands and maintain
share of voice ahead of share of market. Employee benefits and other expenses
net off other expenses -- sorry, net off other operating income at 16.3% is up
120 bps year -on-year.
There are a few things here as you unpeel these numbers . In other expenses,
there is about 50 bps impact of royalty increase. The rest of the increase can be attributed to investments made in future fit capabilities, phasing of costs and
lack of top line leverage. On a full year basis, we expect that other expenses to be circa 13 percentage of turnover, which is in line with our long- term trends.
Let me click down and talk about gross margin. As you're aware, we took a hit
on our gross margin during inflation as we did not price to the full extent of
commodity price increase. In the recent quarters, as we have rebuil t a large part
of the lost gross margin, we will remain focused on improving our gross margin through end- to-end net productivity programs.
This is a necessity as gross margin provides us with the funds to invest behind
brands and capabilities including innovation, market development activities,

Sensitivity: Public digitalization and other strategic priorities. These actions are extremely critical
for the long- term health of the business and for us to continue winning in the
marketplace.
As part of our net productivity program, we are stretching ambitions on unlocking value by way of initiatives like net revenue management,
simplification through digital acceleration and cost competitiveness . Driving
mix through premium portfolio will also be an important lever for gross margin
improvement.
Moving on, a summary of our performance for this quarter. I've already taken
you through most of the lines, but let me pick up tax. Effective tax rate for the
quarter was 26.6%, and we expect our full year ETR to be marginally above
26% after taking into considerati on prior period tax adjustments.
Let me quickly take you through our year -to-date numbers for this fiscal. We
grew at 3 percentage taking our 9- month turnover at INR 44,886 crores.
EBITDA and PAT bei both grew at 6 percentage. Net profit grew at 4% to
INR7,708 crores.
Let me now turn to outlook. Looking ahead, in the near term, we remain cautiously optimistic. We expect the gradual recovery in market demand to
continue, aided by increased government spending, recovery in winter crop sowing and better crop realizations. At the same time, rural income growth and winter crop yields will be key factors that we determine the pace of recovery. In this context, our focus remains on driving competitive volume growth by ensuring the right price value equation for our consumers.
If commodity prices remain where they are, we expect our price growth to be marginally negative in March quarter. We will continue to step up investments behind our brands and long- term strategic capabilities while maintaining
EBITDA margin in a healthy ra nge. As always, we w

ill manage our business
with agility and take actions to ensure long -term 4G growth, growth which is
consistent, competitive, profitable and responsible.
With this to conclude our prepared remarks, and will now hand over back to
Ravi for Q&A. But before that, I just want to quickly speak about, I would like
to take this minute to update you about a change in our Investor Relations team.
Shilpa Kedia, who currently heads our M&A and treasury function will take

Sensitivity: Public over from Ravi as Group Controller and Head of Investor Relations. Ravi
moves on to an exciting role within HUL as Head of Finance for our Beauty & Wellbeing segment. Shilpa will meet many of you in the coming months as she transitions into her new role.
I would like to take the opportunity to thank Ravi for his contributions to the
past 3 years as Controller and IR head and wish Shilpa the very best. With that,
over to you, Ravi.
A. Ravishankar: Thank you, Rohit, and Ritesh. With this, we will now move to the Q&A session. We request the participants to kindly restrict the number of questions
to a maximum of 2 so we can take questions from everyone on the call who
has questions. And do feel free to join the queue again if you have anything
further.
In addition to audio, our participants do have an option to post the questions
through the web link and we'll take -- try and take these towards the end. With
that, I'll hand over the call back to Yashashri to manage the Q&A session for
us. Over to you, Ya shashri.
Moderator: Thank you very much. We will now begin the question- and-answer session.
We have a first question from the line of Abneesh Roy from Nuvama. Please
go ahead.
Abneesh Roy: Thanks. My first question is on the premiumization and rural. So currently, two
themes, both we are seeing, both are kind of opposite to each other on paper. So, I wanted to understand when you are saying that premiumization is
growing 2.5x of the mass end, my specific question is in terms of the rural
demand, how is premiumization shaping up?
Why I'm asking this is if you see other forms of rural consumption in terms of 2-wheeler and 4 -wheeler data rural is doing well. And obviously, that's a
premium consumption, but that's also coming after 4 years of very tepid volumes. It's Y -o-Y good growth, but 4 years, if you see, it's not a good growth
in 2- wheeler and 4- wheeler. So , I wanted specific examples in terms of

premiumization in rural because in terms of rural slowdown that is completely missed. So could you say whether premiumization is happening there and specific examples will be helpful.

 Ritesh Tiwari: Yes. Thanks, Abneesh. So rural and if I look at the portfolio with -- to start with in rural, the premium portfolio, people who can afford and spend money and hence rural portfolio in rural has also grown well like it has grown in urban part of the business as well. So that's point number one. Point number two, to give specific examples, portfolio again, just to remind, price point, 120- plus price index is what we call as premium.

And within the rural portfolio, we have always seen that essential and discretionary are the 2 realities of rural. At the peak of inflation, where the disposable income got curtailed and got impacted, we saw overall consumptions coming down and consumers d own-trading in the business there.

But if I look at mass skin and a good example to speak about, overall within the choices the consumer has to take within the portfolio, mass skin has seen growth, and we have grown at mid- single digit in mass skin. And this is one item, which I would say i s changing. Second, if I just probably quote a higher level number after having responded to what you a

sked precisely. Rural on a 2-year basis in September quarter was negative 1 percentage at FMCG market.

In December quarter, on a 2- year basis, rural is positive 1 percentage.

So obviously, we have seen a split change in terms of minus 1 momentum for market on a 2 -year CAGR becoming to a plus 1 percentage. And within that, to your point, we have seen premium portfolio is growing, and we also have seen some elements of discretion ary portfolios like mass skin also growing. So I hope it gives you some number of understanding of how the consumption pattern is moving in the rural areas.

Abneesh Roy: Sure. That's helpful. One follow -up on the rural is, you did say the winter care portfolio has seen volume dip, now winter was delayed last year also, and it was mild last year also in Q3. So would you attribute this dip in winter portfolio to winter? Or will you attribute it to rural slowdown?

Ritesh Tiwari: No. I think after having very clearly seen Skin Care business, and I'll come to rural winter, but I just want to speak on Skin Care, Abneesh, overall. If I look at the Skin Care portfolio, we have winter portfolio, which is roughly 30 percentage of Skin Ca re. Then, of course, you have non -winter mass Skin Care portfolio and then we have premium Skin Care portfolio. In the quarter, we

 have seen winter portfolio decline. We saw non -winter portfolio growing mid- single -digit volume. Premium Skin Care growing and having the momentum of double digit.

So that's the reality. And hence, this cut is pan- urban and rural put together, we did not see any different signals as far as winter portfolio is concerned in rural areas. And of course, the reality is that the mass skin and winter price point packs are over indexed in rural area, but the reality between winter and non- winter has been similar in urban and rural.

Abneesh Roy: Sure. My second and last question is on the volume growth. So 5% kind of volume growth in Home and BPC is a decent volume growth. Now these have multiple categories. So if you could elaborate, which ones are growing faster, which ones are slower. And relat ed question is local players, when does it go away as a concern. Will it go away when the anniversarization happens essentially in Q1 in terms of the Detergent Bars or Tea or even say Body Wash because these 3 segments saw either downgrading, down trading or the deflation, which was taken in terms of pricing. So could you address both the parts?

Ritesh Tiwari: Yes. So Abneesh, I think I've got all your questions, but let me start which I heard, if I missed up answering something, if you don't mind just coming back, what I missed out. Yes? Because I saw 3, 4 questions in what you articulated. First, a little rund own as you asked me to give you on what's behind the mid- single -digit volume growth in Home Care and Personal Care, some category

flavor.
So within Home Care, very similar categories flavor across laundry business and dishwash and household care business, where we have seen recovery of volume. Last quarter, we had mid- single -digit volume growth. This quarter, again, we have mid -single -digit volume growth. But if I just unpack BPC, which is where there are more differen t nuances.
Skin Cleansing is a category where you mentioned that we have taken larger price cuts. This is where we have seen commodities meaningfully getting corrected. So, and that has led to a muted performance of Skin Cleansing. If we look at hair care, hair care had double -digit volume growth, double -digit value growth.

 If I then look at skin care within Beauty & Personal Care, I just explained to you, reality has been a little different between winter portfolio and non- winter p

ortfolio. And again, non- winter portfolio between mass and premium. I will not repeat what I me ntioned, but I gave a flavor to you how that is shaping up.
Oral care had a decent growth, as I mentioned, about mid -single digit, Close Up performed pretty well within that portfolio for us. So that's a little bit of, let me say, tilt down on overall category growth. And if you don't mind repeating what other questions you had beyond category granularity.
Abneesh Roy: Yes. Very small question. So in terms of local players, you had highlighted that it was impacting in terms of the category in terms of the lower end detergent bars and tea downgrading, down trading, etcetera . So my question is this is something which is not a very resilient thing. We always see that whenever deflation happens or rural slowdown happens, it happens for a few quarters. So my second question is when do you see this going away because you have taken proactive steps, you have also cut prices or given promotions.
So will it happen when the full anniversarization happens 1 year full impact will be there?
Ritesh Tiwari: Yes. So Abneesh, two different, I would say answers, detergent bars is a lately different reality compared to tea. So let me just answer both of them separately.
On detergent bars, whatever actions we had to take in terms of grammage fill -back , price correction, trad e input corrections, all of that as you've mentioned has already got deployed in the marketplace.
And you had rightly called out the kind of acceleration we saw from mass players where more players started participating in the market. In our view, bulk of the price correction and impact is now behind us with conclusion of this quarter. We are hoping that going forward from next quarter onwards, it's gone back to the equilibrium that we had pre this disturbing period of inflation, deflation and more amount of value disconnect in the short term. So we expect that to get stabilized from this quarter from March quarter onwards, that's on detergent bars.
Now coming to tea, the deflation of tea has continued, especially the plainer teas, which is what gets into loose tea. In tea, what we have seen was more down gradation not down- trading where people go down clicks on the pack

 sizes. But this is when we saw consumers going down on brand choices and to loose tea. And the down gradation we had seen continued happening even in this quarter.
So, and we know that tea next season, August, September onwards , Next year, we will come to know how it is different. But current year, reality has not changed. It has continued where we've seen down gradation. So there's different reality between dets and tea.
But suffice to say, on tea, both value and volume leadership and value and volume market share gain is what we have delivered as part of the results of the quarter. Growth headline has been muted because of the reality of this down gradation.
Moderator: We have a next question from the line of Vivek Maheshwari from Jefferies. Please go ahead.
Vivek Maheshwari: Two questions. So first, in the context of tough macro and we are seeing several categories impacted, the ATL number has gone up quite a bit, 33%, which is

good to see. And if I look at it right from FY '18 third quarter, this number is meaningfully higher than what you have invested in the past.
But Ritesh, how do you think about between the -- if there is a weak macro and consumer sentiments are an issue, how do you think about interplay of ATL versus BTL? Is there a case to actually go for more BTL at this time? Because customer is not opening t he wallet. So that's one way of easily passing value rather than doing activation. I'm not sure if I'm thinking right on, but I would love to know what your thoughts are.
Ritesh Tiwari: Vivek, I think your

thinking is in the exact right direction. And let me just give a little more color on both ATL and BTL. So in categories which are price driven and where we've seen meaningful commodity correction, skin cleansing, laundry are very good examples or for that matter, winter where we have to lean in with distribution expansion further of our portfolio.
In these cases, apart from what we have done on below the line and above the line, both of them have been used as a good mix -- so where we had to lean with more grammage increases or where we have to lean with more amount of

 trade promotions or for that matter more margins to drive further growth of this business.
We have done price correction and leaned in with trade promotion. But equally, for these categories, along with other premium portfolio and other categories, we further dialed up A&P investments as well. And why we did A&P investments, the circa INR400 crores, the point I was speaking earlier, which we dialed up, it has gone into more accelerated innovation, especially in the premium end of the market and the premium portfolio across categories, which has started to show results.
One of the points I was making earlier that in last 9 months' time, we have seen premium portfolio 2.5x growth ahead of the mass. But also within that portfolio, be it Plus range, be it mayonnaise, be it premium beauty, be it premium home care. It has seen a double -digit growth for mid -term. So we are seeing results coming in. But equally, the overall competitive heat in the market on media has got dialed up, which is one more reason why the absolute expenditures have gone up.
So in summary, Vivek, we have used both items like trade promotions, product quality investment, which is what is driving superiority and A&P investments put together to drive overall growth. Sequentially, you see between September quarter and December qua rter, in Home Care where margins are down 100 bps;
in BPC, our margins are down 150 bps, are a result of these investments that I just spoke about.
And those having choices that we have done within the P&L because we ensure that overall growth is what we wanted to focus at length and then drive the recovery that we want to see.
Rohit Jawa: Vivek, if I can pull back a little bit just to give you the why behind the investments. So as you have realised, we're going from , we're passing through this inflation, deflation cycle so the most important thing in this is to have strong, robust operational discipline in landing the right net productivity, right price quality on different products of the market.
Fundamentally, we believe we have done that well. We believe that we have a fundamentally a very strong robust business as many of the indicators that

 define the success in consumer goods are telling us, whether it's brand power or its penetration growth, product quality, distribution.
So essentially now what we also want to do is use this period to come out even stronger at the other end by building for the future by investing behind our priorities, such as beauty or capabilities such as digital, all of which require investment and, mor e importantly, behind our brands, which is why you see a very marked investment step up mainly in above the line and where requi red also in below the line on thematic spends to make sure that our brand power gets even stronger, and we are able to also drive some of the high- growth spaces such as the ones in market development cells or through premium, which is showing a very good response to investment.
So we want , we feel good about where we are in terms of operational discipline, robustness, but equally, we want to also invest in this tim

e to build
for the future, which is why you see this. And we would like to keep doing this
because we believe this will also then get us to the next level of growth curve
when all of this inflation, deflation cycle completes.
Vivek Maheshwari: Got it. And Rohit, as a follow -up to this . Given, so your call focuses quite a bit
about premiumization, and that's a secular trend. But do you think by virtue of
focusing too much on premiumization, is there a chance that you are missing the target at the bottom end or at the mid -end of the market?
Because I'm sure demand side issues are there, but supply side can also take care of demand bit or at least part in some ways. How do you think about -- is it that premiumization is compromising the growth at the mid and the bottom
end from this?
Rohit Jawa: No, not ambiguously not, because we are a full portfolio play company. We're
an all -weather portfolio. We sell and serve to consumers in all tiers of the
market. We are seeing proof point as we're seeing growth in market share in
Wheel , our tier 3 product, as you know, brand in detergents. We're seeing
recovery in mid- single digits in Glow & Lovely, which serves the first beauty
brand of masses. We have a very, very strong brand with Taaza. So -- and of
course, in our Personal Wash portfolio, we have Lux and Lifebuoy, that serve
the masses, too.

 So what I'm saying is that -- and the fact that the penetration is growing, in
relative terms, also tells you that that's the one thing that we actually be very,
very vigilant about to make sure that our -- number of households using our
products keep increasing and that can only come by us serving our core of the market completely.
So that is the engine one of our company. We -- this is what we do well, the
scale and efficiency, and that is a first stop of all of our focus. The second, of
course, is to shape for the future because you've also got to go with -- you got
to follow the money, follow the people. So clearly, you also have to build and
invest for the future there, the premiumization, upgradation i n the market
development plays come in. So it's a t win engine thought. We will be doing
‘and and’ not just one or the other.
Vivek Maheshwari: Got it. And the second question, Rohit, is the new structure in terms of Beauty
& Wellbeing and Personal Care. What does this intent -- so operationally, you
are always good. So is it just more like a realignment with what parent is doing
or because compet ition particularly has picked up on the beauty side. So this
gives you better focus. How does it change? And what can we expect because of this?
Rohit Jawa: So you're right. Absolutely, your second part, which is a better focus
opportunity, but let me just frame it. So we move d globally to Beauty &
Wellbeing separation some 2 years ago . We could have done it then and we
didn't, because we didn't think it was then the right time or appropriate for us.
And coming in into the business, I quite clearly see in the last 6, 7 months, the
opportunity, we have to create value by leveraging our strong relative market share in Beauty Care and Wellbeing for the opportunity and demands spaces on the future.
And which is why -- and we also start to see that between a very large BPC
division, you had a set of products and portfolio, which operate on a very different business model choices, very different innovation rhythm and very different competitor set and c lock speeds.
So there is basically by mixing everything up together, we create an average or averages, and we clearly knew this was the time and I took the call that this
is a time to bring a high level of specialization and focus to build a beauty and

 a well -being company within HUL and separate that from Personal Care,
which beats more to the rhythm of scale and efficiency, a bit more like Home
Care than like Beauty Care.
So now we are building a portfolio that serves all demand spaces with Beauty Care from mass all the way to premium prestige. We are organizing our talent,
which is good in this space. We're looking at building a beauty ecosystem that operates to serve this kind of brand building needs. We're also making sure that the selling systems for some of our premium ends are al most end -to-end as
well.

So we're pretty much building an end- to-end beauty company without
compromising the scale we get from the rest of the Unilever engine to really
operate and become an even bigger business in the times to come. So exciting days ahead. We see good traction. We have some beautiful equities, as you know, like Lakmé, Ponds, and we have also got now an ability to build small
digital -first brand like Simple, Love Beauty and Planet and Novology. And we
feel that with prestige coming in at some time in the future, w e'll have a full
portfolio play of very exciting market, which will see many, many decades of
massive growth. And it also, of course, helps that it's very, very margin
accretive for HUL as well.
Vivek Maheshwari: Got it. And just one small bookkeeping question. Other income -- operating
income at INR 260 crores, I thought this quarter, the GSK portfolio, the
consignment income would not be there. Can you just, Ritesh, elaborate if there is some one -offs there?
Ritesh Tiwari: Yes. So Vivek, we had contract up to November on GSK, so that other income
continued. And we also had a termination fee -- early termination fee, which
accrued to us in the quarter. So put together, both in the quarter the scale of, let
me say the other in come, which you got from GSK is similar to what we had
in the previous quarters.
You will see from 1st of January full impact of that income not being there in the P&L. And we also had a better amount of outcome on -- to some extent on
PLI, which has got accrued in the quarter. So put together this quarter, other
income continues to be robust, but you will see the impact of GSK from 1st of
January. There was no impact , if I add both the elements, the con tinues element

 and the termination element put together, there was no impact in December
quarter. You will see that from 1st of January.
Moderator: We have a next question from the line of Manoj Menon from ICICI Securities.
Please go ahead.
Manoj Menon: I'm audible, right?
Rohit Jawa: Yes. You are.
Manoj Menon: When we talk about, let's say, the resurgence of regional players somewhat impacting us. What I observe is that it does kind of repeat this cycle -- kind of
repeats every inflation, deflation cycle. So how do we think about this for the
long term? Is it a case of, let's say, the profit pool expectations in certain
segments which you have if let's say, higher than what the market stands at
equilibrium, which is there currently?
Or is it a case that you've exited certain, let's say, segments, maybe lower segments, lower profit segments, s ingle -digit margin segments, etcetera, where
the consumers in stress times move down and you are just not capturing the
consumer?
Ritesh Tiwari: So let me just start and then Rohit can build. So the way we look at it Manoj,
that in inflationary period, the point that all of us know that we do see players vacating the market when they see very high amount of commodity inflation.
We they see volatility and less predictability. And at that time, we know that
big brands are hugely favored. And we also saw substantial market share gains
in this segment of the business.
We also know, to your point, when corollary happens, when deflation happens,
more

players participate in the market and ultimately, you end up losing some amount of market share. The way we see with inflation and deflation put
together , over the course of the cycle on a net basis, if you improve d your
market share, then the business model has worked.
If I go back and look at the results of this cycle of inflation and deflation within
the mass detergents, we have gained market share, put together. And to me,
that's how we want it to work every time we get into the cycle and we are very
meaningful and mindful about it that as we get in the cycle, as we exit the cycle

 net put together, we should come out of these up and down on a net basis
gaining. That's exactly what has happened. So that's fact number one.

Fact number two, it has not disturbed our medium to long term, let me say, portfolio presence at different price point. It has continued. We have 30 percentage of our business which sits at price point portfolio, including mass detergent bars that you alluded to and this 30%, let me say, component of the business, it has remained 30% -ish before and after.
And we do believe that it's an important 30 percentage business which drives penetration and which keeps increas ing consumption at the lower end of the market by making not only mass but also premium portfolio affordable, like shampoo. And we don't believe that there is a need to vacate any part of the portfolio.
Manoj Menon: Secondly, some of the qualitative or granular color on the GSK portfolio, particularly on Horlicks, so when I see in the presentation, let's say, you're talking about relative growth and also about the Plus range, etcetera. What essentially I decode this to say that looks Horlicks, let's say, base variant consumption appears to be probably declining probably 10% or higher. First of all, is that the right way to think, if yes, why? And secondly, one assertion, which you had made in earlier calls was that dairy inflation has been one of the limiting factors for Horlicks growth. Given that we have seen some diary deflation -- presently deflation in general, how do we think about recove ry in Horlicks?
Rohit Jawa: Yes. Let me just start, and then Ritesh can come back to specifics to some of the subsegment numbers or the shape of those numbers. So we do believe HFD is a structurally attractive category. It's got a long -term growth potential. It serves the underserved , especially as micronutrients are concerned.
So it has everything going for it in so far as HUL is concerned. In the efforts we've made over the last few years, we managed to achieve a few outcomes that are in the right direction. The penetration of Horlicks or the HFD portfolio, along with Boost has gone up by 600 basis points. So w e go to more households than we did before we acquired the brand.

 Number two, as a consequence, the market shares are increasing quite handsomely. So we have a very strong gains even as we speak. Number three, we've been able to build a strong top tier value added part of the portfolio with both the light versions but also most importantly, the plus versions, which are more functional nutrition led pharma -type offerings that we are extending quite programmatically.
And they now are between the two -- the top tier has quite a significant portion and going quite well and, of course, also even more margin accretive. Talking of margins, the business ’s EBITA are ahead of where they were when we acquired. It's profitable. So in all of these aspects, I believe we have now -- we are in a good place. Where we need to do more work is in the space of usage or the core Horlicks user has dropped consumption on accoun t of one the inflation shock that came with more -- hi

gher price of Horlicks to begin with or Boost, but also higher price of a cup because of milk.
And that -- now that the milk prices are sort of stabilizing to softening, we feel that we should be able to be more kind or -- watch as we go forward. Second, we've also sharpened our proposition around taller, stronger, sharper. So that proposition is being -- is being driven hard to increase relevance with the moms about why they must use Horlicks. And third point is that we've also become quite focused on driving Horlicks consumption in occasions such as winter and monsoon that also seems to be helping .
So our focus will be to continue with the tailwinds we have on usage -- on usership, on premiumization, on profitability, on competitiveness, but at the same time now, very, very disciplined fashion, keep driving relevance of this category for the mother, especially in the strongholds. And then, of course, the other levers that we haven't even come to on extending it to new geographies or to new segments, but that we can pick up when we have achieved a core job, which is to basically drive relevance of the core Horlicks in the market.
So we expect to see a stronger performance going forward. And for specific numbers, I request Ritesh to fill you in with really how we've done this quarter and then a little bit on the outlook ahead.
Ritesh Tiwari: Yes. So just to your specific question, did we decline by 10% volume? Answer is no. Our volumes declined by low single digit as we increase d pricing and we

 had a muted growth, but volumes within that had declined by low single digit,

number one.
Number two, as you split the portfolio to your question, Manoj. The Plus range has seen double- digit growth. And it's the Horlicks core, which is where
penetration vis-a-vis consumption meaning penetration improving,
consumption not yet improving, the point that Rohit mentioned, which impacted overall outcome in terms of growth.
And to your other question, which is dairy, so dairy, SMP has seen and hence, our input cost has seen benefit coming in. Fresh milk prices have not moved in
tandem to skimmed milk powder. So as a consumer has to consume a glass --
a cup of Horlicks, the fresh milk component, which is, again, an important
component, it has not seen the amount of, let me say, price correction as SMP
has seen, that is still elevated. As that starts to correct yes, we do believe that
will augur well to drive consumption as pen etration is already up compared to
when we acquired the business. E very year, we have improved penetration.
So consumption will augur well with dairy fresh milk prices coming down. But suffice to say that we have gained market share, both volume and value market share in the category. So I hope that just puts all the pieces, Manoj, together.
Manoj Menon: Yes. Just a quick follow -up here. Let's say, in your definition, would you call
Horlicks, a premium product or, let's say, a mass product? I mean how do you kind of approach it? Because since you are the market leader by a distance, right? I mean -- and you kind of operate with the relevant competition out there,
the 2 other players. One way you can define is that within the category, you
have mass. But from a consumer lens point of view, for a product which costs,
let's say, INR 500 plus for a kilo, would you call it a premium product? The
reason I'm asking because when we had this premiumization and the affluent
consumers of consuming more, etcetera , I would have expected Horlicks to
recruit more number of consumers or more usage. So that's point number one.
Point number two, given that it's been a little more than 4 years of integration, have we not really seeing any sales vector -driven growth despite a rupee s 2
price point as well. So how do we think about that as well?
Rohit Jawa: Yes. I

think I'll change the axis or rephrase the question, and let's see if it works
for you. So when you put all the categories on an axis of not so discretionary

Sensitivity: Public to essential discretionary, Horlicks would or HFD would tend to be on the more
discretionary side. Therefore, whe n under income stress, consumers might
choose not to have as often or as much, and that might have been one of the dampeners given all of the massive price increases and the income stress we saw in this -- in the last few years.
If you go to south and east and I've visited a few homes, it's really the average consumer who uses this for their children. It is not a luxury or it's not something that is seen as being ultra premium. It is expensive compared to other areas,
and therefor e, that is a little bit discretionary, but it's seen as a day -to-day use
product widely consumed certainly in the south and east, which is strong holds.
But even in the south and east, the penetration -- annual penetration of this
category is sub- 40%. And in north and west, it's actually very, very low. So the
opportunity or white space for this is more as a category, which needs to drive
market education to increase its relevance and basically address the taste and
the nutritional needs of mothers across length and breadth of India.
So I will not qualify this as a premium game but more as a market development,
a relevance increasing job to do. It has tiers, which are premium. So things like the Plus range, which is even more expensive, tends to be clinically supported. It is sold in pharmacies to specialized needs like bone strength or diabetes and or use of special conditions and is also showing very high levels of growth.
In fact, the growth there is quite good, and we want to lean more and more in creating that tier of the platform Horlicks, and some of the value -add variants
also which had adults uses such as light are also seeing some tailwinds. So
there is a premium part of this category.
But on the whole, I would not characterize this as a, let's call a niche or a more inaccessible category. So it's a widely used category with high potential of
increasing usership in the country.
Ritesh Tiwari: And then your second sub question, if I got it right, Manoj, on the INR 2, INR5
equivalent. As we have spoken about the amount of market development that
we did, and we did bring down the access of the category to consumers, and it
has yielded results. The INR2 or INR5, the poly packs that we did for 250
grams, et cetera, that has helped us to build continuous penetration over the last

Sensitivity: Public 3 years. The job now is to convert the penetration into consumption is what Rohit was mentioning, and that's the focus for us now.

Moderator: We have a next question from the line of Avi Mehta from Macquarie. Please go ahead

Avi Mehta: I just wanted a simple question on the EBITDA margin range. You have said that you want to refer with healthy range. Could you kind of give us a sense on what this range is given that GSK portfolio, the distribution agreement falls off and that would also have a margin impact? Would love to know what ratings are you talking about and say healthy?

Ritesh Tiwari: Yes. So again, a sharp answer where we are today, the margins are healthy, and that's the range. We have been at 23%, 24% range for last some quarters now. And we would want to maintain at current healthy levels. Now over there, of course, puts and takes, Avi, to it. If I go forward from here, the focus that we would want to give is on the line of gross margin.

Now gross margin that we are between last quarter, current quarter, if I just average the momentum, we are already back to pre- inflation levels, but we will not get bac

k to pre -COVID levels. There's still a 200 bps gaps to our pre - COVID levels. So that's t he first port of call that we have to do. Equally, we are mindful that we have to further step up investments. In fact, in my outlook, we were calling out that going forward, we see further stepping up of investments given the job that Rohit was articulating on further dialing up on investments for innovation, further market development, more capability building, more beauty, more foods.

So you will see investments further getting dialed up. And of course, equally, the competitive intensity is increasing. So we will need more amount of A&P investments, which we will lean in. And to support that, we need to draw upon more gross margin. In t he short term, we are leaning with price promotion as well as required for some price sensitive categories and price points. But equally, the job of makiing portfolio more superior from an offering perspective is the focus.

So hence in summary, the margins that we are, are healthy. From here, we have to dial up investments, they will be hurt, to your point, on margins from next quarter onwards on GSK portfolio, which we're earning roughly INR 300-odd

Sensitivity: Public crores, as you know, on an annual basis, and that goes away. That's how we come. But our job will be to keep driving net productivity across the lines of P&L and start building that back over quarters. Will it happen all of that in 1 quarter itself? The answer is no. But our intention should start building that back over quarters. Yes. So that I would say will be the way we want to look at our overall margins. Medium to long term, we had called out our a mbition is to have modest margin improvement and our EPS growth to be driven by top line growth. In short term, the puts and takes as explained would be a little different.

Avi Mehta: Got it. Got it. Fairly clear on this. And the second bit -- just a clarification, I would love to hear your perspective on the distribution margin structure change that has been talked about -- and whether you see any near -term impact of this on channel inventory and probably because of the reported sales. That's all from my side.

Rohit Jawa: Yes. Let me pick that up. So just to give a few facts and some principles around this. So distributor sales, general trade is core of the business, it's 2/3 or more of our company. It will always be a very, very important part of our business. We've been i nvesting. We have long- standing relationships with our distributors. They are one -to-one relationships.

We have a mutually beneficial interest arrangement. And we've been investing to make our distribution and our distributors future fit. Shikhar is an example of the technology stack that is now well deeply embedded and is providing massive dividends in a competitive moat.

We have looked at and improved processes such as warehousing and delivery and many other ways of making our distributors basically also more or more capable and training them because we do think this is a long- term relationship, we are -- they are our part ners. So it's generally in that constructive space, we have a distributor inclusive and a d istributor progressive belief system.

Now in light of this, the margin structure, in fact, has been evolving over the last 10 -odd years or longer. It's not what I started off as a management trainee.

It's evolved considerably for different channels and for different kinds of distributors.

Sensitivity: Public And what we've done essentially is in the same direction of change, made the
margin structure more future fit. In that, we have now incentivized distributors in big cities to essentially sell more, of course, but importantly also to service more stores,

service and deliver them the next day and to sell more lines,
especially more on market development of premium le ad lines or more
assortment, or more w idth.
This is not just incentivizing what will increase their sales, but also incentivizing higher earning potential. And having done this for 1 year with a significantly large sample, we have seen favorable response. We saw
improvement in all of these metrics.
We saw, therefore, a better served kirana store. We saw a higher earning realization not just potential of our distributors. And our sales growth were also
stronger because we are basically getting to more outlets and some of the more
often and selling more lines. So all in all, it made a lot of sense as a win -win-
win to take this then to our big cities where this is important.
So we have not cascaded this to top 100 cities. It's 3 months, the transition has gone well. It was change managed. We are watching closely the results. There has been some claims, etcetera , of any stoppages, but we haven't really had any
adverse impact of any kind and at this stage, we continue to work with our
distributors one -on-one and making sure that they are able to realize the high
earning potential that the new incentive system offers them.
So I would say that this is in the right direction, it makes our distributor's future fit. It makes them competitive versus other options the kirana stores have to
access products like us.
Moderator: We have a next question from the line of Aditya Soman from CLSA. Please go
ahead.
Aditya Soman: Just one question from me. Sir, this appointment of the new Chief Digital
Officer as well as the split of the Beauty & Personal Care business, it seems
like clearly, targeted towards some of these newer D2C brands that seem to be growing faster than the Unilever, at least in the past few quarters. Sir, what would be the immediate targets for both from the perspective of the Chief
Digital Officer as well as from the Beauty business over what we can track
over the next, let's say, 4 or 5 quarter s?

Sensitivity: Public Rohit Jawa: Well, I think the reasons are not just to address the digital- first brands, which
even though there are many and a few of them are successful are still not the
scale. I think we have to look at this is more about the opportunity that lies even ahead of all of this discussion, frankly. Because the Beauty Care market
and Beauty & Wellbeing market will grow exponentially and create way more
value in the decades to come, if it is per capita consumption be anywhere near
even Southeast Asia, forget China. And it would be -- it was very difficult for
me to see how one person leading both these businesses, Beauty & Wellbeing and Personal Care could have managed the whole thing.
So the main -- the primary motive of doing this is to create the focus and
specialization for a different competitive sets. Some of them, of course, are
indeed digital. But digital is frankly not just any more about a few brands that is a pervasive. More t han half the time of any average consumer in India now
is on digital media. The e -commerce and digital commerce are increasing fast.
And as you know, even on our route to market, we've digitized our Shikhar, which is 40% of general trade sales are now bei ng tracked are being ordered
through the Shikhar app and all of it is being tracked. So the digitalization is
more secular and more pervasive, it's not just to do with the specific segment of players just to clarify.
Now insofar as what the mandate is for the Beauty h ead and the Personal Care
head, and the CDO head, the beauty care mandate is of course, is to increase
level of growth, is to grow the portfolio, go to faster growth -- new demand
spaces, is to essentially be a best -in-class beauty company or beauty unit in the
country. Not just Indian

best practices, but world practices, which we are able
to easily access and to build a system that's -- ecosystem that's absolutely tuned
to deliver that competitive performance.
And of course, because it's margin accretive, that is why this higher growth here would be actually good for the company. As

far as the CDO is concerned, the job of CDO is to is to program manage our reimagine HUL program because we have digitization efforts across our customers, across our supply chain operations. And I am also asking our CDO to focus on building an even stronger moat or machine in marketing end as well given that the amount of eyeballs and monies that are becoming more and more digital. And the way the data has been

 becoming effectively the new oil and better targeting will become the name of the game to get the competitive advantage.

So, the CDO currently got his hands full to really make this happen and make sure that we remain and make digital another moat for the future. That's really the mandate to the digital officer. I hope that -- and given that this person is along with top team, it makes digital absolutely a central to table discussion as far as our management committee is concerned for every agenda.

Aditya Soman: Yes. No, that's very clear. I think just 1 follow -up here. I mean, in terms of growth, so obviously, I understand the opportunity for a very long period from on the beauty side in particular. So would we see sort of clear demarcation or differentiation in the growth between Beauty & Personal Care? Or do you think that even on the Personal Care business that is still a significant headroom for growth?

Rohit Jawa: On Beauty, clearly as I mentioned, I won't repeat that , but on Personal Care also, we do have similar drivers with Home Care. We have upgradation of formats to liquids. We have premiumization where our brand Dove and pears are doing well, have done well this quarter as well and clearly can be extended to offer new formats.

We are the biggest Personal Care business of the world. When it comes to deodorants, that market will also evolve. Oral Care, we are a strong number two. We are -- we have a significant equity with Close Up. That's 15- odd share and growing and we have now test marketed the new Pepsodent in the south, and we intend to play to win in that category as well.

So of course, the shape and profile of the growth will be more balanced between top line and bottom line and will be more -- will probably not be as fast as Beauty because of the sheer sort of tailwinds across these two different businesses. I think that's really how I would characterize that. So clearly, the ask of the Beauty would be higher in terms of growth, and that's really what I would say about these two businesses.

Moderator: We have a next question from the line of Mihir Shah from Nomura.

Mihir Shah: My first question is on Gross Margins. I believe the focus is to get back to pre - COVID levels. When one would think a better mix and our net productivity

 improvement will drive better gross margins over the medium term. Is there, shall you share what levers can be used in the near term? Can pricing growth be exercise here anytime soon? Or is it still some time for pricing growth to come back?

Ritesh Tiwari: Yes. So , 3 different levers we end up using Mihir. Number one mix, to the point you mentioned earlier, as we see more amount of premium growth, more Beauty growth that should help mix and hence, m ix should help margins, that's number one.

Number two, NRM, where commodities are today, we see a small amount of deflation in fact, we don't see inflation, which means there's no business case for us to take price increases. Now t

he only way you can get some headroom for price, though the outlook I mentioned for the next quarter is still a marginal price decline. But, if I just look at a little continue on next 3 to 4 quarters, we have to do a better job with NRM. And this is what is the second lever after mix, we will deploy in terms of getting price growth. When I say NRM meaning when you look at the incentive curve between the price points, when I look at how do we deploy promotion can we do better in terms of promotion pullbacks wherever we can, where we are doing a portfolio play across different price point pack, how do we deploy that entire mix of price point pac k architecture that should help us to do.

So, the entire deployment apart from mix , NRM is the second way to drive pricing. And third, to drive gross margin is, of course, the job as you already articulated is net productivity, are we improving

year -on-year net production
cost? So , we have a pretty massive drive in supply chain of reducing year-on-
year production per ton.
And behind that, a lot of work goes in. We're reducing the number of
kilometers the product travels and distribution. As you know, we do spend
money on a substantial amount of resources we commit to restructuring. That is again, reduction of cost pool of -- within the supply chain that will end up
happening.
So, if I add all of those put together, the aim will be to improve also ou r cost
competitiveness within supply chain bucket and hence, reduce in absolute
year-on-year net production cost. So those are three large levers, I would call

 out, within mix, NRM and net cost competitiveness and hence net production
cost reduction are the three levers that we want to use to drive gross margin
going forward.
Mihir Shah: Got it. That's clear, Ritesh. Secondly, we have materially stepped -up ad spend
and investments in brands. However, when one looks at the volume growth
trajectory, it has not shifted meaningfully and remains at low single digits
versus when you look at the market growth, it seems to be growing at a high clip at high single digits.
How should one think about ad spend in the near term? Is there a need for
further increase in ad spends to drive volumes because they're still below the
pre-COVID levels or the current level of ad spend is kind of optimum at this
point of time and volumes will come back as the macros improve?
Ritesh Tiwari: Yes. So first, just to give you a little more color Mihir, that you spoke about
market growth in high single digit. So, market at a total level grew at 9
percentage, 8.9% to be precise as we saw in the categories that we play on
volume. But remember, this 9% market volume growth is on the back of market data of negative 4% growth in the base. So important is to look at the 2-year
CAGR how this is developing because base is going to change.
The minus 4 base of market will become 0, in March quarter, it'll become 5% positive base in June quarter. There will be a dramatic correction of the base that will happen. And which is why very important, at least in June quarter to look at 2- year CAGR to appropriately understand what's the market growth
momentum.
On a 2 -year CAGR basis, market is growing at 2 percentage. If I look at HUL
growth, we had 5% growth in the base of December quarter '22. We further grow on top of that 5% positive base at 2 percentage in this quarter. So, we are
seeing, because of that, overall, as you know, that what we called out earlier, a
substantial amount of market share gain at the corporate level over the last 2-
3 years' time.
Now the way I look at A&P, the way we look at A&P as response to that, A&P
at the peak of inflation, of course, we had to curtail back. Industry curtailed
back, the media heat came down at the peak of inflation with price versus cost
b

leed for the entire industry was very high. As that has started to settle down

 meaningfully, we have started to see overall competitive intensity for A&P
going up. Now is it yielding results? Three quarters of the business, which is Home Care, and Beauty & Personal Care has already seen volume recovery, and we are now talking about t he last 2 quarters of HUL growth of mid- single -
digit volume growth in September quarter and also mid- single -digit volume
growth in December quarter.
So, we are seeing volume recovery. So of course, the headline goes up 2
percentage can also get impacted by 1/4 of the business, which sits in Foods &
Refreshment. There, we have a low single- digit volume decline. And hence,
when you take 3 quarters of the business at mid -single -digit price growth, 1/4
of the business in F&R low single -digit decline, you get an outcome of
mathematically at a total company level of 2 percentage.
So, we have seen benefit coming in. And we articulated earlier why we have
declined volume in F&R at low single digit because of t ea down gradation,
because of price increase taken in coffee. Coffee over last 2 years has seen 70%

commodity inflation. Of course, then we have to take price increase, not at the
peak of inflation, which has then led to impact the volume.
Similarly, for overall Health Food Drinks price up, volume lower, and that
called out when Manoj was asking where we have declined at low single -digit
volumes in HFD, but pricing is positive there. So, there are parts of the
portfolio, which a combination of price growth because of commodity in F&R and because of the tea down gradation, we are seeing headwinds coming in
from F&R.
Now this will start as commodities already started to moderate, the point we
were discussing, we should start seeing price growth year -on-year moderating
and what we have seen for 3 quarters of the business volume recovering, we
also expect that this quart er of the business, F&R should also start seeing
volume recovery. And then you will see the further impact.
Mihir Shah: Got it. Great. That's wonderful. If I can slip one more quick one. Given the delayed winter, is there any case for Skin Care to see better 4Q or the channel inventory will take care of the demand? And that's all from my side and wishing all the very best.

 Ritesh Tiwari: Mihir, we don't have concern for channel inventory. Winter has been a little
better in January month. We are hoping offtakes will take care of channel inventory. So, we don't expect this point in time any big development here. But
we will know as a full season complete, we will have a better read. At this point in time, I'm not concerned.
Moderator: We have a next question from the line of Jitendra Arora from ICICI Prudential Life Insurance.
Jitendra Arora: Just a quick question. We've been talking about a share of market across our products. If you can help me understand that -- in terms of channels, how our
share of market has behaved or how was it placed, let's say, GT what will be our share of market in M T, what will be our share of market in E -commerce,
what will be our share of market across categories?
Ritesh Tiwari: Yes. So we -- I will not be able to share reasonably precise numbers, but I'll
still answer the question directionally. Our market share in Modern Trade is
ahead of our market share in General Trade. Yes, number one, number one. Number two, of course, the market growth, as Rohit was articulating earlier, is higher in Modern Trade compared to general trade and hence, our absolute
growth is better in Modern Trade compared to General Trade , yes? So those
are 2 precise answers. MT market share and growth hi

gher than GT market
share and growth.
Jitendra Arora: And e -commerce?
Ritesh Tiwari: See e- commerce, again, one has to look into different components, pure play
and grocer. And pure play is a fragmented market, as you're all aware. Grocer,
very similar when I say omnichannel, very similar to what you see in Modern
Trade .
Jitendra Arora: Okay. And quickly, a second question. We've been talking about building the digital -first brands like Love Beauty and Planet. If you can share what has been
the progress in terms of brand sizes over last 4 years now that we've been at it
for that much time?
Ritesh Tiwari: Yes. So let me just give a precise number. And then if Rohit can attribute on overall, if you want to further top it up. So, we've seen encouraging outcome,
on Simple and Love Beauty and Planet. Remember, we launched 5 different

 brands in that space. Two of them have started showing extremely encouraging
signs.
Today, our -- if I add premium beauty business unit, which is why we launched
brands, we are already our momentum is more than INR100 crores ARR. So,
we are seeing and that's our milestone. That as we launch this brand, where do
we want to see them in a couple of years' time, we wanted to have to see a scale of more than INR100 crores ARR, and we're seeing that.
And we always knew when you launch 4, 5 brands, some of them will pick up early and some of them will pick up as time progresses and some of them might
not end up having that amount of success. And that's exactly how it's also

panning out. We are seeing ea rly encouraging growth signs in Simple and Love
Beauty and Planet.
Rohit Jawa: If I draw even a bigger benefit from this way of working is really how company
of our scale is learning how to build digital -first, social -first brands. And then
how do you scale them progressively as if you are a digital -first company
within the span and the framework of a big company.
So the playbook that we have now been able to learn through this INR100
crores ARR division or unit is our ability to see d -- build new brands or new
benefits by tracking or pioneering by through our Agile innovation lab, through
our nano factories quickly to prototypes to check product market fit, find a successful product market fit through deep
consumer interaction engagement, performance market to build a certain scale or digital only, lead that then next
to the other platforms in e -commerce, then next to big Modern Trade , small
Modern Trade and beyond to big stores in GT.
So, we now have a path and a playbook of how to take homegrown or HUL
premium beauty brands and take them then successively to scale from 0 to 10,
10 to 100, 100 to 1,000. So, this playbook is a playbook we will learn and
leverage not just for Beauty Care, but also perhaps in foods. Perhaps even our core businesses and make this basically a
new way, a new muscle. And that is
what's going to be also a very important outcome of our experience in the last 3 years, apart from the fact that we have now 2
beautiful brands, maybe a third one that would definitely go mass.

 Jitendra Arora: Great. I look forward to that. Just to clarify, so this INR 100 crores ARR is for
both the brands put together?
Ritesh Tiwari: That is right.
Jitendra Arora: Okay. And that's ahead of our expectations, you've mentioned.
Moderator: We have a next question from the line of Krishnan Sambamoorthy from Nirmal
Bang Institutional Equities.
Krishnan S.: Yes. Ritesh, a couple of questions on your Slide 15 where you have shown the
business winning share proportion. Now if it is at 60% as of MAT, then i s my
reading correct that the proportion for the for the December '23 quarter will be
substantiall

y lower than that level? And therefore, you are showing on an MAT
basis, some dip before recovery going forward?
Ritesh Tiwari: So, these measures, Krishnan, always good to look at MAT because it's always
volatility on a monthly basis and a quarterly basis, and which is why we always
firmly look at this measure on a MAT basis. And we called out that our overall
development of width , which is what the business competitiveness on business
winning measure stands for. If the number is 60% is plus, it's a very healthy
outcome.
And over a long- term period , multiyear period, there will be points in time
where this will take a dip as it will start lapping the high base that it has. And remember, it's a binary measure where 1 bps
market share gain for a category is plus positive and 1 bps market share loss is negative. And which is why to help all of you
we did put this time, both the width measure, which is personal
business winning and also the depth measure, which is overall corporate value
market share.
So, this number will dip below 60% on a MAT basis. And then as we
mentioned in a couple of quarters, we will work our way back, and it will then
start going in our view. This is all the investment line of sight, product superiority and innovation we have, we should then go
back up again 60
percentage plus.
Important -- as that happens, we are holding on to our 200 bps corporate market
share gain that we had in the last couple of years. And that's the depth measure that we want to ensure that this transition
happens a bit below 60s and back to

 60% plus, we're able to hold on and then start inching up our c umulative
corporate market share. So that's how I would want to see this competitiveness.
And hence, I thought it would take a few more minutes to explain that difference.
Krishnan S.: Okay. Ritesh, I know you may have shown this only for representative purpose,

but you plotted the chart up to December '24. I mean you've taken at least on
the chart, it seems that it's taken to slightly above 60%. Is this just general conservatism or can you do better than that?
Ritesh Tiwari: No, of course, no precise number, we will not be able to predict for future. But
it's not for representative purpose. That's exactly what we want to do, which is,
as I mentioned, we expect that to dip below 60%. And then we will work our way through in the second half of the calendar year '24 back to about 60%. And
a number of 60% is healthy overall, Krishnan, a nd that's what we want to
maintain. But the point -- I'm sorry, I'll repeat again, we will look at that and
the depth, which is corporate value market share.
Moderator: We have a next question from the line of Sheela Rathi from Morgan Stanley.
Sheela Rathi: My first question was -- you talked about a gradual rural recovery. And let's
assume that after the winter crop, there is a rural recovery. So, the question
here is that which part of the portfolio do you see will see the accelerated
growth because Ritesh talked about we're already seeing mid -single -digit
volume growth in the Home Care as well as the BPC business.
Ritesh Tiwari: Yes. So, this Sheela overall is across the board, of course, because when the
rural demand has got impacted because of high inflation, income levels not
keeping pace, disposable income getting contracted. That implication has got
implications across the board of the portfolio. So, we do expect this overall
number recovery will happen will help all around.
But I also want to mention when we talk about rural, it has been resilient. Now just imagine for rural, it has seen high overall impact of cumulative inflation, number one. Number two, we have seen wage inflation did not keep pace with overall commodity or FMCG inflation. It has seen an impact of a lower
monsoon, number three. Number four,

we have seen overall job creation being there, but also unemployment have gone up.

 If I add all these 4 macro realities, and then if I look at number of a rural, which
is 2 years CAGR, as we speak this quarter, plus 1, I think this could have been more worse. So, market is pretty resilient. And hence, we do expect that from
here on as this -- and we mentioned there are 2 things we will watch out for
looking at the pace of recovery. What's the outcome of yield for the winter crop
and how does this rural income level increase over the next couple of quarters.
That, in our mind, will determine the pace of recovery of rural demand. But as
that demand improves, the impact, Sheela that wil l be across the portfolio and
not only A or B part of the portfolio.
The question I was talking about for 3/4 of the business on Home Care and
Beauty & Personal Care, and I was trying to segment that against F&R. That
was, again, at a totality level, talking about overall inflation, how that inflation is played out and hence a recovery. So those I would say both are additive in terms of how we see recovery. We expect recovery to happen of F&R as
commodity starts to moderate, and we'll start seeing that consumption coming
up.
And overall, across segment, we also can see rural as rural starts to come up, we should start seeing that benefit as well. But as I mentioned, we have to watch over the next couple of quarters how these signals turn into reality and
the implications on demand improvement.
Sheela Rathi: Understood. The bigger problem at hand is the rural slowdown and not the competitive landscape. Is it a fair assessment to make here?
Ritesh Tiwari: I think that is fair. Very fact we mentioned about that overall 200 bps corporate
market share gain substantially holding on where we are today,
competitiveness, our view. So, there have been pockets we had called out
where we had challenge of competitiveness. We also mentioned to you what we have done about it. So, we feel very confident there.
The challenge of overall recovery is critical and which is why I mentioned that
3/4 of the business has seen mid -single digit, and we would want to see the last
quarter business also to come back with commodity coming back. Now of course, the important fac tor is, is it only volume growth that is determined
headline growth or volume growth plus price growth, that will determine
overall growth.

Sensitivity: Public ;Where we are today, as I called out in March quarter, we do see a marginal negative UPG. And we'll have to see as commodity plays out in quarters further, how does this price growth plays out. Long- term average for FMCG, we do expect 4% to 5% price growth to be there, which we have not seen, as you saw in current quarter i n fact it was negative 2%, we do see marginal negative next quarter, and we'll see how commodity plays out to see what this means in further quarters to come. But there has to be a healthy level of some amount of price growth as well to help overall headline growth as well.

Moderator: I now hand the conference over to Mr. A. Ravishankar. Over to you, sir.

A. Ravishankar: Thanks, Yashashri. With that, we'll come to the end of the Q&A session. As always, we will have the presentation and the playback of this call uploaded on our website. Thanks again for everyone's participation and have a great evening ahead.

Moderator: On behalf of Hindustan Unilever Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This transcript has been edited to remove any grammatical inaccuracies or inconsistencies of English language that might have occurred inadvertently while speaking.

Call: Apr 2024

30th April , 2024

Stock Code BSE: 500696 NSE: HINDUNILVR
ISIN: INE030A01027
Dear Sir /Madam ,
Sub: Transcript of the Earnings Call for the quarter and year ended 31st March, 202 4

This is further to our letter dated 2 5th April, 2024 , whereby the Company had submitted the link to the audio/video recording of the Earnings Call held post announcement of Financial Results for the quarter and financial year ended 31st March, 202 4.
Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the Transcript of the said earnings call, for your information and records.
The transcript of the earnings call is also available on the Company's website at :
https://www.hul.co.in/investor- relations/results -presentations/quarterly -results/march- quarter-2024- results/
Please take the above information on record.

Thanking You.
Yours faithfully,
For Hindustan Unilever Limited

Dev Bajpai
Executive Director , Legal & Corporate Affairs
and Company Secretary
DIN:00050516 / FCS No: 3354
BSE Limited,
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Rotunda Building, P.J. Towers,
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Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra – Kurla Complex,
Bandra (E),
Mumbai – 400 051

"March Quarter and Financial Year 2024
Earnings Call of
Hindustan Unilever Limited"

April 24, 2024

Speakers:
Mr. Rohit Jawa, Chief Executive Officer and Managing Director
Mr. Ritesh Tiwari, CFO and Executive Director, Finance and IT Mr. A Ravishankar, VP - Finance

Moderator: Ladies and gentlemen, good day, and welcome to Hindustan Unilever Limited Conference Call for the Results of March Quarter and Financial Year Ended 31st March 2024. As a reminder, all participant lines will be in the listen- only mode and there will be an opportunity for you to ask questions after

the presentation concludes. Should you need assistance
during the conference call, please signal an operator by
pressing star then zero on your touch- tone phone. Please note
that this conference is being recorded.
I now hand the conference over to Mr. A. Ravishankar, Vice President, Finance. Thank you, and over to you, sir.
A. Ravishankar: Thank you, Yashashri. Good evening, everyone, and welcome
to the conference call of Hindustan Unilever Limited. This
evening, we will cover the results of March Quarter and Financial Year Ended 31st March 2024. On the call with me is
Rohit Jawa, CEO and Managing Director; and Ritesh Tiwari,
CFO. We will start with prepared remarks from Rohit and
Ritesh, where we will cover an overview of our performance in
the financial year and in March quarter and our future outlook.
We expect this to take around 30 minutes, which will leave us
with an hour for the Q&A session. Before we get started with
the presentation, I would like to draw your attention to the
Safe Harbor Statement included in the presentation for good
order sake.
With that, over to you, Rohit.
Rohit Jawa: Thank you, Ravi. Good evening, everyone. Thank
you for joining us on the call today. It's always a pleasure to
interact with all of you.

Let me first start with an overview of the operating context for
financial year '24. With softening in prices of key commodities,
especially those with Home Care and Personal Care, we
passed on this benefit to consumers. Consequently, there was
a nominal to no price growth in the year. Volume recovery
remained gradual due to high levels of cumulative inflation
over the past few years, coupled with a weak monsoon
affecting rural demand. Urban, organized trade and premium
portfolio stayed resilient and led growth for FMCG overall.
Given this context, we delivered a resilient performance for the
year with an underlying sales growth of 3% and an underlying
volume growth of 2%. EBITDA margin was up 40 bps year -on-
year. We continue to focus on operational excellence and buil t
back our gross margins, with a substantial part of this being
reinvested behind brands and capabilities. Net profit crossed
the milestone of 10,000 crores in this fiscal. PAT before
exceptional items and EPS grew 4% and 2%, respectively.
Moving on to our competitive performance. It's important to
look at corporate market shares and MAT business winning
metric over a longer period, to fully appreciate the impact of
the inflation, deflation cycle on these metrics. Compared to
2021, we have improved our corporate market share by
almost 200 bps. As we said previously, we have seen resurgence of small and regional players, who had vacated
the market during peak inflation.
Consequently, in recency , we have seen a marginal dip in our
market shares. But it's important to note, we are holding on to almost all of the gains made in 2021 and 2022. Last quarter,
we discussed how we expect our MAT business winning metric

to be impacted as we lap the high base. While the metric has
dipped below 60% this quarter, we are confident that it will
come back towards the second half of calendar year 2024.
Our business fundamentals continue to remain strong, as can
be evidenced by healthy pen

etration gains a nd business with
growing or stable brand power as we continue to expand our
physical and mental reach.
I ha d first spoken to you about key thrust areas for HUL in our
October Earnings Call. A lot of what we have already been
doing has strengthened our business, and we continue to build on it. However, it's equally critical for us to transform our business to serve the changing consumer aspirations to
ensure we outperform in the years to come.
Let me delve into the progress we've made against each one
of these thrusts during the fiscal. Our first thrust is to grow the
core through unmissable brand superiority. This chart is
evidence that we are a powerhouse of big purposeful brands. We have a total of 19 brands clocking over INR 1,000 crores each in annual turnover. Put together, these 19 brands account for over 80% of our turnover. Clinics Plus is now an INR 2,000 crores brand for us , having moved up the table in the
fiscal . Boost, Sunsilk and Vaseline are the next three brands
that are moving towards the INR 1,000 core mark.
Consumers are increasingly discerning and are making well -
informed holistic buying decisions. We started on our product
superiority journey to provide best -in-class products and over
the years have made very good progress in this space. With
evolving consumer needs, we are now broadening the way we

measure and deliver superiority. Under the framework of
unmissable brand superiority, we will measure our products
against six tangible and distinct drivers, namely the 6Ps, all of
which are proven drivers of consumer preference.
We have already embarked on this journey of making our
brand unmissably superior, and I will take you through two
examples to bring this concept alive. Starting with Vim liquids.
During the year, we have driven multiple initiatives across
each of the 6Ps to land an unmissabl y superior product in the
market . From improving formulation to sharpening
proposition and modifying the packaging to be more
aspirational and ergonomical , specific actions were taken to
address each driver of consumer preference. The result of these actions has been promising , Vim liquids has seen a double -digit volume growth in FY '24 with highest penetration
gains in over a decade and continued market leadership.
Horlicks is another example of a brand that has pivoted its
actions around the 6Ps to deliver an unmissably superior
brand. We have sharpened and fortified the proposition of taller, stronger and sharper through precise and focused communications, packaging redesign and promotions. We
have dialed up nutrition science information at the face of the
pack, providing consumers with crucial information about the
product. As a result of these actions, the brand has
significantly strengthened its position in the market. Penetration, market share and brand power have all seen improvement year -on-year. We are confident that our journey
from product superiority to unmissable brand superiority will

take our brands from strength to strength and solidify our
market leadership.
Moving on to market making and premiumization. Given the
context of increasing affluence and under- indexed FMCG
consumption, we have a huge opportunity to build categories
of the future through market making and premiumization. We
are doing this through persuasive communications via the
right medium, innovating in new demand spaces and formats
of the future and educating consumers at scale.

During the year, we've used these levers disproportionately to invest in market making and premium cells. For instance, more than 75% of incremental media investment was spent on market making, p

remium cells. Similarly, more than 70% of our innovation turnover also came from these cells. We continue to lean in on home -to-home connects to drive trial and usage. As a result of the sustained investments in market making and premiumization, we now have a very robust portfolio that is leading growth for us. We have not only seeded categories and formats but have successfully built them to scale. The portfolio you see on the slide contributes to more than 25% of our business and has grown double digits this financial year.
I ha d previously spoken about the job we have to do to continue transforming parts of our portfolio to on -trend demand spaces, especially in Beauty and Foods. Let me give you an update on the Beauty segment today.
We are the largest beauty company in India with a history of creating categories across skincare, hair care and color cosmetics, making us the distant number one in these

segments. In our journey of transforming our Beauty business, we are focusing on, A, contemporizing our current master brands, B, investing behind identified high- growth demand spaces, and C, embedding capabilities across supply chain, mental reach, media models, and thought leadership.
We have led significant transformation across our key master brands, and results of a few are here for you to see. We've revamped our brands by refreshing product, packaging, communication and innovating them into new demand spaces and formats.
The Indian beauty market is rapidly shifting with changing lifestyles, increased disposable income, exposure to global trends and a growing emphasis on self -care and wellness.
We've identified six key demand spaces, big bets, which we believe will grow disproportionately over the next few years.
We already have a strong INR 2,000 crores portfolio across these big bets, and we continue to invest to scale them up. This portfolio delivered a double -digit growth in this fiscal with a c. 50% growth in e -commerce.
To build and bring our vision of creating a world -class beauty company to life, we are embedding core capabilities into our present processes. Let's talk about three critical capabilities:
make for beauty. Our focus is to enhance desirability of products using superior technology, premium packaging solutions and formats. To continue to innovate with speed, we will invest and expand our footprint of nano factories and the supply chain for smalls. Reach for beauty. Consumer journeys have increasingly become non- linear and on digital mediums.

And hence, we are pivoting our mental reach model towards more digital media and influencer marketing.
Authority for beauty. Building on our 20 -plus years of experience in creating India's most iconic beauty moments through the Lakme Fashion Week, we are creating a beauty council with key opinion leaders from the fashion and the beauty Industry. In January this year, we unveiled our first addition of the beauty collective, through which we aim to strengthen Beauty partnerships with e -commerce and modern trade customers.
Through these actions, we aim to build a future -fit portfolio

and capabilities that will enable us to meet the evolving needs of Indian beauty consumers.
Our fourth thrust of leadership in Channels of the future is about brilliant execution and curating a tailored portfolio and leveraging our design for c hannel approach.
In general trade, we are focusing on expanding and fortifying our distribution moat. Our effective coverage and assortment both have seen a steady rise, standing at 1.2x and 1.25x of FY’20 levels respectively. Our e -B2B app, Shikhar, continues to be a strong point of differentiation for us, and

we have
successfully onboarded 1.3 million stores in Shikhar till now.
We have enhanced Shikhar's functionalities to include loyalty programs, innovative marketing campaigns, and best -in-class app features. These are yielding good results for us. For instance, stores onboarded on Shikhar are growing faster than the other stores.

We have elevated our execution excellence by amplifying our in-store activation through strong partnerships with customers in modern trade and e -commerce. As a result of our focus sed actions, we have increased our on- shelf availability by 200 bps in modern trade and online availability by 500 bps in e - commerce.
These strategic thrusts are underpinned by our distinctive capabilities that we continue to strengthen. Let me speak briefly on each. Winning in many India’s is a capability that we continue to embed deeply across our organization, allowing us to cater to differentiated needs of Indian consumers. Our net productivity program is crucial for generating fuel for growth to invest behind our brand and capabilities. We will continue to generate efficiency across all lines of the P&L through this program. Re -imagine HUL has given us a head start in our digital transformation agenda. Shikhar is a tangible example of the success of this program. We are now focusing our digital agenda of superior consumer and customer experience with an objective to sell more, save more, and manage better.
Speaking about sustainability, sustainability can future -proof the company and create new opportunities. It safeguards our operations, de-risks our supply chain, helps us attract and retain great talent, and shapes our response to the most pressing and relevant global challenges we face.
Going forward, we will accelerate our sustainable agenda around four key priorities that have the biggest material impact on the business, notably climate, nature, plastics, and livelihood. By focusing our efforts and resources, we will make

stronger, tangible progress on these complex challenges while creating opportunities for our business.
Our distinctive and meritocratic culture has helped us attract and retain the best talent in the country. During the year, we've invested in building a future -ready organization. We have separated beauty and personal care into two segments, appointed a Chief Digital Officer and a Chief Sustainability Officer to bring greater focus and speed and execution in these areas. We've also set up a customer strategy vertical for each business unit to operationalize and execute business unit relevant actions across channels.

I am a big believer of the India story and the FMCG opportunity. Our journey of transform to outperform will take HUL to the next phase of growth by enabling us to continue serving the evolving aspiration of Indian consumers and win in the market. Now let me hand over to Ritesh, who will cover our results in detail.
Ritesh, over to you
Ritesh Tiwari: Thank you, Rohit, and good evening, everyone. I will now walk you through our in- quarter and financial year performance in
more detail and also then cover our outlook. In the quarter, demand trends remained broadly similar to what we have seen in DQ '23. In this context, we delivered a resilient performance with underlying volume growth of 2%. Pricing remained marginally negative, leading to an underlying sales growth of 1%.
Moving on to bottom line performance, EBITDA margin remained healthy at 23.4%. I will cover EBITDA construct in

more detail later in the present

ation. Profit after tax before exceptional items and profit after tax declined by 3% and 6%, respectively. The difference between PAT (bei) and PAT is primarily on account of lapping higher exceptional income in the base period.
Let me now move to performance across our three segments. Home Care and Beauty and Personal Care segments continue to see negative UPG in the quarter. Home Care grew 1% with mid -single -digit volume growth. BPC USG declined by 2%, with volumes remaining flat. Foods and Refreshment, on the other hand, had positive pricing and delivered mid- single -digit USG with flat volumes.
We continue to see positive volume growth across most of our business. Overall, 75% of our business is growing volumes. In fact, 50% of our total business is growing volumes in mid - to high single digits. Margins in all three segments remain healthy, with Home Care and Foods and Refreshment at 19% and Beauty and Personal Care at 26%.
I will now click down to talk about performance within each of the segments.
Starting with innovations and activations in Home Care, Comfort Crease Ease Spray i s a format innovation that refreshes you clothes on the go. It helps release wrinkles while giving your fabric a refreshing fragrance. In Surf Excel liquid, we launched a new winning proposition of ‘ removes tough dried stains first time in the machine ’.
Moving on to Home Care performance in the quarter. Volumes in both Fabric Wash and Household Care grew in mid -single

digit. Premium portfolio continued to lead growth. On a 2 -year CAGR basis, Home Care delivered double- digit revenue growth.
Let's look at key innovations in BPC. With summer rolling in, we have launched a range of sun care products catering to different consumer needs. One of these is the Invisible Sunstick by Lakme, a revolutionary sunscreen that is 100% invisible on all skin tones, yet effective with SPF 50+. Dove sensitive care range of body wash and soap, which helps repair skin’s weakened barrier was launched. Lakme recently launched Multislayer Face Stick at Lakme Fashion Week. Available in two

variants, these sticks replace a multistep makeup routine with
a single product.
Moving on to performance in Beauty and Personal Care. It has
been a story of two halves this quarter with diverg ent trends in
Beauty & Wellbeing and Personal Care. To give you more clarity on this, we have disclosed the underlying sales growth for the two segments this time. As communicated earlier, we
will begin detailed financial reporting for the two segments
from June quarter onwards.
Beauty & Wellbeing delivered a volume -driven mid -single -digit
growth, whereas Personal Care witnessed a 10% decline. Talking about Beauty & Wellbeing, Hair Care delivered high single -digit growth, driven by volumes. This was led by
outperformance in premium brands, including Dove and TRESemmé. The post -wash hair treatment segment continues to gain consumer traction and cl ock strong growth. Volumes
for Skin Care and Color Cosmetics grew at low single digit. If you were to split the performance by price tiers, mass skin

portfolio, including talc, declined on account of muted
demand. However, premium skin continued to outperform,
growing in double digits.
Oral Care delivered a broad -based double -digit growth,
driven by pricing. Skin cleansing has declined on the back of price cuts taken, coupled with reduction in volumes led out of mas s portfolio. We are not satisfied with this performance of
skin cleansing. Let me share an overview of the actions we are
taking to improve the business.
These are focused around four key pillars of pricing, product,
innovation and channe

ls of the future. We have adjusted pricing across relevant packs in the mass and popular
segment to ensure we provide our consumers with the right
price -value equation. With respect to products, we are
contemporizing our brands and improving formulations in our
core portfolio. We are stepping up innovation intensity in fast -
growing demand spaces, especially in premium portfolio.
Bodywash has been clocking strong growth over the last
several quarters, and we will further lean into this format. The Dove Sensitive range and Hamam Turmeric variant are some of the other examples of recent innovations in premium space.
We're also stepping up assortment in modern trade and e -
commerce to ensure we win in these high -growth channels.
Whilst we expect to start seeing a change in the category’s
performance trajectory, it is likely to take a few quarters before the full benefit is felt.
Coming to innovations and activations in Foods &
Refreshment. Brooke Bond Red Label Tea has always stood for

bringing people together. Our "Swad Apnepan Ka" campaign
embodies this ethos with the latest rendition that attempts an
un-stereotypical portrayal of differently abled people. Ice
Cream had multiple innovations, landing in the market before summer season kicks in. We took our very successful partnership with Cadbury forward by launching a product
which gives our consumers the best of Cadbury Crackle
Chocolate and Feast. Mango Duet is a winning combination of
vanilla and mango that offers a superior multilayer experience
at INR10.
Moving on to performance in F&R. Tea further strengthened
market leadership in this quarter with strong gains in both
value and volume. Business had a muted performance year -
on-year as we continued to witness consumers downgrading.
Green Tea and functional tea continued to perform well. Coffee delivered double -digit growth, driven by pricing.
Functional nutrition drinks, which includes Horlicks and Boost,

delivered high single -digit growth, led by outperformance in
the Plus range. This category continued to witness market share and penetration gains during the quarter.
Foods delivered mid -single -digit growth, led by soups, Food
Solution, mayonnaise and peanut butter. Ice Cream had volume led double -digit growth. We have had exciting
launches in Ice Creams this quarter in lieu of upcoming
season, a couple of which I spoke about in the previous slide.
Let me now spend a few minutes explaining the components
influencing EBITDA margin.

At 23.4%, EBITDA has declined 30 bps year -on-year. Gross
margin at 51.3% has improved by 350 bps year -on-year. We
continue to focus on building back our gross margin through
improved price coverage, mix and net productivity initiatives.
Advertisement and promotion investments at 10.8% is up 200
bps year -on-year. Our absolute A&P investment was almost
INR 300 crores higher than last year as we continue to invest
competitively behind our brands and maintain share of voice ahead of share of market. We have also stepped up our digital
media investments significantly as we rework our mental
reach and media models with the reshaping of our portfolio.
Employee benefits and other expenses at 18% is up 120 bps
year -on-year. This includes an impact of 30 bps on account of
staggered rate increase in royalty. The rest of the increase can
be attributed to investments made in future -fit capabilities
and lack of price leverage.
On a full -year basis, other expenses and employee benefits
expenses at circa 13% and circa 5% of turnover, respectively,
are in line with our long -term trends. The termination of
consignm

ent selling agreement with GSK will have an impact
of 60 bps starting this quarter. Hence, between this and
increased royalty there is an impact of 90 bps on the EBITDA in
the quarter.
Moving on, a summary of our performance for this quarter. I've already taken you through most of the lines in detail, pausing
a few seconds on this slide for you to read through. Coming to
financial year results, Rohit has already shared the headline

performance at the beginning of the presentation. Let me
quickly recap the numbers.
Underlying sales growth for the year was 3%, EBITDA margins
remained healthy at 23.8%, up by 40 bps year -on-year. PAT bei
and PAT grew by 4% and 2%, respectively. Effective tax rate for
the year was 26% after taking into consideration prior- period
tax adjustment.
Moving to segmental performance for the financial year, this
year has witnessed a transition from high commodity inflation
to deflation in 75% of our portfolio. In this context, we have had
an underlying sales growth of 3% in Home Care and 2% in Beauty & Personal Care, led by volumes. In Foods &
Refreshment, commodity prices remained inflationary during
the year. Consequently, we delivered a mid -single -digit USG,
driven by pricing. Margins in all three segments remained healthy, with Home Care at 18%, Beauty & Personal Care at
26% and Foods & Refreshment at 19%.
Let me now talk about the progress made in rebuilding gross
margin. As you are aware, we took a hit to our gross margin
during the period of high inflation as we did not price to the full extent of commodity price increase. This ensure d that we
have the right balance between competitive growth and margins.
With more benign commodity situation this year, we focused

on building back gross margin through our net productivity
program by bridging the price versus cost cap and improved
mix. We remain focused in further stepping up gross margin as

this serves as a crucial source of funds for investments behind
brands and capabilities.
Considering our performance in the year, the board of
d i r e c t o r s h a v e p r o p o s e d a f i n a l d i v i d e n d o f ■ 2 4 p e r s h a r e . Along with interim dividend of ■18 per share, the total dividend
for this year is ■42 per share, with an 8% year -on-year increase.
Let me now turn to outlook. We expect FMCG demand to
continue improving gradually, forecast of above -normal
monsoons and improving macro -economic indicators augur
well. We expect our price growth to be low single digit decline
in near term. If commodity prices remain where they are, we envisage price growth to plateau in midterm and become positive in low single digits by end of this financial year. In this
context, our focus remains on driving competitive volume -led
growth across our business.
As I spoke earlier on skin cleansing, actions are underway to
address performance in this segment, and we expect to see an improvement over the midterm . We will continue to generate savings through our productivity program and reinvest ut
behind our brands and long -term strategic capabilities while
maintaining EBITDA margin at the current levels.
While we expect near- term demand to recover gradually, we
remain very confident of mid - to long -term opportunity in
Indian FMCG. India's booming economy, expanding affluent
population, accelerating digital transformation, coupled with
under- indexed FMCG spend will spur premiumization and
provide companies with a strong runway for growth. With our

distinctive capabilities and our strategic thrust of transform to
outperform, HUL is well placed to capture this opportunity.
With this, we conclude our prepared remarks, and we will now
hand it back to Ravi to take Q&A.
A. Ravishankar: Thank you, Rohit. Thank you, Ritesh. We'll now move to the Q&A
session. As always, we request you to kindly keep the questions
to a maximum of two, so that we get to take as many
questions as possible. In case you have any further questions, please feel free to join the queue again. In addition to audio, participants also have an option to post the questions on web,
if there are any unanswered, we will take them at the end.
With that, I'll hand over the call back to Yashashri to manage
the Q&A session for us.
Moderator: Thank you very much, sir. We'll take our first question from the
line of Abneesh Roy from Nuvama. Please go ahead.
Abneesh Roy: Thanks. My first question is on the liquids across your categories. So in dishwash liquid, you are seeing double -digit
volume growth. I wanted to understand in dishwash liquids,
what is the salience of liquids in the overall portfolio? And if I
take it parallelly to a Personal Wash and Fabric Wash, what is the salience of liquids there? Is there any learnings which you can translate from dishwash to these categories? I'm asking
this because upfront, you have highlighted dishwash liquids as a big success.
A related question here itself on fabric dishwash liquid -- fabric
liquid wash. So we have one of your competitors come out with
an INR99 disruptive pricing. So what are your thoughts on that?

And one related question here will be in terms of disruptive pricing in liquids, we have seen HUL being more of a follower. Earlier, we did see competitor launching hand wash and body wash ahead of you. So is there a thought process that we can be ahead in terms of innovation in terms of liquid, in body wash and hand wash?

Rohit Jawa: How are you doing? Thank you very much for the question. I think there probably first, I should try and clarify a few things because in your question, you stated so much facts, and I just want to make sure that we get those right. Is that okay?

Abneesh Roy: Sure.

Rohit Jawa: So broadly there is a macro secular trend of consumers moving towards liquids across categories. Second, we have a total liquids business in Home Care liquids of close to, and I'm talking of fabric conditioners, fabric wash and dishwashing included, to well in excess of INR3,500 crores. So that's huge.

And we've been the pioneers in fabric conditioner liquids, in fabric wash liquids and dish wash liquids which is the reason why we are where we are. So that's the first fact just to clarify that we are not followers, but we are leaders and it's not now, but it's been at least 8 years, 9 years of building these categories they haven't happened overnight.

Second that in so far as specifically Vim is concerned in dish wash it's already 25% of the dish wash sales which is sizable. We have a very strong share. And the reason we showed that was we are very proud of what we have done there and we believe that is, of course, a huge runway of growth because

consumers are upgrading to liquids as I mentioned in the beginning generally across categories.

On body wash liquids which is more in the personal care space we were again -- and I'm not speaking from facts so we might have -- I'm very confident we were pioneers many years ago and we have now multi -brand portfolio in shelf. Not only this, we are market leaders in body wash liquids globally and are gaining shares handsomely in India as well.

And the gr

owth rates are in 50% - 60% and beyond and we do see because the penetration of liquids -- body wash liquids is quite small it's under 2 -odd percent that there is a large runway of growth in body wash liquids and we have a full portfolio at play and technology which is on shelf and in the pipeline whether it's through Dove, Pears or Lux or Lifebuoy which is another brand we have to play specifically in hand wash.

So to round up all of this I just want to say that we have been pioneers in the liquids category in India across segments in home care and personal care. We've built a business short of INR4,000 crores which is not small by any circumstances. And yes, there is more competition now especially in fabric wash liquids in what we call Tier 2.

And speaking of Tier 2 or now that the market is fragmenting and opening up there are many players not just one which have entered the market given the market is now quite sizable whether it's global players or local players. We do have a portfolio play as we have in many of the categories we play in.

We have Rin which is in the market and at a Tier 2 price with a great product and unbeatable value for the consumer and you should and will see a lot more action on the front of both Surf Excel liquid and Rin liquid when it comes to fabric wash. So I hope it gives you a sense of sentiment and commitment and decisiveness around this space.
Abneesh Roy: Just one follow -up in terms of the fabric wash what will be the salience on liquids? And my comment on the follower was only based on the disruptive pricing absolutely on your size, etcetera, liquids and the first entry, I think, clearly you have done a commendable job. So if you could give clarity on the salience in terms of Fabric, what's the liquid?
Rohit Jawa: On Fabrics just help me with the numbers 20% within that sort of range and I -- don't hold me exactly to that number, but in that sort of range but growing at 20%. So fast growth part of our portfolio, but we still do, of course, have a larger business in bars and powders. But we're talking of I mean of massive category. So therefore -- and the growth is in liquids and as you mentioned there's also now Tier 2 INR99 or thereabouts other brands from other players across the industry.
And we will therefore see more growth coming here because the conversion is becoming easier since cost of washes are quite accessible for more customers and we have a very large share in the segment we intend to fight the hardest to keep it.
Abneesh Roy: My second and last question will be on the outlook. So you have mentioned that there is a gradual improvement in FMCG demand in terms of outlook and you have mentioned the reasons will be essentially partly monsoon, partly improving

macro. My question here is last 2 years we have also seen rural customer spend more on education, more on the medical needs because he's getting a lot of free food, freebies, etcetera. So he is going for better life for his kids in terms of better education, more on the medical etcetera.
Now the issue is post elections very clearly telecom charges will increase 10% to 20%. That is the correct expectation and that's again a big component for the lower end of rural customers. So how do you see that kind of impact . Is monsoon enough to overcome this kind of issue because for the lower end 10% to 20% hike in some of the cost component can be quite severe?
Rohit Jawa: You're right, Abneesh. There is clearly a chance , as consumers are evolving their monthly consumption from based on the surveys that came up recently, but we are a very small part of the consumption basket as FMCG. There's so man

y more
categories there. And indeed over the last few years because the inflation or price increases are quite sizable, they had an impact on rural especially as it came through COVID and
inflation shocks, but I think we are seeing gradual recovery, we are hopeful of a better monsoon and monsoon does have an impact as we all know.
It might not be the only impact, but it has an impact on the agri economy and therefore rural consumption. And I think in that sense, most likely, the worst is past us and from here onwards we do see gradual recovery in rural consumption and of course as we said the urban consumption has been more resilient especially at the premium end.

Abneesh Roy: Sure thanks. That’s all from my side.

Rohit Jawa: Thanks Abneesh.
Moderator: Thank you. The next question is from the line of Manoj Menon from ICICI Securities. Please go ahead.
Manoj Menon: Just one question on both laundry and HFD the growth what you've delivered and what should be the outlook we should be thinking about and secondly on beauty which I will come after this. On laundry, in general, if you could help us understand how do we think about the medium term because there seems to be a deceleration in the overall volume growth. So what I'm trying to understand is the heavy lifting for laundry growth has been delivered by premiumization.
I understand the solid to liquid or powder to liquid conversion, but if you could talk about the premiumization otherwise which is happening in the powders, etcetera, which is an integral element to the, let's say, pushing us to double digits that's one. Second, it's heartening to note that in HFD there is a high single -digit growth. Again, if you could help us with the drivers of growth and sustainability and one specific comment would be helpful, are we back to 2019 volumes in HFD?
Rohit Jawa: I can take up.
Manoj Menon: The second part was H HC or HFD?
Rohit Jawa: HFD. So I think you are talking about Horlicks?
Manoj Menon: Health food drinks, actually.

Rohit Jawa: Nutrition – functional nutrition. So I can speak to laundry first, it's – I carry it close to my heart again as I used to be in this for a long time. I think we are -- our business in laundry and fabric wash and conditioner is very robust. We are growing , powders continue to grow in volume. The recovery -- and liquids as I mentioned before are ahead of this because the conversion is fast there. And of course, there's more competitive heat there. In so far as bars are concerned, they're now returning back as we have corrected prices. So some of the volume improvement will come on account of the bars going back to growth and powder sustaining and liquids continue g rowing ahead. And so I think we feel confident that secularly this category will continue to sort of clock volume growth. It's also showing quite level durability through all the cycles if you look back quarter-to-quarter.
And here the job remains that of premiumization. We have to upgrade consumers to high convenience and performance and that's what we're doing with high- performance liquids now with Rin and the fabric conditioners and other formats that are in the pipeline. So I think that path to growth including Surf Excel Easy Wash upgrading rural consumers is still -- the engine is very much vibrant and relevant. So that I hope it addresses your question of the Home Care business. On nutrition, functional nutrition I'll just probably request Ritesh to answer.
Ritesh Tiwari: So Manoj, on functional nutrition our business grew in high single digit and the growth was driven both by some amount of pricing and volume growth. So it is a good

mix of volume

growth and price growth that drove high single -digit overall growth for our functional nutrition business.
And if I just give a little more color within that as you know we have a Plus range which is high s cience backed portfolio, be it protein, be it diabetes or for that matter Women's Horlicks. This part of the business has seen more acceleration, it’s more

premium and more acceleration in terms of growth. So it's a pretty good outcome and we have spoken in the past as well that our trajectory of building penetration has yielded results continuously. We continue to build penetration improvement for the category for us and for the industry, number one. Number two, we've also seen further improvement in our market share both value and volume market share. And one of the key areas we've spoken in the last call especially we've spoken about driving consumption in HFD because that's what had taken a beating in the high inflationary period. And milk was one of the, let me say, limiting factor, which was impacting consumption.
Good news is you have seen, as you know, fresh milk prices have tapered off, they are more benign now. There's no further inflation happening. And overall commodities which go into making HFD has also seen some amount of deflation. So all put together, the pricing and the cost element is now going to help us in terms of driving further consumption build, and we are seeing initial results of consumption build coming in.
The job of doing home to home and ensuring that we're able to get the product pretty well established and known to consumers, that effort continues. And I'm assuming that

between that effort and overall macro improving in terms of our commodity costs in the Foods area, it is helping us now to start seeing the results that we always wanted to see in this space. So yes, so that's a little bit about HFD in terms of the top line. In terms of bottom line, the job of doing margin improvement has been very successful, as we called out. And going forward, the focus singularly for us remains keep building consumption.
Manoj Menon: Just quickly a follow -up here. Are we back to 2018, 2019 sort of indexed volumes in the nutrition business?
Rohit Jawa: The volumes are back. They're growing. And as I mentioned, the key job for us is to ensure that we start to keep building the consumption as penetrations have improved already. So number of units have improved, we will start seeing consumption improving, and that is a focus area for us.
Manoj Menon: Fair enough. And lastly, I just want to make a statement of hypothesis and just stress test whether it's a right way of thinking. When I look at calendar year 2023, we have seen, let's say, the start -up funding has declined 70% in 1Q, the number what I saw is another 30%, etcetera. It does appear that it's a great enabling environment for a large company like HUL with all the capabilities to outperform in Beauty. Is that the right statement or hypothesis, let's say, can I make for the next 24 months, assuming the ceter is paribus template, the one we see currently in the market remains?
Ritesh Tiwari: Yes, for the Beauty segment, correct?
Manoj Menon: Yes, that's right.

Ritesh Tiwari: Yes. See Beauty, as we mentioned as part of the prepared remarks and if you unpack the category growth in current year, Beauty has grown mid -single digit. And if I see that in terms of further impact, the premium part of the portfolio has grown in double digits . And it's a mass part of the portfolio, whi

ch has declined and given the conversation we had in rural macros, etcetera.
And we did call out on one of the slides, the six big bets that we want to take in Beauty segment going forward. We named

them in the slides being sun care, face cleansing, masstige, serums and stuff like that. These segments put together is INR2,000 crores business for us, growing at strong double digit. And within that, the e -commerce of this footprint of this business is growing at 50% plus.
So the way we see going forward in the Beauty space, two or three clear callouts. The market will keep fragmenting, the market will keep getting more premiumized and more demand spaces – sub-demand spaces will keep opening up.
Six are the ones which we have called out that we are going to lean in, and this is where you'll end up seeing more amount of actions.
In terms of portfolio brand, all three jobs to be done. Number one, extending the current brands into more demand spaces. So be it Pond's getting into more serums and sun care, I'm seeing examples like that or Lakme for that matter or b , bringing brands to capture new demand spaces. A classic example of that was Simple Beauty in the Clean Beauty space or for that matter, Novology. And those brands will be needed

to ensure that the upcoming demand spaces we are able to address and start making business with.
And third, goes without saying that we have mentioned and called out earlier as well that we are always active in the space in terms of any inorganic opportunity that we need to do. And if at all, something comes across which is the right value, we will lean into that as well.
So all three elements of making our own brand, leveraging brands of Unilever, of course, leveraging technology globally and ensuring that the demand spaces that we called out is what we keep focusing on, and we are seeing those results coming in, as I called out in quoted numbers for the current quarter on those segments. So we will go behind where there is growth in this space.
Moderator: We have our next question from the line of Arnab Mitra from Goldman Sachs. Please go ahead.
Arnab Mitra: My first question was on the soaps business. So there has obviously been a very sharp duration in the performance here.
And in the context of my understanding that some of your competitors are doing better, could you just take a minute to make us understand what exactly has gone wrong here in terms of value equation that you mentioned?
Is it driven by competitive intensity spike? Or is it that the brand equities have worsened and therefore, you need to invest back? If you could just help unpack what exactly is the problem here and how much time do you think it could take?

Rohit Jawa: Sure. Absolutely. We very much would like to because first of all, so we don't take this lightly. And particularly in this quarter, we've seen an inferior performance, and we have addressed it, and let me just unpack for you really the causality and really what we have done.
On the whole, as you know, it's a sizable business for us. We have a strong portfolio. We have increased the level of A&P investments since middle of last year after we had space to invest as the commodities softened. We have improved the product formulations of all of our key brands, li febuoy, Lux, Dove, Pears, and Hamam. And they are now -- the superiori ty levels in products is strong.

I'm heartened to say that the brand power -- in fact, recently I was reading , it is strengthening. So I think at a brand level, we are moving in the right direction. So the real issue of this decline in volume was essentially because price effectively is -

-
because we're lapping a price decrease base and therefore, that is I think generally true for the industry. But volume, which has dipped materially this quarter, is the one that -- is what we are addressing. And that is largely because of the mass end of the portfolio.
So Lifebuoy and Lux, especially Lifebuoy, where we saw -- in past, we sell at low unit price, we were off the value equation more recently in the last few ` quarters, and we have addressed that quite quickly this quarter, and now the new price stock is in the market, and we are seeing early signals.
And we expect that to come back in the next quarter or two because we've seen the same happening with NSD bars. And in this case, I think we took a bit longer than we should have on

addressing the low unit price value equation and which we have done now.
Now as we do that, let's not forget that the market is also upgrading. And our premium brands, Dove and Pears, are doing well. And basically there, we are doubling down on innovation, on product quality and on formats. So as I mentioned previously in the call, our work on the bathing shower liquid s is paying dividends. We see that becoming a sizable category like in other big categories we play in. So we are investing in innovation, new benefit segments and liquids.
At the same time, making sure that our mass portfolio remains very much in the sweet spot of price and quality. And we're working, of course, at the same time, upgrading also the formulation in the mass segment to take it even to the next level with some proprietary technologies that we will talk when it's appropriate. So we do think this is really limited to the mass end of the portfolio. And we have taken the actions that we needed to take, and it should recover back in the next quarter or two.
Arnab Mitra: Thanks for the detailed explanation. Just one thing on pricing, again, from Ritesh's comments that you expect pricing to remain negative in the near term. Now we've seen a little bit of bounce in palm oil, crude prices. Given that you're anyways lapping a deflation year, normally one would have expected HUL or most people in the industry to start putting in some pricing growth now. Why is that not the case this time? Is there anything different that you see in terms of pricing increases from here on?

Ritesh Tiwari: Yes. So Arnab, let me just pick up your pricing question. So year -on-year, the total commodity basket for Home Care, for Personal Care, there is deflation. So there is no case for us to take price increases. Crude at $ 85 is still range bound. It goes up a little bit, given various amount of elements of geopolitical, which are influencing it in the short term. But as you've seen, it then recedes back to $ 85. CP also is firm at $850.
We are in season now. We'll come to know how the season pans out. And then we'll come to know what the, if at all, the trajectory of that $850 changes materially.
Typically, what we don't do is we don't react to short -term variation and volatility in commodities. The moment we have a read that there's a deterministic change in direction up or down, which is then when we start adjusting to the price so that we don't, let me say, react to short- term changes in the

market. So as of now, given where the commodity prices are, is a total deflation on the two categories. There's no case for us to change in terms of take price increases.
The only exception of our entire portfolio is coffee, where coffee, as you know, has remained firm and keeps inflating as a commodity and where we have taken price increases. But have we finished the job of passing on whatever we had to pass on with all

commodity deflation? The answer is yes. The last element which was left out, as Rohit called out, was in the area of mass skin cleansing, especially the low unit price point pack s, even that correction, as we speak, has happened.
So I believe that where we are today, if commodity prices remain, in near term, short term, we will end up seeing

marginal decline in UPG. In midterm , we should see that pricing plateaued out.
The second half of financial year, we will be able to keep leveraging our NRM and take some calculated price increases.
And, we expect to see a positive low single digit price increase in second half of this financial year. This again, as I call out, is everything else being equal in terms of commodity market.
But to your point, if at all we do see CPO running from $850 to $1000 plus, or crude running $ 95 plus, of course, we do operate with mindful level of inventories. And our supply chain is extremely resilient. And if at all we have to react and take price increases, we will do that. And for that matter, if at all we have to further titrate price decreases where we need to, we'll do that. So we are on the ball. And it is a high volatile period.
And we are closely monitoring it.
Arnab Mitra: Okay. Thanks so much, Rohit and Ritesh . All the best.
Ritesh Tiwari: Yes. Thank you. Appreciate it.
Moderator: Thank you. The next question is from the line of Avi Mehta from Macquarie. Please go ahead.
Avi Mehta: Hello team. Thanks for the opportunity. I wanted to kind of just understand the EBITDA margin, given our earlier comment of targeting 23% to 24% band. As a concept, what do you think is required for us to start looking at moving from the bottom end of the band towards more at the mid and at the top end? Is this more a volume recovery? Or is there anything else that you would want -- is this more external, internal? I would love to hear your comments on that.

Ritesh Tiwari: Yes. No, thanks for the question, Avi. So a few things on EBITDA.
Exactly as you mentioned that at 23.4%, where we are, we would want to maintain at current levels in short term, our EBITDA margins. Medium to long term, we have always called out that our stated ambition is to do modest margin improvement. But if I just bring it back now for next some quarters, this is a level that we want to maintain the margin.
Now what are the puts and takes out here . First, within this, we want to continue driving gross margin improvement. Even in this quarter, when we delivered a 23.4% EBITDA, you saw a very strong 350 bps gross margin improvement. A large part of that got invested into A&P. We continue to operate SOV ahead of SOM. And we further invested in capabilities so that our ability to bring innovation and for that matter improve execution in the marketplace is installed and keeps increasing.
So hence, if commodity prices remain where they are, and

those are the factors which have impacted. And again, remember, in this quarter, when we delivered 23.4% margin, this is after taking impact of 60 bps for the business of GSK - we used distribute the ir products, and we used to end up making margin from that. And now that margin we no longer make. So for next 4 quarters, you will end up seeing that 50 to 60 bps impact coming in from that business, which now we have discontinued. So that impact comes in.
Going forward, improving mix, number one, which is what we want to see; further volume growth, number two; number three, price growth. Ultimately, there's always a pretty robust operating leverage, Avi, that works in the P&L. When you have a deflationary scenario and you don't have a price growth, you

end up missing that operating leverage, which then drops into the P&L.
So those are the conditions which need to be existing for us to then start going towards a higher band or for that matter going beyond 24% , which is A- trajectory of overall market recovery, which is gradual, should continue to improve. Macro is looking better, number one. Number two, we should start seeing some recovery of overall pricing in the segment and hence, the operating leverage coming in. And the job of continuously improving mix is already there in the mix happening. So those are, I would say, 3 drivers which will help us to start inching margins further up.
Avi Mehta: Got it. Ritesh. Thanks a lot for that. And Ritesh the other bit I just wanted to clarify. See, we understand what is happening in skin cleansing and the correction that we've done. Would you be all -- would you give us some sense on what is happening in the mass skin care? Is that a demand issue or a competitive issue, where you need to also revisit pricing equation?
Ritesh Tiwari: Yes. Mass, skin , simple answer. It's a demand issue. No competitors challenge. Products, distribution, all in place.
Avi Mehta: Okay, perfect. Thank you very much. That's all from my side.
Moderator: Thank you. The next question is from the line of Vivek Maheshwari from Jefferies. Please go ahead.
Vivek Maheshwari: Hi, good evening, team. My first question still is on the soap's bit. The volume decline looks quite surprising. Do you think it's a product formulation issue? Let's say, the TFM content versus

some of the competition, is that what is the chief problem in your view?
Rohit Jawa: No. We are quite certain it's not quality. In fact, quality is better. It is the few grammage short of the benchmark in INR10 price points in 2 very specific price -sensitive regions, where we sell a lot. And that once corrected, we will see response in volumes. We already see some early shoots, but that is -- so when you narrow down the volume loss in the last 3, 4, 5 months, it was primarily in that space. We are growing volumes in other parts, in the South. We are growing in modern trade.
We are growing -- we are also now growing volume share in -- as a total, but this is basically the issue that we had to address, which we have done. But again, we will not be not taking it lightly. We are also strengthening quality more as a proactive measure because we do have some access to

proprietary technologies that we bring in the market. And we're strengthening, of course, as I mentioned, the overall A&P investment, salience. And brand powers are picking up.
Vivek Maheshwari: Got it. And just a follow -up, in terms of whatever corrective or
preemptive measures that you have to take, is everything there in place right now? And it's just more about these hitting the markets and therefore, automatically things start to move
or there are more interventions that you think you still need to
take?
Rohit Jawa: It's pretty much the former. We have been working on this and
addressing this. We have a programmatic set of events. And
you will see them. You already start to see some of them in the

market, innovations, our investment on liquids. But you will see
them, the events flowing in the market programmatically
through the period ahead.
Vivek Maheshwari: And Rohit, second is a big- picture question. I don't know how
much you can address this. But over the last few years, government has been very focused on capex buildup, investment side of things. A l

ot of investors have been asking
this question that there are a lot of data points which are like -
- which have been very, very good. And there is probably one
of the very few spaces where things have not been very good,
is the consumption on -- particularly on the staple side.
If the growth agenda of the government continues, the
investment bit continues after June, what will it take for all of
that to percolate down to the bottom and the consumption bit
picking up? What needs to happen from that point of time? Because as it appears, it doesn't look like that this government is going to boost consumption on its own, which means that it will follow the investment bit. So how does it percolate down basically?
Rohit Jawa: It's a difficult question to be precise about from my end. I can
give you my -- our thesis, if that's acceptable.
Vivek Maheshwari: Sure, please, would love to know that.
Rohit Jawa: No. We do think that the -- because we are -- 60% sale is urban,
about 40% is rural. And so far as urban is concerned, the
growth has been resilient. And in the top end of the urban, it's been strong. And that is not changing. I believe that trend is somewhat secular. So I think when it comes to premium end
and more upgradation, all of those things will continue.

The GDP growth is driven a lot by government capex, but also -
- and that trickle down effect will take time. But if we -- if all of
those jobs and livelihoods that get created, there is -- I mean
that money should end up going back to the households more in the mass end, and that should democratize consumption.
And we should, in my view, start to see that. And how long it
takes? I do not have the ability to forecast, but I think we do
see gradual recovery in rural, and perhaps some of this could
be that as well.
As you know, rural has got 3 sources of income, the agri
income, the income from repatriation, the income from labor.
So the labor is going to get affected through the investments
in capex. When it comes to repatriation from urban areas,
that, I think so, post -COVID has been repairing that should
start to click up. And then finally, on agri, is a lot more weather
dependent. And all of us are hoping for a good monsoon. And if that does happen, then we should see that also coming.
So there's a cyclical effect of consumption. I believe now that
we've had some years a negative, perhaps the positive end of
the cycle is coming in. But in all honesty, we -- I just want to
close by saying that while all of us are discussing and

speculating on this or perhaps making some good judgment,
we at HUL are not waiting for the macro to shift one way or the other. We are going to do what we can do, which is we are focusing on transforming our business to go where the growth is, to go where the people are, go where the money is.
So that is why you see very clearly laid out an agenda since September of pivoting our business to where the growth is because it's unevenly distributed. So we are investing in

innovation, market development, in shaping portfolio in high-growth spaces, in channels of the future. We are deliberately going where the growth is, so that when macro does get better, it will also lift our boat .
But we're not going to wait for that to happen. We'll start to focus on we are focusing on things that we believe we can impact. So that's why I just want to make the emphasis of this point that, that is the energy of the company, is to transform ourselves to be a business that is shaped for where the growth is, and is shaped for the new India, and that is going to be a source of outperformance as quarters go by.
I hope that gives you som

e sense of really what we are trying to do inside the company while we wait for the macros to change.
Vivek Maheshwari: Absolutely. Thank you and wishing you all the best.
Management: Thanks, Vivek.
Moderator: Thank you. The next question is from the line of Percy from IIFL.
Please go ahead.
Percy Panthaki: Hi everyone. Good evening. I have two questions. Firstly, on Horlicks. So I saw your slide on all the actions you have taken
and you've grown penetration, market share, etcetera.
However, the category growth is a little sort of subdued.
Now in the past, you have said that there are inflation issues with milk, etcetera. But apart from that, don't you think there is an issue of perception, especially in the last few quarters or months, there has been a lot of noise on social media that

health food drinks are not actually very healthy and they have sugar content in them. So what are you doing in terms of correcting that perception issue is point one of that question.
And point two of the first question is that packaged beverages is a very fast -growing sort of segment in India. We have seen multiple companies reporting good growth in this segment. I think it's sort of an inflection point or it's a lifestyle sort of change or whatever you might call it -- so don't you think that you can play the packaged beverages space through Horlicks launching RTD Horlicks, it used to be there.
I think I don't know if you have discontinued or if it's still there, but like focusing much more on that part. Yes. So this is my first question, two parts to it, please?
Rohit Jawa: Okay. Let me just -- so functional nutritional drinks -- function nutrition. I think the -- let's just the category serves an important community need of fulfilling the carbohydrate, protein and micronutrient deficiency of the average Indian, men and women, poor or rich. It's a pan -India opportunity, and therefore, this category has a real meaning in the lives of people that it improves their functional health and that's the purpose of this category.
Secondly, it's underpenetrated, mainly in the South and East

and somewhat lower and under 30% -odd and on the average
20% -odd. So there's a huge opportunity for us to get this
category to grow, and we have got great templates in Southeast Asia, for instance, where the category is much
bigger.

So what are we trying to do about that? One is to get more
users, it’s a check against that because our penetration
continues to grow. Second is to build a strong premium end
where we're seeing quite a good traction with the adult
portfolio or the adult science portfolio where we see we
already have under INR600 crores of business that is growing
strong double digits and is more profitable. And we still have
more share and more market growth to feed on and that part,
whether it's serving diabetes, or women’s health, those sort of
needs, those are being served or li te such drinks without sugar
and so on and so forth.
So that's a segment that's growing. We do need to do more in the area of relevance. And there, we believe we have found the
right proposition in 'Taller, Stronger, Sharper'. And the moms in
south and the east of India do swear by this product, and have
seen this being used over generations. And if you can keep reminding them that this is good for their families, then they
do use it as long as we speak to their language and they're
using seasons like exams, monsoons, etcetera, to make sure
the relevancy of this category stays high, and we are seeing
very good traction. Our market shares are improving and were
also stronger, not just in GT, but also in modern trade.
So we will stay

the course of reinforcing the relevance because
obviously, if you don't remind consumers, then they do not
know that this option exists for them to improve their
functional health. When it comes to the issue of sugar, we have less than one teaspoon full of added sugar to these
drinks. And in our adult portfolio, we have no added sugar.

So in the kids portfolio, you do need a little bit to improve the
palatability for the kids to like to drink it. And effectively, what
we have done there is that we make sure that we fit, of course,
not just the local regulations , but also the Unilever standards
and our added sugar is less than teaspoon full for so one
200ml cup we have less than one teaspoon full of added
sugars.
So our sugar levels are just adequate to create it, make the
drink palatable. And we have reduced them by the way over
years in the past, so we continue being on that journey. So that
is really...
Percy Panthaki: It has become more relevant in the past few months? Are you
communicating on this platform is what my question was. On
the lack -- I mean on the fact that the sugar is not a big issue?
Rohit Jawa: No, the controversy or the discussion you're referring to
perhaps is in the infant space, and we don't have infant -- we
don't serve kids in that age bracket. Our portfolio starts with
kids onwards. And there, we meet the nutritional standards
and we are fully compliant. And I don't think there is any more
work that we need to do proactively apart from making sure that formulations continue to sort of remain within the bounds
of Unilever Nutrition Standards and we're well below that in so
far sugar is concerned.
Percy Panthaki: Right. And on the RTD part?
Rohit Jawa: Yes, sorry, RTD, broadly speaking, on the food space, there is clearly our brand like Boost, Horlicks, Knorr,

Kissan, Hellmann's
that have a brand equity that can stretch more broadly. We are working on a strategy where we can make some choiceful

decisions around where we can invest. We have in the past tried a few things. And we found some of those have succeeded. We're scaling them.
We have -- before also RTD, we have, for instance, already a scalable investable mix in Hellmann's mayo, we have an investable mix in Knorr Korean noodles, the peanut butter from Kissan, these are sort of things that we've tried and we've seen them working well and now they're scaling.
Similarly, we have got a very small test on Boost RTD, but it's very early. We are just sort of dipping our toes to see how it does in the South. But we'll, in all full transparency, be more coherent around the food business, our packaged food and drink business in a few more months than we have made up our mind and where we actually feel we have the right to win, and how we would like to grow that business. So we are working on it. And like we did for Beauty today, we're very clear on the agenda there. We will come back to you once we have more clarity on the food side.
Percy Panthaki: Yes. And my second question is on the beauty space. So we have seen over the past few years, many companies launching new brands like recently, we saw this news of Dermaco getting a INR500 crores ARR, it's about a three year -old brand or four year -old brand. So just wanted to know, in light of that, you have also taken some initiatives like Simple and Acnesquad, if you can give us some idea on what your experience has been over the last couple of years and these couple of brands, two or three brands that you have launched, what is the ARR or what kind of traction they are getting in the market?

Rohit Jawa: Yes. I think you have to look at the beauty business as a portfolio because it's not -- so let me just give you a couple of data points. So we have a business that 's well over INR12000 -odd crores in scale. We are number one in many categories, as we mentioned in the presentation. Already in the last couple of years, we've been focusing on multiyear bets. On six specific segments, these are a combination of demand space and formats like sun care, like facial cleansing, like weather resilient body lotions or things like masstige products such as Simple, Love Beauty & Planet, between this lot, we've already built a business of INR2,000 crores.
And this is annually, the last year, financial year, and is growing quite fast. And to give you an example of that, it's growing at 50% in e -commerce. So just to give you the scale of -- and not all of this is new brands, it's also extensions of our brands like Ponds, Lakme. So our first port of call is to stretch our existing brands, and they, of course, cannot stretch all the way, but there is a limit. But we do find the first thing for us to do is to stretch those master brands, we've done that, revamp them.
Then, of course, we are building specific equities that these brands cannot address like in facial cleansing, we do have a successful equity now with Simple. We think it's got a good future. And now we are going to -- we're working on scaling it. And Love Beauty & Planet is also showing traction. And both of these have got strong pull in e -commerce channels. Between the two, they are in about excess of INR100 crores ARR, but that's just a starting point. We will like to see them go much

bigger and we are working on investing in that sort of ambition.
Yes, that's basically where we are. We, of course, have wellbeing brands like OZiva, where we have also crossed INR100 crores ARR well above that. So we are quietly building the specific brands, but please note we play the full portfolio of our existing strong equities and the new brands, not just the new brands at HUL.
Moderator: Next question is from the line of Kunal Vora from BNP Paribas. Please go ahead.
Kunal Vora: First question is on distributors. So regarding the change in distributor margin last quarter, can you tell us how it impacted your distributor payout in the current quarter? And did they make higher or lower margins in aggregate?
Rohit Jawa: The margins have gone up and the service levels are going up. We will watch that more carefully in the top 100 cities that they've gone in and it's yielding the results we were looking for.
It's a win -win, both for our distributor and the company. And now we'll watch it closely and that's where we are at this point and make sure that all people concerned, the customer, most importantly, in this case, the retailer, the distributor, and the company, all of us benefit by this extra investment that we're making in this space.
Kunal Vora: Understood. And continuing on this, like you've heard from -- heard concerns from some distributors in smaller towns, there is some dumping happening, supplies coming from larger cities are cheaper compared to the price at which you might be providing to them. And like some of them also mentioned

like this impacted viability. Are you facing any such issues with retaining smaller city distributors? Any comments on this?
Rohit Jawa: No, we are not. In fact, we watch both attrition and the ROI of our distributors programmatically. And our attrition levels have actually, if I remember correctly, I haven't -- I had looked at this figure a few weeks back.

I'm not 100% exact number, but the trend was, in fact, improving this year. And we don't -- we haven't picked up anything that you anecdotally may have of any scale or pattern . So I don't know. I can't comment on it because it's -- the number o r the indicators, ROI trending and its healthy levels, up or down, and the attrition levels are headed, in fact, in the right direction. We watch these numbers quite carefully.
Kunal Vora: Understood. Okay. Second and last question is the proportion of business winning share seems to have moved after dipping for a few months. Which are the categories in which you have redeemed market share gains and which besides which are the categories in which the market share is still declining?
Rohit Jawa: On the whole, we're doing much better on volume shares because that is what our focus was initially, and now pricing, therefore, we know where to sort of make it catch up. And as we said that if you look '21 to '23 end, we have held the massive share gains that we made during the inflation period which is not typical of other cycles we've had, where we've actually donated back the shares. In this case, we've held and we lost a little bit marginal share and 10, 20 basis points, but we're still holding pretty much by largely holding share. And where we had lost share, which is in mass end of detergent

bars, we have seen a recovery in volumes almost like a U -turn after we corrected in the market.
And the second on mas s skin cleansing, we had to go one more level because we had corrected prices. And we will see how that turns around in the next few quarters. But those are the two categories where we had to -- where we lost more material shares, but those are coming back. And then otherwise, it's a constant focus from our end to -- we look at this competitiveness is basically the only strong metric of success, because the rest of it -- this is what is in our hands.
And the way we are now dealing with it is to basically go where the growth is and make sure that we're leaning on in fast growth areas and we grow faster there and not lose in the mass areas by just being absolutely sweet spot -on price and quality.
Kunal Vora: And what's happening in the Oral Care market?
Rohit Jawa: We are gaining market share.
Moderator: The next question is from the line of Latika Chopra from JPMorgan. Please go ahead.
Latika Chopra: Just one question. If you could share the channel salience for FY'24 across general trade model, brick and mortar and e - commerce and is it possible for you to share any comments and thoughts on the fast growth of quick -commerce at least in large metro catchment areas. And furthermore, how should one think about these channel moves influencing margin profile of the company over midterm. I understand you end up selling higher premium mix in this channel, but somewhere

would driving share of these mode rn channels limit margin improvement capacity for the company? Thank you so much.
Rohit Jawa: Thanks, Latika. I think I'll give it a shot and then if Ritesh, he wants to add. I think the -- so high -level salience and I'm giving you rounded numbers. We are about under 70% on general trade. We are under 20% or thereabouts on modern trade organized, modern trade retail, and we are around 6%, 7% on e-commerce. Clearly, e -commerce is growing the fastest, followed by modern trade then followed by general trade. And that's the high -level shape of the market as well.
Quick commerce is increasing. It is about a quarter to a third of our e -commerce sales at the moment, but growing much faster. And we are gaining share in quick commerce and in e - commerce. And

that is really what's -- that's the relative position we have. And of course, we have to do more there because this channel is showing signs of continued growth.
This is not one channel but subsegments like q -commerce, beauty commerce and marketplace are the three main platforms within the e -commerce segment, and they are also growing. All of them are growing, and we expect the e - commerce growth to continue and it is sustained. That is the view on channel salience and trends.
To your point about margins, at this stage, I think the structural point is that -- generally speaking, we do sell different portfolios in these channels. And therefore, what we must look at is basically the net operating margin based on the mix we sell in these channels, and that basically means more value dense portfolio in e -commerce, somewhat more stable portfolio in modern trade, which is actually not a new

channel and general trade basically more around access packs.
And I think the only place we have to now watch this is in e -commerce where, frankly, the industry is all focused -on growth right now. And we haven't quite settled to any equilibrium, where we can have a very informed discussion on margins.
And right now, everybody is trying to do is to basically grow.
And I think we are generally growing very high margin portfolio in quick commerce, beauty commerce and in marketplace.
Moderator: The next question is from Shirish Pardeshi from Centrum Broking. Please go ahead.
Shirish Pardeshi: Just two quick questions. On Slide 12, you have given 6 Ps and what efforts we have taken on Horlicks and especially on HFD.
I've been seeing the last three years, we have been doing a lot of sampling and home to home. Do you think this category turn will happen, and this is very slow turn and maybe another two years, we will have to continue these efforts? Or do you think the efforts what we have done and will start showing the numbers and the volume growth in second half?
Rohit Jawa : Our indicators are brand power , market share , penetration, our profitability, all strong. We have two brands, Horlicks and Boost. And the future of this category may not just be the core, it might be a lot more to do with functional science and what we can do with the adult space, and that's our focus right now.
That's about 10%, 15% -odd percent of the portfolio growing quite fast. And we haven't even looked at the white spaces. So there are many levers of growth for this business. The first what

we have do is to just do the basics and make sure that we stay focused on 'Taller, Stronger, Sharper' and make sure the core becomes robust.
And I think on Boost, is already responsive even before this conversation we are having today, but for some years now.
And Horlicks is now strong, stable. And if you walk the stores in, South, you'll start to see the power of this category in modern trade, for instance. And the single minded clarity with which we are now category managing this with our modern trade customers with Boost and Horlicks. So these are two pillar categories. We just have to stay the course and do the right things with more users, more usage and more benefits.
Shirish Pardeshi: I got that. The reason I'm asking is the time 5 years we've been tracking this, the recovery will happen. So I'm more curious that we have done this door- to-door sampling. What kind of sampling till date would have done? Or maybe suffice to say if the pace can say that how much promotions and ad spends or activities we have done over the last 5 years since the time of acquisition?
Ritesh Tiwari: So, Shirish, around 40 million to 50 million is what we did, as

you remember, we have shared the number as well of home -to-home. And the way we had tracked, I had mentioned to you that we did not go and give products for free. We do have a learning that when you give these products for free, people don't end up using it. So you end up giving them at a discount, then that encourages them to start consuming it. The outcome that we were seeking from this entire job of home -to-home was improving penetration. And to Rohit's point, we have seen

penetration build up year after year for the last 3.5 years as we have owned the business in 4 years coming to it, number one. Number two, consumption, remember, we had mentioned, is linked to not only what we end up doing in terms of building penetration, but overall macro, it was COVID first and high inflation and food inflation -- so the a, macro and of course, B , very clearly the overall benefits that we end up selling as part of the portfolio. The good news is on a macro front, food commodities have started now to taper out, milk inflation, which was very high inflation, fresh milk, which has also come down sequentially and we are seeing benefit coming in. This quarter, we grew at high single digit. The point I was making earlier. We got the sales was due in both the volume and some amount of price that we have taken. So we are seeing results which are encouraging -- and within that, of course, the key job for us was to keep building a plus range, which is more premium part of the portfolio. So our investments have gone into product in terms of making the packs more accessible, which is bringing down the average price point pack -- that is in it penetration. Investments went in terms of building more salience of the brand and which is why we have started to see market share improving. And of course, investments have gone into developing portfolio into more broader wider species. And there is where we have also seen incremental growth coming in.
So all the three investments are paying off. And of course, the job continues -- these categories are multiyear jobs to do in terms of building penetration , consumption. And where they are today roughly 30% odd, there's a big runway for growth for

us to keep building penetration and consumption, and we will be at it.
Shirish Pardeshi: Thank you Ritesh. My second question is on Beauty and Personal Care. Quickly, you have given the split between beauty and wellbeing, which has grown 4%, and Personal Care has declined 10%. I was more curious if I compare on a Y -o-Y basis, what kind of mix towards premium would have happened in Personal Care and Beauty and Well -being?
Ritesh Tiwari: So we did articulate Shirish earlier that when you look at within beauty and wellbeing to start with, the way the premium portfolio has grown much stronger at double digit and it's the mass portfolio, which has seen more impact on the demand coming in. Rohit did call out that the issue in Personal care was more at the mass end of the business, not the premium end of the business. So overall, between the two, Beauty and Wellbeing is more on an average, more profitable business that we have compared to Personal Care. And of course, within the Beauty and Wellbeing there are different price points at which we end up doing the business. I hope that helps for you to get some amount of understanding.
Shirish Pardeshi: Yes. The reason why I was asking that if the mix is towards premium, we will be able to defend the margin in these two segments?
Ritesh Tiwari: See, overall Beauty and Wellbeing the point we're making that this is where the growth are at the premium end, and this is where also we are investing

and Beauty and Well -being a) is above average margin business for Hindustan Unilever. So the moment to start driving growth in spite of investing and in

spite of probably taking some margin down in beauty and
wellbeing , it will be overall mix accretive to Hindustan Unilever.
And which is the point we mentioned that our job will be to
ensure that the Beauty and Wellbeing we end up driving
growth ahead of overall average of Hindustan Unilever.
Shirish Pardeshi: Okay. And just last, quickly, if you can touch on Unilever's
existing ice cream business. So any thoughts here in India,
what is our strategy or what -- if there is an outcome, which is
visible?
Ritesh Tiwari: Yes. So you've seen the announcement by Unilever. The idea is to separate the business given the business model, and they will end up doing this entire job by second half of next year,
calendar next year, 2025 . The Board of HUL and working with
the management of Unilever, we will work through the
implications and the actions we will end up taking in India
pertaining to that. At this stage, we are in peak season of ice
cream. Our job is to put our head down and do a good job in terms of executing in the marketplace. And as and when we come to any conclusion, we will, of course, come and share
with all of you.
Shirish Pardeshi: All right, thank you and all the best.
Ritesh Tiwari: Thank you, Shirish
Moderator: Thank you. The next question is from the line of Jitendra Arora from ICICI Prudential Life Insurance. Please go ahead.
Jitendra Arora: Thank you. Actually my question has been answered. It was
about the ice -cream separation.

Moderator: Thank you sir.
Ritesh Tiwari: Hi Jitendra. So yes, we have covered the ice cream question
Thank you.
Moderator: We'll take that as a last question for today. I would now like to
hand the conference over to Mr. A. Ravishankar for closing comments. Over to you, sir.
A. Ravishankar: Thank you, Yashashri. With that, we come to the end of the session. If there are any further questions, feel free to reach
out to any of us at IR team. Playback of this event will be
available on our website in a short while. Before we conclude,
I'd like to take a moment to extend a warm welcome to Shilpa,
who takes over as Controller and Head of Investor Relations
and also take a moment to thank all of you for the wonderful
engagement over the past 3 years that I was in the role. Thank
you again and have a great evening.
Moderator: Thank you, sir. On behalf of Hindustan Unilever Limited, that concludes this conference. Thank you for joining us, and you
may now disconnect your lines.

Call: Apr 2024

(no extractable text — likely a scanned image PDF)

Call: Jul 2024

29th July, 20 24

Stock Code BSE: 500696 NSE: HINDUNILVR
ISIN: INE030A01027
Dear Sir /Madam ,
Sub: Transcript of the Earnings Call for the quarter ended 3 0th June , 202 4

This is further to our letter dated 2 4th July, 202 4, whereby the Company had submitted the link to the audio/video recording of the Earnings Call held post announcement of Financial Results for the quarter ended 3 0th June , 2024.
Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the Transcript of the said earnings call, for your information and records.

The transcript of the earnings call is also available on the Company's website at :
https://www.hul.co.in/investor- relations/results -presentations/quarterly -results/june- quarter-2024- results/
Please take the above information on record.

Thanking You.
Yours faithfully,
For Hindustan Unilever Limited

Dev Bajpai
Executive Director , Legal & Corporate Affairs
and Company Secretary
DIN:00050516 / FCS No: 3354
BSE Limited,
Corporate Relationship Department,
2nd Floor, New Trading Wing,
Rotunda Building, P.J. Towers,
Dalal Street,
Mumbai – 400 001 National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra – Kurla Complex,
Bandra (E),
Mumbai – 400 051

Call: Oct 2024

29th October , 2024
S
tock Code BSE: 500696
NSE: HINDUNILVR
ISIN: INE030A01027
Dear Sir /Madam ,
Sub: Transcript o f the E arnings Call for th e quarter and h alf y ear ended 3 0th September , 2024
This is further to our letter dated 24th October , 2024, whereby the Company had submitted the link to the audio/video recording of the Earnings Call held post announcement of Financial Results for the quarter and half year ended 3 0th September, 2024.
Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the transcript of the said Earnings Ca ll, for your information and records.
The transcript of the ea rnings c all i s a lso available on the Company’s website at :
https://www.hul.co.in/investor- relations/results- presentations/quarterly -results/september-quarter-2024- results/
Please take the above information on re cord.
Thanking Y ou.
Yours f aithfully,
For H industan U nilever L imited
Dev Bajpai
Executive D irector, L egal & Corporate A ffairs
and Company Se cretary
DIN:00050516 / F CS N o: 3354 BSE Limited,
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Bandra – Kurla Complex,
Bandra (E),
Mumbai – 400 051

“September Quarter 2024
Earnings Call of
Hindustan Unilever Limited”

October 23, 2024

Speakers:
Mr. Rohit Jawa, Chief Executive Officer and Managing Director
Mr. Ritesh Tiwari, CFO, Executive Director, Finance and IT
Mr. Shilpa Kedia, Group Financial Controller & Head Investor Relations

Moderator: Ladies and gentlemen, good day, and welcome to the Hindustan Unilever

Limited Conference Call for the Results of September Quarter Ended 30th September 2024. As a reminder, all the participant lines will be in the listen -
only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during this
conference, please signal an operator by pressing star then zero on your
touch- tone phone.
Please note that this conference is being recorded. I now hand the conference
over to Ms. Shilpa Kedia, Group Financial Controller and Head Investor
Relations. Thank you, and over to you, ma'am.
Shilpa Kedia : Thank you, D orwin. Good evening, everyone, and welcome to the conference
call of Hindustan Unilever Limited. This evening, we will be covering the
results for the quarter and half -year ended 30th September 2024. On the call
with me is Rohit Jawa, CEO and Managing Director, and Ritesh Tiwari,
CFO. We will start with the prepared remarks from Ritesh and Rohit. We expect this to take around 30 minutes, leaving us with an hour for the Q&A session. We will look to end the call by 8 p.m.
Before we get started with the presentation, I would like to draw your attention to the Safe Harbour statement included in the presentation for good
order sake. With that, over to you, Rohit.
Rohit Jawa : Thank you, Shilpa. Good evening, everyone. Welcome to HUL's e arnings
call for the quarter ended September 2024. Thank you for joining us on the
call today. Let me begin with an update on the operating context, followed by
an overview of our performance and some of the key highlights of the quarter. I will then hand over to Ritesh to take you through our results and
outlook in detail.
Market volume growth trajectory remained muted in this quarter. At a n MAT
level, total FMCG volume growth has slowed down slightly in recent months .
Since MAT June, urban growth has moderated. While rural growth has
become accretive to total growth , its pace of recovery has been gradual
though.
Following a prolonged period of benign commodity prices in this quarter,
crude palm oil and tea experienced inflation of 10% and 25% year -on-year,

respectively. Given our assessment, that this price increase is here to stay, we
are now taking calibrated price increases. While crude oil remained benign
during the quarter, there has been recent volatility in prices owing to
geopolitical tensions. We remain vigilant and are watchful of any price fluctuations that seem to persist. In this dynamic environment, we continue to
remain agile, taking actions to provide a competitive price -value equation to
our consumers.
In this context, we've delivered a competitive performance with a turnover of
INR15,319 crores, our reported underlying sales growth was 2%, driven by
an underlying volume growth of 3%.
In the base quarter, we received a one -off credit from a favourable resolution
of an indirect tax litigation. We reported this in September quarter '23, stating
its impact in the Beauty & Wellbeing segment on both top line and bottom
line. Hence, in this quarter, numbers after excluding this one -off impact will
give you a better understanding of our business performance. Intrinsically,
our underlying sales grew by 3% . After three quarters of negative price
growth, our underlying price growth is flat this quarter , as anticipated.
Moving on to bottom -line performance. Our EBITDA margin continued to
remain healthy at 23.8%. On reported basis, profit after tax before exceptional items declined 2%, however intrinsically, it grew 2%.
We have a strong track record of consistently delivering competitive and profitable growth, investing behind our brands and long- term st

rategic
capabilities to generate healthy cash flows as we build a strong balance sheet.
In lieu of this, I'm very pleased to announce that the Board has approved an interim dividend of INR 19 per share, along with a special dividend of INR10
per share. Together, this will mean a total payout of INR6,814 crores. This
demonstrates our unwavering commitment to provide our shareholders with
attractive returns.
Moving on, let me speak to you on our strengthening competitive position over the quarter. We have kept the chart s in this

slide consistent over the past
few quarters to illustrate our progressive improvement both in business
winning as well as market shares. I'm very pleased to report that our MAT
business winning number has already crossed 60% in September, ahead of our earl ier estimate of December '24.

We are also now gaining market shares in the last three months as per the
latest Nielsen numbers. While we did lose some inconsequential share during
the deflation cycle, we held on to most of the 200 basis points share gain
since March 2021, and we are now on the path to further strengthen it.
This progress in our competitive position is a testament to our commitment
towards transforming our portfolio to outperform, underpinned by the
strength of our brand s and distribution prowess. At present, circa 75% of our
brands are either gaining or maintaining brand power and our value weighted
distribution continues to be more than 95%.
The 4 priorities listed on this slide continue to be the bedrock against which
we measure business transformation. We remain committed to drive them
and have made significant progress over last year as we transform at scale.
Let me share a few examples on the progress made on each of these pillars
during the quarter .
Under the Unmissable Brand Superiority framework, we measure our
products against 21 metrics across 6 drivers of consumer preference. This
enables us to assess our competitive right to win and to take the right strategic decisions to further strengthen our brands.
We have now assessed more than 70% of our portfolio using this framework, and I'm very happy to report that more than
80% of our turnover is unmissably superior when it is compared to competition. Zooming into one
of the 6 drivers of consumer preference, Proposition, and specifically on one
measure under it, Meaningfulness . Brands become more meaningful when
they meet consumer needs and aim to bring about positive changes to issues
that are most important to them.
Let me talk to you about 3 brands that have rolled out culture -first, social-
first campaigns designed to drive meaningfulness amongst our consumers.
Vim for instance, has a legacy spanning over 30 years revolutionizing
dishwashing championing for it to be shared responsibility in households. In
a refresh ing collaboration with pop artist, Ritviz, the brand transformed the
routine, dishwashing task into a fun and easy experience leveraging the
universal appeal of music.

To further amplify the campaign, Vim collaborated with 200- plus influencers
who shared fun moments from their chore routines to inspire families to join
the trend. The campaign video has already amassed 25 million -plus views on
YouTube and 10 million views on Instagram with coverage s of over 20
media publications in the short span of just 1 month.
With the hashtag, #TheBeautyTestStopsWithMe campaign , Dove set out to
transform traditional matrimonial profiles into ‘mothermonials ’ i.e.narratives
crafted by mothers that celebrate their daughter's personalities, achievements
and ambitions, challenging the focus on physical appearance. To enable the
society to find matches without beauty biases, our first -ever M othermoni als
marriage portal was pu

blished. This campaign has been very successful with
100 million- plus page views and 33 million plus video views leading to
consumer purchase intent recording an increase of 15%. Dove has been very
consistent in its messaging over the past many years . With
#StopTheBeautyTest campaign in the last 4 years, it has succeeded in significantly increasing brand association.
As a much- loved shampoo across the country, Clinic Plus is uniquely
positioned to spark real meaningful change through its efforts. The brand
reaches 3 out of 4 Indian households, which enables it to strengthen its
purpose of “ raising strong daughters ”. The brand brought forth a new
campaign to this effect. The ad vertisement which created waves on social
media, poignantly captured the resolute voice of a mother rising above all
others wishing for a girl child. This real pertinent insight has garnered strong

active engagement with a reach of over 100 million.
Through these carefully crafted campaigns with brand purpose and authenticity at the core, our brands have been successful in resonating with the consumers.
We are leading the way in enabling consumers to upgrade their experiences. Our approach involves consistently broadening our portfolio to fulfil the evolving consumer needs by making the right product and formats available.
This is facilitated through our digital capabilities of Agile Innovation Hub that allows us to forecast consumer needs and trends effectively. For example, in this quarter, TRESemme introduced its L amellar Gloss range to

India . Identifying an unfulfilled consumer need space of salon -like glossy hair at home , we are the first brand to bring this proposition to the country.
The product is backed by patented technology, which includes amino- gloss complex, lamellar structure and 360- degree lamination of hair to deliver 8X higher gloss, lasting up to 72 hours, making it smoother and manageable like never before.
Over the past few years, we've been strengthening our adult nutrition drinks portfolio, focusing on driving condition awareness. Within the segment, Diabetes Plus is one of the fastest growing segments, consistently delivering double -digit growth. Doubling down on this portfolio, we have recently introduced zero- added sugar, chocolate flavoured Diabetes Plus solving the dual purpose of blood sugar management without compromising on taste. Our market -winning superior mix is adequately supported by our expert team to ensure it scales up with pace.
As the biggest beauty company in the country, we continue to shape beauty trends. We previously spoke to you about Lakme's MultiSlayer makeup stick and Vitamin C makeup range that was launched in the last 6 months. These products, along with the Lakme Lip Oil and Glaze range launched in the quarter have already raked up a GMV of over INR 80 crores combined. Our intent and ability to scale up new launches with speed positions us well to lead market growth in this high- growth category.
In a gradually recovering macroeconomic landscape, we are reshaping our portfolio with agility to pursue high- growth opportunities. Building on our strong innovation pipeline, we've had multiple innovations in these high-growth spaces during the quarter.
Let me share a few examples with you. Backed by proprietary technology, we are foraying into the floor cleaner segment with the country's number one dishwashing brand Vim. For the first time in India, we have introduced a unique Ultra Pro technology combining probiotic and surface modification technology that delivers superior cleaning and superior stain removal leaving behind a long- lasting fragrance. With a distinct proposition and superior product, we are looking to expand our presence in this fast -growing segment.

One of the 6 big bets in beauty and hair care segment is the light moisturizer s category. Today, consumers are looking for more than just basic moisturization. They w ant products that offer superior benefits through pleasant, not sticky sensorial experiences, and we expect this category to continue picking up pace in times to come.
In response, Pond's has launched its Hydra Miracle body gel lotion, an innovation that helps us drive our strategy of de -seasonalizing body care through all year -round benefits and sensories. Enriched with Hyaluronic acid and niacinamide, it delivers 100% visibly hydrated skin. The de -seasonalizing body care segment continues to deliver strong double -digit growth for us, led by innovation.
Our condiments and mini -meals category is leadi ng growth for the food segment. We are boosting our existing off erings in the space while also expanding distribution. After the success of Korean noodles, Knorr has expanded its portfolio to the exciting spicy Korean Kimchi soup, which is

sure to justify one's Korean cuisine cravings. We are also expanding
Hellmann's Mayonnaise beyond urban and Tier 1 cities by leveraging HUL's distribution strength. Our 85gram access pack is now available in more than
1.5 lakh outlets. This, along with the extension of our international sauces
range across the country will enable us to recruit more users into this already fast-growing category.
Given the country's under -indexed spends, FMCG companies have a
significant headroom to grow across all channels. With our wide assortment
and the ability to curate portfolio for each channel, we're confident to serve different consumer needs across each of the channels, ensuring mutual growth.
Shikhar is one of the levers of our kirana -centric approach, ensuring that the
benefits and the growth of the retailer are at the core of our strategy. We
firmly believe that when retailers grow, our business will naturally grow as well. We have over 1.37 million stores on- boarded on the platform with more
than 70% transacting monthly. Our strategy includes a ‘ Buy Smarter, Sell
More ’ approach for kirana stores where we support retailers in conducting
their business more efficiently by offering better propositions from Shikhar.
At the same time, we are trying to facilitat e better offtakes for retailers by

enhancing discoverability by creating customized store -level digital content
and by running customized shopper activations in- store via the Shikhar app.
As a result of these actions, stores in Shikhar are growing faster with better
assortment when compared to stores not onboarded on Shikhar.
With a wide portfolio, we continue to be the preferred FMCG partners for
both Modern Trade and E-commerce platforms. We're committed to growing
categories in the store with unmissable long- term visibility and asserting
leadership during tentpole events and regional festivals.
In e-commerce, through customer engagement s and joint business planning,
we are able to curate product portfolios a nd pack sizes that best suit the need
of consumers using the specific platform. We have stepped up our activations
ahead of the festive and the winter season and strengthen ed our partnerships
on e-commerce platforms, specifically in the beauty channels.
As a result of our dedicated efforts in e- commerce and beauty.com channels,
we continue to gain healthy market shares. Our focus initiatives in organized
trade has led us to continue a double -digit growth trajectory for September
quarter 2024.
We remain committed in our efforts as we continue to transform our portfolio
with speed to shape the evolving aspirations of the country. I look forward to
share more details on our winning strategy in our Capital Markets Day in November.
With this, I now hand over to Ritesh to take you thr

ough our results in detail.
Ritesh Tiwari : Thank you, Rohit, and good evening, everyone. As always, it's a pleasure to
talk to all of you. Let me take you through our quarter results in a little more
detail, followed by first half update and round it up with our outlook in the
near term.
Rohit discussed the overarching FMCG demand growth trend, which was
muted in the quarter. In this backdrop, we have delivered a quarter of competitive performance. Our underlying sales grew at 2%, driven by 3% growth in our underlying volumes.
Gross margin at 50.4% declined 150 bps year -on-year, primarily on account
of increase in commodity prices. Since we're now certain that this inflation is

persistent, and here to stay, we are taking calibrated pricing actions while
ensuring competitive price value equation. Talking about bottom line
performance, EBITDA margin remained healthy at 23.8%. Profit after tax before exceptional items and profit after tax declined by 2% and 4%, respectively.
Earlier in the presentation, we touched upon the one -off indirect tax impact in
the base quarter. For greater clarity, let me t alk you through our performance
excluding this one -off in the base. Underlying sales growth was 3% with
underlying price growth being flat. EBITDA margin was ma intained over last

year. PAT bei grew 2% while net profit remained stable year -on-year. The
difference between PAT bei and net profit growth is primarily on account of tax PPA in the base.
Now coming to performance across our 4 segments. Home Care is our largest
segment, contributing to 37% of total revenue. Beauty & Wellbeing at 21%,
while Personal Care is at 16% of our total business. Foods and Refreshment is quarter of our total business. Margins in all 4 segments remained healthy
with Home Care at 19%, Beauty & Wellbeing at 34%, Personal Care at 17% and Foods and Refreshment at 18%.
If we were to double click on our performance, 2 of our segments: Home
Care and Beauty & Wellbeing delivered high single -digit growth. These 2
segments put together constitute circa 60 percentage of our total business. While Personal Care is seeing a sequential increase in turnover, it will take a
couple of quarters for the actions put in place to reflect in numbers.
Performance in Foods & Refreshment has been subdued due to continued
downgradation in tea and muted consumption in nutrition drinks. I will cover more details on segment performance in subsequent slides.
Starting with Home Care performance. This segment has seen another strong quarter of growth with our high single -digit volume growth momentum
continuing. Underlying sales grew at 8%, driven by strong performance in both Fabric Wash and Household Care. While the volume growth is broad-based across formats, our liquids portfolio is growing in strong double digits.
Notably, the liquids portfolio has grown double sequentially compared to the
growth we had in the previous quarter. Embarking on the journey of category

creation on fragrance booster, we have recently launched Comfort Beads. It's
an exciting format innovation catering to premium consumer s that provides
long- lasting fragrance for up to 100 days. Sustained market development
actions, expansion of Rin liquid and new launches underpinned by superior brand s is bolstering growth for this category.
Talking about Beauty & Wellbeing, the category saw a 7% intrinsic sales growth in the quarter driven by volumes. Given the entire one -off tax benefi t
in the base is impacting this category, I will take you through the intrinsic
performance in the quarter. Hair Care delivered a volume led high -single -
digit growth. This was driven by outperformance in Sunsilk, Dove, and TRESemme, which gr

ew in double digits. Post-wash hair treatment formats
continued to deliver strong growth as consumer traction in the format of the
future increases. Our consistent performance in Hair Care has led us to attain the highest ever market share over the last 3 years in September quarter '24.
Skin Care and Colour Cosmetics delivered a mid -single -digit growth.
Premium skin care continued its strong growth traje ctory, growing in double
digit. Focus on channels and formats of the future continues to yield results
with our 6 big bets growing at circa 30% GSV growth across modern trade
and e -commerce. We have continued to step up innovation intensity in this
segment. Few examples of which have been already discussed earlier in the
presentation. Simple's new cleansing jelly oil is another innovation that
landed in the quarter. This innovative cleanser features a unique jelly texture that transforms into oil, effectively melting away waterproof makeup and
impurities without compromising on skin's natural barrier. As we continue to
scale up Simple in general trade, this brand, along with Love Beauty & Planet now moves out of PBBU, our incubation unit and into our skin care business.
Coming to Personal Care performance for the quarter. The segment declined by 5% with low single -digit decline in volumes. Skin cleansing declined due
to negative pricing and muted volumes. Body wash has maintained its strong
double -digit competitive growth momentum. Our Winning in Many Indias
insight reveal ed that consumer demand f or natural s and skin glow is
particularly high in South and West, which aligns well with the preference for
sandalwood- based product s in this region.

Given this need for natural glow, the Lux brand found an opportunity to
introduce a sandalwood variant leveraging its established glow credentials.
Backed by Stratos technology, this is an unmissable superior product

launched in an otherwise white space for us. The Lux Sandalwood bar combines 100% pure sandalwood oil with Vitamin C to help reduce dullness and fade blemishes caused by exposure to external aggressor s with the primary benefit being visibly clear , glowing skin.
As mentioned in our last earnings call, we continue to take concrete actions to step-up performance in this segment in the form of continued investment s behind technology, innovation and channels of the future. We are seeing early green shoots. However, we will need to stay on course for a couple of more quarters to experience the full impact of these actions.
Oral Care delivered high single -digit competitive growth driven by performance in Close Up.
Moving on to Foods and Refreshment. We continue d to strengthen our competitive position in this segment however, revenue declined marginally. USG declined by 2%, with low single -digit decline in UVG.
Tea further strengthened market leadership in this quarter with continued gains in both value and volume. Premium segment led by green and functional tea continued to maintain its growth momentum, while the category UVG remain ed muted as consumer downgradation to loose tea persisted. With tea commodity witnessing unprecedented inflation in recent months, we expect this trend of downgradation to gradually reverse. Coffee delivered double -digit growth, led by strong performance in organized trade.
While our market development actions in Nutrition Drink segment has resulted in continued market share and penetration gains, there's still work to be done to drive consumption. We are mobilizing our efforts in this direction.
For instance, recognizing the preference for sachet format, we're now offering an elevated cup experience for all Horlicks sachet consumers with much higher milk solids in the product. We've also launched new INR 10 pack across both Horlicks and Boost brand, which will offer 20% extra pro

duct for a richer consumer experience.

Foods delivered low single -digit volume growth. Food solutions , mayonnaise, international sauces and cuisines maintained the strong double -digit volume growth trajectory. We have now expanded our international sauces range across the country while also launching new variants in our ready -to-eat format as we continue to scale up our presence in this high-growth space. Ice cream volumes remained flat. The performance was impacted by prolonged r ainfall in some parts of the country.
Moving on, let me quickly summarize our performance in the first half of financial year 2025. We have disclosed both reported and intrinsic numbers for better clarity on our performance. Talking about intrinsic numbers, underlying sales growth was 2% with an underlying volume growth of 3%. Gross margin at 50.7%, was up 40 bps while EBITDA margin at 23.8%, was up 10 bps year -on-year. PAT bei and PAT grew 3% and 2%, respectively.
Effective tax rate after PPA for the first half was 26.1%, and we expect our full year ETR to be marginally above 26%.
Coming to our near -term outlook, we expect demand trends to be stable with no further acceleration in pace of growth. We continue to be watchful of various macroeconomic indicators that could impact the pace of recovery, such as real rural wage growth, food inflation and employment levels.
In this context, our focus remains on driving competitive volume led growth across our business by transforming our portfolio in high growth spaces while maintaining investments behind our brands and strategic priorities. If commodity prices remain where they are, we expect a low single -digit price growth in the near term. We will continue to manage our business dynamically to drive savings through our productivity program and provide the right price value equation to our consumers while maintaining EBITDA at its current healthy levels.
With this, we conclude our prepared remarks. And now let me hand it back to Shilpa to commence the Q&A session.
Shilpa Kedia : Thank you, Rohit and Ritesh. With this, we will now move to the Q&A session. With that, I would like to hand the call back to you, D orwin, to manage the next session for us.
Moderator: The first question is from the line of Abneesh Roy from Nuvama.

Abneesh Roy : My first question is on the separation of the ice cream business. So similar
exercise was done for tea a few years back. And in that instance, HUL decided to retain that. Now if I see tea versus ice cream, ice cream has a much stronger growth. And tea, in fact, the past few quarters has been especially challenging. So, I wanted to understand why not retain the ice
cream business also.
If I see the logic which has been put, for example, investment into the cold chain. Now cold chain investment has been done for the past few decades. So, from here on, it has been incremental investment. Similarly, if I see in
terms of R&D, again, HUL's local R&D is extremely strong. So how it is so difficult to do R&D from the local unit plu s 3% of the business goes away.
And the synergy benefits, for example, ice cream sells in a lot of differentiated outlets also. So now if this goes away, how does this impact your exiting business? So, if you could answer these questions.
Ritesh Tiwari : Thanks, Abneesh. No, as you rightly have captured ice cream is roughly 3% of HUL's turnover. It's a high growth, but equally high investment and low margin business for us. And you did call out the distinct nature of ice cream with a separate go -to-market be it supply chain or point of sales. And which
is because of that, we have always seen limited synergies with the rest of the
business. Even for a typical kirana store, our grocery business th

at we have ,
is always distinct compared to the footprint of what we have in terms of ice cream cabinet.
For ice cream, Abneesh, overall, both the brand and tech is owned by
Unilever. Of course, we have a royalty contract because of which we have
access to the brand and technology in the country. Globally, Unilever had
announced separation of the business. And with that -- and because of that, if
at all, we have to continue running the business locally, we will have to
develop local capabilities to run the business.
When you mentioned about we have strong R&D, answer is yes, but we have
strong R&D as Unilever. As you know, all our R&D resources are essentially
from Unilever across categories, which is why we have a contract of R&D,
with Unilever and that's why we end up paying royalty on tech as well IPR to
Unilever. So which is why the board then after detailed evaluation came to a

conclusion that supported, of course, by the independent committee, which
looked at it very detailed – the review that they conducted and went through
all these parameters . The Board came to conclusion that we need to separate
the business.
Now this portfolio restructuring, it will enable ice cream business to operate
with greater flexibility and for HUL to sharpen focus on core business and
then of course, further strengthen our play in trending demand spaces such as Beauty, Foods and Health and Wellbeing. So that was Abneesh, summary the
rationale why this time the decision for ice cream was different compared to
what we did when it pertained to tea.
Abneesh Roy : So, wanted to follow up in the outlets where the ice cream adds synergy to
distribution once ice cream goes away. Then what happens to those existing portfolio? And second, does separation means that eventually HUL will have zero stake in the ice cream? Is that a right understanding?
Ritesh Tiwari : Yes. So for a typical kirana store and the scale of HUL will not get impacted
just because 3 percentage of the business will get separated. And seeing the kind of growth that we have, that's the amount of accretion much more than that, we end up -- typically end up adding to overall scale up Hindustan
Unilever. So, for typical kirana store, it does not change anywhere materially
- the scale at which we operate in the kirana store, it does not impact to start
with.
So that's where it is . And in terms of the mode of separation -- to your
question. There are typical 2 standard ways of separating the business. Either
we could sell the business, or we could demerge and list the business. And of
course, the key objective that the independent committee and hence, Board
going forward, will end up making a decision on is -what's the best route in
which we can maximize shareholder value and minimize business disruption.
That's the mode of separation we end up doing.
Our idea is, by end of the year, we will come to a conclusion what route we want to take. And the way we have done -- last quarter we communicated

where we were in the process after Unilever globally announced its decision to separate. And this quarter, we further gave an update, and we will keep
doing that. As and when we end up making progress by independent

committee, which will then inform the Board and then we end up sharing
with all of you as to where our mind is at this point in time and way forward.
Abneesh Roy : My second and last question will be on Personal Wash and Tea. So in both the segments, there is currently sharp inflation, which I think provides good opportunity to gain market share. In the past, you have also said that you're looking at as a strategy, profitable volume growth, so if you could tell us
currently the way things are, how do you look at market share gains and

also containing the margin pressure? How do you see both of those?
Second, some update on the Personal Wash, the disruption which you are
doing. Initial days, we know that, but if you could share some anecdotal
evidence how it's working because you have been saying it will take 2
quarters, but now 2, 3 months have gone. So how are the initial signs of the
disruption?
Ritesh Tiwari : Yes. So 3 different questions. Let me just pick, Abneesh, one by one all 3 of
them. In terms of commodity impact, I called out crude is benign, 3
commodities are impact ing Hindustan Unilever by and large. Crude oil, crude
palm oil, and tea. In this instance, crude palm oil by roughly 10%, tea by
almost 25% have inflated.
Now what we will do is net of the savings that we generate in the business, which is what we have always done. Of course, the total amount of
commodity inflation, we don't pass on to consumers. We always drive savings very hard across all lines of the P&L. Net of the savings, net inflation
is what we will end up pricing going forward. And this is what you'll end up
seeing in December quarter.
We are always very calibrated the way we take price increases to ensure that
the focus always remains on driving competitive volume growth and
maintaining competitive price value equation. This is exactly what we will
end up doing for both Tea and Skin Cleansing. But you will see some pricing action. And this is why we also called out that against declining UPG for the
last few quarters, if I exclude the one -off impact of flat UPG current quarter,
we will end up seeing low single -digit increase in underlyin g price growth in
next quarter.

So that's on pricing and our decision in terms of what we will end up doing
for Personal Wash and Tea. In terms of overall Personal Wash and Tea, of
course, the business model is very important. There are 4 things we had to do
for Personal Wash. Number one, the job was to ensure that we are upgrading our products superiority across the board, and which is why the Stratos
technology leverage we have deployed across Lux and Lifebuoy in the
marketplace.
It's been a few months, a couple of months, we have products in the market,
good early sign of consumer traction, but very important that we should stay
course and see for a few quarters before we end up concluding. Sequentially, in September quarter, our business is higher compared to what we did in June quarter, but we would want to watch the signal for a couple of quarters before we conclude on that trend.
Second job that we had to do in Skin Cleansing was correct , if you
remember, the price point at March end, which we had corrected and is already in pla y, which is why also the year -on-year price in the quarter has
been negative. The third big job that we had to do was innovation. And you heard across narrative between Rohit and me, be it the Dove sensitive range
of the last quarter or Lux Sandalwood range in the current quarter. As we
speak, we've just launched in the market, Dove Serum new range, serum
body wash, and serum soap range - serum shower range in the market. So
there is a continuous step -up of innovation that we're doing in the space of
Personal Wash. And last but not least, the fourth action we mentioned will

end up doing for Personal Wash was upping our game in organized trade. That's exactly what we have done in the last few months' time. So we will see how these 4 action s pan out in terms of impact.
Now as far as Tea is concerned, we continue to strengthen our market leadership across value and volume. I remember 7 years ago; we took
leadership, and we have maintained that leadership through. So it's strong
business. Overall market growth has been muted because of downgradation.
But now that overall, the climate of business is very different with 25%
inflation, we got to see how

the market overall table pans out in times to
come. But we will exactly do what we have done, which is we'll keep
investing in the category and then keep growing our business as much as we can in spite of the downgradation which is happening in the business.

Now coming to margin, all puts and takes put together, the bottom -line
conversation that we did as part of the outlook, we want to maintain our
EBITDA margin at the current healthy levels. As you know, we're at 23.8% margin. And those are the levels at which we want to maintain the margin,
some bps up and down, but this is where our mind is at this point in time to
maintain margins.
Within that, you will see continued focus on driving gross margin and you
will see continued focus on st epping up on A&P investments in the business
to ensure that we're able to drive competitive volume growth home.
Moderator: The next question is from the line of Vivek M from Jefferies.
Vivek M: First question is on the overall FMCG market, and you have covered some part in your outlook. But has the pace of moderation in urban surprised you? And what are the key reasons? And any outlook when do you think, let's say, flat -- the curve flattens from where we are?
Rohit Jawa : Vivek, if I may take this one. I think we've now looked at consistently from
all angles and the pattern is quite clear that urban growth has trended down in the recent quarters or recent quarter. And while rural has continued to grow
gradually and has now for the past few quarters has been ahead of urban, and
also continues to be ahead of urban this time.
We see the growth in big cities trending down, although in smaller cities and
in rural the growth continues to be good. So this is a trend that we observed. Now as far as we are concerned, while we can try and explain this, and there's of course , we must not forget that in the recent quarters, urban was
doing the heavy lifting, and now it's rural that's coming back slowly. There could be a certain degree of base effect. There could be macro factors that are impacting the near -term trend rate of the urban markets.
But as far as we're concerned, we are focused on what we can control, which is - we are focused on going where the growth is because even in this large
market, while overall growth may be a couple of percentages down, it is a big market with lots of pockets of growth. So we are focused on allocating
resources to where we have investable assets, chasing growth segments.

Number two, we want to look beyond just the near quarter and make sure that
we're investing behind our brands, strengthening their brand power, which we have, in fact, happy to report, see a very strong trend in our brand power growth, which is reflecting in our market shares, and make sure that we consistently invest behind the market development bets because those are
multiyear and the y compound. We don't want to take our eyes off that and
build capacity.
And number 3 is to be laser focused on volume led competitive growth. And
we have increased our distance from our competitors this quarter. We want to
basically get stronger in all market conditions. So really, we are focused on what we can control. And then longer term, we do expect the market to trend to mean with a few percentage point s of price. As you know, we flattened
price this quarter, likely price growth will come back in the quarters to follow as the inflation in some of our categories takes shape and the volumes will
trend in the natural organic levels of 3%, 4% that we've observed over the
longer term as well.
So we do expect over some time the growth to revert to mean, but the larger point is that in a more longer -term view , the market remains exciting. It's a

place where per capita consumption

s are low. As we've spoken many times
and our job, effectively is to focus -- stay focused on the medium -term and
long- term opportunity in the market and not get swayed by 1 quarter or 2.
Vivek M: And Rohit, in the context of how urban is shaping up and how rural is, do
you think that the portfolio level for you as a company, is there a possibility
that the premiumization has been a secular trend long term, all that I totally
appreciate, but do you think in the interim, urban slows and rural picks up, there is a possibility that the portfolio premiumization actually may not play out or there may actually be a bit of a mix deterioration. Do you think that's a possibility?
Rohit Jawa : We actually look ed under the bonnet. And even when you peel the surface,
you find that the premium segments, popular segments, mass segments, the rank order of hierarchy of growth is the same as observed in other quarters,
although the numbers are slightly lower. And premium continues to grow 30-
odd percent or thereabouts faster than the other segments. And we see the trend of upgradation remaining consistent and secular because even rural

areas, for instance, somebody moves from and we've seen that observed, we
go to shop and check a Re .1 sachet Clinic Plus user moves on to a Rs. 2
Dove, that's an upgradation as far as we're concerned because it's doubling the cost of wash or doubling quality of wash.
So the upgradation trend, including our new categories, finding penetration
opportunities in rural - the Surf Excel INR 10 sachet, which is a premium
product used for select occasions, that story of making aspirations accessible ,
of good quality experiences at scale is still live and deep, and we do not see
that trend changing. So the upgradation and premiumization trend even in
this quarter has sustained and we don't think that would change. And our job
is to continue to drive our portfolio more and more towards where the growth is.
Moderator: The next question is from the line of Manoj Menon from ICICI Securities.
Manoj Menon : I have only couple of questions. The one is on the soaps formulation change,
which you implemented in June. It's been almost 5 months now. I just want to
hear from you on the region- specific feedback, which you may have picked
up on the ground on what's the consumer feedback in terms of the formulation change affecting their lives actually, that's one. Second, in soaps, as I understand this change, while you may have done for multiple reasons, one of the benefits is also far better gross margins. So when I look at the overall performance, I am unsure whether probably it was an up elevator, probably there are down elevators, which kind of neutralized it.
Ritesh Tiwari : Yes. So let me pick up and Rohit can add to it. So on overall, soap, it's been a
few months now, Manoj that we've had the revised formulation products fully
distributed in the market. Our early read is encouraging as we see purchases, as we see the people -- consumer feedback and all of our listening channels
that we get feedback from. So it is encouraging feedback that we have. But
we would wait for a couple of quarters before fully, let me say, coming to
conclusion how business landed, but we are encouraged by what we hear,
already in first couple of months' time.
And this feedback is across the geographies where we have changed. And as you know, Lux and Lifebuoy both are national brands. And so across
geographies we have across WIMI cluster segments, we have a similar

amount of feedback that we have picked up, which is positive. So as of now,
no concern, but only good news as far as early signals are concerned. But we
will watch for a couple of quarters before we come to any conclusion on that. And we will share as we get

more. And hopefully, by end of next quarter, we'll have more deterministic, let me say, information and data to share.
Now coming to gross margin, remember I had mentioned earlier as well that the formulation change overall, we have invested more. Everything else being equal, we've invested more in the formulation which is superior and
landed in the market. So there is no, let me say, increase in gross margin,
which has happened because we went to Stratos technology. In fact, we invested more in the market to start with.
And of course, now we have also invested more to land the innovation, including the innovation intensity which has gone in the market. Now going forward, with commodity price, crude palm oil changing and with pluses and
minuses happening in other ingredients which go and make a soap, we have

taken and we will end up taking calibrated price increases over the course of
the quarter to negate to some extent . The net impact . Net of savings of the
inflation we will then pass on to consumers in a calibrated manner, being
mindful of the competitive price value equation.
So this is where we are in terms of overall impact, which is more investment and hence not increasing gross margin but more investment, but we are very mindful of the overall play across P&L we want to do to drive the financial
growth model, which is volume growth driven at this point in time for Skin
Cleaning and hence Personal Care.
Manoj Menon : Pretty clear, Ritesh. Just 2 follow -ups, if I may. Given that around 40% of the
bathing segment, soaps is actually -- is price pointed packs, let's say, INR 10. I
would presume that the frequency, let's say, for example, a INR 10 consumer
would be replenishing every week, right? I mean so which means you have
enough data till now. So why is that, let's say, is it just that you're kind of playing safe saying that we need a couple of quarters? Or is just that you have enough data already?
Rohit Jawa : Look, because we know the context of this, we took a long time, tested it
thoroughly before we went to the market. We had a very, very rigorous

change management because we're talking of a very big business, 2 brands
impacted Lux and Lifebuoy. We put tracking studies post launch as well across the regions, picking up data with the consumers and channel, both first-time feedback and what consumers and shoppers are saying.
What we see and because it's a pipeline with old and new stocks as the brands
start to take full place, we will have more information as we go more in this
quarter. But early signal s, take, for instance, the product does improve the
feel, the skin feel, the fragrance delivery, the colour and our ability to make
claims because we can now incorporate much more skincare since we have
more formulation space. All of that, for instance, seems to be helping. To
take an example, concretely is Lux, it's a very big brand and we can see that,
that is finding good reception. Our early entrance into the sandal segment, which is a very, very big segment in South and West, where we didn't have a strong play is , anecdotally , is receiving very good feedback because we're
able to offer both Skin Care benefits and sandal superior perfume on the chassis that we couldn't do on other chassis in the past. So we are hopeful for that to work as well.
So at this point, we feel that move is good. But of course, it's a big change. So
we want to have more concrete quantitative data before we come back and confirm what are the opportunities for us to take it further, what we need to strengthen, what need s to improve. But we feel positive at this point.
Not to forget, we do have very strong play in Dove and Pears, and liquids.
That's really where the growth in the market is. Liquids, we are gaining share.
We're growing handsomely across our brands. Dove and Pears, both are
str

ong, and they, of course, are not affected by this technology one way or the other, and they are, of course, remaining a very high priority for us as well. So we are committed to a multiyear improvement in our Personal Care -- Personal Wash business. This is a home business, and we intend to make sure
we have structurally very, very sound business going forward.
Manoj Menon : Loud and clear, Rohit and Ritesh, and in fact, this sandalwood variant launch
was very, very pleasing to note and very super good luck for that. Just one
statement, if I make as a -- let's say, statement of assertion of hypothesis, is
that I mean, am I -- are we to think -- are we to assume that, let's say, the
change in soap formulation was because you mentioned that it's actually

higher cost for you, let's say, Ceteris paribus versus the previous let's say bill
of material, is to assume that, let's say, from a super long -term point of view,
you just want to reduce the dependence on palm.
Ritesh Tiwari : Two things, Manoj out here. And let me spend a little bit of time answering this. Overall, when you look at the soap formulation, we mentioned last time
as well it's a non -soluble component of palm is what we have reduced. That
typically only is used as a structurant and gets washed down the drain in the
bathing process and adds to environmental load.
The moment you do that, you then increase the space in the formulation to
add ingredients, which will lead to more benefit delivery. That is the central

reason why we have done what we have done. Now be it Lux Sandalwood, be it serum, be it other ingredients, we are able to now create space for
adding all of that to the formulation. So the central reason of doing that is our ability to upgrade and deliver more functional benefits going forward. That's
the reason we have gone and done.
And we are mindful that when we are changing creating space, of course, the
overall commodity volatility is linked, of course, the cost reduces. But of course, as we add more goodies and more functional ingredients, benefit -
leading ingredients, the formulation costs will go up. So it was a very calculated call by us to step up the quality of formulation. And in summar y,
proof of the pudding is -- will consumers see , perceive this as a product,
which is superior compared to what our existing superior products were or
compared to competition.
We saw that in our various studies that this is a superior formulation. Of
course, now we are in the market early good signs. So we are encouraged,
and we will, in times to come, come to conclusion as to how overall it has
gone. So that's the space and that's the reason why we have gone and done it, let me say.
Manoj Menon : I have one follow -up, but I'll come back in the queue. But just 1 question on
the soap specific thing. Is there an IPR involved in this change which you have done?
Ritesh Tiwari : Sorry, come again?

Manoj Menon : Is there an Intellectual Property Rights sort of situation where you do have a
genuine competitive advantage for a very long period of time?
Ritesh Tiwari : Yes, we have applied for more than 20 patents, and these are all kind of patents, design patents, material patents, of course, formulation. And we do believe that, with that we will have basically a formulation, which will be
very tight in terms of its development and in terms of proprietary nature of
that. And we mentioned Manoj last time that its taken for us 5 years to
develop and get this formulation, and we protected it very strongly with multiple patents. So yes, so we feel very confident about it.
And as far as margins are concerned, probably the question behind your question. And ultimately, if the products are superior, our ability to command
a right price point

gets more enhanced. We are also expose d a little lesser to
commodity variation, which happens. So ultimately, it all comes together in a
high commodity volatil e atmosphere for palm, we'll be better insulated. So it
will all play out in times to come. But the single biggest factor, if I just, again repeat, is the increasing possibility of adding more innovative materials in the product.
Moderator: The next question is from the line of Avi Mehta from Macquarie.
Avi Mehta : Just picking up on where the earlier participant left, with the superior formulation in soap of much competitive pricing and early signs of healthy consumer traction, could you give us a sense on by when do you see these Stratos essentially translating into volume market share gains in soaps? Is that the right way to look at this? And would love to hear your thoughts on by
when do you see it translating into these outcomes?
Ritesh Tiwari : Yes. See, we had mentioned, Avi, that we would want to watch it couple of
quarters. So this is a large- scale change across multiple consumer segments,
and we want to have a good read before we come to conclusion, and we don't
want to jump to conclusion. Initial trends are good. Sequentially, we sold
more in September quarter compared to what we sold in June quarter. There
is initial early signs of volume market share improving.
But as I mentioned, we would want to watch it couple of quarters before we
start concluding on it because there's a lot of detailing that goes behind
assessment before you conclude on some headline numbers. So wouldn't

want to jump to conclusions. Are we worried? Answer is absolutely not. We
are encouraged and we are positive about the change, which is landed, and
early signs are good.
Rohit Jawa : I just want to give a corollary to this, which is that we must not forget that the market is tending towards more premium in Personal Wash, Liquids . Dove,

Pears we have very strong equities there, and they have very, very big head space. So our focus is to sustain middle of the market with Lifebuoy, Lux, Hamam, but at the same time, also premiumize and grow our consumers to adopt Dove, Pears and Liquids as a format.

Avi Mehta : Clear. Perfectly clear on that. Just on that Rohit, if I may just a second bit on the industry. I heard your comments about the fact that we are ensuring that our performance is less linked to the industry. But what in your view is the reasons why urban has weakened? And by when do you see this turnaround? I wasn't able to kind of get a clear understanding of that, if you had any thoughts on that, that will be great.

Rohit Jawa : In full transparency, it would be very difficult to forecast very far out in the future. I can give you a historical trend rate, and we can judge this collectively and give you more a near -term view. Historically, the market has grown roughly half price, half volume. At this point, the price was negative to zero, that's coming back, that's a few percentage points of growth that was missing in the market, certa inly in the markets we play in.

So I would say that that is going to gradually come back. We've been missing that for the last 5, 6 quarters. We enjoyed it when there was inflation, but it's not been in the last 4 or 5 quarters. That is a missing part of the growth equation. Second, on premiumization, that adds growth as well through the element of mix. I think the premiumization trend is secular. That's why we will try and bend more and more of our portfolio towards investing in consumption value increase. And that is also there in as one of the second parts of the growth equation. Third is that the volume tends to grow between 3%, 4%, give or take a year, then give or take a quarter on the average. It dipped down this quarter on account of not that much growth in the big cities, although the smaller cities

are growing on the composite. But it could well come back when the macro conditions or the stimulus is more positive.

But I would not be able to make great forecast on specifically what this will be. What we can say with some degree of certainty is near term that demand trends tend we feel are stable going into the quarter we are in. But what we can do is to stay focused on what we can control, which is the 3 things that are going where the growth is, focusing on the long term, investing in our capacity and our brands. And finally, making sure that we are gaining in competitiveness by executing with superiority across all of our 6 P elements, which will give us a position of strength as market conditions change for the better.

Moderator: We have the next question from the line of Latika Chopra from JPMorgan.

Latika Chopra: I think a lot has been discussed. I have some follow -ups. I'll start with Personal Care. In June quarter, you talked about a positive low single -digit volume growth. This quarter, it seems it's in the negative territory, you've said soaps have increased sequentially for you. And it seems Oral Care has also probably done better. So just trying to understand what has led to this moderation in volume growth in this category. Is there some base effect or something very specific to call out?

Ritesh Tiwari : Yes. Latika. Let me put it into 2 different perspectives. First of all, we have grown well in Oral Care, you saw in our prepared remarks as well. The growth is competitive, Close Up is doing very well. So Oral Care is doing good. Coming to Personal Care within that Skin Cleansing in particular, as part of Personal Care. This quarter, the decline is both on account of pricing and volume.

The price changes that we have done early in the year we are having that price decrease in our September quarter, and we're lapping the price which was very different in the base . So year -on-year, there's a price decline, which is part of the reason why the revenue has declined, number one.

Number two, it's also the base in the phasing of sales across quarters. The point I was making earlier sequentially, though year -on-year, we have declined from a low -single digit in volumes in Skin Cleansing. But sequentially, September quarter over June quarter, for example, we have sold more amount of turnover. So that's how I would want you to see. And as I

mentioned that we would see how this pace of recovery improves from here
into the quarters ahead.
Latika Chopra: This is clear because it's good actually because I think June is a better season
for Personal Wash. We've done better in September. The second bit was on Food and Refreshment, again, there's a shift, an adverse shift in volume
narrative. And is it all linked to ice creams or tea also has kind of deteriorated
a bit more due to the whole downtrading pressure? One is Horlicks.
Ritesh Tiwari : Yes. So the Foods and Refreshment, Latika, 2/3 of our business sits between Tea and HFD. Ice cream overall 3 percentage of the business. And of course,
it's a little larger than th at proportion for Foods and Refreshment. Ice cream
has overall you've seen the comments, we've been holding on to the scale of
the business. And the season sales that we did, got impacted to some extent
by rains, etcetera .
But the larger conversation comes from both Tea and HFD, which is 2/3 of
the business. Now overall for Foods, at foods and beverage level, we have
increased competitiveness. So we've gained shares. In Tea, we have gained
shares and our market leadership, both volume and value remains strong. HFD, we further improved our competitiveness, and we've gained share.
So from a competitive perspective, our entire Foods and Refreshment business has gained sh

are and is stronger. Now what has happened within that absolute amount of sales turnover growth for Tea we have seen marginal decline there. And the reason we called out that the downgradation which has happened for Tea in the deflationary period has continued to happen.
Now the signals are changing as we speak now. We now have a deterministic signal that this season is an inflationary season. A quarter before, we were not
very sure - early data was coming in. But now that we are well into the
season of commodity tea, we know it's inflationary season because of the
lower produce.
25% is the scale of tea commodity inflation, which has happened. So going
forward, of course, we'll end up taking price increases, which we have done,
started taking price increases in December quarter, and you will see how it
pans out. So there's no concern in terms of Tea and HFD , as far as

competitiveness is concerned. But of course, tea volumes have got impacted
because of downgradation.
And for HFD, we have more job to be done on consumption. So where is our
focus on HFD in terms of driving growth - Plus range doing good, idea is to
ensure that we're able to more premiumize and more specialize the portfolio.
Our job is to ensure that we are able to drive more amount of penetration
gain. Since we acquired the business, 250 bps improvement in corporate
market share of nutrition drink.
Since we acquired the business, 700 bps improvement in penetration levels.
So those all -consumer metrics are looking strong. But what now we got to do
is to convert the strong consumer metrics into headline growth and hence, consumption becomes the single biggest focus for us. This is where we are
putting our head down, and we're working hard to ensure we're able to turn
that around as far as consumption is concerned.
Long term, we all know that India is micronutrient deficient in terms of the
food plate, carbohydrate heavy, this is the right demand space to be in. But we just have to ensure that we keep focusing on and keep driving consumption. So this is where we are. But we are also mindful - there are 6
demand spaces within Foods and Refreshment that we want to continue to ensure we're working on, Tea, Coffee, Nutrition Drink, Mini -Meals and
cooking aid, condiments and UFS. These are 6 different demand spaces where we want to double down on our Foods portfolio.
And we will share more about what we want to do in terms of new demand
spaces when we speak at the Capital Markets Day. But we are very
encouraged to know that there's a good amount of benefit of foods in the
country, packaged food overall should only end up driving growth for
FMCG, and we want to participate in these 6 segments. And through that, we want to grow our own proportion of the food business in the country.
Latika Chopra: And just one last bit. I heard your comments on urban growth. I just wanted
to check, is there any geographical disparity? And also larger cities, is there anything to read from channel distribution, channel shift more towards online, which could have in any way, any impact on growth trajectory?

Anything to call out on both these aspects? That was the last question.

Ritesh Tiwari : Thanks, Latika. Latika, overall in terms of urban, it's across the country. It's
not that there's a dramatic difference in one part of the country as compared to the other part of the country. We track our WIMI clusters very closely. So I would say this trend is across the country. It's not one portion and part of the country only.
Coming to channel, the secular trend of increasing e -commerce proportion of
the business, increasing modern trade component of the business, that secular trend has continued. We still are GT -dominant business. 70% of our business
comes

from general trade, roughly 20 percentage comes from modern trade,
6% to 7% from e -commerce and 3 -odd percentage from other channels. And
this secular trend of moving more towards organized trade has continued to
happen this quarter as well.
No dramatic move in the last couple of quarters, but same secular trend
continues. And the point we mentioned that our portfolio is distinct in
organized trade. We continue to do good work in terms of bringing very
distinctive and channel -specific portfolio, and we are gaining share in
organized trade as well. So that's very important in terms of competitiveness.
Moderator: The next question is from the line of Aditya Soman from CLSA.
Aditya Soman : Just following up on Latika's question actually on e-commerce and the
impact, particularly of quick commerce. I find it a bit disingenuous that both -- I mean, you and one other large multinational called this out that large cities
are growing slower when we are seeing growth in some of these channels being well over 100%.
If I look at even growth for businesses like Nykaa in the Beauty segment and even if I compare your sort of adjusted beauty growth, the absolute increase in turnover for Nykaa was actually larger. I understand they are a retailer and
then also sell your products, but than what it seems to be for Beauty and
Wellbeing for HUL. So I just wanted to get a sense, I mean, is it that when
we are saying we are gaining market share, are we looking at a different set
of data? Or am I just missing something?
Rohit Jawa : I didn't fully understand the disingenuous comment and what's the motive
behind that before I respond. You said disingenuous and what does it exactly
mean?

Aditya Soman : No, no. I'm just saying that on one hand, we've got these companies growing,
I mean, e -commerce or businesses like Nykaa, which obviously are beauty
focused and the beauty business growing very fast. And on the other hand, obviously, HUL's growth in beauty has -- or remains relatively...
Rohit Jawa : So I don't know what the other peers are saying. I'm just responding to the
business we are in, the categories we play in, and we're looking at the trend
from, say Kantar or Nielsen, that Kantar, for instance is the consumption data, right? It doesn't matter which channel consumers buy from. That and Nielsen, which is more of a retail audit, that may not include e -commerce.
We look at it separately.
So when you look at all data points, what we do see in this quarter is -- and
the comment is based on a composite number, not on a number that's excluded this, including that, that there is a trending down on the urban growth, and that's more marked in the 1 to 10 lakhs in bigger cities remaining
flattish and not so much in the lower -tier cities. That's just a nuance of trying
to deconstruct this growth. And there's nothing more to that.
So I don't understand how that would not be anything less than transparent
and the data is visible and accessible to all market participants, including yourself so you can look at that yourself as well. So that's really where this
comment is coming from.
Aditya Soman : No, understand. Very clear. No, no, I'm not -- I mean I'm not questioning the
data that you're seeing, obviously you're seeing the right data. I'm just trying to understand, are these panels missing something in a sense that as you
mentioned, I mean, Nielsen probably just tracks retail and with Kantar could
they be missing smaller competitors or something of that sort? Is that even a
possibility is what I'm trying to understand.
Rohit Jawa : Like I said, for us, so for a minute, I assume that there is noise in this

information. We can try and explain or understand the macro as we do to be
transparent. We're also asking these questions in our market visits or when we speak to external participants.
But at the end o

f the day, our organizational focus is to control what we can
control. And the greatest measure of that is are we competitively growing in
the market we find ourselves in. And we look at channels across modern

trade, we measure the shares there discretely by banners and also by
segments.
We look at e -commerce. We measure our shares by pods . So we call them
pods . These are beauty.com players or marketplace.com players and so on
and so forth. And you look at general trade by tiers of the cities and urban
and rural. We are increasing the shares in aggregate, led by volume in MAT
and increasingly led by the last 3 months data movement. So that is what we have to stay focused on.
If we do that, as market tends to come back to shape or comes back in a
certain way, we'll also tend to gain. And we allocate the sources to where the
growth is the highest modern trade, for instance, or premium areas, premium
segments across different geographical segments or e- commerce where, of
course, as we said, the growth is in multiples of high -- very, very high
double digits.
So yes -- so that's the thing. The real focus, therefore, we have is to go where
the growth is and consistently invest behind the longer term, both brands and
market development efforts and focus on improving our competitive strength so that we gain share in all market conditions.
Aditya Soman : And then would it also be possible to explain the profitability differences in the channel? Maybe I understand, obviously, for you, e -commerce is growing
faster than modern trade and faster than traditional. But would there be a difference in profitability across channels or nothing to call out?
Ritesh Tiwari : No, definitely different channels offer different profitability. The portfolio
that we sell is different. So typically, organized trade, you end up making
better margins compared to general trade and that emanates from the fact that the portfolio that you sell in organized trade is different than what we sell in
general trade. The price point packs essentially sachets, or the mass segment
of the business is not present, as you know, in a big way in organized trade.
So because of that, when you look at even sans the investment, you end up
making better margins in organized trade. But more than that, I wouldn't want
to share at this point in time.
Moderator: The next question is from the line of Jitendra Arora from ICICI Prudential
Life Insurance Company Limited.

Jitendra Arora : Yes. Actually, Aditya just asked my question. I just wanted to understand the
profitability across channels.
Moderator: We will move to the next question, which is from the line of Vishal Punmiya from Yes Securities.
Vishal Punmiya : Yes. Firstly, just a clarification in terms of -- you mentioned about the tea
price hike. Is that already into the market? Or do you expect that to come in, in the next couple of months?
Ritesh Tiwari : We've started taking it, Vishal. So obviously the first signals are already
getting into the market as we speak. But you end up taking across multiple price points in multiple geographies. So the overall change in price will land over the course of the quarter, December quarter. But the first set of packs started to get invoiced already.
Vishal Punmiya : And that won't be able to offset the entire inflation, right, because then it would be a very sharp price hike?
Ritesh Tiwari : Correct. What we always do is, Vishal, that when we look at the price
increase, especially happen s in tea, such is life, it's a season that ends up
telling you where the price momentum is unlike, let me say, palm or crude. So I would say what we always do is to look at the gross inflation we see
what kind of savings we can net off. And then the net hurt of

inflation that we have is what then we end up taking calibrated price increase.
Our learning always has been when you take price increases tak e in smaller
chunks. And when you drop prices drop in larger chunks, so that you don't end up getting saddled with trade pipe line

inventory. That's exactly what
we'll end up doing now as well, both with tea or for that matter Skin
Cleansing as well.
Vishal Punmiya : And secondly, on your A&P spend for the quarter. So there seems to be a sharp cut, any particular category that we have decided to cut spends? Or is it some postponement of spends that we've seen in this quarter?
Ritesh Tiwari : Yes. So a couple of perspectives there, Vishal. First of all, of course, the
same period last year was our highest amount of A&P spend in the last 3
years. So you then also lapping that, and you look at year -on-year
percentages. But if I just talk about absolute percentage, we are roughly little

over 9.5% A&P spends in the quarter. And if you look at our average for last
year, typically 10.5% what we do. So we have, let me say, 100 bps lower compared to a typical trend of spends in this quarter.
Now there are 3 different things which end up driving the absolute level of expenditure. Of course, the first and foremost is competitive spends . Looking
at the competitive media heat, our first objective always is share of voice ahead of share of market. This quarter as well our share of voice is ahead of share of market. So we have spent competitively, number one.
Number two, of course, is reach objective. Every brand has different
communication campaigns we end up running. And those reach objectives
tell us as to what's the quantum of expenditure we want to do. And of course,
third is then the innovation phasing. These 3 elements end up determining the
absolute levels of media expenditure that we have to do in the quarter.
Along with that, there's also a dramatic shift happening in terms of the
components of media. We have now roughly 45 percentage of our working
media being spent in digital, so that also then ends up determining the level
of expenditure in the quarter. So which is more of a phasing. There is no dramatic pull up or pull down if I ignore what's happening in the base and we typically operate at 10.5 percentage -ish in terms of A&P expenditure and you
should expect that levels for us unless media heat dramatically changes, or
innovation phasing and we do something very different in the quarter.
Vishal Punmiya : Right. Understood. Just, lastly, a data point, if you can share, what would be the mix of ice cream business from the Q -commerce channel?
Ritesh Tiwari : So in Q -commerce, ice cream is roughly more than 10 percentage.
Moderator: The next question is from the line of Percy Panthaki from IIFL.
Percy Panthaki : A couple of questions from my side. So firstly, on Tea business, just wanted to understand the volume sort of weakness here and you're not alone even Tata Consumer reported a negative for volume. See, generally, when there is a tea cost inflation, and this time, it was quite steep like close to 20%, 25% kind of Y -o-Y inflation.
What happens is that the small and unorganized peers pass it on immediately because they operate on very thin margins, so they cannot afford to hold the

price line. And the larger guys like you and Tata have not taken much of a
price increase and your premium to these guys would have shrunk materially.
So therefore, I would expect that both you and Tata should have reported very strong volume growth. We see similar kind of phenomenon happening in, for example, coconut oil also Parachute gains when there is a big price
inflation because unorganized cannot keep up. So this has not happened in
Tea. So any rea

son why this has not happened? That's my first question.
Ritesh Tiwari : Yes. So Percy, if I just go a quarter back, when we started seeing the first early signals of an inflationary year for tea, it was too early for us to make a
judgment and decision as to where the whole season will pan out. And for
that matter, the level of inflation the season will end up offering. So typically,
what you do is we just wait first to ensure that we have very strong signals
both, a, direction of inflation, and b, the quantity of inflation.
As we speak in the last few months' time, that is much clearer now that this is
indeed a season where we end up seeing inflation. And a material inflation,
the number I was quoting earlier 25 percentage. Second thing which you also
check before you end up responding in terms of action is what is happening
to inflation between plainers and premium tea and here I'm referring to
commodity.
And you know that we have spoken about last couple of years, that we decoupled where premium tea saw more inflation and

plainer tea did not see
inflation. And when the deflation happened, the deflation happened more in plainer as compared to premium. And which is why the price gap between
premium tea to an extent became broader and larger compared to plainer tea.
That's what played out and hence, overall value growth in the category came
down.
Now typically, with inflation, this time, the inflation signals are very similar,
both for premium tea and for plainer , a couple of percent differences, but not
material. And now that we have that, let me say, read over last few month's
time, is when we have decided to act with the price. So the change which you are expecting should start kicking in as Hindustan Unilever is concerned from December quarter onwards, that's exactly what we have done.

We have seen in the past when the price table starts to stabilize, the
downgradation, we are hoping will stop to happen. But I would want to wait for December quarter to play out. We have done all the actions that we have to do, and we are very clear what plan we'll be executing in the quarter, and I'm hoping that the market price table stabilizes in terms of downgradation
and there's a different outcome in terms of growth we'll end up expecting in
December quarter. But we will report, of course, how that all goes through
when we speak in January.
Percy Panthaki : I'm still a little confused. I'm talking about September quarter. September quarter, you have not taken any price increase or very little price increase. The inflation is huge, and therefore, the small and unorganized would have already taken a very big price increase and therefore, your premium to them would have shrunk. So why is it that there is no sort of market share gain? Let's say, you were at, for example, just hypothetically 30% premium to the
small and unorganized. Now your premium would have come down to, let's
say, 15%, 20%. Shouldn't that have benefited your volume in September quarter itself? And why has that not happened?
Ritesh Tiwari : See, first of all, before I answer specific, we have further gained market
share. So our market share gain, both volume and value is very competitive.
So that goes without saying that we have grown ahead of the market, number
one. Number two, I don't believe the data that we have seen, there is no
dramatic price level change, which has already happened in terms of price of the product in the market in September quarter. The point I was making that, at least in our case, we have waited before we end up deciding what we have to do in December quarter, but we have not seen material change in the price levels in the market in September quarter. So I would wait for a quarter more before starting to conclude which way the markets are stabilizing. We have seen continued downgradation. A, there is
players

; b, there's commodity; and c, there is consumer. All 3 have to come
together to determine the fate of the category or for that matter the growth of
the players in the market. All 3 put together, we have seen the sign of downgradation continue to happen in September quarter. So as I mentioned,
but now with these signals being very different, very clearly, we know what
we need to do. We have taken our actions. H opefully, we'll have a different
outcome for December quarter.

Percy Panthaki : My second question is on soaps. So I know this has been asked multiple
times, but still just wanted to understand, see, you have changed the pricing, and you are happy with the pricing you're operating at right now . Earlier, you
were at a premium, which you felt was a little higher than what you could justify. So that has happened 3, 4 months ago, and you have changed the
formulation and made it superior.
And still, the volume growth on a Y -o-Y basis is negative. So although
sequentially, it has improved Y -o-Y, it is negative. So what else we need for
the Y -o-Y growth to turn positive? Is it just a base effect, which will catch
up? Or is it something else? And is there a confidence that in Q3, with the
momentum that you are seeing the Y -o-Y volume growth in soaps will turn
positive?
Ritesh Tiwari : So Percy, I captured a little while ago, but yes, I'm happy to repeat. There are 4 different actions we said we have to do. A, on pricing, exactly, as you
mentioned a few months ago, we did that early in the year, we had already
executed; b, on product superiority, you heard on Stratos; c, on innovation intensity. I quoted example, Rohit quoted

examples, what we have done, and
d, in terms of play in channels of the future ; organized trade.
All those 4 set of actions we have already deployed. And we did mention
both in our prepared remarks and also when I answered earlier that we do believe it will take a couple of quarters before we see the full impact of what we have done. Typically, when you end up doing such large scale changes, it
takes some time before you end up seeing change. Early signs, I mentioned
we have seen, both in terms of sequential business being higher in September
quarter compared to June quarter.
We have seen, as I mentioned, early signs of volume growth in the latest quarter when I say volume, volume market share growth. But I would wait for a couple of quarters before we end up giving a view as to how all the 4 actions put together have panned out. But early signs are encouraging is the point I mentioned earlier as well.
Percy Panthaki : Just one quick question. If you can give me even a one -line answer. It will be
okay. So in beauty, you've done quite well. It's a 7% growth. And the
segment, which was really lagging is the mass Skin Care till now. I mean --

so has that problem been sort of solved? And is that back on track in terms of
growth this quarter?
Rohit Jawa : Yes. So I think I'll take this one. So on beauty business, as you saw, intrinsically, we are in 7 -odd percent. We are happy with the progress we see
on the premium end. Ponds is a great example of where we're seeing high --
very high double -digit growth. I also wanted to comment before we go to the
mass end and specifically give you an update on that.
That just purely for what we call digital -first type masstige, more premium
formats in segments we've called out the 6 segments we are focused on, more
premium and more long- term market development nature, like sunscreens,
de-seasonalizing body care, for instance, and s ome brands like Simple and
Love Beauty and Planet.
This entire portfolio is already about the scale of almost INR2,000 crores and
is growing in very high double digits, has a very high e -commerce and
m

odern trade contribution almost 60- odd percent. And we are seeing very
high growth in e -commerce as well. So it mirrors a typical premium digital
first type of portfolio. And we now have a very strong capacity, whether it's
through innovation, tracking, through trend matching , through formulating ,
producing, marketing with the whole influencer ecosystem, dedicated teams to sell beauty in e-commerce and modern trade and a dedicated channel for
premium beauty outlets. So we feel confident to be able to incubate, build
with scale premium beauty portfolio. This is where the exciting growth is.
Insofar as mass is concerned, we still have work to do. We are focused on
improving , our big brand here is Glow & Lovely that needs to come back to
momentum. We are focused on modernizing the core. We're focused on
making its proposition stronger, improving its presence in more value -added
segments close to the core or core plus with new benefits and sensorial
formats and participating in high- growth segments, some of which we
already have launched.
We have clear set of activities. They're in motion. We will see them going into the market in this quarter and the next quarter, and we are all very much laser -focused to basically get Glow & Lovely back on track. And with that
done, I think that would then give us a complete portfolio. And of course, the

growth will always be more high in the premium segments and e-commerce
channels, etcetera, which we have first started with, but we need the entire
portfolio to basically be robust . But we're happy with the progress so far, a
good quarter. But again, this is one of the many quarters that we have to stay
focused in growing this business.
Moderator: The next question is from the line of Jay Doshi from Kotak.
Jay Doshi : Just a quick follow -up on tea. Usually, when -- this time, you have delayed
price increases and overall demand for the industry has been weak for the past 2, 3 quarters. So usually ahead of price increases, channel tends to stock
up. This time around, why have you not seen that trend at all? And do you

see a risk that going forward, demand could weaken further once price
increases are taken?
Ritesh Tiwari : Typically, Jay, there are a couple of categories which are more sensitive to
price in FMCG, Tea and Soaps (Skin Cleansing), are those categories which
are very sensitive to price change. So there is always a higher elasticity of
demand consumption vis -a-vis price. But we've got to see how it all pans out
in times to come.
The change in price, as I mentioned, at least as far as we are concerned, we are leaning into the price now in the market
there is a large consumer franchise as a market leader we have, and that the consumer franchise will
end up experiencing the price change. And we're very mindful of the amount of price changes we end up doing net of inflation, we will net it off against
the savings that we end up doing.
So we'll have to see as to how that overall pans out. There's never a pantry -
loading which happens. We have not seen that. Overall, not only HUL, but looking at the category STR, the stock levels in the industry. We have not
seen a big uptick. In fact, overall, there's a little bit of pluses and minuses
across categories, but there's no material change we have seen.
Rohit Jawa : If I may just, complement , because if you disaggregate our tea business, so
there are certain parts of our business, the Lipton brand, the Taj brand that are
somewhat less price sensitive. They , and including functional tea like the
supplement tea we have on the Brooke Bond. They are continuing to grow in
volume, in the current markets, and we're quite pleased with that trend, and

we would like to keep investing in growing

that premium functional value -
added segment of our tea business.
The part that is sensitive to price that operates more in the middle of the
market, 3 Roses, Taaza, Red Label, the more larger part of the business, indeed reacts to commodity, which is the nature of this beast. And we have
been -- we are in this business for a long time, so we know how these cycles
turn. And generally speaking, an inflationary market has been historically
favourable to brands like Taaza and Brook Bond and 3 Roses, when for the
reasons mentioned by one of our colleagues there is pressure on the loose tea in the commodity. and people tend to then upgrade to brands like ours
because they become more -- their premium sort of starts to shrink. We
should basically expect to see the trend come back to this natural order. We should, therefore, be very mindful of not getting caught with in- quarter
noises, pipeline and effects as such. And therefore, we should allow this
quarter or 2 to sort of settle down. The price increase has been quite steep.
Bulk of the commodity is bought June onwards. So I think until June, people
may have not even established the real price trend now that it's established
that it's increasing. I guess the real market impact of pricing would be felt as
we speak at this point. For instance, we are increasing prices as we speak as
well. So I think we need to give it some time to settle down to go back to what we've observed historically in this category.
Moderator: The next question is from the line of Mihir Shah from Nomura.
Mihir Shah: Can you talk a bit on the quick- commerce channel? How is your market share
in quick commerce versus general trade and modern trade that you have? Do
you see this channel giving opportunity to new niche brands which are
targeting the affluent consumer and can pressure premiumization trend for us
and maybe lead to lower than market growth?
And a part B to that is, given the strong growth in quick commerce that
you're seeing in the market, does this trigger any recalibration in the GT -
channel inventory? Have you already lowered it vis -a-vis the past orders or
past trends? So that's question one.
Rohit Jawa : Can I just go one by one. So I'll take your first question first. I just want to
use the opportunity to clarify and give you a bit of context so that we don't

overread what we read, etcetera, in the press and apply uniformly to our

market conditions. So first of all, channel structure. 2/3 of our business is in
general trade. Therefore, heart of Hindustan Unilever business is with our
kirana merchants, distributor inclusive is our priority number one .
We invest behind this because we want our shoppers to be able to shop
through kirana and then to be digitally capable. And our Shikhar app is an
example of a long- term investment in making this particular segment of our
channel strong and robust. And we continue to be focused on the general
trade kirana distributor -served segment, which is a majority of our business.
Modern trade is increasing as is e-commerce, which is the nature and order of
all countries as they evolve and develop. And it's about under 20% of our business.
We are growing consistently double digits. We're gaining share in modern
trade . We have an advantaged share position in modern trade, and we intend
to keep it like that and are investing to make sure we grow the categories.
There are modern trade customers because they're interested in partners who
grow the category value. So liquid, in laundry or the higher added bathing liquids in Personal Wash, for example, and so on and so forth.
E-commerce is about 7 -odd percent, 6- odd percent of our business is clearly
growing faster, and that is to be expected. We're gaining share on the whole, off course, led by Beauty where we are leaning in more specifically. Quick
commerc

e is only a very small part of our e -commerce business. It is
important to the extent that we have to serve all shopper missions.
The reason why quick commerce is doing well is because it serves a certain
consumer and shopper need - convenience, sometimes they want very bulky
items to be brought home. And we have by design segregated portfolio
without any significant overlap with modern trade or general trade
particularly that we sell in quick commerce, and it's by design meant to not overlap. The duplication is quite limited. It's to serve basically the occasions of convenience or of instant need. And we see that basically serving that need. So it's higher in ice cream which we already mentioned or for some
kitchen items that people need or very, very bulky packs that basically people
may not want to buy on their own, and they may require last minute. So I
think for us, quick commerce is one small part of e- commerce and an

important part, nevertheless. And as part of the whole where we are trying to
serve this omnichannel consumer for all of their shopping needs with such a
broad range portfolio of business we have.
So therefore, I would say that, just explained to you the role of quick commerce in our business. Our market shares in quick commerce mirror,
roughly a grocery market share, so they are roughly in line with the general
trade market share. And our intention, of course, is that in every segment of the market, where there is growth, we increase the market share, and we have
basically designed our portfolio and our promotional incentives to ensure that
we stay competitive in quick commerce as well, even though it's a small part of our total e -commerce business, we want to win in every corner of the
market.
Mihir Shah: Sir, the other question that I had asked on the -- do you see this channel
giving opportunity to niche new brands which can ideally target the affluent
consumer and pressure premiumization trend. Given the Nielsen numbers,
and all the aggregators are not capturing the slowness, but there is some
growth out there in the market. Do you see this can be a possibility.
Rohit Jawa : For us, yes, firstly, the notion of quick commerce or e -commerce of infinite
shelf , low barriers of entry, etcetera , is all well. But at the end of the day,
people scroll through. And we know that we have to drive online availability,
we have to drive share of search. We have to pop up in the first few pages. We have to have the right promotion s, we have to participate in festivals.
So we have a playbook for winning in different channels and within e -
commerce in different what you call pods . And for us, the way to not worry
about what Nielsen picks up or not is essentially to stay focused on market
shares with in each channel . We're measuring all of these channels through a
fairly robust method. So we are tracking our market shares in these channels.
And as long as we can keep growing them and if they go down, we then look
at what reasons there are and keep optimizing is how we sustain . It's no

different from playing in e -commerce in other pods or in modern trade, which arguably also has a similar opportunity for brands to enter, get listed. At the end of the day, may the best brand and mix win and consumers will prefer what's more su perior and has better value . For us , therefore, competitiveness driven through unmissable superiority across all our 6 P is really the mantra,

and we measure all of our brands, especially the big ones across the 6 Ps and keep correcting and optimizing and that is a discipline we're embedding deeply in the business and it's something that is going to stand us in good stead. It doesn't matter which channel or which shopper mission .

Mihir Shah: Sir, my s

econd question is quickly on the OZiva and Well ness. I know that you've not taken majority stake yet. Maybe an update if you can share on the business. Have you validated or has Unilever validated the critical claims that those brands make? And any plans you can share on how to scale those business up. They seem to be very interesting products, which the new age consumer may want to have? And any plans on higher A&P , distribution backing that Unilever brand, equity that you can bring a quick update on that maybe will be helpful, sir.

Ritesh Tiwari : Yes. I'm conscious of time. So sorry, I have to be a little brief, but I will answer your question in summary. So both the businesses, and we have -- as you know, we have a majority stake in OZiva, we have minority stake in Wellbeing, both businesses are doing very well. And we are seeing more growth, we're seeing more traction. And these categories, as you know, are at a very budding stage of getting embedded in the consumer ecosystem. There are good signals of that continu ing to happen.

The entire focus on health and wellbeing, which has got elevated is helping these categories and businesses to do better. With OZiva, we already have our very clear contract in place as that at the end of 3- year period with an agreed pre -formula will end up acquiring the balance business that will happen by the end of next year, end of next calendar year.

And with Wellbeing Nutrition, we'll end up having, again, a conversation at appropriate time to do what we need to do next. So good news is both the business are doing good, strong brands are gaining very well share and we are investing more importantly in this format and this category demand spaces, because they will keep offering more value in times to come.

In the health and wellbeing space, the last point I wanted to make, this is the beginning. This space will only get more traction, and more sub formatted and sub segmented demand spaces. So as relevant, we have a strong set of

global brands and positions globally and in Unilever as relevant will bring more brands in India in health and wellbeing space.

Moderator: Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the conference over to Ms. Shilpa Kedia for any closing comments. Over to you, ma'am.

Shilpa Kedia : Thank you, D orwin. With that, we now come to the end of the Q&A session.

Before we end, let me remind you that the playback of this event will be available on the Investor Relations website in a short while. Thank you, everyone, for your participation. Have a great evening.

Moderator: Thank you. On behalf of Hindustan Unilever Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Jan 2025

29th January, 2025

Stock Code BSE: 500696
NSE: HINDUNILVR
ISIN: INE030A01027

Dear Sir /Madam ,

Sub: Transcript of the Earnings Call for the quarter ended 31st December , 202 4

This is further to our letter dated 23rd January , 202 5, whereby the Company had submitted the link to the audio/video recording of the Earnings Call held post announcement of Financial Results for the quarter ended 31st December , 202 4.

Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the Transcript of the said earnings call, for your information and records.

The transcript of the earnings call is also available on the Company's website at https://www.hul.co.in/investors/results -and-presentations/quarterly -results -and-webcasts/december -quarter -2024 -results/

Please take the above information on record.

Thanking You.

Yours faithfully,
For Hindustan Unilever Limited

Radhika Shah
Company Secretary & Compliance Officer
Membership No: A19308

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Exchange Plaza, 5th Floor,
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Bandra (E),
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"December Quarter 2024
Earnings Call of
Hindustan Unilever Limited "
January 22, 2025

Speakers:

Mr. Rohit Jawa, Chief Executive Officer and Managing Director
Mr. Ritesh Tiwari, Chief Financial Officer, Executive Director, Finance and IT
Ms. Shilpa Kedia, Group Financial Controller and Head Investor Relations

Moderator: Ladies and gentlemen, good day, and welcome to the Hindustan Unilever Limited Conference Call for the results of December quarter ended 31st December 2024. As a reminder, all the participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during this conference, please signal an operator by pressin g star then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Shilpa Kedia, Group Financial Controller and Head Investor Relations. Thank you, and over to you, ma'am.
Shilpa Kedia: Thank you, Dorwin . Good evening, everyone. Welcome to the conference call of Hindustan Unilever Limited. This evening, we'll be covering the results for the quarter ended 31st December 2024. On the call with me is Rohit Jawa, CEO and Managing Director, and Ritesh Tiwari, CFO. We will start with the prepared remarks from Rohit and Ritesh. We expect this to take around 35 minutes, leaving us with approximately an hour for the Q&A. We will look to end the call by 7:30 p.m.
Before we get started with the presentation, I would like to draw your attention to the safe harbor statement included in the presentation for good order sake. I hand it over to Rohit.
Rohit Jawa: Thank you. Good evening, everyone. Wishing you and your families a wonderful New Year. Welcome to HUL's earnings call for the quarter ended December 2024. I'll start with an update on the operating context and commodity pricing, followed by an overview of our performance and key highlights of the quarter. Ritesh will then present our results in greater details, share more information on our recently announced acquisition and round it up with our near -term outlook.
Beginning with an overview of the operating context . At the MAT level, total FMCG volume growth has slowed down over the last 6 months, indicating subdued demand. Within this, urban growth continues to moderate while gradual rural

recovery is sustained.
Reflective of the current macroeconomic situation, market data for the quarter shows a step -up in the pace of growth for small packs across the portfolio. This

seems to be a transitory shift in consumer patterns due to current macroeconomic conditions and moderation in urban growth.
The secular trend of premiumization remains resilient with premium segments growing ahead of mass segment this quarter. This indicates that consumer needs and aspirations to upgrade continue to evolve although they are currently opting for smaller packs to manage their overall spends.
When it comes to commodity prices, we continue to see a year -on-year inflation in crude palm oil and tea, but soda ash largely remained benign. Crude oil prices continue to deflate during the quarter and rupee depreciated by around 1% against the dollar. H owever, significant volatility has been observed in crude palm oil, crude oil prices and the rupee over the last couple of weeks. As always, we will closely monitor price fluctuations and take proactive actions as appropriate.
We have continued to maintain price agility, pricing in line with net material inflation during the quarter. Net material inflation, or NMI, as you're aware, is the net absolute inflation after adjusting for buying efficiencies and savings. NMI turned posi tive last quarter, signifying net cost inflation for the business. As against this inflation, we have taken price increases reflected in our

underlying price growth. We'll continue to take calibrated strategic pricing actions to ensure we provide consumers with the right price value equation through inflationary and deflationary cycles.
In this backdrop, HUL delivered a turnover of INR15,195 crores with an underlying sales growth of 2%, led by pricing. Underlying volume growth was flat. Our margins have remained healthy despite inflationary and mix pressures. For the quarter, our gross margin was 50%, while EBITDA at 23.5% was within our range of 23% to 24%.
PAT BEI at INR2,540 crores remained flat year -on-year. EPS grew 19% year -on-year on account of profit from disposal of Pureit business. As you recall, we had announced the divestment of Pureit in June quarter '24, and we have now concluded this transaction.
We continue to deliver a competitive performance. As you are aware, over the last year, our business winning percentage ha d temporarily dipped below 60%. In September quarter, we told you that this metric was back to 60%. This

progress in our competitive position was a result of the actions towards transforming our portfolio underpinned by the strength of our brand and distribution prowess.
We are now moving to a metric that provides a more comprehensive and enhanced reflection of our competitive performance known as the turnover weighted market share. Turnover weighted market share measures our competitive performance within the footprint in which we operate. Business winning is a binary metric that considers the width of wins. Turnover weighted market share, on the other hand, takes into account the depth of the share gain or loss, assigning weightages to the individual size of the cells and channels.
I'm happy to share that we are continuing to gain turnover weighted market shares as of MAT December '24. This competitive performance is a testament to our focus on ensuring fundamentals of the business remain s strong.
We have now assessed more than 95% of our portfolio using the unmissable brand superiority framework. I'm very happy to report that more than 80% of our turnover is unmissably superior when compared to competition, indicating our continued right to win.
We are committed to engaging consumers through our innovative and relevant cam

paigns across multiple channels and formats. In this quarter, too, we have maintained competitive spending with our share of voice being higher than our share of market. Our impactful advertising has got us multiple awards at different forums during this quarter. HUL was recorded several accolades at the Global MMA Smarties to celebrate exceptional innovation and creativity that have led to positive business outcomes. More than 70% of our business is gaining penetration, indicating that we continue to expand our consumer base, reaching more people than we did before. Our robust business fundamentals will serve as a strong foundation, thus enabling us to consistently win competitively.
Our underlying volume growth comprise s of absolute tonnage growth and mix. While absolute volume grew competitively, it was offset by a negative mix. There are a few drivers for this negative mix. One, Home Care, which has relatively low realization per ton versus HUL average, has grown ahead of the rest of the portfolio.

Second, like what we observed in the overall FMCG market, consumers are titrating consumption in the current macroeconomic scenario. This, coupled with the fact that the urban growth has moderated, has resulted in small packs growing faster than other packs. We believe the shift to smaller pack sizes is a transitory phenomenon.

Importantly, we continue to witness premiumization this quarter as well, driven by consumer aspiration and evolving needs and this partially offsets the negative mix.
Our strategy is well equipped to embrace and capitalize this evolving aspiration to deliver consistent growth.
I spoke to you about our strategy in the Capital Markets Day. During this quarter, we continued our journey of sharply investing behind the three pillars of our strategy: focus, excel and accelerate , while steadfastly upholding our foundational pillars of sustainability and culture.
With a renewed approach towards portfolio segmentation, we have categorized our portfolio into core, future core and market makers, recognizing the various stages of the market evolution for each portfolio. We will strategically prioritize investments to o ptimize each portfolio's contribution to the overall organizational growth.
Core brands are the foundation of our categories. Our job is to maintain this portfolio, contemporizing and modernizing it to ensure the products remain relevant to consumers.
Glow & Lovely is a brand with rich legacy. Its high market penetration uniquely positions the brand to influence the broader beauty market. In the backdrop of changing consumer preferences, we have recently launched Glow & Lovely Glass Bright Gel, a mix designed to drive desire and functionality with a revolutionary bright sensory, the product is packed with potent ingredients of niacinamide and hyaluronic serum . From product, packaging, pricing to promotion , all the 6 P’s have been carefully curated to unlock growth by contemporizing this iconic brand.
Bars continue s to play an important role in the laundry regime of millions of Indians. We have recently relaunched Rin bar with a superior formula ,

designed with a novel polymer technology to deliver efficient cleaning and noticeably superior Sog-mush . The technology enables a product that lasts longer than the key competitor in the segment, delivering improved economy to consumers. The launch response has been encouraging with an uptick in Rin market shares in geographies where the product was launched.
Sunlight has kept colored clothes bright since its launch over 130 years ago. This Durga Puja in Kolkata, we celebrated traditional art inspired by the Las Vegas Sphere ; this one -of-a-kind and memorable spectacle reinforced t

he
Sunlight promise of color care. Amplified across social and digital platforms, the campaign generated significant organic influence r engagement and boosted brand visibility with 13.5 million plus views on digital video and a circa 100,000 visitors per hour at installation over 5 days.
Over the past two years, Moti has pivoted towards becoming a social -first brand using digital platforms to engage with younger audiences. For the 2024 Diwali season, Moti launched the Din Din Diwali campaign with an aim to keep the essence of Abhyanga Snan alive by combining nostalgia with modern entertainment elements. The campaign has garnered 150 million -plus views on YouTube, Instagram and Moj. The market share of Moti saw one of its highest ever growth on the back of this campaign.
In our future core portfolio, we have identified 10 aspirational brands that we intend to transform into big master brands. Let me give you a glimpse of our journey in this quarter with Dove.
The Dove's scalp plus hair therapy is a perfect fusion of purpose, science and desire. The collection is infused with high -poten cy skincare ingredients including niacinamide and zinc -peptides that nourish the scalp and help hair thrive.
Dove's new serum shower collection combines key ingredients like pro - ceramides, unique sensories, premium fragrances and packaging to provide consumers with a luxurious bathing experience while addressing common skin concerns like acne, exfoliation and glow. Leveraging Unilever's global innovation capabilities, the product was effectively customized for the Indian market, launching within just 9 months after its US debut.

Both these ranges have been co -created with dermatologists to bring pioneering skincare benefits for consumers into India.
With premium packaging, communications, digital first and Others Sayled model , these innovations are multiyear big bet platforms for premiumization of hair care and skin cleansing.
With Market Makers portfolio , our effort is towards leading and creating trends to develop the market in 6 segments of choice.
Let me talk about some of the actions taken during the quarter. Lakme launched its Rouge Bloom collection, taking a step towards introducing slow beauty and democratizing prestige with textures, sensory experiences and color pallets. The launch was proceeded with social -first media campaigns, including influencer activation leading to 120 million -plus impressions, activations at Lakme Fashion Week giving 100 million -plus impressions, e -commerce activations, large -scale out -of-home media deployment as well as offline promotions.
Recognizing the consumer desire for long-lasting salon quality hair, the recent launch of TRESemm e's Silk Press ed range is an at-home hair treatment that is both effective and accessible, providing sleek, smooth results that are safe, affordable and easy to achieve. The range has been also launched with a first -of-its-kind social -media approach with a 150-plus expert squad, co -creation with e -commerce partners and demand generation through salons and professional partnerships.
Riding the Korean wave in India, Knorr has taken a successful journey of the Korean Ramen a step further. Knorr joined forces with Squid Game 2 for a one-of-a-kind campaign where 45 creators showcased their unique take on Dare to Slurp challenge. This is a step towards making Knorr synonymous w ith Korean food in India. What's more, we also launched a new flavor, Spicy gochujang as an extension to the already existing flavors.
As market leaders in the dishwash segment, we are committed to developing the market by democratizing emerging trends. To this end, we launched Sun, our dishwash liquid brand . Priced at INR99 per liter , the brand aims to further expand liquid market penetration within the mass segment.

We will continue to innovate at speed across the 6 identified spaces, bringing new trends and developing the market to cement a strong competitive edge for us in these high -growth categories.
This should give you a glimpse of some of the actions we've taken in this quarter as we remain focused on our job of transforming the portfolio. As a part of this, we have also made certain decisive portfolio choices. Over the last 9 months, we've announce d the divestment of our water business, separation of our ice cream business and today, we announced the acquisition of majority stake in Minimalist, an active s led premium brand. Ritesh will speak more about this later in the presentation.
Our efforts are at keeping our core brands relevant and contemporary, unlocking access to the portfolio of tomorrow and developing markets for the future. The mid to long -term opportunities in the FMCG industry is immense. With strategic clarity and operat ional excellence as our foundation, we are well positioned to leverage this opportunity and grow competitively.
I will now hand over to Ritesh to take you through our results in further detail.
Ritesh Tiwari: Thank you, Rohit, and good evening, everyone. Wishing you and your loved ones a very happy and prosperous New Year.
Let me take you through our quarter results in detail. Rohit spoke to you about the FMCG consumption trends and commodity inflation witnessed in the quarter. In this context, we have delivered a competitive underlying sales

growth of 2%, driven by pricing. The impact of higher commodity costs across parts of the portfolio and adverse mix were deftly managed by leveraging the strength of our global procurement operations, landing calibrated pricing actions in the market and sustained focus on generating savi ngs across the lines of P&L.

Gross margin for the quarter stood at 50%. Our proactive measures effectively restricted the gross margin dilution to 70 basis points year -on-year. EBITDA margin was maintained within the healthy range of 23% to 24%, while we continue d to invest behind our brands and remain competitive in our A&P spends. Profit after tax at INR3,001 crores, grew 19% year -on-year.

Moving on to segment results. Home Care is our largest segment, contributing 37% to the total revenue. Beauty & Wellbeing contribute s 22%, while Personal Care is 15% of our business. Food s is 24% of our total business. Margins in all four segments remained healthy with Home Care at 18%, Beauty & Wellbeing at 29%, Personal Care at 18% and Foods at 20%.

Moving on to Home Care performance. Home Care has delivered 6% USG driven by high single -digit UVG. Fabric wash delivered high single -digit UVG, driven by broad -based performance across formats. Liquids portfolio maintained its double -digit growth trajecto ry. During the quarter, Comfort underwent a comprehensive relaunch aimed at further elevating brand superiority.

Household Care also delivered a high single -digit UVG led by outperformance in dishwash. As market leader in this category, we have made strategic choices to further expand and democratize the liquids market with the introduction of the Vim surface cleaner and Sun liquid dishwash. Our consistent investment towards elevating product superiority , delivering greater consumer value, premiumization and marketing actions to advance brand equity has yielded strong growth for the category.

Beauty & Wellbeing delivered a modest growth of 1% year -on-year. In-quarter performance was impacted on account of delayed winter.

Hair Care achieved a mid -single -digit UVG, driven by broad -based performance across sachets and formats of the future. Within the sachet segment, premium shampoo sachets are gr

owing faster than the mass sachet,
indicating a continued trend towards market premiumization. Our targeted initiatives in emerging formats, including serums, mas ks and conditioners consistently yield positive results. We continue to strengthen our market leadership with value and volume share gains.

Skin Care and Color Cosmetics has had a subdued quarter, primarily impacted by delayed winter and mass skin performance. Non -winter portfolio performed well. We've previously spoken to you about how we are modernizing our mass brand, Glow & Lovely, making it more relevant and desirable for consumers as we expand it across new formats.

The secular trend of 6 big bets and channels of the future, leading growth for the category continues. Our focused efforts to expand further our presence in this space has yielded positive results.

Revenue for Personal Care declined by 4%, impacted by decline in hygiene segment of skin cleansing. Skin cleansing saw a sequential improvement in competitive performance led by strategic actions, and non-hygien e segment witnessed positive momentum in the quarter.

To step up the performance of Lifebuoy, we have already initiated several actions to strengthen relevance, purpose and to contemporize our offerings in the hygiene segment, including a complete 6P relaunch. These initiatives aim to align our products with evolving consumer needs and market trends,

ensuring they remain competitive and appealing. We will share more details on this in the upcoming quarter.
Bodywash continues to strengthen its leadership position in the market with strong double -digit performance propelled by multiple innovations over the year.
Oral Care has delivered a mid -single -digit growth led by Closeu p.
Year -on-year, Foods category revenue has remained stable, while UVG declined in mid -single digit.
Tea grew in low -single digit led by pricing actions. Premium brands, 3Roses and Taj Mahal tea, have delivered a robust performance, driving growth for the category. We have continued to maintain our value and volume leadership in the quarter. Coffee mainta ined its double -digit growth trajectory, led by price and outperformance in channels of the future.
Nutrition drinks sustained its competitive momentum, gaining both value and volume share and further cementing its leadership while also increasing penetration. We spoke to you last quarter and in our Capital Markets Day of our commitment towards increasin g consumption and fulfilling the nourishment needs across all age groups with superior formulation and taste through nutrition drinks. In this quarter, we have readjusted pricing architecture for our large packs to encourage higher consumption. Further, in line with our strategy to expand our fast -growing adult nutrition portfolio, we

have extended the presence of Strength Plus. Following the successful launch and positive feedback in the East, the product has now expanded nationwide .
Packaged Foods has delivered a mid -single -digit growth, led by strong performance in future core and Market Makers portfolio. Ketchup, mayonnaise, international sauces and cuisines continues to see strong consumer traction, while Food Solutions maintained its double -digit growth momentum. Ice Cream revenue remained flat year -on-year.
On an ongoing basis, we evaluate various strategic opportunities for organic as well as inorganic growth, strategic partnerships and investments, divestments, disposals, etcetera, for furtherance of our business and to maximize shareholder value. After the divestment of our atta and salt business, we have continued to drive sharper focus in the business this year by making strategic portfolio choices, including divestment of water busine

ss and decision to
demerge Ice Cream business.
We have previously expressed our interest in strategic bolt -on acquisitions, particularly within the Beauty and Food s segment. In alignment with our intent of doubling down on our Beauty & Wellbeing portfolio, we have entered into a definitive agreement to acquire a stake in premium beauty brand, Minimalist. This marks another step in the transformation journey of our portfolio towards higher growth demand spaces.
Let me spend some time covering this transaction in a little more detail. The sale and divestment of Pureit business was completed on 1st November, as mentioned earlier in the presentation, consideration for this was received and profit was recognized in this quarter.
Coming to Ice Cream separation. I spoke to you in detail explaining the business rationale for separation in our Capital Markets Day. Let me give you a quick update of our progress on this action. Our Board of Directors has approved the scheme of arrangeme nt to demerge HUL's Ice Cream business into Kwality Walls ’s (India) Limited.
Pursuant to the scheme, 1 equity share of the new entity will be allotted for every 1 equity share held in HUL. Upon demerger and listing of the entity, the entire shareholding will be held directly by shareholders of HUL. This will

give an opportunity for all shareholders to participate in future value creation of the company.
Our Ice Cream category is a high -growth business with several iconic brands. The demerger will equip an experienced management with greater focus and flexibility to deploy strategies suited to its distinctive business model and market dynamics, thus realiz ing its full potential.
Moving on to our announcement of agreement to acquire majority stake in Uprising Science Private Limited, which owns the brand Minimalist. Before I get into details of the transaction, let me share some information on the brand. Founded in 2020 by Mohit Ya dav and Rahul Yadav, Minimalist is an evidence - based consumer -focused skin and hair care brand that provides high -quality science backed solutions. It is one of the fastest -growing digital -first brand that sits at the intersection of beauty and active s-led science. It's a great brand built on strong business fundamentals and rooted in product efficacy and consumer love.
The business has scaled rapidly to cross an annual revenue run rate of INR500 crores in a short span of 4 years, while being one of the very few insurgent players that have stayed profitable since inception.
Let me walk you through the rationale of the acquisition. One, the India beauty market offers great opportunity that we want to capitalize on . Two, this aligns with our B&W strategy of building the #1 portfolio for beauty . Th ree, Minimalist is a good strategic fit for HUL given the equity the brand brings . And fourth, we are confident in our ability to scale this brand to greater heights by leveraging our complementary capabilities.
The India beauty market offers significant headroom to grow. To put in context, the overall FMCG market that HUL plays in , is about INR170,000 crores. And of this, beauty is roughly INR68,000 crores. Within the beauty market, affluent beauty contributes roughly 50% and is growing at twice the pace of rest of the beauty market. In addition, India's per capita expenditure on beauty is significantly lower versus many other countries. This clearly presents significant headroom for premiumization.
Lastly, regime adoption is already on the rise. The number of products that affluent and affluent plus consumers use is at par withdeveloped countries. So,

if you look at these points in conjunction, there's a large affluent beauty market, which will continue

to grow ahead of the market in coming years.
Coming to our own B&W strategy, you would have seen this chart earlier at our Capital Markets Day presentation when Hanuman spoke to you of our key pillars of the strategy . One of them being to focus on building the #1 portfolio for beauty. As Indian consumers are moving from 1 -2 product regime to 5 -6 product regime, it is essential for us to turbocharge our portfolio, especially in the 6 big bets that we have identified. These are fast -evolving and high -growth demand spaces where we are making disproportionate investments. This acquisition aligns with our strategic objective of expanding our presence in serums and treatment and sun care in the masstige segment.
Talking about the strategic fit, Minimalist plays in the very attractive affluent beauty market. If you recollect, in our Capital Markets Day, we spoke about strengthening our portfolio in the premium beauty segment, where we are currently under -indexed in comparison to rest of our HUL portfolio. The brand has been able to carve a niche for itself with its consumer through its focus on providing efficacious products for skin and hair care. Through its distinct and sharp positioning, the brand enjoys a strong consumer franchise with high brand loyalty and advocacy. Minimalist is a digital -first brand and e -commerce accounts for a large part of its revenue and once added to our portfolio will further strengthen our e -commerce presence.
Given our large beauty business and complementary capabilities and expertise that both the business will enjoy together, we expect synergies to come from: One, R&D and innovations. We have strong global R&D capabilities and product technologies, which we will leverage to further bolster the products and portfolio.

Two, Minimalist has a strong online presence. With our wide distribution reach, we are well placed to scale the brand off -line. With our curated route to market for beauty in India, our ability to cover majority of the shops where affluent plus consumers shop today will increase, making off -line expansion a key growth driver.

Three, Minimalist has already seeded business in a few international markets. Being part of the Unilever group, we can leverage Unilever's global presence to expand the business to drive target consumers and markets.
Fourth, supply chain is a core strength for HUL. We have a large supply chain network and are best -in-class when it comes to supply chain cost. Leveraging our scale and efficiency, we will be able to unlock capacity and generate margin synergies.
Let me move on the deal structure. We will acquire 90.5% stake in the company at a pre -money enterprise value of INR2,955 crores (Subject to closing adjustment as per terms set out in transaction document s) through a combination of secondary buyout and primary infusion with a path to acquire the balance 9.5% stake in 2 years. So, this primary basically infusion, along with the pre -money enterprise value of INR2,955 crores, as I mentioned, as subject to closing adjustments will be the total acquisition price that we'll end up giving. The balance 9.5% will acquire in 2 years.
Minimalist will join the strong portfolio of brands in our Beauty & Wellbeing division. The transaction is expected to be completed in Quarter 1 of FY 25 - 26, subject to requisite approvals. We are delighted to welcome the Minimalist team into HUL family and are excited to partner them to unlock the next phase of growth, scaling the brand to greater heights.
Additionally, the Board of Directors has approved the acquisition of the palm undertaking of Vishwatej Oil Industries Private Limited. This is a part of HUL's palm localization strategy to build supply chain resilience for palm derivatives through backwar d integration. With this acquisi

tion, HUL has
taken a step forward to build infrastructure for palm under the aegis of India's National Mission on Edible Oils.
Moving on , back to our in -quarter performance. Let me take you through the summary of our performance. I've already spoken on most of the lines but let me pick up exceptional items and tax. Exceptional items include the profit from sale of Pureit business. It was partially offset by normative levels of exceptional costs, primarily related to supply chain restructuring.
Effective tax rate for the quarter was 24.6%. This was lower than the standard ETR as gains from Pureit disposal was taxed at long -term capital gains rate.

Excluding the long -term gains, ETR for the quarter was 26.8%. We expect our full year ETR to be around 25.5% after taking into consideration prior period tax adjustments.
Let me quickly take you through our year -to-date numbers for this fiscal. We grew at 2%, taking our 9 months turnover to INR45,680 crores. Gross margin at 50.4% was down 20 bps year -on-year. We continue to maintain EBITDA in a healthy range at 23.7%. PAT BEI at INR7,723 crores was flat, while PAT grew at 6% to INR8,151 crores.
Coming to our near -term outlook. We expect the current moderation in demand trends to continue. We remain watchful of various macroeconomic indicators that could impact the pace of recovery, such as real wage growth, food inflation and employment levels. In this context, our focus remains on driving competitive volume -led growth across our business as we continue to transform our portfolio to high -growth spaces. We will step up investments and prioritize them across our core, future core and market makers portfolio to

maximize growth.
Activities on Ice Cream demerger and the announced acquisition will be executed with agility to bring them to a closure as per timelines . If commodity prices remain where they are, we expect a low single -digit price growth in the near term. Amidst inflationary material prices, we expect to maintain EBITDA at the lower end of 23 -24% range. We will continue to manage our business dynamically to drive savings through our net productivity program and provide the right price value equation to our consumers.
With this, we conclude our prepared remarks and will now hand back to Shilpa to commence the Q&A session.
Shilpa Kedia: Thank you, Rohit and Ritesh. With this, we will now move to the Q&A session . We request you to kindly restrict the number of questions to a maximum of 2 at a time. In case, you have any further questions please join the queue again. In addition to the audio, our participants have an option to post the questions through the web op tion on your screen. We will take those questions just before we end. With that I would like to hand the call back to you Dorwin to manage the next session for us.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Abneesh Roy from Nuvama Institutional Equities.
Abneesh Roy: I have two questions. My first question is on Minimalist acquisition. So, in Beauty business, you're under -indexed in premium versus rest of the Unilever's portfolio in India. So, wanted to understand, once Minimalist, the execution is done, the scale -up in the off -line is done and the synergy benefits, etcetera, are achieved, say, in the next 2 years, where does the numbers move in terms of under indexation? Do you achieve that go al?
Second question also on Minimalist. So, these are part of the same question is, from a pricing architecture and product portfolio gap, what exactly Minimalist is addressing ex of the D2C play? I understood the D2C play. But from a pricing and product, is there

any gap this acquisition is delive ring?
And a final question on Minimalist will be, why is it profitable from start? Because generally D2C companies first 4, 5 years, you have seen that huge losses are there. So, what is different here? Could the acquisition by a larger company lead to cost dynamics changing in this and the profitability initially, could it come under question once the acquisition is done?
Ritesh Tiwari: Yes. Thanks, Abneesh, for the question. So overall, at the Capital Markets Day, we have spoken that we are under indexed on premium as far as Beauty & Wellbeing is concerned and there are many parts of the business, which are today over indexed on premium, but that is not the case of Beauty & Wellbeing. What we want to achieve over the next few years is 900 bps improvement of portfolio shift towards premium.
With that, we will more than cover the gap that we have to a fair share for premium. Minimalist acquisition makes a big step in that direction. And we are very confident that with Minimalist with our extension of portfolio within Pond's and Lakmé, further scaling our brand, Simple, Love Beauty & Planet, entering into prestige space, scaling Novology that we launched a few months ago and many such actions put together, we will be able to drive the 900 bps portfolio shift towards premium and more than close that gap that we have to fair share within the premium segment of Beauty & Wellbeing.

Now when it comes to your question on where does this fit? So, Minimalist sits at a masstige price point, number one. Number two, it has a very strong play online and hence, in e -commerce across pure -play platforms apart from direct -to-consumer sales, it operates in derma / active -led space. If I look at

overall Beauty & Wellbeing, the point we mentioned in our prepared remarks that half of the business of the overall category in the market sits with the consumer cohort of affluent and affluent plus. Within that, masstige is a pretty strong segment.
And overall, with affluent and affluent plus cohort, the growth of that segment of market is twice than the overall average of the business. And derma active - led business is almost 2/3 of this masstige market segment, which is why this makes an absolutely fabulous strategic fit that we are able to now participate in masstige. 2/3 of that, as I mentioned, sits in dermal active s-led, which is exactly what Minimalist is all , about deeply rooted in product efficacy and consumer love. And with this, our play gets more stronger in e -commerce.
Now when it comes to business, you rightly captured this is the prepared remarks that over 4 years' time, Minimalist have become a INR500 crores annual run rate business and has been profitable from year 1. It's a very tight and smart well -managed business model, the way the brand has been crafted meaningfully, the way business model is very efficient across all the lines of the P&L., the way marketing spends have been done. And more importantly, innovation rate - business has been innovating very well and there have been successful innovations, which kept getting added year -on-year. So, it has been a mindful innovation rate with more successful product and hence a very mindful P&L model, which has got deployed.
Now going forward, what do we see from here? As I mentioned, there are multiple synergies of Abneesh, we end up having . Our global R&D capability and technology, we will be able to deploy to the brand. Supply chain capacity unlock, supply chain savings and synergies unlock will be able to bring to play. We will be able to leverage our off -line presence and our strong go -to-market structure to take the brands to more premium stores across the country, and we have spoken about in our Capital Markets Day, we have now a separa

te sales
force called Beauty Pro, which basically caters to outlets, which are premium beauty outlets across the country. And we will take Minimalist brands off -line into those markets over a course of time.

And equally, we will leverage our global presence at Unilever to evaluate and explore international opportunities. So, all these four elements put together, we'll be able to create more value by working with team Minimalist and bringing capabilities of both the teams together and then create bigger brand compared to what it is today and make the business model more stronger, when compared to today. It's already strong, but we'll be able to make stronger. So those are the rational of profitability business model, Abneesh, going forward.
Abneesh Roy: Sure. That's useful. My second and last question is on the 2 good categories in terms of volumes. One is dishwash and detergent. Here, if I see high -single digit volume growth, of course, industry should not be growing at that level given the urban slowdow n. So where is the market share gain coming in these 2 specific segments? Is it from the larger national players?
And here, the urban growth for you, is it decent? My sense is it should be decent. But if you could comment from where the market share gains are happening. And once this market share gain eases off when it comes in the base, et cetera, then if you could comment in terms of growth, how do you see these 2 specific categories?
Rohit Jawa: Abneesh, it's Rohit, we are seeing growth on -- first of all, it's -- so Home Care has broad -based growth. As you rightly said, the growth is in fabric cleaning, fabric conditioners and dish wash. We also have volume -led growth in Hair Care. We also have volume -led growth in our non -winter skin. We also have volume -led growth in our future market makers, so in skin as well and premium personal wash and premium tea.
So, the volume growth is not just narrowed specifically to one sort of category. Of course, it's a way more robust in Home Care, just to give you a context of the fact that we are winning competitively by volume because there are many categories that are growing ahead of the market.
Now coming specifically to Home Care. We've been -- this is a category where

the growth is driven by a great portfolio, especially a portfolio that's got a good presence in premium Surf Excel. And here is also the category where we entered the liquids market quite aggressively, both in fabric cleaning and in dishwash. We launched brands to serve all price segments like Rin and Sun.

So, we have many levers of growth, not just driven by the overall upgradation agenda of this category, but also driven by the fact that we're filling white spaces and premiumizing quite well. So, all levers of growth in Home Care are firing. So, I don't think this is a specific event of a quarter. It's just generally the strategy is delivering. So that's basically the underlying trend of Home Care business.

Ritesh Tiwari: I can Probably just add to what Rohit mentioned, Abneesh. We have experienced -- Home Care typically is a very resilient category as an industry to economical realities. In times of inflation, in terms of deflation, being an essential commodity, essential product, consumers do use it. Even at peak of inflation during 2022, we drove positive volume growth from the category. Unless for example, if you look at tea or skin cleansing, they are very -- they are elastic to price increases and economical realities unlike Home Care. Home Care, to Rohit's point, we also have a portfolio, which is over indexed to premium. And hence, w e also have tailwinds, the way we have crafted the portfolio, which also gives us more amount of growth

opportunities.

Rohit Jawa: Just one added flavor to this. In fact, looking at the pack mix changes this quarter across categories for the market, not just for HUL, I was quite -- it's quite important to note that Home Care did not see that much of pack mix downsizing or titration th at we've seen across other categories.

And the more discretionary the category is, the more titration to small packs one is observing. So clearly, when you go from an essentials, which is the Home Care business, to more discretionary categories, the behavior of consumers to titrate to smaller packs seems to be increasing. Therefore, in that sense, I think the nature of -- the resilient nature of the category plus the stronger portfolio plus the fact that we have very large -scale access packs available in INR10 Surf Excel, for instance, and we'r e getting into liquid sachets as well, makes it somewhat more resilient to different cycles as compared to, say, Skin Care or tea or a nutrition to name a few.

Abneesh Roy: Just one follow -up here, Rohit. In terms of skin cleansing and, say, fabric wash, a lot of things can be common and customers, especially when something he is putting on skin versus, say, on fabric, generally from a logic perspective, the brand loyalty sho uld be higher. My question on skin cleansing is not on -- in

terms of this quarter. I understand price hikes were taken. So, the customer pushback is always there.

But in terms of skin cleansing, do you need a much bigger play in terms of liquids because here we do understand that local players in skin cleansing in the last 10 years have reduced? So, it's not that competition has turned worse. But in detergent, clearly, your liquid play and your aggression clearly is leading to a lot of positive benefits. In skin cleansing, say, 2, 3 quarters down the line when the stability will come in terms of, say , pricing, what prevents high single -digit volume growth in skin cleansing?

Rohit Jawa: So, skin cleansing, actually we are -- so we're getting increasingly confident of the fact that all our efforts that we spoke about 3 - 4 quarters back are beginning to fire. To start with, at the very top, our actions and our portfolio play in skin cleansing, the innovations liquids is working. We are gaining shares, growing quite handsomely. And what happened in Home Care liquids is als o going to happen in bathing market because it's happened in every other category.

So, we are now leading the game in bathing body wash. We see our premium

brands like Dove and Pears have very strong equities. Pears is a very solid
brand, growing consistently even by volume in these circumstances. Dove is
getting immense amount of innovatio n support from us. Excellent brand, I
believe it could be way bigger than its current scale, and we're working on that
too, including investment in marketing quality. Lux is basically the hero of our
category. It's done quite well with Stratos and even the sandal variant that we
launched is showing good promise. We see Lux as a master brand. It's gaining
share.
The job we have to do with skin cleansing now really is to address our hygiene
segment, a play where the segment is declining, we are holding share in it, but
it's so large for us that we need to make sure that our brand Lifebuoy goes back
to growth and is vibrant, and we started shipping a relaunch pack as we speak.
And we have ambitious plans to make Lifebuoy a fully -- full-service range
with core and new benefit spaces and really make it very contemporary. So,
Lifebuoy is -- and when that comes to play, I think we'll be back in rhythm.
In so far as volumes are concerned, they are linked to price for sure because as
prices have gone up, we've had to cut grammages in smaller pack sizes. So, all

of that impacts volume. So, some buy less prices go up because of high palm
costs, there will be some impact to volume. But even in this quarter, for
instance, like I said, except Lifebuoy, we’ve seen generally good robust
stability and growth in the rest of the portfolio in Personal Wash.
Moderator: The next question is from the line of Jay Doshi from Kotak.
Jay Doshi: Would you be able to call out what is your base case expectation from
Minimalist over the next 2, 3 years, whatever targets, milestones you may
have?
Ritesh Tiwari: So, I will not share any specific numbers, Jay, but let me just give a little bit of
articulation. As I mentioned that this business overall sits at masstige price
point and the active s-led space, which is a very attractive space because 2/3 of
the market of masstige sits in there. So definitely be high growth. And today,
our own 6 big bets within Beauty & Wellbeing, grows at strong double digit.
And when it comes to Minimalist, very sharp brand crafted and extremely
successful. We do expect high growth from the business to come, especially
when we start bringing synergies that I was talking about to Abneesh earlier,
synergies of off -line expansio n into GT, synergies of international expansion,
equally bringing synergies on cost front to drive profitability be it supply chain,
be it overall cost structure and leverage that will end up getting.
So, we do expect that as we bring the business together and work as team HUL
and team Minimalist over a couple of years, we'll start realizing the synergies
to drive both top line and bottom -line growth. The market segment per se is
very attracted to the point I mentioned earlier. The masstige today segment
grows at twice the pace than overall B&W. So that also helps us to ensure that
we're able to A. have the play and then we are able to grow it pretty well. So
that's how I want you to see it.
Jay Doshi: Sure. And second is your segmental margins, both for Personal Care and Food s
have expanded Y -o-Y notwithstanding 24%, 40% inflation, and what we are
seeing in rest of -- in the peer group. So, could you please help us understand
what's helping you maintain margins for these segments?
Ritesh Tiwari: Yes. See, F&R margins are -- if I take the first 9 months of this financial year,
it's a 19%. And for the quarter, number can go a little up and down depending

upon what plays out in the quarter. And we believe that margin range of 19%
to 20% is pretty healthy for our Food s business.
When it comes to Personal Care, again, if I quote a 9 months margin number
is at 17.2%. Again, at a 17%, 18% margin band, I think, is a pretty healthy

margin for the Personal Care business. So, we do believe that we have the right margin profile. And our job always is within the lines of the P&L, drive higher gross margin. But then that creates capacity for us in the P&L to invest behind the brand, be it advertising sales promotion or for that m atter, capabilities within lines of other expenses.

So that's how we were to drive business model for Personal Care and F&R. And the totality of the margin outlook for Hindustan Unilever, the way we want to drive this improvement - mix led, and leverage led. So that's what is the overall margin model in terms of improvement for Hindustan Unilever. But when it comes to PC and F&R, I think we are pretty happy where the current healthy margin levels are and our priority for both Foods and Perso nal Care is to drive sustained growth.

Moderator: The next question is from the line of Manoj Menon from ICICI Securities.

Manoj Menon: Thanks for higher disclosures this time. Just one clarification, team actually on the comment about absolute volumes outperforming the UVG aspect that you also called out, it's no

t a Home Care driven, it's actually non -home care. The context of this questi on is over the last, let's say, 4 quarters or maybe 3, definitely this fiscal, at least the perception was, let's say, macros or the bottom of the pyramid consumption should get better. Probably this is the first time in a while, it seems you' re actually calling out a deceleration or a deterioration. Is that the right interpretation?

Rohit Jawa: I think -- no, no. I think what is -- first of all, rural is stronger. So, in that sense, that's a big part of the population consumer base that is stronger and is getting better. So -- and that does consume largely small packs and lower -tier brands in terms of price points.

Urban, yes, the real issue there is we see more recently, demand compression. And importantly, this quarter, we've seen titration from large packs to small packs, across categories, especially the more discretionary the category is, more titration there i s, less so in Home Care.

We have actually grown in volumes because we don't -- as you know about UVG is what we normally report, and it's a combination of volume and mix. We have sustained grow th, growing consistently over 3 quarters by volume, well ahead of the market. We've gained competitive volume share at all time frames, and it's led by categories which have got high volume salience such as Home Care, Hair Care, to name a few.

And therefore, I don't think that the takeout you had was in that sense, what we want to communicate. Yes, at this point of time, we have seen a higher negative mix effect than we perhaps seen in other quarters because, one, Home Care is growing , the others , for a mix of reasons, not growing as well this quarter. Second is the specific factor of the pack mix, which is quite unique to this quarter.

So, we expect some of this to normalize as we go forward. But these are the reasons why what is otherwise, I think a good volume growth is currently getting diluted by a negative mix, bigger than we would have -- we have seen in the recent quarters. And that' s really what's going on. And this is just a shift that I think we need to explain.

But medium to long term, we think premiumizing is really -- is where the country -- the market is growing -- going and we are, therefore, making all attempts to drive our mix -- our premium mix higher. And even in this quarter, our contribution of 120 ind ex and above segment is 100 basis points more than last year's same period. And the premium end of the market are growing faster than the mass and popular, although the band is narrowed.

So, the general secular kind of premiumization is still inherently true for the country because that's what you would expect to continue given slow PCC. We just have to stay patient and do the right thing because that is the real deal is to actually have a portfolio that's future fit. And every quarter, the things get better, will be to our favor if we are competitive in the near term and future fit in the long term.

Manoj Menon: That's comprehensive. Quickly on the two questions here, a clarification. On the Stratos formulation, could you just help us understand, let's say, what part of your -- or what proportion of your portfolio ex of Dove and Pears, which I

presume can't be part of Stratos given the unique formulation it has got. And what part of India, you've already rolled it up?

Ritesh Tiwari: Yes. So, Manoj, as Stratos exactly rightly called out that more relevant for Lifebuoy and Lux and as we've called in the past as well, we have rolled out Stratos formulation across both the brands, Lifebuoy and Lux, and across many WIMI geographies.

Now overall rollout always depends upon the innovation pipeline as well as to

what mix are we running in different parts of the country. But let me say that a large part of the country across WIMI clusters, across both the brands, we have moved to Stratos formulation. There are some pockets of brand geography combination because of the innovation footprint, we will make the move in next couple of quarters, but a good part of the country today has already experienced Stratos formulation across both the bran ds.

Manoj Menon: Understood. I do recall the commentary in the July exactly 6 months back about, let's say, thousands of tests you have done, etcetera. What I was only trying to understand and gain confidence was the fact that the product has actually gone into different p arts of India, different maybe seasons, etcetera. And -- can we conclude that maybe, let's say, 80% confidence that, let's say, the risk associated with the formulation change is very low today?

Ritesh Tiwari: Yes. So, answer is yes, and I would not say 80%, Manoj, I'll say 100. We are very confident that Stratos formulation is the right thing to do. And now having been in the market for the last 6 to 9 months' time across multiple WIMI clusters and across both the bran ds. We only feel more confident with the feedback that we've got, that is the right thing to do.

The point that Rohit mentioned earlier and also what we spoke as part of the prepared remarks, what we're now doing with Lifebuoy would not have been possible if at all, we've not made the first move with the product formulation change in the first place. So, we believe it's the right thing to do in terms of unlocking space in the overall formulation to do more innovation and then add more elements to the product portfolio in terms of overall product quality for us to do the right thing. So yes, we feel ve ry confident.

Manoj Menon: Understood. And lastly, honestly, in my mind, actually the elephant in the room is actually Horlicks. It's been -- I understand that the macros are not necessarily

favorable for growth and that too for something which is, let's say, fairly discretionary within staples. So, I get that aspect.

But only one top question, which in my mind is, let's say, what you are thinking about Horlicks medium term, let's say, the actions which you could do. For example, let's say, conceptually my understanding, I understand price elasticity matters, but I thought this is a category in which, let's say, the consum er say, okay let's put this way. So there's an adult consumption, there is a kids consumption, right?

Now I thought the kids consumption part of it is fairly inelastic because it's sort of a product, which the, let's say, the mother would save elsewhere to buy. And we have seen a lot of pricing action. So, the only question is, do you really think that there is any -- I know that there's a premiumization aspect you're doing, but I'm talking about the Horlicks co re. What are the interventions, let's say, you will not tell the details, but do you think that there is material changes you need to do to drive growth on your own?

Rohit Jawa: Yes. We are -- so we have, as we've said before because this brand has seen a lot of focus from all of us, we have -- this category, we have seen its market share growing , including as of date. We have seen its penetration growing. In fact, amongst our UBS or unmissable brand superiority scores, it's amongst the -- these two brands, Horlicks and Boost amongst the best.

These are iconic brands in South and East. And we have also seen the brand scores getting stronger. One place which has been a challenge is consumption, which is titrated down with, of course, some inflation coming in, in the recent past.

At this point, what we're trying to now do is to improve the price pack architecture to incentivize large pack usage because by driving more large pac

ks, we know that those houses use more of the category compared to the ones that use small packs. So, we are trying to incentivize consumers to buy more large packs.

We're also working on how can we make the product and the core even more stickier by improving its taste, and we have various -- we're looking at various routes to make the core stronger, in the core product because I think that's -- everything else is ba sically green.

So that's the job we're doing at this point. And once we have something proven ready, we will share that with you. So, we are on it to make sure that we address every possible potential opportunity we can get to drive more consumption, including, of course, white spaces. But I guess the main thing is basically to get the core to basically grow in volumes . And there is, unfortunately, the compression that's coming on account of urban, discretionary dampener, which does impact our categories in HFD way more than it does, say, other categories.

Moderator: The next question is from the line of Arnab Mitra from Goldman Sachs. Please go ahead.

Arnab Mitra: Actually, my first question was again on the outlook. So there has definitely been a change in what you saw as an outlook 3 months back versus now, which was stable consumption to moderating consumption. I think you partly answered it in the previous quest ion, but is this change because you saw a worsening of trends towards the second half of December quarter, including the small pack down trading that you mentioned?

And if that is the case, could it get worse before it improves at the market level? Or do we have to take out a message that the worst is behind, and things should improve from here given the cyclical factors?

Ritesh Tiwari: Yes. So, Arnab, important question, we should spend some time on it. So, we had spoken in the previous quarter that the demand trends are stable. When we saw muted, we had a comment in the last quarter that we expect demand trends to be stable, which means it will be at a similar level as we saw in the previous quarter.

And now having experienced one more quarter, we see of a similar view that the moderation that we have seen will be there in near term to continue. And as we unpack similar trends, Arnab, as we saw in the previous quarter as well that overall growth in ur ban has been moderating and the rural recovery, which has been gradual, it has been recovering gradually.

Now we know that with a good kharif crop, a lot of balance sheets have got repaired in households and a good amount of improvement in reservoir levels, which has led to a better sowing, which we've seen for Rabi. And hence, we do hope and expect that Indi a will end up seeing better Rabi outcome. And that

should be a good amount of news for rural consumption going forward as the crop gets harvested.

We know that the pace of recovery typically 3 macro factors will end up determining, be it employment, be it real wage growth or for that matter of food inflation. And we are watching these 3 macro factors. But where these factors are today, we believe th at the moderate overall subdued atmosphere for

growth for FMCG industry will continue near term.
Now rural - Rabi, in my mind, is one green shoot, which hopefully we'll have seen in the quarter. Small part, I just want to also just respond back to even some time back, the same question had come. We believe this is transitory in nature.
If I look at even last 5 years, COVID, post -COVID, when I look at the peak of inflation in '22, we have seen this behavior where impacted disposable income of household typically leads to titrating volumes of purchase they end up doing. And we certainly then start seeing the behavior coming in, in t

erms of
consumers. And which is what we saw. We did not see that behavior till the previous quarter, that was a new behavior that we saw in current quarter, December quarter.
And when this behavior comes, it does remain for a couple of quarters. So, we do believe that this will be there for a quarter or 2 more. And -- but it is transitory in nature. I don't think so this is a long -term conversation and it should go away in a quarter or so. And hence, on that element of market growth, we are hopeful.
Now pricing over in the market still is benign. There is inflation in skin cleansing, there is inflation in tea, but both these commodities at the end of December quarter and in January has come off. So, tea, for example, came 7% off compared to what we saw in September quarter. In fact, palm oil, crude palm oil, it went up to INR1,150, INR1,200, and it has come down to more line INR1,000 as we speak in early part of January.
So, we do believe that overall commodity inflation for FMCG, it will support. It will support the recovery of consumption overall. So hence, we are hopeful that we should see better times, but the pace of recovery will get determined, basis what happens with employment, real wage growth and food inflation.

Arnab Mitra: Thanks, Ritesh. That's very helpful. My last question is actually on Minimalist. So, it seems a very attractive space to be in an attractive brand that they have built. The concern is that sometimes in these very fast -growing small companies are acquired by really large companies like HUL, it could lead to a little bit of loss of directio n, the founder would probably leave after some time. There are more systems and processes to follow, decision -making and slowdown. How do you guard against all of this, especially because this is a very dynamic, fast -growing business? And how do you think of the integration between HUL and Minimalist in this context?
Ritesh Tiwari: Yes. So, what we have done -- Arnab, you're absolutely right. Integration and operational model framework extremely critical to get it right as part of any acquisition and equally applicable in case of Minimalist as well. We have put a lot of thinking behind it, a nd we've had a good amount of conversation with the founders, and we have a very clear playbook how we're going to operate the business.
But we don't want to lose agility of the business. We don't want to lose speed of the business. But equally, we want to bring all leverage of scale , of technology to the business so that we get best of the both worlds, which is why our team Minimalist and team Hindustan Unilever will come together to ensure that we do best what is required for the brand.
Synergies of off -line distribution, synergies of international expansion, synergies of supply chain, cost, procurement, capacity, all that once we add with a very tightly written integration and operating model framework, this should be a success going fo rward. So, we are very confident that we have put lot of thinking behind this element as well apart from all commercial elements of the deal as part of the conversation. So, we believe that we have the right model to go forward.
Rohit Jawa: Also -- yes, go ahead.
Ritesh Tiwari: And when I look at what we have done, Arnab, in Indulekha, these are 6x, 7x since we acquired. We have exactly done in the same space there as well. OZiva, which we have experienced now for the last 2 years, the business is more than 2x, 2.5x since we acqu ired the business, and we have exactly had

same operating framework.

So now we have experience of 2 such brands, which have brought high -growth businesses operating in a fabulous agile manner. We acquired them and we integrated them beaut

ifully in the business, and we have kept the mojo of these brands within the organization in terms of growth and pace. So, we feel confident that now it's the third time end up doing the same thing, and we feel very confident about it.
Rohit Jawa: So, what I was saying was that we want to preserve the magic, the logic, the fundamentally robust business, the 2 great founders have built. They're very inspiring founders. They personally curated and crafted the brand. It's very sharp. They have consumer connect. They have agility. They have their own R&D, their own factory, etc.
So, we have a -- we want to preserve that magic. At the same time, as Ritesh is saying, we want to leverage the reason why this -- their membership of family makes sense like access to offline or international, our leverage of our costs, the supply chain and so on and so forth. There's a lot of opportunity to do that.
But in the next -- at least 2 years, we want them to operate like a speed boat. We will offer them whatever they need to become more successful. Of course, basics like safety, health and make sure that everything else is absolutely world standard will be another advantage they will get. But the idea is for them to fly with us, offering them the enabling ecosystem and also to learn from them at the same time as giving to them.
So, we feel very excited. We'll be very, very mindful and intentional about building this kind of a model because we learned with OZiva as well that has operated sort of like a speed boat outside the mother system. That is kind of just done well. It pivoted f ast. It's leveraged up wherever they needed us. It's been rightly managed.
There are HUL people there, but they operate in the start -up as if they were founders there, too. So, we will -- we've learned from that, and this is going to be the way we will build these speedboats. And eventually, when they get to a scale of pace where we can think of next phase of integration we will, but we'll be very, very mindful of this area.
Arnab Mitra: Thanks so much. All the best for the year ahead.

Moderator: Thank you. The next question is from the line of Vivek M from Jefferies. Please go ahead.
Vivek M: Two questions. My first question is the same on the demand trend. So, we met in November, I think, end of November, and you have had, let's say, a particular thought process on what you were seeing on the ground, and it looks like that December has moderated. So, what Arnab asked, I have the same question that I understand this is transitory, but do you think that it can get worse as we go forward before it starts to stabilize and then get better? Is there that risk as we head into, let's say, Marc h and June quarter?
Ritesh Tiwari: No. So, Vivek, as we have seen multiple parameters, of course, all of us read all economical parameters, but more importantly, as we see consumption trends up and close across the length and breadth of the country across channel, we don't believe there's a -- let me say, there's a material issue, which is going up. And hence, yes, there is a moderation in urban demand, there is a gradual recovery of rural. That trend is playing out as we have spoken consistently for the last couple of quarters.
Small pack size, we mentioned is more transitory in nature. We've seen that happening, it self -corrects itself with things improving. But overall, I don't believe that we will have, let me say, more stress coming in, in terms of

consumption trends go forw ard. From here onwards as a lot of, let me say, resources deployed to drive employment in the country to improve food inflation levels that you see in the amount of work which is happening.
I already see, I'm saying the latest data, which comes out in terms of crop. And we're hoping the outcome, which comes out at the end of thi

s season of
vegetables will further support the food inflation in terms of being -- managing it at a lower level co mpared to where it is. So, when you look at all the signs plus repaired balance sheet flows, kharif and good sowing for Rabi, so hence, a better outcome once the crop is harvested.
So, things should look better from here. It's just that in near term, where we are in short term, we believe that the current trend is what we believe subdued will continue. But I don't think so this will last for many quarters. And hopefully, we also start s eeing them building on from where we are at this point in time.

Commodities overall for FMCG are also behaving. They are benign at an aggregate level. Yes, there is some inflation somewhere, some deflation somewhere. Sequentially, the peak of increase is also coming off. So, we believe that even commodity atmosphere within FMCG should also support the recovery of consumption growth going forward.
Rohit Jawa: Yes. I just wanted to complement Ritesh's response from a lens of what does HUL do, right? And I think we cannot forecast the future with a high level of accuracy but what we can forecast is what we should be doing. So, what we are doing is we're, first of all, focused on excellence in our execution and a volume -led competitive outcome. That is the winning metric for all our teams that are we growing in every segment, every geography, every channel.
And if we are not, then we address those every brand and we fix them and we move. And so, our overall rubric is are we growing competitively, largely volume led. And we are -- and our volumes are indeed well ahead of the market. Of course, they're diluted by a deeper negative mix this quarter.
Number two, we want to go where the growth is because there is growth in the market, e.g. e -commerce, e.g. parts of rural, e.g. small packs, e.g. some categories like essentials like Home Care, Hair Care. So, we are going to basically go where the growth is and pivot our investments there.
And number three, we have to be future fit. So, we have to build a portfolio that in good times is going to be in the right places. So Minimalist is an example of plugging a gap benefit, price and channel gap that gives us in the portfolio we can fully play with and as tailwinds come back and they will because that is the nature of the game and our PCC is so low, they have to, that we will be better positioned, stronger company at that point of tim e.
And it could be a quarter or 2. It could be 3, we can't say for sure, but it's not -
- we're not working on hypothesis that this is going to be forever. We think this is going to get better. We can't say specifically when.
Vivek M: Sure. I absolutely understand that. And yes, the trends are like quite difficult to predict. Rohit and Ritesh, in the context of what you have said and let's say, 30th November or somewhere there versus now, do you think there is also a risk to this negati ve mix what you have seen so what you mentioned in this quarter, premiumization continues?

But do you think that temporarily that -- because rural picks up, urban moderates and on top of that, if there is a small pack phenomena also because we haven't seen really, let's say, negative mix in your business for a long time, but do you see momentari ly that is something that is also possible?
Ritesh Tiwari: Yes. So let me just comprehe nsively talk about mix within Hindustan Unilever now. And so, as we spoke earlier that overall, Home Care growth ahead of rest of the business, number one. Number two, small pack growth, which is

something -- is a trend breaker in the quarter, negated by the uplift, which we typically get because of premium growing ahead of the rest of th

e business. On
a net basis, the mix has been negative for the quarter.
If I look at mix going forward, I do believe and we do believe at this point in time that the impact of small pack negative mix should self -correct in a quarter or so, number one. Number two, our own drive to make portfolio more premium, that should conti nue building further mix possibility within our own performance going forward.
Look at Beauty & Wellbeing. So, Beauty & Wellbeing for the first half of this financial year grew in mid -single digit. Current quarter, it grew at 1% impacted by delayed winter. If I take winter out, even in this quarter, Beauty & Wellbeing grew at mid -single digit. So, there are also those factors which are more here and now for this quarter. Going forward, they will not be present . So, we do believe that our overall trend of premium growing ahead of rest of the business and our own play of driving more premium going forward, that should help us to keep building mix. So hence, I would say this is more of a conversation which has got acce ntuated given the development of small pack in the current quarter, but we don't see concern going forward in terms of mix improvement.
Vivek M: Got it. And last, a small question on Minimalist, whatever purchase consideration that you have paid or beyond that also, when you have bought it, I'm guessing that there will be not just a brand that you are getting, the idea would also be your existing p ortfolio you learn from Minimalist, let's say, promoters, founders, management, etc. So, in your purchase consideration, is there a part of the consideration paid for the learning that you will have for your own beauty business also?

Ritesh Tiwari: No. So, when we acquired this business, I quoted a number that on secondary buyouts that we have done pre- money at INR2,955 crores at 5.9 sales multiple. And this price, this is to acquire the brand as of now, we acquired 90.5% of that enterprise value, and we'll acquire the balance 9.5% in 2 years' time. And we do believe that once we have acquired this business, of course, this is all subject to getting closing done over the next 1 quarter with all the conditions. And once everything is done, what we want to do, Vivek, is to get synergies together of both the businesses. And we have a lot to offer, as I articulated earlier, Rohit also summarized them. So, the way we see going forward, we will end up bringing synergies on both sides to the table to make the brand bigger, to make the business model more stronger and more profitable compared to where it is and keep the pace of growth which the business has had. So that's what we want to do going forward. But the acquisi tion price that we paid is for acquiring the brand and the business.
Vivek M: No, sorry, that's what I understand, Ritesh. But I'm saying on the strength of, let's say, Minimalist brand, do you think your base portfolio also benefits quite a bit on when you discuss with QC, when you discuss with e -commerce platform?
Rohit Jawa : That is absolutely right. Although we have not monetized that in our business case, but it is absolutely our intention to osmosis of learning how they are built. And we do have Love Beauty and Planet, Simple, Novology, these are almost digital -first brands as well and OZiva. So, there's definitely going to be a cross learning and synergy, but it's not something that we have currently captured as a value, but there is definitely the value that we're looking to get from this relationship.
Vivek M: Super, thank you and wishing you all the best.
Moderator: Thank you. The next question is from the line of Percy Panthaki from IIFL Securities. Please go ahead.
Percy Panthaki: Just wanted to understand, apart from the winter care portfolio impact, is there any other sort of a little bi

t of slowdown that you have seen in BPC? A few
quarters ago, you had said that the premium part, which is approximately

INR2,000 crores, that is g rowing at 20%. So, is that 20% growth rate
maintained?

And secondly, the slowdown that we saw in the mass skin care over the last 2 quarters or so, has that remained at that same level? Or has it accelerated? So that's my first question.

Ritesh Tiwari: So yes, the INR2,000 -odd crores portfolio that we have, Percy, at the 6 big bets we've spoken about, the growth trajectory of that portion of the business continues to remain strong. And even this quarter, we have grown in good double digits that portfolio of INR2,000 crores, both in organized trade and, of course, a pretty good amount of growth in e -commerce as well. On mass skin cleansing, let me hand over to Rohit.

Rohit Jawa: On mass skin care, that is an area we do feel that there's an improvement sequentially. There's work to be done. If you really ask me, that's the sort of primary area in skin care that we need to address and we have started doing that, as we mentioned in our Capital Markets Day. So, Glow & Lovely is a very big brand.

As you know, it's got the highest unmissable brand superiority score we have. It's got a 60% - 70% rural penetration. And over the last few years, it's seen under rural stress, a category drop out leading to loss of penetration. In urban areas, consumers have also evolved, temperatures are high .

So, considering all of this, we are already in the middle of a revamped brand. We have, at the very top end, already started entering serum , sunscreen and face cleansing, but they are a smaller part of the total game plan. We just recently launched actually Glass Bright, which addresses the urban consumers' need for light sensories and it's a premium proposition. It's got good technology, great -- it's a very premium formulation and product with a carton pack, etc., but at a very affordable price.

So, Glow & Lovely, urban will, therefore, have a pretty much a contemporary brand for brightening available at a very good access price and in a rural, which is, of course, the large part of the Glow & Lovely business, we are in the middle of revamping and relaunching the core, and that will be in the market in the next few weeks.

And you will see that, that is a reset of the product, the pack. It's a complete re - expression of the brand Glow & Lovely, which still builds on the essence of transformation of how you -- your confidence and your presence. And that will

be something in this space of beauty from within and brightening from within. And we'll just wait -- you have to wait for a little bit to watch that in the market, but that's coming soon as well.

So, we are putting a whole lot of effort behind Glow & Lovely because it's so central to our core business and that's been an area of decline and concern over the last few years and quarters. And once that is addressed, I think the rest of the business as Ritesh mentioned, non -winter grew as well, mid- single digits, the 6 big bets grew double digits. And if winter had come on time, you would have also seen. So, I think generally, that's the main focus for us to address.

Percy Panthaki: Got it. My second question is on the macro. So rural is doing decently well, urban is under pressure. What would require in the macro to change for the growth at an industry level to improve?

Rohit Jawa: I think we -- while we can -- I mean, as you can speak to macroeconomic interventions, and we have a competent institutional -- the government is addressing all of this as are so many other people. So, I think I don't want to comment very broadly towards what macro....

Percy Pantha

ki: Not what the government should do, but what are the macro indicators that you think need to improve? Is it food inflation, which is the main problem? Or is it

real wage growth? What exactly is the problem, 1 or 2 macro indicators, which if they improve, yo u think your growth can improve?
Rohit Jawa: That's all of the above. The 3 things that we believe as we do all the specialists we speak to is, of course, the real wage growth, food inflation and employment levels. And if those 3 improve and consumer confidence, then we see the urban consumption also click up. I think the stress started coming in more for food inflation. If you just correlate, I'm not giving you causality, then our food inflation comes down because winter has been good for crops. It's already coming down. And then I guess it will start impacting the urban markets positively. But like I said, I'm always as a person, not very -- I don't like giving macroeconomic views because it's not my area of competence. What I can speak to is what we are doing, which is even in this market circumstances, we're looking to go where the growth is, invest in growing our market share largely led by volume, which is more users and ensure that we don't take our eyes off the longer term and keep doing the right thing. So that's the mantra

that I will keep going back to because that's the only 3 things that we as a company can control.
Percy Panthaki: Got it. One quick question in the end. I recently noticed in a shop in Bombay that for Lux, the old and the new formulation are both available in the same shop, and this is after 6 to 8 months of launch. So, what is the logic behind this kind of a strategy of sort of having both of the formulations available at the same shop? I'm sure it's been long enough for the pipeline to dry up by now.
Rohit Jawa: So, I can't speak to the -- I mean I'm sure you would have seen what you will have seen in that one particular store. But generally speaking, there is an overlap because we don't totally dry the pipelines for this category, and we've done these transitions over many years, not -- I mean, many times. And Lux is growing market share with the new formulation, the new pack, the new advertising, Lux Sandal is in the market.
So, at this point -- and the brand is getting -- becoming a master brand. So, all the signals and outcomes on Lux brand are strong. So, on the aggregate, based on all data points beyond just that one outlet, things are looking good, and we want to make Lux even stronger.
Percy Panthaki: So, have you stopped producing the old formulation complete now?
Rohit Jawa: Yes, of course. Yes, we have.
Percy Panthaki: Got it. Okay, that's all for me. Thank you.
Moderator: Thank you. We have the next question from the line of Latika Chopra from JP Morgan. Please go ahead.
Latika Chopra: I have a few questions. The first one is just trying to get flavor on…
Moderator: Sorry to interrupt, Latika, but you are not clear.
Latika Chopra: Yes, is it better now?
Moderator: Slightly better. Please go ahead.
Latika Chopra: Okay. My first question was if you could provide some flavor on the growth for modern trade channel during the quarter. Did it have any bearing on offtake of larger packs versus smaller pack? And on the second question was on Oral

Care, if you could give us some flavor on this mid -single -digit growth? Was it pricing le d or it was a balanced volume and price led? Thank you.
Ritesh Tiwari: Yes. So overall organized trade, if I just probably bucket and that's how we typically want to speak. Overall, organized trade, if I look at modern trade e - commerce put together, they have grown in double digit. Overall, if I look at the segment and growth lik

e everything else put together, even that has slowed down compared to the previous quarter. So, we have grown at double digit. And we know that, Latika, whenever we grow in a channel double digit, especially modern trade and e -commerce as an organized trade, there's always

a growth of the geography, but equally important is the channel shift where
consumers have moved from other channels into buying into modern trade and
e-commerce.
But the secular trend of, let me say, consumption getting further built into
organized trade, that has continued. And in terms of small pack, large pack,
overall, the portfolio that we sell in organized trade is typically more premium
compared to general trade. So, the conversation on large pack, small pack is
more accentuated, I would say, in general trade, both rural and urban as
compared to organized trade.
Latika Chopra: Understood. And any color on the Oral Care underlying volume...
Rohit Jawa: Oral Care.
Ritesh Tiwari: Oral Care grew mid -single digit, driven by pricing and driven by Closeup,
which is the master brand that we have, which has been doing pretty good
business for us.
Latika Chopra: All right. Thank you so much for the clarification.
Moderator: Thank you. We have the next question from the line of Sheela Rathi from
Morgan Stanley. Please go ahead.
Sheela Rathi: My first question was with respect to the Beauty & Wellbeing margins. For
last few quarters, we have been seeing a decelerating trend. So just wanted to
understand -- and I understand that we are making investments here, but just
wanted to understand where the margins should stabilize?

Ritesh Tiwari: Yes. So, I think you self-answered the question and very clear that A - beauty
margin enjoys a healthy margin compared to the total aggregate Hindustan
Unilever. And this is an area we've called out consistently that we will invest,
and we are investing in more innovations, more investments, more capabilities.
And we know that as we end up growing the business ahead of the average of
HUL, the mix benefit will come, and hence, it will self -pay in terms of P&L
ROI. And so, we are okay for the margins to drop so far as the growth is above
average growth of HUL. The phase that we are in now, we are doing the job of
building portfolio and building the number 1 beauty portfolio in the country
today.
And the point I was mentioning earlier that 900 bps is the portfolio shift that
we want to do in a few years' time towards premium and that's the job we're at.
So, you will see more innovation intensity. You will see more launches as you
already have seen this quarter. And also going forward in March quarter as
well, it's a busy quarter for us in Beauty & Wellbeing.
So, we do believe that we will take some amount of margin basically decline
in Beauty & Wellbeing compared to the healthy levels of around 30% that we
have today, but it will more than pay back in terms of its economical value
within the P&L if the growth kee ps happening above average growth of HUL.
Sheela Rathi: Understood. My second question was on Minimalist. I think it's a very
interesting acquisition, and it ticks the boxes on a lot of things. It's a sizable
business, online business, even profitable business. My question here is, at the
CMD, we had called out that we'll be making disproportionate investments in
the Beauty & Wellbeing category?
Is this going to be a continuous thing that is we will look for more synergistic
investments going ahead? Or we'll wait for some more time for this particular
business scales up and then we look for more opportunity?
Ritesh Tiwari: Yes. See, there are 4 different routes that you want to take to build portfolio in
B&W. Number one, we want to take our current large brands and expand them
into more demand spaces. Exact

ly what we have done with Pond's and Lakme
and took them to serums, t ook them to face cleansing, took them to sun care.
As appropriate, we've expanded them into more demand spaces, the 6 big bets
within B&W, as we call them.

Second route for us is to bring brands within stable of Unilever into India as relevant. Simple, Love Beauty and Planet are classic examples where we got global brands into India. So, there's a second way in which we are building portfolio within B&W.
Third is launching our own brand, leveraging technology that we have globally as Unilever and bring new products in the marketplace to address demand space gaps that we have. So, the derma gap that we had is where we launched Novology as an intervention. So that's a third route for us to make portfolio shift.
And the fourth route, which we had called out, we will do bolt -on acquisitions as we get the right target. And Minimalist is a classic example. At this point in time, it was OZiva sometime back , it was Indulekha sometime back. So as and when we come across a business, which we believe is a fabulous fit and we can A -, we can add value and we can create more synergies, we will go ahead with it.
We are very selective about it. And hence, the pace at which we'll end up doing, it is not concentrated on one area within the 4 steps of, let me say, inorganic . We want to do all the 4 areas to build our portfolio.
Moderator: Thank you. Ladies and gentlemen, I will now hand the conference over to Ms. Shilpa Kedia to take up questions from the web. Over to you, ma'am.
Shilpa Kedia: Okay. Thank you, D orwin. We do not have any new questions on the web. With that, we now come to the end of the Q&A session. Before we end, let me remind you that the playback of this event will be available on the investor website in a short while. Thank you, everyone, for y our participation, and have a great day.
Moderator: Thank you. On behalf of Hindustan Unilever Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Apr 2025

30th April , 2025

Stock Code BSE: 500696 NSE: HINDUNILVR
ISIN: INE030A01027
Dear Sir /Madam ,
Sub: Transcript of the Earnings Call for the quarter and year ended 31st March, 202 5

This is further to our letter dated 25th April, 2025 , whereby the Company had submitted the link to
the audio/video recording of the Earnings Call held post announcement of Financial Results for the quarter and financial year ended 31st March, 202 5.
Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the transcript of the said
earnings call, for your information and records.
The transcript of the earnings call is also available on the Company's website at
https://www.hul.co.in/investors/results -and-presentations/quarterly -results -and-webcasts/march -
quarter-2025- results/
Please take the above information on record.
Thanking You.
Yours faithfully,
For Hindustan Unilever Limited
Radhika Shah
Company Secretary & Compliance Off icer
Membership No: A19308
BSE Limited,
Corporate Relationship Department,
2nd Floor, New Trading Wing,
Rotunda Building, P.J. Towers,
Dalal Street,
Mumbai – 400 001 National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra – Kurla Complex,
Bandra (E),
Mumbai – 400 051 Hindustan Unilever Limited,
Unilever House,
B D Sawant Marg, Chakala,
Andheri East, Mumbai 400 099
Tel: +91 (22) 50433000 I Web: www.hul.co.in I CIN: L 15140MH1933PLC002030
Page 1of 40••March Quarter and Financial Year 2025
Earnings call of Hindustan Unilever
Limited"
April 24, 2025
Speakers:
Mr. Rohlt Jawa, Chief Executive Officer and Managing Director
Mr. Rltesh Tlwarl, CFO, Executive Director, Finance and IT
Ms. Shilpa Kedia, Group Financial Controller a. Head Investor Relations
March Quarterand Financial Year 2025 Earnings call of Hindustan Unilever Limited
Modarcdor:
lhllpa Kedia:
RoltlU•wa: Ladles and gentlemen, good day, and welcome to Hindustan Unilever Limited Conference Call for the Results of March Quarter and Financial Year ended 31stMan:h2025.As a reminder, allparticipantlineswillbe in the listen only mode and there will be an opportunity for you to ask questions after the presenta.tlon concludes. Should you need assistance dut1ng this conference cal~ please signal an operator by pressing -.-then -o-on your touch-tone phone. Please note that this conference Is being recorded.
I now hand the conference over to Ms. Shilpa Kedia, Ciroup Financial Controller and Head of Investor Relatlons. Thank you, and over to you, Ms. Shllpa Kedia.
Thank you, Neerav. Ciood evening, everyone. Welcome to the conference call of Hindustan Unilever Umltecl. This evening, we will be covet1ng the results of March quarter and financial year ended 31st March 2025. On the call with me Is Rohlt Jclwa, CEO and Managing Director and Rltesh Tiwarl, CFO.
we will start with the prepared remcutcs from Roh It and Rltesh. we expect this to take around 30 minutes, leaving us with approximately an hour for the Q&A

session. We wlU look to end the call by 5:30 PM. Before we get started with the presenta.tlon. I would Uke to draw your attention to the safe harbor statement Included In the presentation for good order sake. With that. over to you, Roh It.
Ciood evening, eve,yone. Thank you for Joining us on the call today. I"ll begin with an update on the operating context for financial year •~•25, followed by an overview of our performance and key hlghUghts for the year. Subsequently, Rltesh will proceed to detail our quarterly and financial year performance, concluding with the mid to near term outlook.
FMCG market witnessed subdued demand trends In the financial year •~•2s. Rural demand continued to Improve gradually while urban demand moderated over the year. While syndicated data Is available only for ge

neral
and modern trade, we also incorporate e-commerce data. from our partners for internal 1:Mcking. Including e-commerce data, urban demand continues to moderate during the year, reflecting a trend similar to tho.t observed in the shared chart.

Commodity movements displayed divergent trends this year. Significant Inflation was observed In palm oil. tea and coffee, whereas crude oil. soda ash and skimmed milk powder were deflationary. Palm oil and tea prices have eased sequentially, while rupee has further depreciated against the dollar. Given the current geopolltlcal cUmate, we will continue to closely watch this space for any volatility.
In this backdrop, we focussed on our prioritie5 of driving volume growth and strengthening competitiveness. We delivered a turnover of Rs. 60,680 crores with an undertylng sales growth of 2.,r,, drtven by an underlying volume growth of2".
Our pricing CLctions Cl.re guided by net material inflation. For full year 2024 - 2.025, NMI remained flat, Indicating that Inflation In some parts of the business was offset by buying efficiency, savings and deflation In the other parts of the business. Subsequently, our undertylng price growth for the year was near zero. Cross margin at 50.39' was down 50 bps year-on-year, primarily on account of business mix and Increased Investments across distribution channels.
EBITDA remained healthy at 2359' albeit lower by 30 basis points yeat'-On year. PAT before exceptional Items grew 19' while PAT Increased by 5'6 year on-year after Including the profit received from the disposal of Purelt. While our absolute volume tonnage grew competitively, in the mid-single digit. it was partially offset by negative mix, resulting in 2" uvc; for the year.
We continued to deliver competitive growth, further strengthening our market leadership during the year. Our ability to win competitively In the market Is deeply entrenched In the strength of our brands. We have continued to invest in the drivers of preference, taking our brands from strength to strength. This is reflected in our unmissable brand superiority scores or UBS, with more than 8°" of our business being superior to eyeball competition.
We spoke to you about our evolved strategy during Capital Markets Da.y, last year. We remain steadfast in our commitment to it, transforming our portfolio with pace, pivoting investments towards drivers of demand and CLCcelerating future proofing of our distinctive capablltles while upholding our foundational pillars of sustalnablllt)' and culture.

Our segmented portfolio approach facilitates better prioritization of resources and crafting of tailored strategies to maximize each portfolio's contribution to overall organizational growth.
we Intend to keep our core contemporary and healthy as these brands are the source of our deep penetration and distribution might FUture core entails bl'Qnds that are at the sweet spot of premlumlzatlon. Our goal here Is to unlock access of these brands to Cl larger number of consumers and as a result, grow faster than the market. Market Makers Is where we are building new segments of the future. While it Is cunently a smaller part of our business, It will continue to grow rapidly In the years to come. We are very focused on increasing the pie by driving accelerated growth.
In full year 2024 -2025, we made progress towards ambition for each of the portfolio segments. we relaunched two of our large Core brands, Lifebuoy

<1.nd Cilow & Lovely during the year, modemlzlng them to meet the evolving needs of consumers. Our Future Core portfolio has delivered competitive value and volume growth. In our Market Makers portfoUo, where our fccus Is to accelerate portfolio expansion, we have delivered double-digit growth.

Consequently, we have driven a 200 basis points portfolio shift from Core to Future Core and Market Makers in the year. This portfolio shift aligns with our mid-to-long-term stnitegic objective of achieving over 80'6 of our growth delta from latter two portfolios.

There are three brands in our Core portfolio where we need to improve performance- Lifebuoy, Cilow & Lovely and Nutrition Drtnks. Both Lifebuoy and Glow & Lovely have undergone a comprehensive 6P relaunch In response to changing consumer needs. We have more work to do In Nutrition Drtnks and we will cover some more detail on It later In the presentation.

Lifebuoy has been dedicated to preventing Infections and promoting health for over Cl century, continually evolving with the changing consumer preferences. After enhancing the product with Stratos technology, the brand has now elevated its proposition from illness protection to <ldvanced skin protection benefits. Deeply Intertwined with culture and tradition In lndla. the MCI.ha Kumbh Mel<1. provided the perfect backdrop to Introduce the significant transformation at the largest religious gathering In the world. The rel<1.unch

was strategically relnfora:d through eleva.ted media Investments, which Included the onboardlng of one of the na.tlon's biggest celebrities as our brand ambassador and extensive digital o.clvertising during the IPL We also stepped up our investment behind on trend demand spaces by relaunching Lifebuoy Lemon, Aloe Fresh within the freshness segment

we Introduced Cilow & Lovely with an ele\/Gted proposition of 'Newer Brtghter Skin EVety Day' and modem packaging. We pivoted our media spends towards digital media and social first Initiatives, achieving higher reach and seeing a marked Improvement In digital awareness. During the year, we focused on building a complete portfoUo with Cilow & Lovely, having previously launched the Ci lass Bright Ciel creme and expanded into new future facing formats of sunscreens and serums.

we are confident that these actions will lmpR>ve our performance of these brands over the next few quarters.

Moving on to Future Core and Market Makers. Let me share two examples of rapid portfolio transformations driven in the year.

Ponds has had a strong year of competitive growth driven by double-digit USCi In Its Future Core and Market Maker portfoUos. This Is an outcome of our transformation strategy that comprtsed three actions: elevating the brand, transforming the portfoUo and rewiring our deployment

We elevated the brand to a science and Ingredient-first expert master brand with a significant upgrade to the visual Identity and desirability.

Consequently, we saw a significant uptick in our Unmissable Brand Superiorit;y scores.

Sharpening the brand architecture of Ponds, we Identified four distinct demand spaces where we will drive transformation. In this year Itself, circa 2J3rd of our portfolio In Future Core and Market Makers was revamped to drtve accelerated growth.

Ciiven the rising relevance of Channels of the Future, we invested to win in speciaUzed channels with sharp shopper acquisition playbooks. We pivoted our media spends towards digital channels, including Others Say and

performance marketing. Consequently, the brand has delivered even higher growth In the Channels of the Future.

As market leaders In Home Care, we have been pioneers of developing Uqulds market In the countJy. In the last 1 year, we furttier accelera.ted transformation in this space. We elevated functionality of the existing brands, amplified market development activities by expanding into Tier 2 price segments, expanded into adjacent white spaces and boosted premiumiza.tion through innovations. We invested in strengthening our bran ds, alloca.ted disproportionate media spend and Intensified design for channel pm:k launches to further create momentum In the Channels of the Future. Consequently, this portfolio delivered strong double-digit growth In theyear.

Moving on, let me give you an update on actions taken under the Excel plllar during the year.

Building unmlssably superior brands Is crucial to drive competitive brand and category growth as well as market share. As I mentioned earlier, more than 80% of our turnover Is superior to eyeball competition. Let me take an example of Surf Excel. a brand with the highest UBS score. In full year 24-25, the brand has crossed a milestone tumover of Rs. 10,000 crores, growing volumes In near double digit and further strengthening Its market leadership position.

We Identified six sizable segments where we are Investing disproportionately to drive growth. fftese segments delivered double-digit USO In full year 24-25 and the part of this portfolio selUng on e-commerce delivered circa 45% growth In gross sales value. In this quarter, we strengthened our presence In the wellbeing segment by introducing Liquid I.V., Unilever's biggest wellness brand.

We accelerated our digital media Investments to drtve social first demand generation through automated media planning. we ampUfled our Influencer spends by circa 409r, to Increase Impact generated by engagement and digital a.waraness of our bmnds. We have stepped up our execution and design for channel capabilities, customized to channel nuances during the year. Consequently, our on-shelf and onUne availability have gone up by 200 and 500 basis points respectively. Recognizing the increasing consumer

preference for q-commercie, we have also almost doubled our a.ssortment to fully meet their diverse needs.

Under the WiMI 2.0 structure, we are Looking at the opportunity within affluent agglomerations, to serve consumers with different needs and cu$t0mlze our mixes for them. There Is a growing trend among consumers to utlUze specialty channels to address their Increasing diverse and specific requirements. Our specialty channels Include health and wellness stores, premium beauty outlets and gourmet food retailers. By understanding the specific shopper behavior and channel requirements, we have been able to deliver solutions that resonate with the retailers and their shoppers. lhls targeted approach will help us strengthen our brand presence in these segments and cater to our consumers and brands.

As we build for the future, we are also looking to widen the competitive gap within our distinctive moats.

Our R&D function leverages Unllever's global R&D prowess for HUL Differentiated and Inimitable technologies form competitive moats for our business and we have Identified three strategic next-generation science and technology platforms for the same. While these are multiyear research platforms for our business, they have already begun powering our recent Core and Market Making innovations such as the Vim Ultra.Pro floor cleaner, Stratos soap bars in Lux and Lifebuoy and Dove Scalp+ Hair therapy range to name just a few.

We are focusing on creating a Leaner, more digital and highly autonomous supply chain system to drive value in our operations. During the year, our Doom Dooma factoiy was recognized as an End-to-End value chain Lighthouse by the World Economic FoNm. With this addition, HUL now holds the highest number of World Economic Forum recognized End-to-End value chain Ughthouses In India. This showcases our strong commitment to drtve sustained Improvements In productMty, quaUty, service, cost, and environmental Impact by adopting fourth Industrial revolution technologies at scale.

We are creating a klrana.-centric, distributor In

clusive model In our traditional trade that gives the power of anytime ordering and transparency to the retailer while increasing our assortment and service. With CL direct value weighted distribution of 69%, we are now servicing stores that cumulatively sell over 69% value of our relevant categol1es. This Is a. significant 400 basis point step-up In direct value-weighted distribution over a period of 18 months.

We have amplified our commitment to generating fuel for growth across our value chain by hamesslng the power of Al, data and analytics to arrtve at big, dlsruptlVII Ideas across the value chain. During the year, we dellverecl robust net savings to the tune of 3.59', of our turnover.

we have executed several strategic portfolio decisions over the past few years to sharpen our where-to-pla.y choices, notably aecelera.tlng this year. OZiva, our Health and Wellbeing brand in which we acquired a majority stake In Janua,y 2023, has since scaled up Its annual revenue n.in rate from Rs. 100 crores to Rs. 400 crores.

Last quarter, we announced the acquisition of 9059', stake in MinimaUsl As of 21st April, the closing formalities have been completed. The business delivered a turnover exceeding Rs. soo crores In full year 24 -25, and we are Looking forward to unlocking the next phase of growth with Minimalist now becoming a part of the larger HUL family.

Divestment of Purelt was completed this year, unlocking wlue of circa Rs. 600 crores. The demerger of Ice cream business Is progressing on track with regulatory requirements, and we expect It to be completed by the end of financial year 2026.

In line with our stn::ltegy to strengthen business reslUence, we announced the acquisition of a palm undertaking from VlshwateJ OIL Industries Private Limited and announced our Investment In Lucro Plastecycle Private Limited. The former wlU aid our palm locaUzatlon strategy, while the latter Is a step forward towards developing flexible plastic clrculmtty. These wlue chain Integrations are long-term strategic decisions, designed to strengthen our

RlluhTlwart: business and partake In our firm beUef of'What Is good for lndla Is good for HUL'.

Before I conclude my prepared remarks, let me remind you of the strategic positioning of each of our business units. fftls here Is the essence of our company and our approach towards driving future growth. We are organized into four integrated business units, each with ci significant sccile and deep expertise, effectively balancing focus and scale to ensure sustained superiority and winning.

With this, I will now hand over to Ritesh.

Thank you, Ro hit, and good evening everyone. I will walk you through our In quarter and financial year performance In more detail before closing with our outlook.

Rohlt spoke to you about FMCG consumpdon trends and commodity prtce shifts witnessed In the year. Similar consumption trends have persisted In the quarter as well

As far as commodity prices go for the quarter, Tea, Coffee and Palm oil have witnessed a high Inflationary trend year-on-year, while Crude oil continued to remain deflationary. In this context, we delivered a competitive performance with an underlying sales growth of 39', driven by an underlying volume growth of 2!1l Calibrated price increases taken in Skin Cleansing and Beverages were Largely offset by price reducdon taken In Home care.

Gross l'TKll'gin at 49.81' was Lower by 160 bps year-on-year. This contraction in gross margin was driven by commodity inflation in Palm oi~ Tea and Coffee that wasn't fully priced for. EBllDA margin remained healthy at 23.11', albeit Lower by 30 bps year-on year. Profit a.fter Tax before exceptional items and Profit after Tax. both grew at 4% led out of Interest Income on prior pertod tax adjustment benefiting the other Income line.

coming to our segment-wise perfonnance fo

r the quarter. Home care delivered another quarter of robust volume growth. Mid-single digit volume growth In the segment translated to a 3" USG as we continued to pass on the benefits of lower commodity prtces to our consumers and ensured compeddve pricing. Fabric Wash grew volumes In mid-single digit. led by

outperformance In Surf Excel and Comfort. In our journey of continuous consumer upgradatlon to higher order benefits, we relaunched our Surf Excel Smart shots. With proprietary formulation and advanced stain removal

benerit, we aim to deliver delightful experiences to Indian consumers.
Household care delivered high single-digit volume growth. This was driven by strong double-digit growth In the liquids portfolio.
Consistent martcet development actions and strcitegic expansion across price tiers and demand spaces in Home Care liquids resulted in this portfolio's UVCi growing s times faster than the rest of the portfollo.
Beauty & Wellbeing delivered a use; of 3'6 in the quarter. Hair Care grew in double digits, Led by high single-digit uvc;. Clinic Plus, Sunsilk and 1RESemm6 delivered double-digit growth. we continue to strengthen our market Leadership, widening our gap to the nearest competitor. Channels of the Future sustained Its strong double-digit growth trajectory.
Skin Care and Colour Cosmetics declined In Low single digit primarily Led out of mass skin care performance. Roh It spoke to you about the Inputs that have gone Into Glow & Lovely during the year. We are already seeing sequential Improvement In the brand's performance and are confident that these actions will further Improve performance.
Investments In the Channels of the Future, Including assortment, targeted digital media deployment and collaborative category development have yielded positive returns. We delivered strong competitive growth In Channels of the Future with circa. 4°" gross sales value growth on e-commerce.
Backed by early success of our Vitamin C makeup range, we Launched Lakmt!'s Hya Matte range, another product extension on the sklnlflcatlon trend. We also extended our Ponds Hydra Mire1cle range with two new v<lriants that include e1ctive ingredients of Vitamin C and SCdicylic acid.
With the onset of summer season, we strengthened our sun care range with multiple launches In Lakm6 and Vasellne. As pioneers In beauty, Lakm6 Is taking a proactive stance to drive awareness, encourage transparency and accountablUty In the SPF space. Through the recently Launched consumer awareness campaign, Independent clinical research showcases the efficacy

of our SPF 50 claims. Lakm, has been conducdng SPF tests for over a decade, grounded In globally accepted scientific protomls.
Personal Care grew 39' USG led by pricing, on a soft base. Skin cleansing delivered low slngl•dlglt growth. Last year, we spoke to you about four a.ct:ions that we initiated to improve category performance. We a.re pleased to observe growth momentum come back in this category. Non-hygiene segment saw an acceleration in performance with high single-digit growth and body wash continued its double-digit competitive growth trajectory. We have relaunched Lifebuoy In the quarter and are confident of seeing gradual recovery over the next few quarters.
Oral Care grew in low single digits, Led by Closeup. Expanding our p~ in the premium segment, we launched the White Now Closeup range that works on patented technology to provide 10015 stain-free teeth. The launch was a 360-degree social-first media deployment and our foray Into the premium plus segment.
Foods turnover declined by 1% In the quarter. Low single-digit pricing was offset by volume decline. Tea witnessed an Improvement In sales trajectory, led by prtclng. As market leaders, we rem

ain committed to our Journey of premlumlzlng this ca.tegory and have launched our herbal Infusion brand, Pukka In three flavors during the quarter.
Coffee condnues to deliver double-digit growth driven by strong performance In Channels of the Future. Building on the success of our Bru cold coffee can, we recently Introduced cold coffee In tetm pack In South with plans for further expansion to drive accesslblUty for this format.
Nutrtdon Drinks has decUned In the quarter led out of category headwinds and transltlonary Impact of pack price architecture changes landing with consumers. The next sUde wtU cover the performance of Nutrition Drinks In more detail
Packaged Foods delivered mid-single-digit volume-led growth. Driven by market development actMtfes, our Market Makers portfolio continued to deliver strong double-digit volume growth.

Ice cream had a quarter of double-digit volume-led growth. We had exciting

launches In Ice cream this quarter to leverage the upcoming season, including Magnum Mini, Magnum Pistachio and Kwality Wall's Twister. We've also revamped our in-home business with a tiered portfolio structure, each with CL different role to play.
Let me cover Nutrition Drinks performance in a bit more detail Over the last few years, we have been able to increase penetration by unlocking access while also strengthening market leadership. However, we have been unable to drfve consumption as overall cCLtegory witnessed a drop In average household consumption. As a result, the category and our portfoUo, both ha\111 decUned. We are taking acdons to address this category headwind and Improve perfonnance.
As hlghUghtecl In our capital Martcets Day, drtvlng consumption ls key focus for us In this category. we discussed the pack price architecture adjustments we are lmplemendng to lncentlvlze consumption. We an!l reducing the price gap between sachets and big packs In order to accelerate the pack upgradatlon Journey of consumers. While all the changes have landed In the market, this was the first full quarter where consumers experienced the change. As the process of consumer price discovery is gradual, we are seeing some impact on account of this transition. As we gain a better understanding of consumer price and purchase Intent, we will further refine the price Incentive curve, If needed.
Going forward, we will deploy three broad vectors to step up consumption and premiumize the ca.tegory. Number one, modernizing the core by enhancing nutritional benefits and relevance, to a.dapt to evolving consumer habits. Number two, Intensifying our efforts In specialist nutrttlon by Increasing condldon awareness, strengthening product claims and expanding our medical martcetlng coverage. Number three, expanding the strong equity of Boost to other regions and Into high-growth demand areas such as ready-to-drink formats. We anticipate that these combined actions will enhance consumption within this category.
Moving on to a summary of our financial performance for this quarter. I have taken you through top line numbers, margins and explained the impact of

Interest on PPA on our other Income Une. Effective tax rate for the quarter was 25.796 after taking Into consideration prior period tax adjustments.
Coming to financial year results. Rohlt has already shared the headUne performance at the beginning of the presentation. Let me quickly recap the numbers. Underlying sales growth for the year was 296. EBITDA margin remained healthy at 23.59'. Profit after Tax at Rs. 10,644 crores grew 5'6 year on-year, led out of profit from divestment of Pureit business. Effective tax rate for the year was 25.6'6 o.fter taking into consideration prior period tax adjustments and Impact of capital gains tax on profit received

from disposal
of Puralt. Excluding this, ETR would be 26.496.
Moving to segmental perfonnance for the financial year. Home Care delivered high single-digit WCi for the year, which translated to a use; of 5'6 as we continued to pass on the benefits of deftatlonaiy commodity prices to our consumers.
Beauty & Wellbeing grew USCi at 2", driven by volumes. While Hair care had a strong year, delivering competitive high-single digit growth, Skin Care performance was Impacted by mass skin care and delayed winter.
Personal Care, specifically Skin Cleansing, witnessed commodity prices transition from deflation to Inflation over the course of the year. This, along with the subdued hygiene segment has resulted In <l USCi of -3% with a Low single digit decline In UVO. We have seen a gradual Improvement In growth momentum for non-hygiene segment of Skin Cleansing over the last quarter. Oral Care deUvered price-led growth.
Foods tu mover WGS flat for the year with a low-single digit decline In volume. Robust performance In Coffee, Ice Cream Gnd Packaged Foods was lmp<1cted by performance In Nutrition Drinks. Tea continued to maintain Its market Leadership.
Margins in all four segments remained healthy with Home Care at 19'6, Beauty & Wellbeing o.t 32", Personal care at 18'6 and Foods at 1896.
Considering our perfonnance for the year, the Board of Directors have proposed a final dividend of Rs. 24 per share. Together with interim dividend

lhllpcaKeclla; of Rs. 19 per share and a special dividend of Rs. 10 per share declared In October '24, the total dividend for this year Is Rs. 53 per share, which Is a 26')(, year-on-year increase inclusive of special dividend. Our balance sheet gives us the flexibility of rewarding our shareholders with a steady stream of dividends reflected In our consistent dMdend payout rcLtlo of over 90% In the last decade.

Moving to our near to midterm outlook. We expect growth trends to gradually improve as a result of our accelerated portfolio transforma.tion a.ctions and Improving underlying macro conditions. Macro conditions will benefit from moneta,y stimulus, tax relief, lower food and crude Inflation and higher agrtcultural output. In this context, we expect fir.st half of financial year '26 to be better than second half of financial year '25.

If commodities remain where they are, we expect price growth to be In Low single digit range. Commodity deflation In parts of the portfoUo will largely offset Inflation In others. Gross margin Is expected to moderate further due to commodity Inflation and our continued commitment to provide consumers with the right price value equation.

We will step up Investments behind our multlyear market making platforms. Channels for the Future and strategic capabilities to successfully land our portfolio transformation. As a result, we expect EBITDA to be maintained In the range of 22')(, to 2396. We believe this is the right time to step up investments as we chart the future course of growth for the company in the backdrop of portfolio transformation a.ctions and improving macro environment With this, we conclude our prepa.red remarks, and we will now hand it back to Shilpa to commence the Q&A session.

Thank you, Rohit and Ritesh. With this, we will now move to the Q&A session. We request you to kind!¥ restrict the number of questions to a maximum of two at a time. In case you have any further questions, please Join the queue again. In addition to the audio, our participants have an option to post the questions through the web option on your screen. If there are any unanswered questions. we will take them at the end.

With that, I would Uke to hand the call back to you Neerav to manage the next session for us.

Modarcdor:

R

lluhnwut:

Avis Thank you very much. First question Is from the line of Avl from Macquarie. Please go ahead.

See, I just wanted to understand this EBl1DA margin guidance a little better. We've moderated It by almost about 100 basis points despite moderation In key commodities like crude, palm oi~ which suggests there is a sharp adjustment in the price value equation versus, say, what you were discussing Last quarter. Could you A. explain if that understanding is correct? And B. which are the segments where this adjustment is done beco.use your stra.tegic position does not suggest any particular segment So, I would love to hear your thoughts on this, please.

Yes. Thanks, Avi. so, the entire EBITDA change that we intend to do, which is basically moving from the lower end of the 23,r. -24'6 range, which we had mentioned In the previous quarter to 22% -23%, Is essentially not prtce versus cost adjustment. The Intention behind this change ls to dial up Investments across all the lines of the P&L We have mentioned that at this point In time, there are two things which are happening. A. there are Improving macroeconomic conditions, which will augur well for demand conditions.And B. the amount of portfolio tra.nsfonnatlon that we are ready with, to put investments behind, both put together, in our view, now is the right time to dial-up investments.

SO, this 100 bps of EBITDA, let me say, from 23.1 % that we have, if a.ta.II you go back to the range of 22')(, to 23%, will mean more investments in trade channels, it will mean more investments for product quality investments, it will mean more investments in A&P, it will also mean more investments in the 'other expenses' line of the expense line of the P&L, which is where we end up accounting for Innovation costs like brand dewslopment, like market research. So, It Is across all the lines of the P&L, where we'll end up Investing for this EBITDA to end up dialing up growth. In terms of product segment, Avl, this Is again broad-based, but between all the segments more dialed up to Beauty & Wellbeing.

Okay. More In Beauty & Wellbeing. but the gross margin and the product quality Is going to be primarily over there as well? Or Is It the other segments as wel~ especially -so okay, let me be dire~ Is there any Increase In price based competition in laundry, something that we saw a. few deca.des back,

Rlluhffwart: which we should be worried about, and that could be the reason for this correction?

Okay. So let me clarify. This EBlIDA margin guidance change has nothing to do with Home Care pricing and price value equa.tion. So that's number one. Number two, the reason we commented Avl that gross margin will see moderation because of the prtce value equation difference -this ls normal to happen. Remember, the pricing logic that we always follow -Whenever we see Inflation, In this case, read Inflation of Tea, Coffee and CPO, which Is Crude palm oil Impacting Skin Cleansing and Beauty & Wellbeing. We always take price Increase In smaller chunks, so that we're able to test the levels of price Inflation we need to do In correlation to commodity lnflcitlon. So you always end up having a deficit of price versus cost in inflationary categories for inflationary commodities. Parallelly, on the other side where commodities have a deflationary trend like Crude oil. there we take larger chunks of price decrease so that we're able to pass on bulk of the benefit In a quick manner to the consumers because we know that when you decrease price In a smaller chunk, you do have an Impact of trade stock getting stuck when you end up making multiple price downs. Price-ups are easy to flew Into the trade, prtce downs are not easy to flow Into the trade.

So, this mechanism of Inflation -deflation, whenever It happens In any quarter, will always lead

to a price versus cost Impact, and which Is why we mentioned that gross margin will end up seeing moderation. But will the entire amount of EBITDA change go Into price versus cost and gross margin line? The answer Is no.

I did mention there are other elements of costs which get lncurTed In the Une of gross margin, be It trade Investments, which are above the line, which ultimately comes in gross margin, or product quality investment, which also comes in gross margin. So those investments will happen in the line of gross margin as well. which is one more reason why we mentioned that there will be moderation in gross ma.rgin.

Take an example, Avl. We have Increased 400 bps of weighted value distribution. And this is in general trade, basically largely. And when you increase weighted value distribution, you increase your effort, which you do in distribution and of course, there's a cost to incur this effort. The cost gets

llohltJawa: channeled through trade spends to our customers, and ultimately gets reflected In top line and In gross margin. So that's one of the examples why there are elements beyond price versus cost that happens.

And last, to conclude your starting question on Home Care, our pricing always has been -we react to commodity and we do our price changes to maintain competitive price value equation responding to change in commodity.

As market leaders, we always lead commodity trend-led price Increase. When we see signals In 1he market on pricing, which are not linked to commodity movements, we follow.

If I may -Avl, tf I may zoom out a Uttle bit to give another perspective to this discussion. We feel two things quite strongly. We think that on macro, the triggers are tending/ biasing towards positive now. For instance, all of the monetary changes on inteA!st rates, the tax relief, 1he crude oil and, therefore, Impacting cost of Uvlng, generally speaking, coming down, the strong robust monsoon, Including projected monsoon, the agrtculture output. the resilient growth In rural where we haw a higher market share as It happens, are all giving us a sense of a prognosis of a stronger market demand In the next few quarters to come.

we also feel very confident Internally on what we'Ve done around our core

business. We have revamped most of our core brands, that's on the half of our business, Including the ones that we had some wortc to be done Uke Glow & Lovely and Ufebuoy. We have very materially transfonned our portfolio towards Future Core. We are now Innovating quite Intensively. We've also ensured that the price, quality and margin equation of our price-sensitive ca.tegories and brands are optimized and are absolutely in the sweet spot
So, we feel that our business Is very much lnvestable. We have got the right capabilities, the business unit structure, we have got the right Leadership. So, we feel this is the time for us to Lean in. So, we want to not be defensive. We want to be offensive. So, we want to play to win. And therefore, for the next few quarters, one or two at least we want to Lean in with investments in the Channels of the Future, In all of these Innovations, many of the new brands

ModeNdon
AIHIHah Ro,:
RohlUcawa: that we're launching and aU of this means we want to basically look at growth first and EBITDA secondarily for at least the near term.
And given that our EBITDA, even at 22" to 239' levels Is still very much healthy. It's In the very much top quartile of the CPG Industry In India, and we feel very confident that with leveruge, assuming we're able to do more than we expect in growth, this could easily flow back and we'd be back in a virtuous cycle.
So this Is our lean In. It's our position to play to win. And that's the spirit of what we/re trying to do.

ls there a price versus cost battle In a certain category? Yes.
And that, by the way, is not -it's stiU not ci very Large part of our Home Care business, and we are, of course, they're going to unblinkingly defend and, in fact, go a step further.
So, I think that's just to give you the mood and tempercityure of how we look at the business today, which is in a stronger optimistic Lens. And we do see the future 6 months are gradually improving, and therefore, we want to actually playtowln.
Next question is flvm the line of Abneesh Roy flvm Nuvama Wealth Management. Plecise go ahead.
I have two quick questions. First Is on the Horllcks portfolio. You did mention on the pricing structure rejig. So, could this lead to a lower gross margin and lower EBITDA margin in this part of the business? And is that also linked to your slightly Lower EBllDA margin outlook? And second wlU be on the sunscreen category where I think clearty, with heat waves recurring In lndla now fNery year on the higher side, It's a good category to play.
If you could mention the Last few years, how has been your performance versus the overall market in sunscreen and your aggression and the recent spat with the D2C player, how do you see the benefits coming for HUL from this? That's the question.
on Nutrition Drtnks, no, I don't think. and Rltesh can vaUdate this. The plan that we have, In fact, on Nutrition, Just to zoom out first before zooming In on the question on EBITDA. The co.tegory Is quite proflto.ble. we are, as you know, quite large In that category, particularly anchored In South and East.

Allnnah Ro,:
RohlUawa: S years now since we owned the brand, from 2020, we have done weU on penetration growth, In certainly the regions where we are the leaders. We have done very well in market shares. We've gained distribution expansion. We've driven immense amount of cost synergies. Profitability is strong as a percentage. What we haven't done well Is In drMng the category consumption. There are reasons for that
We have addressed them thn,ugh proposition, pack and other actions. But what we now have done with exhaustive deep analysis is tho.t we now need to focus on three very specific actions, as Rltesh mentioned. Number one, we ha\111 to revitalize Hortlcks, which Is about making It more contemporary, more modem, more relevant ta toda.y's needs, altamatlves that mothers and kids have and pressing on the triggers of Nutrition and address the barriers of health and credibility.
we are second, going ta also double down on our Adult Nutrition business, It's Rs. 500 crores, big headspace to grow. We think we can do a better Job

there by doubling medical marketing, Investing more In chemists, revamping and refocusing on high-growth parts of that portfoUo.

And number three, essentially Is Boost. secret of our energy. Boost Is a great brand, chocolate, but also It's more about an energy brand. And we see levers of growth In both, formats like ready-to-drink format. where we have a p!Vduct that works very wel~ but also in geographical expansion. And what wf!re now doing is doubling down to essentially make this happen so that we can drive the consumption of the category because it will also benefit us indirectly.

So that's the job we are doing. The Issue Is the margins Is not the problem there, we will invest more and we've got good head space to invest So that's my response on the Nutrition Drinks. Abneesh, I hope that's clear.

Yes, tha.t's clear.

On sunscreen. Sunscreen is a category of the future. It has got very low urban penetration. It's only 3-odd percent. But India is a market where W index is high, which means that there's an underserved need. There are two kinds of W rays that are harmful -WA and WB. Particularly when It comes to UVA, which Is basically causes aging on the skin, and B Is bumlng. These kind of

Moderoton

AmuMltra:

llllull Tlwuts damages can be prevented. Most Indians need It. And It's a category that has got a high value per gram. It's therefore a premium category. It's very onllne focused at this point. It's not that small, but also not very large. The category is growing at~ In fact. Last 3 years CAC.R is 60'6. so, ifs a very attfQc:tive ca.tegory, high margin, high value to play In. But Importantly, we, as market leaders In skin care, want to grow this category. And the first step for us Is to make sure we educa.te the consumers, make them aware of the SPF and PA ratings and how they must buy credible products that deliver what they claim. And what we're now doing Is essendaUy just spreading that awareness of accuracy and accountability to the market participants and also advocating for standards to be set In this Industry and using the most gold standard testing to essentially validate that.

That is really our mission. And in that. the alSe that we speak to is sub-judice, so I don't want to speak about that. we have got the lntertm order where we are continuing with the campaign with some modifications. But the larger mission Is for us to grow the category and 1:D make consumers more aware of what they're buying, how to Judge good products and eventually products that deliver what they claim. That's really our mission there.

Next question Is from the Une of Arnab Mitra. from Goldman Sachs.

My first qufflon was on your comment that you expect the macro environment to lead to a gradual Improvement In demand. So, In terms of timing, do you think we are there where we are already seeing some Improvement In demand, and therefore, this Is not Into the future and more here and now?

And I know you've given the MAT Nielsen data. which Is obviously a 12-month average data. Is there anything In the data that Is Indicating or suggesting to you that there Is some pickup, which ls already starting to happen In the overall FMCG market and also In your own business?

Thanks,Arnab.Amab,ourcommentonmac:roandCl.lsolntemallsmoreUnked to neartD midterm outlook. which you can read as next couple of quarters. So we are not talking In future, we're talking baslc:aUy June quarter and September quarter where we would see Improvement In the growth trajectory. And let me just again recap why we say that. There were two

elements to our Improving guidance going forward for first half of financial year'26.

Number one, external macro. We know that there are no new headwinds that we have to deal with at this point In time that we're aware of. So thats again a good news. Oiven where the climate has been for consumption, which is subdued, it's good to be in a. space that there a.re no new hea.dwinds tha.t should bedea.ltwith.

Then If I look at overall continued good agriculture outcome, that wlU support

rural growth. We know we ha.ve a. good kha.rif, we had a. good rabi a.s a. country, and there's a. good expecb:ltion of o. nom,al monsoon for this year o.s well. So tho.rs one area which we are encouraged to read with.
Second, the monetary and the tax relief -it will support growth, urban and beyond.And third, the lower food inflation, which wa.s one of the pa.infularea. for consumption. We know that the food inflation ha.s improved, and it's much lower a number now, compared to what It was at the peak. And broadly, there Is a commodity deflation of large commodities Uke crude oil It wll~ again, augur weU In tam,s of overall consumption.
So, if I add all these elements, these signals are here and now signals. And hence, we do believe that over the next 6 months' time, this should augur weU In terms of overaU macroeconomic outlook to look better.
To add to that, the second conversation, which Is why we ho.ve given

our
outlook, Is an lntemal conversation. This Is ba.slcally the Job that we have done with our portfolio and the confidence that we have that the actions that we have done for portfaUo transformation, If Invested back at this point In time, It will augur well for growth. Be 1t stronger core with the relaunch of Lifebuoy and CAL, or be for that matter, the portfoUo transformation we have done using all the four vectors, expanding brands Into more segments, launching new brands, bringing brands from the stable of Unilever or doing bolt-on acquisitions. AU four put together, we have a. stronger portfolio leaning in from June quarter onwards.
We have also dialed up on our portfaUo Innovation Intensity. That will mean investment. but that wiU also mean more positive impa.ct in terms of growth

Amabllltna:
llltull Tlwarta
ModeNlton
Jltmdra Arora:
lllltull Ttwart: trajectory. Last but not the least, we spoke about how 8°" of our business Is superior on the unmissable brand superiority scores compared to eyeball competition. So this is a very clear case for investment and hence both intemcd and external components put together, we believe that June quarter -September quarter should be better than what the last couple of quarters have been.
And my second question was, again, actually on the EBITDA margin. So I completely get where you're coming from that you want to be aggressive and get growth going. And I think most people would agree that's a good thing for HUL to do. But Just on the context that In the past, we have had this aspiration of a. modest margin expansion over the medium term.
so, when we say we are 22:%-23'16, does It mean -could It be <1 couple of years or 2 -3 years where you remain In this low margin range, because It's a big company, It would require time to get things going fully? Or Is this more of a short-term 2-3 quarter phenomenon and then we could get back to a modest expansion? Just wanted your thoughts on how you think about tho.t medium term historical aspiration thatwe have had?
No, Arnab, I'm glad you asked this quesdon, and let me spend some dme clarifying It. So. the guidance that we've given of 22" • 239' Is more near to midterm. So please read 2 - 3 quarters. Our long-term Intention of drtvlng modest margin improvement, that does not change. In fa.ct, I do believe, a.gain, everything else being equal, if commodity price trends in the market are not vaguely off compared to what we see today, there is no reason why in the later part of the financial year we"ll start seeing margins improving. So our guidance of investment is more here and now for the next 2 to 3 quarters.
Next question is from the Une of Jitendra Arora from ICICI PNdential
Actually, I just wanted to understand the segments where the price value equation needs to be conected. That's already been answered. Thank you.
Thanks, Jltenclra. So, If I Just quickly run through the four segments. Home Care, no further corrections to be done. All price actions that we have to do In response to commodity price change or for that matter, In response to any competitive Clctions, we have already deployed. You will see continued

ModeNtor:

Amltllldldava:
Rolllt.lllwm Impact of that In the P&L wherein, let me say, for the Immediate next quarter or two, there will be a negative UPCi In Home Care segment.
Beauty & Wellbeing not much of an Impact. Overall, there are some headwinds In tenns of commodity coming from Crude palm ol~ but I think It's square and there.
Foods business, Tea Is a place where overall commodity has Inflated by-209' In last financial year. We will know further In month of May and June, what Is the new commodity outlook for Tea looks Uke. For now, we did not price the peak of inffa.tion,

neither for Tea, neither for Coffee. So, there is some element of price versus cost hurt. which will happen in the P&L for the next couple of quarters.
And when it comes to Personal Care, a.gain, the sa.me concept I wa.s talking to Avi earlier. We ha.ve not priced to the peak of inflation. If commodity of Crude palm oil remains firm, we will a.ppropriately do pricing actions for the next couple of quarters to ensure that we start bridging the gap of pttce versus costs In skin cleansing.
Next question is from the line of Amit Sachdeva from UBS Ciroup.
Just a. couple of questions. My question Is on skin care. Clearly, this ls a segment which has been a drag for a. while. And obviously, mass segment where you have struggled, and there is some portfolio gaps to be bridged. And I learned that you ho.ve been In the past been doing significant wortc on the Cilow & Lovely space, broadening the SKU range and benefit spaces and also some part of the masstlge as well
so, given that work is going in right now, can you sort of give us a bit of guidance when we start to seethe impactofthework that you're doing in Skin Care, In terms of real revenue growth, Is It going to be Q3 onwards or Q2? Do you have any time Une for that sort of revival of growth In the Skin Care? I mean. how do we expect that action to sort of translate Into, especially on the skin care side. If you could give some guidance, the work you have done and how It Is going to sort of show It In numbers?
Yes, so let me Just take you Into the engine of skin care, Just so that you get the color on this one. First of al~ In Skin Care, which Is on Hair Care, which Is

the other part of our Beauty & Wellbeing business, we're going from strength to strength. And so I won't talk about that. We are at the highest market shares there, etcetera.
Coming to Skin Care, which ls an equally large segment, highly profitable. We are 4 times rela.tive market share, very attractive category for, of course, obvious reasons, big and with Lots of upside in the future. For us, the job here wasthatoftra.nsforma.tion and to shape the beauty ecosystem of the country.
What we've done here Is and let me tel1 you a few points that are essentiaUy s we're just taking a slightly mom-out view on this one and not just 1 quarter.
so, over the Last 4 quarters or so, we have managed to build o. fast-growth Market Makers portfolio of almost Rs. 2,000 crores that is growing well in double digits. And this could be a small digital first company by Itself and growing even higher numbers In e-commerce.
Secondly, we are monitoring channels of the future and e-<ommerce where we are already growing and gaining share. Our big drag Is In the space of mass skin or mass part of the portfoUo. The main heart of the Issue there Is Glow & Lovely, which Is In the brtghtenlng segment, where we have very high share. We are a donor In that sense to all of these upgradatlons.
And what we have done there Is to have revamped Glow & Lovely by two major moves. One Is the Core because tho.t·s the bulk of the business. That relaunch has Just gone In now. It's a big shl~ We have addressed every element of the mix. We have upgraded the sensorlals, which Is a huge thing to do In our Clow & Lovely, In certain parts of the business to make It more contemporary to today's consumer.
We have renovated the proposition, completely elevated It to skin brightening. We upgruded the packaging. We're Investing materially Into the social and modern media, which consumers are using to seek skin care products. We see two things happening on the Core. One, our brand power is already beginning to improve.
We have also started to sequentially see Improvement In Clow & Lovely

growth. SO, we expect, going forward, that should strengthen. And at least we should start gaining share even t

hough it will be in a slower growth segment.

Amltlaclldavm We also launched a Core plus variant called Glass Bright, which Is doing quite well I'd love for It to be Rs. 100 crores variant by itself. So, It could be like Launching a new brand itself, even though ifs only less than a year old.
So, on Glow & Lovely, If It comes back to health and starts to grow, which we hope, then that will be a big deal as well Finally, on portfolio transformation because we had a portfolio with -we were not there in the masstige segment.
We have, of course, acquired Minimalist. It's already Rs. 500 crores and growing. On the wellbeing side, we ha.ve got Oliva. which Is also Rs. 400 crores CARR) and growing. Wf!ve got Liquid I.V., just Launching into the market.
So, on the masstige side, we've got three new brand entries either acquired or newly Launched, that should start clicking in growth.
We've also taken two of our big brands, Ponds and Lakmi and have extended them into aU new demand spaces and formats. Whatever is happening, latest in the world, these brands are offering and so is Vaseline. So, I think what we have done here Is, rm Just sharing with you Is that we are going au In structurally to make this a strong end-to-end category.
I've not even spoken about Prestige, which we want to enter sometime during the year. So, we feel that we are now building a really strong beauty company.
And progressively, we'll start to see growth when the drags of the mass will go away and the acceleration of the Future Core and the new Market Makers and acquired brands will start to clock In on our top Une. So yeah, that's basically how we're looking at this business. We're aggressive here. We want to really keep Investing In It to grow It both structurally and materially.
Thanks so much Roh It, for a very detailed plan on the skin side, and I wish you all the best with that. My second quick question for Rltesh Is that basically, margin guidance of 22" -239', as you said, that Is for 2 - 3 quarters, It's not Like full year. But I assume that In this, you have not assumed any operating Leverage kind of play out, revenue growth continues to be Lackluster in the near term, and ma,gins are obviously a. funnel m,m operating leverage as well
So as for example, If I were to assume volume growth builds up, say, In the second half when the base effects are also there and some drags are no

ltlluhTlwart:
Modarator:
,SC,Pantllalds
Modarator:
J-Doahl:
ltlluh Tlwart: longer there, do you see operating leverage then helping out In the second halt? Should we see that 22'fl -23" really first half guidance and second half bCISed on how opera.ting leverage pay out. the margin trajectory could be different? or do you see that it is too early to sort of think like that?
See, Amit, a.gain, a good question, and let's spend some time talking about it. Every 1" delta growth will end up giving 40 to SO bps operating leverage.
The assumption that we have made for the next couple of quarters, we will invest buck the operating levera.ge. so, the number which you see there is net.
You did see our guidance that we expect to see Improvement In our growth momentum In first half of the fiscal compared to the last half of the flseal And that improvement in growth momentum should give more operating levere1.ge, and we should be able to plough that back In tenns of Investment In the business. SO that's the financial growth model for the next couple of quarters. And the point I was responding eartler to Amab that ofter Cl. few quarters once we start seeing a continued trajectory of Improvement. then time will come for us and we'll have space In the P&L then to start dropping the operating leverage Into the P&L In terms of profitability.
A

nd which Is why I mentioned that this 22%-23% position ls more for the next few quarters. 2 -3 quarters. And again, everything else being equal, If commodity prices are In the same domain space that they are now, we should

start seeing margins to improve from this band in the Later half of the fiscal
Next question ls from the Une of Percy Panthakl from IIFL Securities.
My questions have been answered.
The next question comes from the line of Jay Doshi from Kotak Mahindra Bank.
Your outlook of moclera.tion in gross margin, are you factoring in the current RM prices of crude and palm? or is this ba.sed on the prices that were Last quarter or a month ago?
Jay, we are factoring the current Landscape of the pricing. So, if I look at the current spot price in the future covers of these commodity trends, they have been factored into the moclera.tion expectation. As I mentioned, if that

JayDNhl:
U..hffwart: changes, then, of course, we'll come to new reaUty. But today, we're t.aklng the spot and the future covers.
In that case, you have tailwinds from lower Crude price and lower Palm price. What would you -are you planning to sort of retain any of that benefit? Or would you -so on one side, you are indicating possible increases in personal wash prices, but with the way palm oil prices have corrected, do you still think there is a reason to sort of increase price? Or would you consider reducing prices there?
Yes. So, the way I mentioned to Avi, Jay, earlier, first of all, whenever the prices go up of commodity, we don't price to the peak of infta.tion. We always t.ake in small hike the price increases. And once we're full¥ convinced at the levels at which commodities are stablUzlng, then we know that we can fully plan out the price versus cost dynamics In that space.
So hence, we have some space more to go in tenns of pricing to the peak of Inflation. And to the extent this does not happen, we have a gap. So, we don't end up pricing to that So, there's no need for con-ectlon of the prices. So, for example, to make It real, Palm oil went to as high as $1,150. We never prtced to $1,150. So now today, when we sit cit $980 or$950, there's no need for us to adjust for that $200 because we started with $750 up and we start moving up. So that's one.
Second, as I was answering earUer, the gross margin moderation Is not only on account of price versus cost. To some extent In Tea. as we mentioned that and Coffee, we have not priced to the peak of Inflation and there Is the price versus cost hurt, which Is In the P&L Overall, that nets off with the amount of changes we have done. As I mentioned that whenever prices go down, In tenns of deflation, we pa.ss on in large chunks prices back to consumers, because you never want to do that in sma.ller chunks and then get stuck with trade Inventory.
So you're always in a scenario when there is a net infla.tion or a contra between inflation and deflation -deflation is fully priced out, inflation is not fully priced in. And hence, you do have a momentary price versus cost gap.
But the part of gross margin Is th<lt one reallty of prtce versus cost, but also the portions I was explaining eartler that In gross margin sits Investments for

MDdarator:
SIIHlallatlll:
Rohlt.klwa:
IIIHla llatllll product for Innovation, for product Improvement. In gross margin sits the Impact of channel Investments which Impacts top Une and, of course, flows into gross margin. so, there are those elements of investments as well. which sits in gross margin.
Next question is from the line of Sheela Rathi from Morgan Stanley.
Thanks for taking my question. Just one question, good to hear about the pursuit for growth over margins. So, the question Is that what are the signposts which we w

ill be seeking to understand that this strategy Is working? Will it be on the volume growth side or will it be on the market share side?
Because I think Ritesh did call out that It's next two to three quarters where we are guiding for these margins to be a.t these levels. But I don't want to go into that conversation, but just to understand where we see this growth algo,

when does it come ba.ck for us and what a.re we looking for?
Our focus is on volume-led competitive growth. And if you look back over the Last four quarters, we ha.ve stepped up our absolute unit volume growth. some oftha.t hCLS got diluted by the mix. But actually, we are selling more units to more consumers in the Last four quarters. Tha.t is also the reason why our competitiveness has Improved. we have now been In the fourth year of competitive tumover weighted market share growth.
we would Uke to keep doing that we would like to keep Increasing market share, mainly led by volume. And our Intention here Is to use the opportunity of a combination of potentially good macro or Improving macros for consumption and a stronger lntemal capability and a portfoUo pla.y, to Invest, to play to win, to grow, to build that momentum further.
And given tha.twe have so many new Innovations and new products to Invest, we llke to glw: them the best foot forward. And that's why we would llke In the next one or two quarters to have tha.t wherewithal And therefore, the short answer to your question, It's volume-led, that's really going to be the rubric or the algo, as you mentioned.
Gcod to hear that, Rohlt And one Just quick follcw-up. Now given thera Is a higher possibility of macro coming back, and lfwe look at the growth pattems

ltohltJawa: for each segment last year, Home Care did very well. whereas Personal Care was on the weaker side. Do we expect this to turn In terms of Personal Care coming back much faster for us because the macro tums and the growth could be muc:h higher?
Yes. I think firstly, I just wanted to start with EBITDA, by the way, at 2296 -2396, which is our near-term guidance at this point, we are still very much on the top of the table. And as you said, if growth is higher, the operating Levercige «an play back, andthisisofthetwosidesoftheequation. something we know very well to do. we have a full-on c:ost efficiency program called Symphony. We are looking at eveiy penny. So, we are veiy frugal by the way. So that Is very much our ROI. So, we are able to control that line very effectively. What we Uke now, as I said, Is to be growth first. given that we feel that there could be a resonance In return In the market In this particular time. And therefore, It's an opportune time.
Coming to your question on the portfolio Home Care, solid as ever. Steady Eddie continues to grow, a big business for us under 4096. Personal Care, also, we see signs of improvement. AIL the work we have done around Dove, Pears, Lux and Ufebuoy, now recently, plus the work in bodywash liquids, even our Closeup brand, all of that, I think we feel good about that
Beauty & Wellbeing, I just spoke to you just a moment back. Hair is growing strength to strength. Skin care, we're putting In a lot of structural efforts and Investments to grow.
On Foods also, Tea I think as our price quality margin equation is optimized, we start to see good trends, already on a good portfolio, which is premium heavy. Consumer PClckaged Foods, Kissan, big brand, doing well We will stretch It. Its a brand that can serve a Lot of lndlan cuisine cooking as mini meals and condiments. And on one Job challenge we have Is mainly Nutrition Drtnks, Hortlcks. Maybe a little bit of Boost. but mostly HorUcks, that's what we need to really address. So generally speaking, we do see across our portfoUo, lnvestablllty Is good. Teams are well settled. So, we want to go and pla

.y the
ball to win.
If I may add, Sheela, a. couple of more elements to what Rohlt mentioned. There's also an underpinning thinking tha.t we have shared at length that there are two ways we see the portfolio. Of course, we see the portfolio from

Moderoton
KunalYora
llltull Ttwarl: a category stroke segment lens, but we also see the portfolio from Its evolution to Core, Future Core and Market Maker. So, If were to give another take to the way we are going to do this investment. investments will be more dialed up to Future Core and Market Makers portfolio.
Today, we have a Rs. 7,000crores portfolio which sits in Market Maker across all the four segments that we have. This part of the business, which is Market

Maker, is alRady growing in good, strong double digits. So, idea would be to invest behind Market Makers and continue to grow that business. Equally dial up further Future Core. This Is where we helve dialed up Innovation Intensity. We are competing hard. We are gaining value and volume market share, and we want to further accelerate Investments to get more ratums from that port of the portfoUo. So hence, underpinning all of this also Is a sharper dynamic resource allocation as well that goes Into the mix.

Next question ls from line of Kunal Vora from BNP Paribas.

Yes, thanks for the opportunity. First one Is the new Unilever CEO In a recent Interaction mentioned that quick commerce In lndla Is about 29' and could become 109' to 15'6 In 3-4 years. He also hinted that quick commerce margins might be sUghtly lower. So, does It have anything to do with your margin guidance? And can you share your thoughts on how you see quick commerce potential In the margins?

Let me get margin out of the way, then I will then hand over to Rohlt to talk about overall quick commerce and growth In channel So no, quick commerce growth Is not the reason for EBITDA margin guidance. A, quick commerce Is roughly 29' of the business, so It doesn't have that much Impact In terms of overall contribution. But also let me remind you that overall organized trade margins for us are better than general trade. And the reason organized trade margins are better than general trade is essentially because the portfolio that we sell In organized trade be It modern trade, be It e-commerce within that quick commerce, these are premium parts of the portfolio. By and large the Future Core, Market Maker, sits In a pretty good way In organized trade. So, this Is a margln-accretlve organized trade channel So, It only augurs well for us In tenns of overall tailwind when we end up growing ahead of the business, that positive mix of margin comes In. WeU, let me hand over to Rohlt.

RohlUcawa:

KunCllYorca: Just to take a leaf from your comment on Fernando. Fernando Fernandez, our new Cilobal CEO, Is very buUTsh on India. He thinks very well of operational excellence of HUL and really wants to build India as one of his top two anchor markets along with the U.S. in the future. So, I think we are really fortunate to have him lead Unilever at this time. And his view on e-commerce, cand It's not surpttslng given that e-commerce has been growing faster. I think we are at about 7'l6-8" e-commerce contttbutlon or thereabouts growing, of course, faster than the average of our total business. And would that go to 15,r, In the next few years, It's Ukely. So, I think It's not q-com alone that would get that far, but It will be probably a combination of all of our pods.

Coming down to q-com. Q-com is about 2,r, or one-third of our e-commerce business at this point, is relatively small but growing extremelyfasL Shoppers shop omni-channel, they shop for different needs at different points for different things. So, they may use quick commerce for buying som

ething of
convenience or a last-minute thought or even a beauty product and may use the klrana store to pick something up on the wo.y or may use an e-commerce to buy a monthly purchase. They may walk Into a DMart or Reliance to buy their monthly pantry.

So, the point Is that they shop In every place. we, as <l company, must serve our consumers In all the shopping missions. and quick commerce Is cleart.y a shopping mission that certainly In the big cities, top 8 cities and even beyond, has got a good product market fit. We have a very much of a differentiated assortment and portfolio design on It. So, we sell a very discrete portfolio that Is either different by way of sizing, pricing or even brands. And we are, at this point. making sure that we win in that channel, too.

So, we have doubled our assortment, increased our availability, are investing basically to serve that consumer shopper need. But ifs still, as I said, one-third of our e-commerce business, which is only about 7'6-8" at this point. although growing fast So, this hopefully gives you CL pretty good understanding of this particularGrea.

Sure. Thafs very comprehensive. Second one was on your Capital Markets Day, you had laid out aspiration to report double-digit earnings growth. In FY '24 and '25, we did not see that And considering that there could be some ltlluhTlwart: margin weakness In FV '26, It might be challenging to report double-digit earnings growth In FV '26 as well So, when do you expect earnings growth to get into double digits?

Yes. So Kunal, when we had spoken about It In the Capital Markets Da.y, It was more of a medium-to long-term statement that our entire ASPIRE strategy to unlock a billion aspirations will end up delivering double-digit EPS growth, and that will be growth led is what we had mentioned, and there will be a contribution of modest margin improvement that will add to the delivery of the EPS growth of double digit.

It was not for a here and now for the year. So, we remain committed to that ambition, and we do believe that once we deploy the full ASPIRE strategy, we should be able to deliver a double-digit EPS growth and that will be growth led. For that to be true, a few things have to happen, and this Is exactly the path that we are at EPS growth, there are lots of ups and downs put together for financial year, ~25. we grew our EPS at 59'.

And If I have to see a path In the next few years for this to be tl\le, first of al~ the FMC<l martcet growth today, where It Is, It will have to Improve. And we do believe, given all that Is there In tenns of tailwind, low penetration, low consumpdon levels In lndla. rtslng affluence. If I Just take the here and now out. this Is what the lndla story Is all about. And that should augur well In tenns of FMC<l growth being better than what we have seen in past decades. So that's point number one.

Point number two, today, we are talking about low single-digit pricing. FMC<l markets have seen around 4" of pricing, which ls par for the course In terms of on an average. As commodities settle, there Is no reason why we should not be seeing that level of pricing. And once that level of pricing kicks in, top line growth further comes in and the operating leverage flows into the P&L So, there are a few of those things that needs to be true for that to happen. It may not happen now for the next few quarters, but there's no reason why in medium to long term, that won't be true. And what we have done in the process, the whole process of subdued demand growth last year, we've been working very hard In teims of making our portfolio more future flt and dialing

KunalVora:

RlluhTlwart:

Modarator: up In different parts of the portfolio vectors tha.t we know will en

d up driving
growth In the future.

The whole segmentation of Core, Future Core, Market Maker, along with that, sharper resource allocation Is fully polnmd to make that reality come true. So, we remain committed to our double-digit EPS growth, and we do believe that ci few of these things needs to be true for that to start kicking in.

Understood. And lastly, If you can provide a quick comment on receivable days, which are at an all-time high. How should we look at them going forward?

Yes. So, we mentioned In one of the conversation I always keep talking about Is, how do you Invest for growth. Investment for growth Is not only about increasing A&P investment There cire various lines in the P&L, we end up doing investments to drive growth. Equally, at times, we end up leveraging balance sheet to drive growth. We did see over the last couple of quarters, basically need for us to drive more amount of capital availability In the trCLcle channel to drive higher distribution.

I quoted a number earlier that 400 bps is a weighted value increase that we have done of distribution of our products in the marketplace. Some of that have been done with the benefit of aiding credit growth In the martcet And hence, we have leaned In with our bCllance sheet resources as well to support our distributors to Increase assortment and to Increase overall availability In the marketplace and drive weighted value distribution.

So, because of that reason, we helve dialed up credit In the market And hence, you see the Impact of that coming to the balance sheet. We are negative wortclng capital And the way I see It tcday across all the different lines of the working capital leverage, we will remain negative working capitaL And there Is more than one way we end up fine-tuning and getting more efficiencies delivered in our cash conversion. Our cash conversion ratio last year was near 100'6. And I do believe that even for the next tinancicil year, there is no reason

why tho.t number should be materially away from that.
We take our next question from the line of Hartt Kapoor from Investec.

HmltKapoar.
RohlUcawa:
HmltKapoor: Just two questions from my end. Last quarter, you did mention the phenomenon about small packs growing faster than large packs and that kind of affected the mix o. little bit as well I wo.s just wondering, given that you have a stronger outlook in terms of growth, is tha.t a phenomenon that you're seeing not pla.ylng out anymore? Has tho.t reduced a. little bit because that affects your mix when you put on -when you calculate your UVCi. So, I Just wanted to get a sense on that
That's correct I think that was the theme in December quarter, but we do see an Improvement back to the near-term norm, and premium brands are also growing faster. Although small packs are growing faster, but large packs are also growing. So, It's not adverse as It was In the last quarter. And we do see now premium brands, eg. Dove and Pears growing faster than Lux and Lifebuoy. B&W our business also growing fast when compared to Home Care. So, we do have positive mix effects as compared to last quarter.
Premium, In the overall martcet, the premium end ls growing faster than the average of the market, although the gap between the average and the premium end ls smaller than It used to be. So that Is reflective of the lltd.e bit of the stress In consumption.
And the small packs also are growing faster because maybe rural representation, rural Is also now growing faster than the urban market. So, some of those effects are there. But for us, the mix has been better than ilwas last quarter.
And the second question was on Ufebuoy, and I would say, sUght move away from hygiene as a platform. Just wanted to get your sense about why you believe that tha.t's a space or a proposition that's not picked up as much? Who.t p

rompted this move?
And especially given the fact that hygiene, one would think has a lesser amount of competition because there are only two or three clear hygiene oriented personal care brands and maybe skin protection or skin benefits is a much higher competitive segment So just a little bit double clicking into your thought process and also early signs of how thafs panning out.

RohlUcawa:
Modarcdor:
Abnnah Roy: Yes. Lifebuoy stands for genn prevention or disease prevention, that Is the heritage of the brand. lhat remains at the core of the brand's promise. What we're now saying is that it's wider than just gem, protection alone. It also helps the skin health. we have therefore, in that sense, modernized and made the proposition wider. It Is not to take away what It does calrea.cly well so, this Is an enhancementJoumey.
We have seen success with this in other parts of the world, also in the South region, where we had this proposition in action for a while. Oiven this proof of principle, we haw then tested this and found It to be compelllng, more broadly across the country. It also gives us more proposition space to launch range, offerings -freshness and others. And we are not Just only changing the proposition, we're also Improving Its presentation, we are adding more range.
As I mentioned, we are entering In the summer freshness space with Aloe Vera. We expect that to do well SO, It's a comprehensive end-t~nd re launch, and the brand Is Inherently a very strong brand. We'll continue to play In the baste hygiene segment but also now be offering something of an enhanced proposition. And we do have the formulation space with Stratos to be able to add goodies that deliver th~
SO that's basically our position on Lifebuoy. It's early days because It's Just gone in market in March. We do see sequential improvement, but we have to watch the space in the next few quarters. And maybe when we meet next time, we'll give you an update on how it's done through the summer.
We take the next question from the line of Abneesh Roy from Nuvama Wealth

Management.
This Is Abneesh Roy. Two follow-up questions. One Is on toothpaste. You seem
to have grown a bit faster than Industry In Q4, but still, It Is lower than your
and industry's growth rate in earlier quarters. What we are picking up is there
is a. 5'6 higher promotional trade intensit,y on a Y-o-Y basis in toothpaste.
Could you confirm that? And do you see this CLS a temporary thing? And could
this extend into other categories? Why toothpllSte is suddenly seeing higher
promotional Intensity?

RohlUcawa:
AIHIHah Ro,: It Is an underpenetrated category where people don't use enough of
toothpaste. We are a challenger brand. And therefore, we respond to the
norms of the market leader triggers. In our case, to be honest, we have
o.c:tually increased pricing over the last few quarters because we were selling
below wha.t we thought was strategic price and what we could charge.
And as the brand got stronger, we've, in fact. increased pricing. So, while
promotion intensity, as you say, may have increased. But all in al~ our net
reali.zation has increased for Closeup as a brand, which is the main play. At
this point, we are focused on making sure tho.t we have the best freshness
proposition In the martcet and that we take the whole areo. of confidence that
Closeup provides as Its emodonal promise to 91/en new tenttortes like
whitening. which will further expo.nd the weighted average reaUzatlon of the
Closeup brand and make It more and more salient In the modern trade where
also It sells a lot.
So, I think we do see opportunities for Closeup to grow by higher than what
you see this quarter because currently, we have white spaces In geographies.
We have a few g

eographies In lndla where we are underrepresented, even
though the freshness segment Is not. We have opportunities In assortment.
There are pack sizes that we don't have fair share in and new segments.
So, we are actually quite excited with the levers of opportunity we have on
Closeup, and we are not really plo.ylng the promotion game as much as
growing by way of white spaces and premlumlzatlon. lhose are our levers.
Promotion, If at all Is t<ldlca~ we may use It to Increase distribution or to
com pate on our targeted strategic prtce, but that's not really the heart of our
strategy.
My second and last question is on your comments on the global CEO and our
understanding of -based on whatever we hear in the media. So clearly, he
seems very positive on India, and he seems more aggressive than his
predecessor. So, this 100 bps lower EBITDA margin outlook for next 2-3
quo.rters, is this something Unilever is doing in other emerging markets
because clearly, there, the growth potential Ts higher than the developed
market. And cun-ently, there Is a global slowdown. which Is definitely there
Impacting global companies. So, If you could clarlfy, Is there some thought
process which Is linked to that also? And second Is In terms of the overall

RohlUcawa:
ltlluh Tlwart: Oliva, If you could clarify, how Is the growth from the time of acquisition tlU
now, how have the things shaped up In Oliva?
Look, we gave the rationale for taking that 1 - 2 quarters to create the
Investment space, to build momentum further In our business. It Is a call that
we have taken along with our Board. we believe It's the opportune time to
have that headspace, the Investment space given potentially Improving
macros, both rural and urban, which you are very well aware of.
And we also feel there's lnvestablllty within our portfolio given all of that we
ha\111 done over the last several quarters. So, this Is more a caU to actuaUy play
on the front foot, have the heads pace to lnwst. I don't think this Is correlated
with any broad emerging marlcet strategy, and we are playing lndla for lndla,
and lndla Is so big that we do what's right for India. for HUL. of course, and of
course, also for Unilever, and we are now the number two market.
It Is true that Fernando sees lndla as a very Important part of his overaU
strategy. He would like Indra and U.S. to be his anchor market.s. He has very
big hopes for us. And ttiat's a long-term position on HUL and lndla, and It's
not a quarter-to-quarter position. And It's good for us because we've always

had the priority from our erstwhile CEO, even Hein was the one who had said double down in India. Alan before him had put India on his strategy.
So, we've always been on the top of the table in so far as Unilever is concerned because what's good for HUL is also good for Unilever. And on that. I'll just hand over to Ritesh.
Yes. On Oliva, Abneesh, overall, when we acquired the business a couple of years ago, a lltd.e over 2 years ago, It was a Rs. 100 crores ARR business. In last Litd.e over 2 years, the business has gained scale. Now it's a Rs. 400 crores ARR business. And that is also one of the reasons why you end up seeing the Impact of basically fair marlcet value adjustment that we have done, which you don't see the Impact In the standalone P&L of Hindustan Unilever, but you'U see the Impact coming In, In the conso P&L because we have Cl. more slronger acquisition business case now as far as Oliva Is concerned.
The business has also Improved profitability. When we C1.cqulred the business and those numbers are there In public domain, It was a 40%-50% EBITDA Loss

SlllpaKadla:
Rollltlclwa: business. And compared to that now, we have broken even In tenns of profitability. And with the sc

ale coming In, we believe this will become more healthier in tenns of profitability as well
The Innovations which we have done In the last 12 to 18 months' time be It the apple cider vinegar, be it the c;Luta Hya, hair growth serum, they all have complemented very well the core portfolio that we have. And we have two amazing founders who are working with us.
And the partnership between the amazing founders and our team have reaUy ensured that we/re getting full value from this acquisition. As you know, we have acquired 51'6, and we have already agreed a formula using which we'll end up acquiring the balance by January '26. So yes, in summary, all goes well for the business. And hence, whenever you see a fair martcet value c.djustment and a hit In the P&L, one should always feel good about It, for this also means the overc.ll acquisition business case only gets stronger.
I'll take one question from onUne now. Possible to share more details on competitive landscape In the detergent category. Is this Largely escalated In liquid detergents portfolio? How large Is the segment now? How do margins stack here versus powders? Do you see a need to further reduce price posing further downside risk to margin?
so, I mean lrs a very broad question on Home care. we operate In three segments: bars, powders and Uqulds. Bars are very price sensitive, commodity price led, where we have to offer the best quality for the best price and for the best brand. We constantly optimize. And c.t this point, we've been through many cycles of that. Business Is large enough for us to make sure that It stays optimized, and that Is the case as of now. The competitive landscape there Is not different from the past.
In powders, powders are a large part of the category, very profitable for us. We have Surf Excel, one of the big brands there, doing very well And we have just recently extended the assortment to a Rs. 99 pack, which is also doing quite well So, we offer every price point In that And there Is a conversion from bars to powders, which our brands basically are leveraging and that continues to be. Again, the competitive Intensity there or the landscape has not changed much. We do have a competitive peer group that ranges from

Moderoton
lllull Tlwuts local players to global players In powders. But for us, It's a very, very big and Important and successful segment.
Coming to liquids. Liquids are growing quite strongly. lheyve had very high doubl~dlglt growth for us over the last 2-3 years. Actually, the Home care liquids on the whole, our business Is already well above Rs. 3,000 crores In scale. lhls Is a category that we are developing. we started almost 8-9 ~ars ago. And now It Is full bloom. It Is In the South, parttcularty where trs led growth, It's fuU bloom, aU price tiers are active. We have three very strong equities at play with Surf Excel. Rln and Sunlight.
All the three brands are being promoted aggressively. And we do see conversion from powders to Uquld also accelerating with au of the Investment

that's coming from us. competitors and the local players because everybody sees opportunity In this space. Now It's a relatively small part of our business today, but very, very high growth, and we intend to also lead in this segment, which is why we have our superior mixes.
We have made sure that every element of our Surf Excel brand, the Rln brand, the SunUght brand, are excellent. We are Investing behind great marquee properties like IPL We ha.ve invested in market development through sampling. And of course, we have responded to the recent price changes in the market by being on the shelf on pretty much the same time.
We are, of course, going to, at the same time, invest in improving our business model and keep optimizing it. but we do see many, many more years of liquid growth in Home Care, not ju

st in laundry, but also in fabric conditioners and in dishwash. And this is an area that we intend to lead and build market share In. So tha.t's basically where we are on the competitive landscape for Home Care. I think gives you a pretty graphic Idea of what's going on In our biggest category.
Thank you very much. Ladles and gentlemen, we'll take that as the last question. ru now hand the conference over to Mr. Rltesh Tlwart for closing comments.
Thank you, Nlrav. Before we condude the cal~ I would Uke to take a minute to update au of you of a change In our Investor Rala.tlons team. Shllpa has

lhllpcaKedla:
Roltltlawaz
Shllpca Kedia:
RlluhTlwart:
Madaraton decided to lea.ve Unilever to pursue an external opportunlt;y. Shllpa goes with our best wishes and gets added to the Illustrious HUL Alumni cohort Yogesh Mulgaonkar, who is currently Head of Finance, Personal Care, will take o.dditional responsibility as Head of Investor Relations.
Yogesh will meet many of you in the coming months as he transitions into his role. I would like to take this opportunity to thank Shilpa for her leadership and her contribution during her tenure with HUL and as Controller and IR and I wish both Shilpa and Yogesh very best.
Thank you, Ritesh and Rohit for your unwavering support. I would like to extend a warm welcome to Yogesh. I also want to express my sincere gra.titude to all of you on the call for the incredible partnership and support during my tenure In this role. Before we conclude, I would like to remind everyone that a plo.yback of this event will soon be available on the Investor Relations section of our website. Thank you.
Thank you, Shllpa.
Thank you so much.
Thankyou.
Thank you very much. On behalf of Hindustan Unilever Limited, that concludes this conference. Thank you for Joining us, and you may now disconnect your lines. Thank you.
Disclaimer: This transcript has been edited to remove any grammatical inaccuracies or inconsistencies of English language that might have occu"ed inadvertently white speaking.

Call: Aug 2025

(no extractable text — likely a scanned image PDF)

Call: Oct 2025

29th October, 2025

Stock Code BSE: 500696
NSE: HINDUNILVR
ISIN: INE030A01027

Dear Sir /Madam ,

Sub: Transcript of the Earnings Call for the quarter and half year ended 30th September, 202 5

This is further to our letter dated 23rd October, 2025 , whereby the Company had submitted the link to the audio / video recording of the Earnings Call held post announcement of Financial Results for the quarter and half year ended 3 0th September , 202 5.

Pursuant to Regulation 30(6) read with sub-para 15, Para A, Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the Transcript of the said Earnings Call, for your information and records.

The transcript of the earnings call is also available on the Company's website at https://www.hul.co.in/files/sq25 -earnings -call-transcript.pdf .

Please take the above information on record.

Thanking You.

Yours faithfully,
For Hindustan Unilever Limited

Radhika Shah
Company Secretary & Compliance Off icer
Membership No: A19308

BSE Limited,
Corporate Relationship Department,
2nd Floor, New Trading Wing,
Rotunda Building, P.J. Towers,
Dalal Street,
Mumbai – 400 001 National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra – Kurla Complex,
Bandra (E),
Mumbai – 400 051
Page 1 of 42 "September Quarter 2025 Earnings call of
Hindustan Unilever Limited"
October 23rd, 2025
Speakers :
Ms. Priya Nair - Chief Executiv e Officer & Managing Director
Mr. Ritesh Tiwari - CFO, Executive Director, Finance & IT
Mr. Niranjan Gupta - CFO Designate
Mr. Yogesh Mulgaonkar - Head of Investor Relati ons & Head of
Finance, Personal Care

Moderator: Ladies and gentlemen, good day, and welcome to the Hindustan Unilever Limited Conference Call for the Results of Qu arter Ended 30th September 2025. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions af ter the presentation concludes. Should you need assistance during the conferen ce call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Yogesh Mulgaonkar, Head of Investor
Relations and Head of Finance, Personal Care. Thank you, and over to you, sir.
Yogesh Mulgaonkar: Thank you, Michelle. Good evening, everyone. Welcome to the conference call
of Hindustan Unilever Limited. Wishing you and your loved ones a happy and
prosperous Diwali. This evening, we will be covering the results for quarter
ended 30th September 2025.
On the call with me is Priya Nair, CEO an d Managing Director; Ritesh Tiwari, CFO;
and Niranjan Gupta, CFO Designate. We will start with prepared remarks from
Priya and Ritesh. We expect this to take around 30 minutes, leaving us approximately an hour for the Q&A session. We will look to end the call by 5:30 PM.
Before we get started with the presentatio n, I would like to draw your attention
to the Safe Harbor statement included in the presentation for good order sake.
With that, over to you, Priya.
Priya Nair: Good afternoon, everyone. Thank you for joining us on the call today. Wishing
you and your loved ones a joyful and prosperous Diwali.
Let me begin with an update on the operating context, and an overview of our
performance in the quarter. I will also take this opportunity to share some of my
reflections on my first 90 days as the CEO of HUL and outline the key priorities
that will guide us as we chart the course for our company's next phase of growth. Subsequently, Ritesh will take you through our in-quarter results and conclude with the outlook.

At a MAT level, demand growth trends as per Nielsen remained stable with both
rural and urban contributing to this.
This past quarter, the macro-econom ic environment was shaped by 3 key
factors.
The most significant of these was the Gove rnment's recent GST reforms. This is a
particularly encouraging development, centered around rate reduction and tax
structure simplification. It is expected to have a positive impact by enhancing
disposable income, thereby laying the ground for stronger consumption trends. I will elaborate on both the immediate and long-term business implications of these reforms in the next slide.
Meanwhile, prolonged and intense monsoon conditions across several regions
disrupted supply chains and tempor arily dampened demand. We are also
closely monitoring and evaluating the impact of this excessive rainfall.
Lastly, Commodity trends remained divergent throughout the quarter, with
inflationary pressures persisting in Pa lm Oil and SMP while Tea and Crude Oil
prices trended downward.
Collectively, these dynamics created an operating backdrop that demanded
agility and resilience. Despite these short-term challenges, the underlying
momentum from structural reforms and lower food inflation continue to present
meaningful opportunities for sustained growth in the long-term.
The recent GST rate reforms have directly benefitted 40% of our portfolio, which
has now moved to the 5% GST slab. Consequently, nearly half of our portfolio is
now covered under the 5% GST bracket.
In response to the rate ch ange, we acted with agility, implementing pricing and
grammage interventions across more than 1,200 SKUs. We ensured that we
passed on the entire benefit of this GS T rate reduction to the consume

rs. To
ensure a smooth transition, we extended comprehensive support to our trade partners, facilitating pipeline stock liquidation. We also ensured clear and

consistent communication to trade partn ers and consumers to minimize market
disruption.
From a long-term perspective, these re forms are a welcome move. By enhancing
affordability, they are expected to boost disposable income, uplift consumer
sentiment, and unlock meaningful opportunities for premiumization across categories. This aligns well with our strategic focus of driving volume-led growth and expanding our premium offerings. These reforms will serve as a structural
growth enabler, reinforcing our long-term value creation agenda and
positioning us well to capture emerging demand tailwinds.
However, in the short-term, these chang es led to transitory disruptions across
trade channels to clear old price inventory and resulted in postponement of

orders due to anticipated new pricing. Additionally, consumers delayed pantry
replenishment in expectation of lower shelf prices. These factors, coupled with pricing volatility, arising from multiple prices in the market, has resulted in a short-term impact on sales during the quarter.
In this backdrop, we delivered a competitive performance marked by gains in
our turnover-weighted market shares. With a turnover of Rs. 16,061 crores we had
a 2% Underlying Sales Growth in the quarter. The growth was price led, driven
primarily by carry forward pricing in Skin Cleansing, Beverages and Skin Care.
EBITDA at 23.2% was down 90 basis points year on year, in line with our stated
intent to continue investing in the bu siness. PAT before exceptional items was
down 4%, reflecting the impact of a lower EBITDA and a decline in net finance
income stemming from our strategic capita l allocation decisions. Profit after tax
grew by 4% primarily driven by a one-off positive impact pursuant to resolution of prior years' tax matters between UK and Indian tax authorities.
From a first-half perspective, we deli vered a USG of 3% led by 2% Underlying
Volume Growth. EBITDA stood at 23%, down 110 basis points year-on-year, in line
with our previous guidance. PAT bei declined 4% while PAT grew 5%.

Considering our performance in the first half of the year, the Board of Directors
have declared an interim dividend of Rs 19 per share for the year ending 31st
March 2026, translating to a total payout of Rs. 4,464 crores.
As I complete my first 90 days as the CEO of Hindustan Unilever, I have had the
opportunity to engage deeply with our consumers, customers, and our people. HUL is the largest and one of the most loved FMCG companies in the country for a reason.
Our strengths are reflected in our performance: competitive, resilient, and
consistent. HUL has consistently maintained market leadership, holding the number 1 position in more than 85% of the business. This leadership is the result of a portfolio that's been built with rigor across demand spaces and price tiers, designed to serve every Indian household.
We have built 19 brands with an annual turnover exceeding ■1,000 crores. This
scale is powered by a culture of deep consumer intimacy. With over 80 billion
consumer interactions annually, our insights infrastructure enables us to
anticipate evolving needs and innovate with precision.
We have successfully leveraged Unilev er's global R&D capabilities to make
markets, from hair conditioners to home care liquids to face moisturizers. For
decades, we have been at the forefr ont of market development, driving
innovation and creating categories in the country. And our execution engine
ensures these innovations reach consumers at scale. Our sales network spans across 9 million store

s, covering circa 95% of value-weighted distribution
enabling us to reach 9 out of every 10 households in the country.
At the heart of all this is our talent. Peop le are at the core of HUL. Our ability to
attract, develop, and retain top-tier professionals is one of our greatest competitive advantages and a key enabler of our future growth.
As we look ahead, we remain steadfast in our commitment to driving volume-led
growth, shaping future-ready categories, and delivering enduring value to all
our stakeholders. A lot of what we have already been doing has strengthened

our business and empowers us to act with agility and precision. We will continue
to build on it while adapting to changing consumer trends and shopping behaviors, laying the foundation for the next era of transformative growth.
Let me now outline the 4 priorities that will enable us to continue delivering
volume-led profitable growth.
The first pillar focusses on consumer segmentation. In response to the evolving
consumer dynamics, we will radically sharpen our consumer segmentation. With
our portfolio of brands that straddle across the price pyramid we will refine our strategies on brand, channel and media choi ces to target each of these distinct
consumer cohorts of Power Spenders, Premiumisers, and Democratisers.
The second pillar is centered around elevating brand desirability by boldly
modernizing our core brands and scaling our premium portfolio. We will reimagine our core brands, making them more modern, contemporary and youthful. We will do this with renovations on our core and by driving premium
innovations.
Third, we already have an exceptional frontline marketing and sales engine, and

our focus is to accelerate future-proof ing of these capabilities. We will drive
more social-first demand generation to enable brand discovery online. Among
channels, we are accelerating our footprint in d-commerce including q-commerce and we will continue to allocate more resources to these fast-
growing channels. We will continue to evolve General Trade with more focus on specialist stores like cosmetic stores and chemists.
Our fourth pillar focusses on reshaping our portfolio by accelerating in high
growth demand spaces. Based on market readiness, we will invest disproportionately to take a few of th ese demand spaces to scale and develop
the markets in India.
These are our key priorities as we refine our roadmap for the organization. I look
forward to engaging further and sharing detailed plans in due course.

I will now hand over to Ritesh to take you through our in-quarter results in detail.
Ritesh Tiwari: Thank you, Priya. Good evening, everyone. Wishing you and your loved ones a
fabulous Diwali filled with joy, light and prosperity.
I will now share a detailed overview of our quarterly performance, followed by
a review of first half results before concluding with our outlook.
Priya has already briefed you on the macro-economic backdrop for the quarter
and its implications on our portfolio. In this context, we have delivered a
competitive performance with an Un derlying Sales Growth of 2%.
Gross Margin stood at 50.9%, almost flat year-on-year. In our previous quarterly
update, we had highlighted gross margin dilution arising from a transitory price
versus cost gap as we invested to offe r a competitive price-value equation to
consumers. On a sequential basis, our gross margin has seen a 130 bps improvement as this transitory price versus cost gap has moderated.
We have stepped up investments in our brands and business, resulting in a year-
on-year increase of 80 bps in our A&P spends. As a result, EBITDA margin at 23.2% saw a year-on-year dilution of 90 bps.
Profit After Tax before exceptio

nal items declined 4% while Profit After Tax grew
4%. I will explain the underlying reas on for this difference, later in the
presentation.
Coming to our segment wise performance for the quarter.
Home Care, our largest segment, delivered a competitive performance, with
mid-single digit volume growth on a strong base of high-single digit growth. The volume growth for the quarter translated to flat USG on account of price reductions taken in prior quarters. As me ntioned previously, this price reduction
reflects our strategic actions to maintain a competitive price-value equation and
to pass on commodity-led benefits to consumers with more than 10% deflation observed in crude oil.

Fabric Wash delivered mid-single digit UVG driven by double-digit volume
growth in the liquids portfolio. Fabric Conditioners delivered double digit growth in the quarter and continued its innovation-led premiumization journey with the
launch of an all-new Comfort Perfume Deluxe range - a premium collection
inspired by award-winning fragrances.
Household Care maintained its trajectory of double-digit UVG led by an
outperformance in the liquids portfolio while dishwash bars recorded a high-
single digit volume growth.
Beauty & Wellbeing delivered 5% USG, driven by Skin Care and Health &
Wellbeing.
Hair Care witnessed a decline in tu rnover, being impacted by GST rate
rationalization across 90% of its portfolio. However, we continued to strengthen our market leadership, widening our gap to the nearest competitor.
We remain focussed on enhancing the relevance of our Core brands, reinforcing
their resonance with changing consumer dynamics. For instance, during the quarter, Sunsilk refreshed its identity and underwent a relaunch. The new packaging with holographic elements and identity, signals Sunsilk’s shift toward
being a science-backed, future-ready bran d, while keeping alive its vibrancy
and optimism.
Skin Care including Colour Cosmetics grew in high-single digit, driven by
continued momentum in Future Core and Market Makers portfolio. Vaseline and Lakme led growth for the category. Our six big bets continued to deliver strong

double-digit growth. Channels of the Future sustained its double-digit
competitive growth momentum with stepped up activations ahead of the festive and winter season.
Health & Wellbeing maintained its strong tr iple digit growth trajectory, fuelled by
a portfolio of superior, science-backed products bolstered by on-trend innovations. One such example is the launch of OZiva Phyto Ceramides and Collagen Builder-an ingestible skinca re supplement. Designed to support

hydration, barrier repair, and collagen synthesis, the product unlocks new
growth opportunities in the be auty-from-within category.
More than 90% of the Personal Care port folio underwent a GST rate transition in
the quarter which has had a transitory impact on underlying volume growth. As
a result, Personal Care turnover growth was flat.
Moving to Skin Cleansing, overall turnov er growth was flat. While the category
had carry forward pricing benefit, overall growth was impacted with GST
transition and continued effect of pricing on category consumption. At an aggregate level, we continued to strengthen our competitive position. Our strategic focus on premiumization and market development continued to yield strong results. This translated into double-digit growth in premium soaps, driven
by both price and volume. Following the successful relaunch of Dove, we further
strengthened our premium offerings this quarter with the relaunch of Pears and
expansion of the Lux International soap range. Infused with skin care actives such as glutathione and Vitamin E, the Lux international soap rang

e will elevate daily
skincare ritual while providing a soothing sensorial experience.
Oral Care witnessed a marginal decline in turnover, led out of transitory GST
impact. Closeup delivered low-single digit growth.
Coming to Foods. Foods delivered a USG of 3% with low-single digit UVG. All
categories within the portfolio, except Tea, which was already at 5% GST, have
undergone a rate revision of GST.
Our Beverages portfolio, comprising of Tea and Coffee, delivered double-digit
growth led by strong performance in channels of the future. Tea grew in high-
single digit driven by price and volume. Coffee continued to deliver double-digit price led growth.
Lifestyle Nutrition sustained a positive UVG during the quarter, supported by a
positive mix. This reflects early signs of consumer uptrading driven by pack-price
architecture interventions implemented in prior quarters. However, overall turnover declined, impacted by negative pricing. We remain focussed on driving

consumption growth for this category. While the GST rate reduction led to a
short-term impact, it is expected to act as a catalyst for demand recovery in the
long term.
After the successful launch of Boost Protein, we expanded our protein offerings
with the launch of Horlicks Pro Fitness th is quarter. Horlicks Pro Fitness is a
scientifically formulated meal replacem ent solution which has 60% less calories
compared to an average Indian meal.
Packaged Foods delivered a muted perf ormance this quarter. Mayonnaise and
International sauces range continued to deliver double-digit growth. This business was also impacted, as I call ed out earlier, by GST transition.
Ice Cream business declined year on year, impacted by extended monsoon in
addition to GST transition. As you are aware, the Ice Cream demerger process is
currently underway. We expect to complete the demerger by December, with the listing anticipated in Quarter 4 of Financial Year 2026, subject to necessary
regulatory approvals
Moving on to the summary of our performance for SQ'25. I have taken you
through topline growth and margins. The year-on-year moderation in other income primarily reflects reduced cash reserves post special dividend payout
and Minimalist acquisition, alongside softer interest rate trends. Exceptional items are higher year-on-year on account of one-off impact from resolution of certain
tax matters between UK and Indian tax author ities, for previous years. As a result,
PAT grew 4% while PAT bei declined 4%.
Effective Tax Rate was 24.5% after taking into consideration prior period
adjustments and exceptional income. Excluding these, the Effective Tax Rate was 26.7%.
Coming to the summary of our performanc e for the first half of financial year

2026. 3% USG translated to a 4% turnover growth including Minimalist. The Minimalist brand has delivered strong double-digit growth for the period. EBITDA margin at 23% was down 110 bps year-on-ye ar and is in line with our guidance.

Exceptional items include a one-time benefit recognized in September quarter, as previously outlined in the presentation . Lower tax expense is on account of re-estimation of prior year tax provisions, as explained last quarter. As a result of these one-offs, Profit After Tax grew 5% while Profit After Tax before exceptional items declined 4%.
Effective Tax Rate was 20.5% after taking into consideration tax adjustments and exceptional income for the first half. Excl uding these, the Effective Tax Rate was 26.6%.
Moving to our near-term outlook. The GST-related impact continues through October. We anticipate normal trading conditions starting early November, once prices stabilise, paving the way for a gradual and sustained market recovery
Whi

le the increase in disposable income is a positive structural driver, we expect its benefits to manifest gradually in th e demand trajectory, rather than through an immediate acceleration.
If commodity prices remain where they are, we expect a low-single digit price growth.
Overall, we expect growth of second half of this financial year to be better than the first half. We remain vigilant about the evolving impact of weather patterns—particularly as the winter season approaches and the effects of a prolonged monsoon begin to play out.
We remain firmly committed to investing be hind our business, confident that this continued focus will unlock sustained growth.
Coming to EBITDA margin, Ice Cream demerger is expected to result in an improvement of 50-60 bps to the reported margin as Ice Cream business operates at a margin lower than HUL av erage. Our current near to mid-term guidance is 22-23%, hence everything else being equal, Ice Cream demerger adds 50-60 bps to this guidance.

We remain committed to executing our strategy with sharp focus and agility, prioritising competitive, volume-led growth across our portfolio.
With this, we conclude our prepared remarks.
This is my last earnings call in my curr ent role as the CFO of HUL before I hand over the baton to Niranjan and embark on my next chapter at Unilever as the Global Head of M&A, Treasury, and Ventures. It has been an immense honour and
a deeply fulfilling experience to lead this remarkable organization as its CFO.
I wanted to take a moment to personally thank you all for the trust, confidence, and support you have extended to HUL—an d to me—over the past five years. Your continued engagement and critical thinking has been invaluable to me.
With this, let me now hand over to Priya.
Priya Nair: I would like to take this opportunity to ex tend my heartfelt than ks to Ritesh for his outstanding leadership at HUL over the last five years. He has steered the company through some of the most challenging and transformative periods, including the global COVID-19 pandemi c and subsequent inflation-deflation cycles, with resilience and strategic foresight, enabling the company to evolve at a fast pace while consistently streng thening market leadership. We are deeply
grateful for his contributions and the strong future-fit capabilities he has built for the organization, and we wish him the very best for his new role.
I am also very pleased to welcome Niranjan Gupta back into the organization. After an impactful 20-year tenure across HUL and Unilever, Niranjan pursued external opportunities, most recently se rving as the CEO of Hero MotoCorp. His proven track record and rich experien ce across diverse industries will be invaluable as we continue to drive tran sformation and accelerated performance.
I am confident that he will play a pivotal role in supporting me towards the next phase of our growth. Niranjan, I would now like to invite you to share a few words.
Over to you.

Niranjan Gupta: Thank you, Priya. Good evening, everyone. Firstly, let me start by wishing everyone a very happy festive season to you and your families. I am honored to be back at HUL, a company that continues to inspire with its consumer focus and portfolio of brands that earned huge love and respect. I am looking forward to working with Priya and team to build on our strong foundation and shape the future path together to drive acce lerated growth. Looking forward to connecting with you all over the course of coming months.

Yogesh Mulgaonkar: Thank you, Priya, Ritesh and Niranjan. With this, we will now move to the Q&A session. The Q&A session today will be led by Priya and Ritesh. We request you to kindly restrict the

number of questions to a maximum of 2 at a time. In case you have any further questions, please join the queue again. In addition to the audio, our participants have an option to post the questions through the web option on your screen. We will take these questions, just before the end. With that, I would like to hand over the call back to Michelle to manage the next session for us.

Moderator: First question is from the line of Vivek from Jefferies.

Vivek: Hi, team. Priya, first question to you. You articulated your four-pillar strategy, let's say from a company standpoint. When you look at it from a product segment perspective, can you just talk about area s that you think need attention based on your assessment?

Priya Nair: Yes. Thank you, Vivek. I will go category-by-category to just talk a little bit about our performance. Let me start with Home Care. We have an extremely competitive performance in Home Care overall with mid-single-digit UVG. Our job in Home Care has always been to cont inue to premiumize the market and this is a continued job to be done, and we are on a good trajectory on Home Care overall. Of course, our revenue growth given the deflationary commodity is flat, but overall a good solid competitive performance in our Home Care business.

In Household Care, we have a double-digit UVG led out of dishwash, and again, we need to continue to drive dishwash liquid, and therefore develop the markets in Home Care. So really, that's our job in Home Care. This is 40% of our business.

We continue to drive premiumization and market development in a ubiquitous category in the country.

Let's now come to Personal Care. In Pers onal Care, we are seeing a quarter-on-quarter improvement in our performance and our competitiveness. Of course, this quarter, as Ritesh mentioned, it is impacted by GST, but what augurs well for HUL is the double-digit growth of premiu m soaps, and this is an area, again, we will continue to focus. Here again, liqu ids and body wash is under 2% penetration in India, and our job as the market leaders of soaps is to grow and develop the markets towards liquids, and that is where we will double down and focus.

Coming to Beauty & Wellbeing, we have grown at 5% this quarter. This is made up of a good performance of single-digit growth on Skin Care. We have had very good winter loading into September quar ter. OZiva has delivered triple-digit growth this quarter, and you heard Ritesh talking about Minimalist, which also continues to deliver. In Hair Care, we ar e the market leaders. Again, here our job is to continue to premiumize the catego ry and grow the market from just hair cleansing into Hair Care, and really develo p the market. So that, in summary, is on Beauty & Wellbeing.

Looking at Foods and our Nutrition business. In Beverages, we have, again, grown double-digit. Here our focus, once again, is on premiumization, given the nature of the category. Again, the commodity today is deflationary, and we will do the right things to ensure we stay competitive in the Beverages segment.

In Horlicks, we have seen some early gree n shoots. There's sti ll work to do here on the brand, but it's in an excellent s pace of wellness and nutrition, which is extremely important in India. It's a growing demand space and we will double down here. We've already launched our RTDs in Horlicks, and as Ritesh mentioned, the pro-fitness range, and this is an area of work to do. There's still work to do on Horlicks, and we will continue to do this going forward. So that, in a nutshell, Vivek probably explains to you how I'm thinking across categories.

Vivek: Got it. And Priya, slightly from a longer -- let's say from a medium-term
perspectiv

e, you mentioned about the quarterly trends and how things are shaping up, but the external world view is that, at least from our side, that Beauty
and Foods will require -- should require more attention just sheerly because the
performance had been somewhat okish over the last few quarters. Do you concur with that view?
And a follow-up to that is, basically, from a premiumization perspective, you have
done well, but how do you think about the di gital-first competition, as well as is
there a case to focus much more at the, let's say, the mid of the pyramid and the bottom, probably? Not bottom, but, something below mid.
Priya Nair: Yes. I think, let me break this down into multiple parts, Vivek, if I could. Let me start
with where you ended, possibly, and actually, that was the first pillar of what I
have talked about, which is the radical segmentation we would like to do of
consumers. If you look at consumers in India today, we are seeing an opportunity to be more radical in our segmentation of consumers. Power Spenders at the top,
these are about 60 to 80 million consumers at the top of the pyramid,
Premiumizers in the middle, and the Demo cratizers at the bottom of the pyramid.
With our price-brand pyramid, we have the opportunity to grow in each of these
segments and tailor strategies - channel, brand, price and media strategies, to
deliver against each of these consumer cohorts and that will be an area of work
that we will do. So, really, our right to win in each of these, given how we straddle the pyramid, is extremely high.
You're absolutely right in what you're refere ncing, Vivek, that it is not just in urban
India, but also our rural markets, where we have the opportunity. There is a huge transformation taking place in rural areas in the country and we will double down behind growing across the price brand pyramid of the country. Ritesh, if you want to answer the second part of the question.
Priya Nair: Vivek, does that answer your question?

Vivek: Yes, absolutely, it does. So, that was my first question with your permission.
Second question for Ritesh and two parts. On GST bit, Ritesh, you have mentioned
about October will continue to see the impact, but the destocking end second
quarter and October should also unwind in the next quarter itself. Is that a fair
assumption?
Ritesh Tiwari: Yes. So, GST, as you mentioned, Vivek, that overall, as the change started to
happen and our announcement happened, clarity emerged. September month
and October both, A, because of what ha ppened to trade in terms of destocking;
B, consumers were very choiceful and they are hoping to see lower prices on the
shelf before they start loading in their own pantry.
And third, the fact is there will be a poin t of disturbance for a month or so because
there will be more prices in the market, old MRP, albeit sold at new GST and new
MRP, old grammage and new grammage.
This is the disturbance that we spoke about will end up being in the trade and in
the business till early November. Post that, we expect prices to stabilize and
normal trading conditions to come back. Now what happens in terms of trade when they destock, we have known in the past, it takes time for them to go back
to the normative stocking levels. It requires effort to do for that to happen, and
we have put on full plans for that to get taken care of.
Vivek: Okay. And as a follow-up to that, can you quantify, Ritesh, what was the impact
on margins due to trade support in this quarter? And do you expect the same to continue in the third quarter as well?
Ritesh Tiwari: Yes. So, we did lean in with trade support in the quarter. And overall, at a net level,
you've seen very fact, we had improved our gross margin by 130 bps sequentially. That was one of the arsenal that we had deployed to support trade pipeline to
be liquidate

d.
Going forward, we don't expect further margin impact, Vivek, coming in from
GST transition. Of course, the entire GST ra te reduction is cost neutral to us. It's

something which Government has given chan ge and hence, no cost implications
on us. So, we don't expect any margin implications coming in.
To the extent there was a net impact betw een overall price that we had given in

the market, the improv ement in Gross Margin more than took care of that in the
quarter. And hence, at net level, when you saw EBITDA for the quarter declining by 90 bps, summary of summary, the 80 bp s increase year-on-year on A&P that
we did is what ultimately flew in the bottom line on the P&L.
Vivek: Got it. Thank you and wishing you all the very best, Priya, Ritesh as well as
Niranjan.
Ritesh Tiwari: Thank you, Vivek. Appreciate it.
Priya Nair: Thank you.
Moderator: Thank you. The next question is from the line of Abneesh Roy from Nuvama.
Please go ahead.
Abneesh Roy: Yeah. Thanks. My first question is on th e demand side and the GST impact. So, we
have seen in cars, for example, the GST-related cuts led to huge buying. Of course, that's a discretionary demand. My specific question is, once everything
normalizes, say, start of November, ex of the grammage increase, which will, say,
happen in the lower unit packs, do you see customers actually buying more FMCG in terms of volumes?
And second is, when I see the populist programs running now in every state, Bihar
is going into elections, Rs. 10,000, for example, being given to every woman. So,
do you see actually that the FMCG consumption also benefits wherever this happens. Frankly, it is happening in almost every state where elections are happening.
So, if you could comment, the Rs. 45,000 crores GST stimulus program, do you
think eventually it will lead to uptick in terms of FMCG consumption ex of
grammage increase? And second, the populist programs from the state government?

Ritesh Tiwari: Thanks, Abneesh. So, let me pick these both questions. So first, GST. And you
rightly mentioned that the short-term, there is impact and in month of September and October. And from early November, as prices stabilize, we should start
seeing normal trading conditions.
Now overall, we know that FMCG consumption has always benefited from two
things. Net disposable income, number one; number two, improved consumer sentiment. Now both of these elemen ts will be supported by this GST
transformation, which Government has done.
So, in our view, this will absolutely au gur well for consumption. This will
incentivize further our journey towards making the portfolio more premium. It will incentivize consumption. And hence, overall, it's in a positive territory. So, we
are very clear that this will be one more parameter that will get added to
everything else that we had.
We had monetary easing. We had direct tax benefit earlier. We have seen
inflation, including food inflation meaningfully coming down. And this GST
change just adds to that to help us im proving the macro conditions and trading
conditions. So, that's one positive and thumbs up on that.
Second, elections, our reflection always has been these are transitory in nature
where in a few states or even national election happens, we have seen that impact comes more from structural reforms that post-election Government
brings in rather than some amount of, let me say, work which happens during election, and you quoted a couple of examples as part of that. So, any structural
reform done is what typically helps consumption rather than any short-term
measure during elections, which happens.
Abneesh Roy: One follow-up question to the demand side only. So, in Q2, two large FMCG
com

panies have come out in terms of results. So, Nestle has not called out GST
impact in any of their communication, and they have actually shown the numbers
of 10% plus kind of sales growth.

So, my specific question here is, has th e GST-related destocking been more in
rural areas for you and for the sector? Nestle is almost 75% urban. So, is that helping them? And is that something commo n to you and to the sector that urban,
the GST destocking has been on the lesser side?
Ritesh Tiwari: Yes. Let me help, Abneesh, answer this from a little different lens than urban rural
only. I think you might appreciate better. 40% of the business benefited from GST
transition. And hence, in short-term, it go t impacted with the transition that I spoke

about. And what are these businesses? Skin Cleansing, Hair Care, Packaged Foods.
Now we know, for example, hair care. Hair Care had a pretty strong trajectory of growth in our business, and we consistently spoke about it. This quarter, the business declined because of the GST tran sition impact. Business is competitive, and we further gained shares.
Personal Care over the last few quarters has gained momentum and has done competitively better and further gained sh ares. But Personal Care business in the quarter was impacted by GST transition. So, we have seen that this 40% business got impacted by the GST transition. And as I mentioned early November onwards, we expect normal trading conditions for this 40% of the business.
Second, 20% business sits between Skin Care and Tea. Now, outside, there was no confusion. We know Tea already sits at 5 percentage. Skin Care was never spoken about as being benefited by GST. Now these businesses had no impact of GST. We grew both these businesses in high-single digit, including support from volume growth.
The third component of the business, 40 percentage is Home Care. Now Home Care grew competitive mid-single digit volume on the back of high-single digit volume in the same period last year. So pretty strong volume growth has got delivered in the quarter.
Now this volume growth of mid-single digit translated to a flat USG because of the price cuts that we have done, both in response to crude, which is year-on-

year 10% down and in response to competitive pricing actions, and we spoke about it. So, we are virtually mid-single digit negative pricing in Home Care.
Now of course, we will start to get this lapping in the base in a quarter or so, but that has an implication. And hence, to my point, every business is different. I just gave you this 40-20-40 to appreciate how the business has been run in the quarter and which parts of the business have seen impact and which parts of the business which are not impacted have grown very differently.
Abneesh Roy: Ritesh, one quick follow-up on the restocking and destocking. So, when the normalcy comes back, say, in November, early November, do you expect a reasonable restocking also to benefit you? Or there is a lot of perishable demand stock out? So, the restocking benefit wi ll be much lesser than the destocking loss?
Ritesh Tiwari: Yeah. See, this is what I was trying to expl ain to Vivek as well earlier. Now in FMCG, typically, we have 4 to 6 weeks, depend ing on the category, trade pipeline. And we have seen whenever trade pipeline co mes down, and we experienced this at length, Abneesh, when inflationary period happened and when deflationary period happened, it does not automatically within a week or so come back.
It takes effort for us to ensure that th e inventory levels, stock levels come back to its normal range of 4 to 6 weeks' time. So, the next couple of months, this is the exact focus that we will have.
As the prices will stabi

lize early next mo nth in Nov ember , our focus will be to ensure that shelves are filling back, whic h is more easier in a Modern Trade and e-commerce and more amount of work to be done at the length and breadth of the country, when we sell to more than 9 million outlets, it's a job to be done to reinstall that 4 to 6 weeks of trade pipeline.
And this job takes a couple of months' time, the point I was answering to Vivek earlier.
Abneesh Roy: Sure. My second question is on the margins. So, one is you had given the guidance of 22% to 23%. In the first half, you have met the higher end of that guidance. So, is there an upside risk in H2, given th e cost has corrected? And PFAD also, there

could be some lag benefit. It is quite volatile. I understand that. But is there an upside risk?
Second, media channels were carrying that the margin guidance for HUL has been upgraded. You clarified on that bit that there was an Ice Cream impact of 50, 60 bps. But if you could clarify becau se –Ice Cream demerger is going to be at the year end. So, when does that benefit happen? That happens in FY'27 essentially, 50-60 bps?
Ritesh Tiwari: So yes, currently, where we are with the Ice Cream plans, Abneesh, we expect the demerger to happen in December quarter. And when I say demerger, which means if everything goes as per plan an d

with all regulatory approvals, when we
declare our results for December quarter, it will be excluding Ice Cream and Ice
Cream business will be shown as a discontinued business.
And hence, margins excluding Ice Cream will start getting reflected in our
December quarter results. Now this is wh ere we are with our timelines assuming
nothing changes with all the approvals in place. We expect this to be the course
of the day.
Second, in March quarter at the end of the financial year, we'll end up listing the
company. So, this is two-step process, demerger, reporting discontinued
business for December quarter and then listing the business in March quarter.
Again, as I mentioned, subject to all necessary regulatory approvals. And as we
speak, we are on track on this timeline.
Now once this happens, when we report ou r results for December quarter, it will
be excluding Ice Cream business. Ice Cream, as we had called out even earlier,
it's roughly 3-odd percentage of our business. and the business makes low single-digit margin. And I had called out even earl ier that this year, given the impact of
monsoons, given the impact of investment s, in fact, we have a little lower
compared to that margins.
And hence, we expect once we have re sults declared and reported excluding
Ice Cream, on an average annually, we should see 50 to 60 bps improvement in

our reported EBITDA margin, which is why we clarified that we are not changing
our margin guidance. It remains 22 to 23% . And you're right, within that margin
guidance this quarter we operated at higher end.
Some other quarter, it could be a diffe rent part of the range we'll end up
operating. But the point is on top of this ra nge of 22 to 23%, we will see a 50 to 60
bps increase in our reported margin once Ice Cream demerger happens from December quarter onwards.
Abneesh Roy: Sure, understood. Thanks, that's all from my side. Thank you.
Ritesh Tiwari: Thanks Abneesh.
Moderator: Thank you. The next question is from the line of Arnab Mitra from Goldman Sachs.
Please go ahead.
Arnab Mitra: Hi team . Thanks for taking my question. So, my first question actually is to Priya. I
mean you mentioned about your reflections in the first 90 days. Any thoughts on
-- is there a trade-off between growth and margins, as HUL looks into the next
few years, in the sense that to get to a strong levels of

volume growth, do you
feel there is a need to invest more in th e business, which would take actually your
operating margins down in the interim?
Or do you feel the business is at a situation where there is no trade-off to be made
and growth can be achieved along with stable to expanding margins in the
medium term?
Priya Nair: Yes. Thanks, Arnab. Arnab, firstly, our fo cus, obsession is going to be on volume-
led revenue growth. So very simply, if I had to tell you how we will look at the business, it will be unblinkingly looking at growth first. When we do that, we have the right financial leverage to deliver the operating margin of the business. So,
for me, that is simply how we will run this business. And I've mentioned already
the four pillars that we have. But hopefully, this answers the question with clarity,
Arnab.

Arnab Mitra: Yeah , Understood. Just a follow-up on that. I mean, what I meant was that
ultimately, operating leverage does translate into margins also but in the past, HUL has had this range of margins, which they have -- the company held at 22%
to 23%. Do you feel that is a defendabl e range or that depends on the growth
environment and therefore, as you focus only on growth, there could be a situation where margins could be lower or below that range?
Ritesh Tiwari: So let me come in Arnab, about here. So , as we mentioned that our outlook for
margin and guidance is a range of 22 to 23. As we do the demerger of Ice Cream,
everything else equal, 50 to 60 bps ge ts added to this number once we start
reporting ex Ice Cream results. And we're very clear that as Priya mentioned that, when a choice comes between top line an d bottom line, it's always competitive
volume growth. That's always the first protocol.
And if at all we have to invest more in the business like we have done. You know,

today, we operate at almost 200 bps lower than our peak margin. And that is a conscious call that we took because we knew that, to drive growth, especially in
the tepid consumption atmosphere that we have been the last couple of years,
we have to invest on portfolio on capabi lities and hence, across different lines of
the P&L to ensure that we are able to drive competitive volume growth.
So, this is exactly what we will do going forward as well. Currently, where
commodities are, where our investment plans are, where our innovations and
portfolio is placed, we do believe that at a range of 22% to 23%, excluding the Ice Cream impact and on top of that, as I ment ioned, 50, 60 bps of ice cream, at this
level, we'll be able to support th e investments which is required.
But we are very clear that if at all a time comes, we ever have to come back with
a revised change in our outlook, because commodities change, because operating environment change, we'll always come back and share. The guidance that we have given today and, in the past, as well as for next couple of quarters,
read that as 2 to 3 quarters. And if so mething changes, we'll always come back
on top of that.

Arnab Mitra: Thanks. My second question actually was on - three specific areas where I think
in the last few quarters, you've highlighte d a lot of changes, your initiatives for
Nutrition, Lifebuoy and Glow & Lovely these three areas. If you could give us an
update on, how has been the feedback of your initiatives? Which are the areas
which are looking encouraging? Where do you think there's more time or more
work to be required for seeing growth come back?
Priya Nair: Yes. Let me take that. Let me start with Nutrition. Like we mentioned, we are
seeing early green shoots with low sing le-digit UVG on nutrition. We have
launched into new formats and new SKUs, whether it's the RTDs or

the Pro fitness range with the adult meal replacement product that we've entered.
For me, Nutrition and Wellbeing is a huge future growth area in India with
longevity and fitness being critical. So that's an area of work that we are on. More
work to do in Nutrition, this is early days, but it is an area we will keep working.
Let's come to Glow & Lovely. We launched Glow & Lovely Glass bright. It was to
extend the Glow & Lovely brand beyond the Core and premiumize it with the
new offering of lighter sensories, more relevant for modern youthful, young consumers, this range has performed well ahead of our expectations for us, and
we are pleased with the performance there.
Remember that in India, in Skin Care, wh at is happening is regimes are growing.
So, it's growing from just a single brig htness product to adding moisturizers, face
washes and many other products. And the way we are competing is not just with
Glow & Lovely, but we have added new products, including our latest launch of
Vaseline Cloud Soft, which is a new range of moisturizers, which has entered the
category and we have entered with Simple into face washes. So, we keep expanding our portfolio beyond Glow & Lovely.
On Lifebuoy, we have seen competitivene ss improve. Having said that, we have
work to do, and it was impacted this quarter with GST. As a result, as Ritesh
mentioned, the entire category, while co mpetitively improving, has struggled on
account of GST. So, a more radical and bold transformation is what you can

expect on all three brands, to make them more modern, youthful and
contemporary.
Arnab Mitra: Thanks so much. That's it from my side an d all the best Ritesh for your next stint.
Ritesh Tiwari: Arnab, I appreciate, thank you so much.
Moderator: Thank you. The next question is from the line of Latika from JPMorgan. Please go
ahead.
Latika: Hi, thanks for the opportunity. My first question was on specific consumption
trends at a macro level. I understand the last quarter was fairly noisy. But starting this year, we have been witnessing multiple positive catalysts and hoping that
these will translate into a material pickup in FMCG demand and things have been
a little more gradual.
The chart that you showed at the beginning of the deck kind of shows a bit of
tapering for rural volume growth and a bit of pickup in urban. So, I wanted to get
a sense of view on what are you picking up on the ground beyond the Nielsen
data? And any specific changes that you may want to flag on urban or rural side?

Initially, in your comments, you also talked about you also want to monitor what
is the weather impact on our demand in ge neral. So, any potential risk also that
we need to be mindful of at a category growth level? And a similar question here is, is there a way for you to gauge give us a rough guess on what could have been
the underlying volume growth if it was not for the GST transition impact? That's
the first question.
Ritesh Tiwari: Yeah, Latika, thank you. Let me just pick this up. So, we all know that urban has
two-third of FMCG consumption but rural has two-third of Indians living and earning livelihood. So, both of the urban and rural markets are equally important
for us to drive results. At this stage where we see the FMCG market, both are
contributing.
Urban is growing and so is rural growing. And we have used the word where we
do see this now demand trends to be st able, which we are not seeing big ups and

big downs when I look at moving annual to tal for the last 12 months' time, we're
seeing both urban and rural contributing.
You alluded to the economical impact of the monetary easing, which will help
mortgage, interest cost, the direct tax b

enefit, GST benefit across multiple
categories, inflation, especially food infl ation, which is meaningfully lower, good
monsoon last year. Though it's a prolonged monsoon this year. We know that the overall water tables will be much better. It will do well for the rabi crop. We just
got to see how the harvesting happens with any rains in the last few weeks in this
quarter.
And hence, when I add all of this, it is absolutely in positive territory with both
urban and rural contributing. Yes, there are risk factors, as you called out. As I
mentioned earlier, monsoon let's see, with kharif output with some amount of
intermittent rain as monsoon has prol onged. And winter, we will know, we
loaded pretty well in the trade. So, it's all there now to sell. And if at all we have a
decent winter, we should have a good outcome but if winter is shorter or less
severe, we know it will always impact sale s. But those two items we will see when
it comes.
But on top of Latika, of all of this, the work that we have done all our portfolio, on
our innovation pipeline that is further supporting our growth trajectory. The Rs.
8,000 crore Market Makers portfolio we spoke about earlier, or a Rs. 3,000 crores
digital-first business that we have in Beauty & Wellbeing. These businesses have strong legs of growth.
Acquisition of OZiva, a couple of years back, that's helping us grow and
contribute very meaningfully. Minimalist, it will not come in USG, but it is
contributing to overall, let's say the scale of the company. So, all those things are coming together, so it is helping and benefiting us.
Now coming to your question on the GST impact. We estimate that this quarter,
we saw overall at an aggregate HUL level, up to 2% impact, largely volume of GST

transition. So that's what our rough approximation is, what was the impact of GST
on the total aggregate HUL business.
Latika: Sure. This is very helpful. The second qu estion was clearly the four key priorities
that have been stated. You want to double down on high-growth demand
spaces and also align towards Channels of Future. Quick commerce has been cited multiple times by the parent also as a key focus channel for your company. I think salience for this channel is obvious is mid-to-high-single digit, if you would
clarify.
And if you could share, is there any change in your approach going forward, for
this channel in terms to grab more market share? And also, probably target new categories, which can be built up further here?
Ritesh Tiwari: As Priya mentioned earlier, overall radica l segmentation of the market from all
three lenses, consumer lens, channel le ns and media lens, is one of the top
priorities we'll have as a business. Toda y, our business is 70% GT, roughly 20%
modern trade, 8-odd percentage e-co mmerce and a couple of percentage
other channels. That's the rough estimate that we have. For our business to grow,
we will, of course, ensure that all channels are growing.
It's a segmented approach of the portfoli o deployment and activation is what we

referred to earlier. So, take an example of Quick commerce. We have again, like
last quarter, we doubled the busin ess year-on-year on Quick commerce
because we know this is where consumer s are today more leaning in, in terms of
their preferred choice of channel.
The overall growth of e-commerce and digital - it has allowed us to do both at
one stage, our GT business has got more Shikhar executed. And at the same time, it has helped us to create within Be auty & Wellbeing a Rs.3,000 crores plus
business growing at strong do uble-digit, which is focused on digital-first brand.
So, we will always keep doing that as always A and B. It's always an and. It's urban
and rural, it's general trade and organized trade. It's premium consumers and, let me say, mid bucket consumers

. So, it's important for us to have this 'and' mentality

across the business. That's the only way end-to-end as an organization will end
up growing.
Latika: Thank you so much and wish you both the best.
Ritesh Tiwari: Thank you Latika, appreciate.
Moderator: Thank you. The next question is from the line of Mihir P Shah from Nomura. Please
go ahead.
Mihir Shah: Hi, Thank you for taking my question. First question is to Priya. Priya, actually, if
you can talk a bit more on the reimagining or modernizing the core portfolio that you mentioned. What should one expect? Should one expect a near complete
overhaul of the core with new packaging, new communication, etcetera. I just
wanted to understand what does that reimagining modernizing bring in.
And secondly, you mentioned fewer big bets. Can you share something on what
you're thinking about fewer big bets beca use in your opening remarks, we heard
premiumization and market development spanning across categories? So, what
does fewer big bets allude to, some ex amples, What does it include will be
helpful? That's my first question. Thanks.
Priya Nair: Yes. Thank you. Let me start with talkin g about how we will reimagine our core
brands and what that entails. So, if you look at brands and let me give you an example from the Beauty category, just as an example. You know if you look at
brands, brands no longer it's not just good enough to have higher brand equity,
you need to have brands that are truly desired and desirable by consumers.
Today, we have almost 400 million Gen Z consumers in India. And these
consumers are indeed driving change and transformation in India. So, as we
reimagine the brands, we need them to be more modern, more youthful. This
means that we have to look across the brands, whether it is packaging, whether
it is a proposition, whether it's the produc t, it will be a renovation on the core, but
also very much premium innovation on our core brands and a mix of this but

boldly transforming our brands is critical, as India is transforming and the
consumers in India are changing what they're looking for.
This is both in terms of marketing, more Social-first Demand Generation, so that
consumers can discover brands more online, but also in terms of fulfillment. And
as Ritesh mentioned, it's an 'and', not an 'or'. When you think of the transformation
of India, we often talk, and we think about the urban transformation taking place in India.
I think what's exciting with what's happeni ng in India, is the rural transformation
that is taking place, whether it's throug h more road infrastructure, through better
electrification, tap water in every home or indeed digital, which is truly transforming how consumers get aware of new propositions, new brands and
new products.
And therefore, for HUL, it is very critical that we span across this price-product
benefit pyramid, transforming our core br ands in line with these consumers. So
that, in a sense, is what you can expect, bolder marketing transformation and
channel transformation.
The second question you asked was on fewe r bigger bets. Here, the key point for
us is to scale bets. When I was refe rencing fewer bigger bets, what I'm
referencing is that we have the opportunity now to call out and scale a few of these bets to really develop markets. Th is will be based on market readiness,
consumer readiness in the choices we will make of where we invest disproportionately for scale.

And I can give you an example, just to take an example from the cleansing
category. Today, the cleansing category in India is mostly a bars category. There's
only 2% of the category, which is a liquids and body wash liquids. There's a huge opportunity for us to

develop these markets and to scale body cleansing liquids.
And that just is an example of the kind of work we will do to disproportionately
invest behind a few segments. I hope that answers the question.

Mihir Shah: Great to hear that looking forward to all the bold launches and communications
that you will be doing. Thanks for that. Second, is a bookkeeping question, Ritesh, I have a few on the transition, but I'll probably take it off-line because you've
answered plenty. The question on other operating income and the employee
cost. Any one-offs sitting out there? And how should one think about that going
forward?
Ritesh Tiwari: Yes. So first, the employee costs, and I would just like to add employee cost to
other expenses. Both buckets put together, they operate at 18% to 18.5% range.
And this quarter, as you saw, year-on-ye ar, we have a little lesser employee cost
and a little higher other expense. And there's always some phasing which is involved.
Same period last year, we had a differ ent base of ESOP expenses. And hence,
year-on-year, you see that impact coming in. But please add both of them, and we will be always in the range of 18% to 18.5% put together. There'll be some pluses and minuses in the quarter becaus e of the phasing, but it will start aggregating to that range approximately. So, nothing different, nothing
substantial, I would say, but that range.
Other operating income, we have PLI be nefits and which have been accrued
lesser. Again, that's a typica l reality, A, with the Ice Cream business now and with
d e m e r g e r u p c o m i n g i n . S o , w e ' l l s t o p h a v i n g t h a t b e n e f i t c o m i n g i n t h e P & L
directly and accruals have been lower on other business as well, given the impact which has happened on growth for th is year. We'll end up accruing those
when we are more certain that those accruals will come true. And hence, on a
measured accounting basis, we chose no t to accrue in this quarter, those
benefits. And once we know that we have met the criteria, we can go back to a later point in time. So, we'll revisit this at the end of the financial year when we have full year results.
Mihir Shah: Got it. Thank you very much Ritesh. Wishing you all the very best in your new role.
It was a pleasure interacting with you.

Ritesh Tiwari: Thank you Mihir, and any questions that you have offline, please we can pick it up.
Yeah, thank you.
Moderator: Thank you. We'll take the next question fr om the line of Sheela Rathi from Morgan
Stanley. Please go ahead.
Sheela Rathi: Thanks for taking my question. Priya, my first question was to you. You have
articulated very well about the key priorities across the four points which you
made. From your perspective, what do you think would be the fastest fix to kind
of drive on that whole growth agenda on these four key priorities that you have?
Priya Nair: Yes. I think all four are equally important. It's always the case in a company like
HUL. What we will do is focus on the speed and agility to go behind these. A lot
of the fundamentals are in place. So, whether it is the work that's been done on
the brands, the more robust innovation pipeline or indeed the doubling down we have done behind the future fit channels . Our job now is to accelerate these and
really be bolder. So that's where my head is.
Sheela Rathi: I'm sorry, just a follow-up here. Do you think that on a quarter-to-quarter basis,
we'll be able to track this in terms of ho w all these priorities are actually shaping
up?
Priya Nair: I think the priorities I've given to you ar e more on a long-term basis. But I'm sure
as we go, we can look against these, and we will keep updat

ing you on where
we stand against this. I don't want to suggest that we should work quarterly
update against each of these. But certainly, in the year as the year progresses, I will be happy to share where we stand against them.
Sheela Rathi: Understood. My second question was we have been calling out that the second
half of this financial year would be much better than the first half. And of course,

we have had the GST-related impact in th e short term, which Ritesh talked about
the kind of what the growth could have been if this impact would not have been
there.

Just when you think about the second half, what is the kind of – and keeping
aside the October phenomena because there also we are seeing a challenge in terms of delivering the growth. But if we think about the four months, which will
be left for the financial year, what kind of growth delta are we kind of calling out
from a volume perspective because there is a kind of a tailwind here and a lot of other participants also checked on that consumption should come back. But is there something in mind from a management perspective in terms of what is the kind of growth we could see?
Ritesh Tiwari: Yes. See, Sheela, always our first baro meter is competitive growth. There is a
market in which you operate. Our job is, of course, to create market and support
market development. And our first stated goal is always to ensure that the
outcome that we get, we judge it by has it been competitive, have we grown
ahead of the market?
As we have spoken that, even in current quarter, our growth has been
competitive. And when you look at our la test share position for the last moving
annual total, we spoke about that we have further gained turnover weighted
corporate share. So that's first barometer . Second, the point I mentioned earlier is
that there are more than one reasons now from a macroeconomic perspective, the trading atmosphere looks better and looks improved.
So that should augur well for consumption. Equally, the work that we have done
internally in the organization on innovation, on portfolio transformation, that's further supporting the grow th outcome and the third point we mentioned that
we will be focusing on investing in th e business to drive growth. Now all these
three things put together, we do expect to see volume growth to be better in
second half of the financial year compared to first half.
Now, price growth may or may not play a larger role if commodities are where
we are today, we expect low-single digi t pricing unless we see some different
outcome in commodities to come in. Now I can't quantify a number, but what I
can tell you that, A, we will see better outcome of volume growth because that's

a single- minded focus. B, we will cont inue to drive competitive outcome on our
volume growth.
Sheela Rathi: Understood. Thank you, Priya, thank you Ritesh.
Moderator: Thank you. The next question is from the line of Percy Panthaki from IIFL
Securities. Please go ahead.
Percy Panthaki: Hi, Thanks for taking my question. And happy Diwali to all of you. My question,
Priya is, the four priorities that you mentio ned, they seem to be on the right track,
but we've also seen similar priorities in the past as well. So just for my
understanding, if you can call out, if any, is there any sort of change in the way that you're looking at the business vers us what it was before you came in?
Priya Nair: Yeah, Thank you, Percy. HUL has over the la st few quarters in the last couple of
years, delivered competitive, profitable and consistent growth in a very, very challenging macroeconomic environment with subdued consumer demand
overall. So, in that context, our job is to really accelerate our perfo

rmance led out
of volume-led revenue growth. That's where we're going to focus our efforts. And these four priorities is an acceleration of the journey we are on and a sharpening. What I want to bring in is more focus, speed and agility.
Percy Panthaki: Understood. Just to dwell a little further into this. Before you came in, as you said,
the growth was competitive in a situation where macros were weak. So, the
growth was delivered at that time throug h some other priorities apart from these
four?
Priya Nair: I think HUL has called out the Aspire stra tegy, and I think that has been shared
actively. The strategy was to unlock and was crafted to unlock a billion
aspirations that continues to be relevant. And we are seeing progress against that. What I'm referencing is really doubling down to focus on these four areas of
priority.
Percy Panthaki: That's very helpful. Secondly, I wanted to understand Ritesh or maybe even Priya,

in 2017, when GST was introduced and then some of the rates were cut, etcetera,

we saw a fairly good demand response fo r about 6 to 7 quarters even adjusted
for base effects. We saw a marked acceleration in sort of top line growth. Should we consider that experience and sort of at least partially extrapolated this time
around? Or are there reasons why we should not do so?
Ritesh Tiwari: So, Percy the way we will see this is one additional input, which adds to a few
things which are going pretty good in terms of creating overall positive
macroeconomic atmosphere for driving consumption. As I mentioned earlier, be
it monetary easing earlier or the direct ta x benefit or the inflation, including food
inflation, which is meaningfully corrected and to add to all of that, now GST benefit coming in.
All this put together will augur well for doing both, for improving the net
disposable income and for improving consumer sentiment. And we all know that
these two elements is what genuinely drives consumption. It supports our portfolio to be sold in more premium spaces, and it supports consumption. So, we do expect that these measures toge ther put together will augur well for
consumption.
I don't think so, GST reform on its own will be a silver bullet, in terms of driving
consumption, but absolutely an importan t initiative by Government, which adds
to overall demand atmosphere which has been tepid for the last couple of years, this will augur well. And the fact I mentioned earlier that this is a time where all
these initiatives are helping both rural and urban, and it's glad to see that both
urban and rural are contributing to overall market improvement.
Percy Panthaki: Follow-up on this, Ritesh for your portfolio as a whole, what in your view is the
price elasticity of demand in terms of supposing if the consumer price drops by 10% on an MRP level, what's the response is it 0.5%? Is it 0.3%, 0.7%. Any kind of rough ballpark that you would have in mind?
Ritesh Tiwari: No, reality Percy is, life is a little more complex than that. I would love to give a
straight answer to you, but I was still help you to explain this on two or three dimensions. Now what are the categories which we know are more elastic to

price. Skin Cleansing and Tea. We have seen that in these categories when prices
go up or commodities go up, it impacts volume. We have called out for Skin Cleansing. That where overall we've seen pretty high amount of oil baskets going
up. It impacted category volume growth and also our volume growth. Tea, we
spoke about, where we saw a pretty high amount of inflation at a point in time, we saw that consumers downgraded, not only down traded, but also downgrade rate and they went to a lower price point for consumption because that's another categ

ory we have seen pretty elastic.
But take another example of Home Care. Even in the peak when we had more
than 20% price growth, we still saw a mid-single digit volume growth because we have seen a category like Home Care more resilient to price changes. So, there
are different, let’s just say categories with different experiences, and if I further
scale it down, it's also a different expe rience for different consumer cohort.
And hence, very difficult to put a number to it, but I just hope that gives you a
good amount of sense between if thr ee large commodities, crude oil, which
impacts Home Care, I would s ay, less elastic, Skin Cleansing and Tea, if at all,
commodity changes, I would say, more elastic.
Percy Panthaki: And where would you put Horlicks here?
Ritesh Tiwari: So, Horlicks is a discretionary category. So, Horlicks, Skin Care and we've seen
that overall when net disposable income improves, we've seen that it augurs well
for consumption.
Percy Panthaki: Got it. Thanks. Thanks, Ritesh and Priya. Thank you very much. That's all from me.
All the best.
Moderator: Thank you. The next question is from the line of Harit Kapoor from Investec.
Please go ahead.
Harit Kapoor: Good evening. I just had one clarification, firstly, on the grammage part. So, in the
latter part of September, you have had to make all these price adjustments to
GST, but now you can actually make the grammage adjustment for the price

point packs. I just wanted to understand, when you mentioned early part of
November, all this gets normalized, does your entire grammage increase bit for
the price point packs also now get adjus ted in the same ti meline by November?
Ritesh Tiwari: Yes. See, overall, Harit, in terms of changes, what we have done is for all non-
price point packs, of course, we have done price changes. And as we speak, those products are reaching the market with new MRP. Even on old MRP stock,
we've given GST benefit and trade is passing that benefit on to consumers. When
it comes to price point pack, to your point, the Rs. 1, the Rs. 2, the Rs. 5, what we
have done out here, we have improved and increased grammage or ml which means effectively there's lower pr ice per gram or price per ml.
Now these changes have also started la nding in the market. And as we speak
across categories, this is now reaching the consumers. And we do expect that in
early November it will be present across length and breadth of the country. There will always be some SKUs that will be a little up and down. But when we mentioned that early part of November, we should have normal trading
conditions. What we meant was that bulk part of the business will be there with
new price points in the market.
Harit Kapoor: Fantastic. And my second question is to Pr iya. Given that you've recently come in
and relooked at the portfolio as well as there's probably been a temporary kind
of a blip because of GST, a lot of focus would have gone around executing that
well. When one would have to judge in te rms of the volume-led growth strategy,
how well it has panned out. Do you thin k FY'27 would be the right barometer and
not the near term as you start to put some of these plans in place, is that the right
way to look at it for investors and us?
Priya Nair: Yes. I think many of the things I mentione d are medium to long term in nature. So,
I think our focus, as I said, is obsession on volume-led revenue growth, putting in
place the right conditions across our busi ness. This is a continuous journey we
have been on and will continue to be on for our business.
Harit Kapoor: Fantastic. Wish you all the best. Thank you.

Moderator: Thank you. The next question is from the line of Nihar Jham from HSBC. Pleas

e go
ahead.
Nihar Jham: Hi, good evening. I had two questions from my si de. The first one on the Tea
segment. Given the correction in prices of tea and the fact that we are looking at,
say, marginally pricing in the commodity. Is it that in the Q3 quarter, we could see prices adjust before the cheaper raw materials, something you consume that could sort of impact our margins specifically for this segment?
Ritesh Tiwari: Yeah, so tea now, as we speak, we are in season. Tea starts to come in May, June,
and then we start seeing more production coming in. So, we have a good sense now of tea season. The prices that we ha ve in the market no w reflects the lower
commodity purchase price that we have and the lower, let me say, spot price
that we see in the market.
As I mentioned earlier that this is one of the categories that always benefits when
overall price table comes down. And we have shown and declared like last
quarter, this quarter as well, high-single USG for the business. And this high-single
digit growth is supported also by volume growth as well, apart from price growth.
So, our strategy of pricing to replacement has been in place for this quarter, and
we are seeing opportunity impact of that coming in.
Nihar Jham: That's very clear. My second question was to Priya on the Beauty & Wellbeing
portfolio, specifically that if we look at current portfolio brands, it's mainly been, say, Vaseline, Ponds, where we've o bviously extended it to different
subcategories and sort of driven the innovation. So, as you look at scaling this
specific segment ahead, are these curren t portfolio brands sort of enough? And
is it where the innovations will happen, or will we look at more bolt-on acquisitions similar to what happened with Minimalist, say, six to nine months
back?
Priya Nair: Yes. If you look at the beauty category, let me start with the key trends that drive
the beauty category globally. That's import ant to understand. Th e first is that the

beauty brands that grow in the category tend to be brands that are desirable.
This is very critical in beauty. It's not just functionality, right? It's about aesthetics,

sensories, and creating truly desirable br ands. A lot of beauty discovery happens
online, and you need to be social-first.
So, these are two very important things in beauty. And the third is really robust
innovation program because consumers in beauty always seek more, as they get more affluent regimes tend to grow. We are, as you know, the leaders in beauty,
both in skin, hair and color cosmetics. Ou r job as HUL will be to keep reshaping
beauty regimes as India gets more affluent, this has been our focus and will continue to be our focus.
So, to add from very simple regimes to add more complex regimes and for us to
be the people who shape beauty regimes in India. That has been our focus and
will keep being our focus. The team ha s actually done an excellent job both
organically, as you mentioned, in adding innovations across the brands, both in Hair Care and in Skin Care. And we'll continue to look at appropriate bolt-on
acquisitions as relevant to keep adding to our portfolio.
Nihar Jham: Thanks so much.
Moderator: Thank you. The next question is from the line of Siddharth from CWC. Please go
ahead.
Siddharth: Hi, welcome back to HUL, Priya and Ritesh and thanks for taking my question. The
first one was to understand, you mentioned e-com is broadly about 8% of your sales. So, I'm assuming about 12% of urba n sales considering two-third. As that
grows, right, how does terms of trade change? And how does that sort of impact
margins? That was question number one.
And question number two was, if we had to look at the larger portfolio, right,
there's a fairly large majority of the portfolio, which is 90% to 100% penetrated in
the country where the Unde

rlying Volume Growth is really population growth. And there as market leaders, obviously, you will probably grow at category or thereabouts.

And in that, premiumization, be it from soaps to liquids, both on hand and body
wash or be it from – soaps, powders to li quids in case of detergents or shampoos
to conditioners in case of Hair Care, those have been slow. And how do you see
that changing to accelerate that prem iumization-led growth in these very
deeply penetrated categories? Those were my 2 questions.
Ritesh Tiwari: Yes. So let me pick up Siddharth. So, first of all, coming to margins for e-
commerce. We have maintained in the past as well that when modern trade
came and became bigger and one of th e reasons why we, as modern trade has
now become bigger, we have advantage with our portfolio there because we sell a more premium portfolio in modern trade.
That's what has helped us to grow modern trade pretty well over the last couple of decades.
E-commerce is no different. At this stage, there's much higher amount of
fragmentation on the channel. These things will stabilize over a period of time.
And our focus is now doing both, a, invest in the channel, but this is what the preference of consumers are, and we will always go where our consumers are.
And as we invest in the channel, we're also really mindful that our portal is very
sharply crafted. We use the term called design for channel. So, our packs that we sell on e-commerce they are designed for e-commerce, the pack that we sell in
quick commerce, they are designed for quick commerce. This ensures two
things. A, it ensures the right level of prof itability and B, it ensures that we have
much lower channel conflict. And hence, all put together, at this stage, we know that we're in investment phase for e-commerce.
And we know that it's the right thing to do to keep developing portfolio and keep
bringing propositions that consumers demand in the channel today. But the point
that Priya mentioned earlier, it's an ‘and’ story for growth for us. We have to grow general trade. We have to grow modern trade, and we have to grow e-commerce. Within that e-commerce we h ave to grow all pods of e-commerce.
That's the only way we'll get tota l growth as Hindustan Unilever.
Now coming to the second question on high penetrative categories. You're right,
when you look at Skin Cleansing, when you look at hair, for that matter, driven by

shampoo, sachets or detergents, these are highly penetrated categories. But
equally, there are many catego ries like Lifestyle Nutrition or Skin Care, or for that
matter, sun care, much lower amount of penetration.
Many subcategories in skin care have single-digit penetration, massive

headroom for growth. At an aggregate level with the $54 per capita consumption when I compare to Indonesia, which is twice the amount of GDP per capita, but four times FMCG consumption per capita. We know there's a long runway for growth in terms of FMCG.
But even in large categories, let me qu ote an example of Home Care. Today, not every household has a washing machine and every household that has washing machine is still not using a liquid detergent. So, the amount of growth that we have from mass powders to premium po wders, premium powders to liquids, from liquid to what we just launched recently, liquids, which end up performing with a much faster cycle or for that matt er, going to shots later point in time, or for that matter, going from fabric wash to fabric conditioners, there's a long runway for us to ensure that we are able to make our portfolio continuously premium.
Now in some spaces, we've seen more amount of, let's say, outcome like laundry liquids but a similar amount of adoption for

body wash liquid has been slower. And today, bodywash liquid is more like 2-odd percentage for the category, wherein it's almost 7, 8 percentage when it comes to Home Care liquids.
So, there are different level of trajectories but the job of developing market and making market is a full-time job. And as a market leader, this is always the first focus for us. With 85% of the business where we lead market, and in a country which has overall per capita consumption, long runway to growth, this is what our focus will always be.
Sidharth: Thanks , and just a follow-up on the e-commerce piece. So given the fact that you mentioned is an investment channel, how do you see the salience of top of the funnel spends today, brand awareness, brand consideration spends versus

platform spends. What's the salience to day? And how do you see that changing, say, over the next two years?
Ritesh Tiwari: See, I won't be able to share hard numbers, but let me tell you that overall, CAC to LTV ratio, this is one of the single biggest important factors that we measure internally in the business. Today, we have more than 50% of the investment that happens digitally. And when we meas ure ROAS, there are a few parameters, including the CAC to LTV ratio is one of the parameters we always ensure that it is A, competitive and it is top of the pack in the industry.
There are learnings. I'm saying what driv es growth on e-commerce? What drives growth in quick commerce? What are the elements of investment within that, on the platform that we need to do to get far better ROI? This is exactly what our team does. So, we are a full-blown machinery which works on e-NRM. So, our Net revenue management, machinery, we deploy digital learning at scale to fine-tune our overall deployment.
We have our own in-house system called Sangam that allows us to and helps us to allocate media far more effectively across the various demands it has. So that just gives you an example. Of course, I ca n't share more details of that, but I hope you've got a flavor the way we approach this area.
Siddharth: Sure, thanks. And all the best to you, Ritesh. And welcome back and all the best to you.
Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to Mr. Yogesh Mulgaonkar for closing comments. Thank you, and over to you, sir.
Yogesh Mulgaonkar: Thank you, Michelle. With that, we no w come to the end of the Q&A session. Before we end, let me remind you that the playback of this event will be available on the IR section of our website in a short while. Thank you, everyone, for your participation, and have a great evening.
Ritesh Tiwari: Thank you. Thank you all.

Priya Nair: Thank you.
Moderator: Thank you, members of the management. On behalf of Hindustan Unilever Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Disclaimer: This transcript has been edited to remove any grammatical inaccuracies or inconsistencies of English language that might have occurred inadvertently while speaking.

Call: Feb 2026

19th Febru ary, 2026

Stock Code : BSE: 500696
NSE: HINDUNILVR
ISIN: INE030A01027

Dear Sir /Madam ,

Sub: Transcript of the Earnings Call for the quarter ended 31st December , 202 5

This is further to our letter dated 13th February, 2026 , whereby the Company had submitted the link to the audio/video recording of the Earnings Call held post announcement of Financial Results for the quarter and nine months ended 31st December , 202 5.

Pursuant to Regulation 30(6) read with sub-para 15, Para A, Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the Transcript of the said Earnings Call, for your information and records.

The transcript of the Earnings Call is also available on the Company's website at https://www.hul.co.in/files/hul -dq25 -earnings -call-transcript.pdf .

Please take the above information on record.

Thanking You.

Yours faithfully,
For Hindustan Unilever Limited

Radhika Shah
Company Secretary & Compliance Officer
Membership No: A19308

BSE Limited,
Corporate Relationship Department,
2nd Floor, New Trading Wing,
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Dalal Street,
Mumbai – 400 001 National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra – Kurla Complex,
Bandra (E),
Mumbai – 400 051

"December Quarter 2025 Earnings call of
Hindustan Unilever Limited"
February 12th, 2026

Speakers :
Ms. Priya Nair - Chief Executive Officer & Managing Director
Mr. Niranjan Gupta - CFO, Executive Director, Finance
Mr. Yogesh Mulgaonkar - Head of Investor Relations & Head of Finance, Personal Care

Moderator: Ladies and gentlemen, good day, and welcome to the Hindustan Unilever Limited conference call for the results of the quarter ended 31st December 2025. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing the st ar key followed by zero on your touchscreen phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Yogesh Mulgaonkar, Head of Investor Relations and Head of Finance, Personal Care. Thank you, and over to you, sir.

Yogesh Mulgaonkar : Thank you, Dorwin . Good evening, everyone. Welcome to the conference call of Hindustan Unilever Limited. This evening, we will be covering the results for the quarter ended 31st December 2025. On the call with me is Priya Nair, CEO and Managing Director, and Niranjan Gupta, our CFO. We will start with prepared remarks from Priya and Niranjan, we expect this to take around 20 minutes, leaving us with approximately an hour for the Q&A session. We will look forward to end the call at 5:15 pm .

Before we get started with the presentation, I would like to draw your attention to the Safe Harbor statement included in the presentation for good order sake.

With that, over to you, Priya.

Priya Nair : Good afternoon, everyone, and thank you for joining us on the call today. I will begin by outlining the operating context for the quarter, followed by our performance highlight s and key actions that we executed during this period. Subsequently, Niranjan will take you through our in- quarter results and conclude with the outlook.

As we look at the operating environment for the quarter, we are seeing a steady improvement in underlying demand. L ower inflation over the last few months, especially the meaningful easing in food inflation has supported the stability. Consumer confidence, as evidenced by the RBI consumer survey is also seeing a

consistent improvement signifying a recovery in consumer sentiment and willingness to spend.

Macro policies remain supportive with the RBI implementing its fourth repo rate cut over the past year. Following the rollout of GST 2.0 last quarter, prices have now stabili sed in the market. Both of these developments are expected to improve disposable income and boost consumption going forward.

The input cost landscape has, however, remained volatile; depreciating rupee increased cost pressure on imported materials, while commodity trends remain divergent. Palm oil, though stable in recency, is inflationary if viewed over a longer term. Tea has been deflationary for the season, but plainers showed mild inflation this quarter. Crude- linked derivatives like kerosene and benzene have been benign to deflationary, but non -feedstock commodities and sulfuric acid are inflating, impacting our Home Care po rtfolio. Given the evolving geopolitical dynamics, we will continue to closely monitor currency and commodity movements and take calibrated price increases wherever necessary, while continuing to drive strong savings delivery to minimis e impact to consumers.

In this backdrop, we delivered an Underlying Sales Growth of 5% driven by an Underlying Volume Growth of 4%. This growth was broad -based with all categories contributing and it was competitive as we continued to gain turnover weighted market share.

As you are aware, we have completed the demerger of the I ce Cream business this quarter. The numbers on this slide reflect performance of the continuing business, excluding I ce Cream. EBITDA at Rs. 3,788 crores was up 3% year -on-year, while EBITDA margin at

23.3% was within the range that we have previously guided to. Profit A fter Tax before exceptional items at Rs. 2,562 crores grew by 1% year -on-year.

Reported Profit After Tax for the period at Rs. 6,603 crores grew 121% year -on-year. This includes several one- off impacts arising from the I ce Cream demerger and O Ziva fair valuation in the quarter. It also includes the base effect of the

income from the sale of the water business in December 2024. Niranjan will
double- click on the financials later in the presentation .
In our last earnings call, I had outlined the key strategic priorities that will shape the organi sation's agenda moving forward. We are reshaping the engines of
growth with one clear goal: competitive volume- led revenue growth , fuelled by
desire at s cale.
Our 4 priorities reflect this ambition: consumer segmentation with deeper precision, crafting brands that are modern and have stronger relevance, future
proofing our frontline marketing and sales engine and doubling down on fewer ,
bigger bets to accelerate growth.
I will talk about a few examples from the actions that we have already taken in
our pursuit to drive this agenda.
Let me first take an example on how we are building SASSY brands. The term
SASSY stands for five pillars that guide our product development, marketing,
consumer engagement and persuasion models. The new TRESemmé hydr amatrix
range showcases SASSY in action.
The product category has category -leading science- backed ingredient ,
polyglutamic acid that delivers 5 X more hydration. The campaign has been
brought alive through dynamic visual demonstration and is strengthened by celebrity stylist authority. Its contemporary aesthetics shifts beauty from polished
perfection to authentic achievable glamo ur while sensorial and immersive
storytelling make hydration cues come alive. We are building strong credibility
and cultural relevance through diverse gender -inclusive representation and
clutter -breaking communication. This is the playbook that will guide all our
brands going forward, anchored in deep consumer insight, powered by science
and designed for strong consumer resonance.
We are investing to build the future moats of our marketing and sales engine ,
while rewiring our current moats . On marketing, we are focusing on social -first

demand generation while equally ensuring that we continue to leverage
traditional media more effectively.
Similarly, on sales, we are investing behind fast -growing channels while ensuring
we also modernis e and step -up execution in general trade. Winning in India will
always require an “ and ” strategy rather than an “ or” strategy.
At the forefront of channels of future is quick commerce, the fastest -scaling
route to market and a structurally critical channel for the future. It is doubling every quarter and reshaping how consumers discover, shop and replenish. While
it contributes ar ound 3% of our business today, we expect it to scale meaningfully
in the near term.
To capture fully this opportunity and lead the channel shift, we have established
a dedicated quick commerce organis ation. In this structure, the quick commerce
lead directly reports into the HUL sales head, enabling faster decision s, sharper
execution and higher focus on this high- growth channel. In parallel, we are
elevating category captaincy through deeper customer partnerships, stronger
joint business planning and consistent relevant activations.
As quick commerce expands, the operational complexity of serving the channel
will increase materially. We are deploying our advanced supply chain
capabilities to build an adaptive operating model for this channel. From
collaborative fo

recasting and inventory management to real -time data
integration we are creating a highly agile, efficient and connected supply chain
designed for the speed and precision that this channel demands. We are already
seeing very encouragin g outcomes with service levels improving by 1,400 basis
points over the past year and lead time taken from PO generation to servicing
reducing by 20%.
Our ability as HUL to scale brands and formats and develop markets continues to
be one of our strongest competitive advantages. We are leveraging this strength
to shape our next engines of growth.

Masstige and within that D2C is a critical part of our fewer , bigger bets agenda, and we are scaling our presence in this segment with speed and intent. We have been expanding our presence, both through organic and inorganic routes, leveraging HUL scale to accelerate growth by building a strong D2C playbook that can be replicated across other brands.
With Minimalist, we are unlocking the next phase of growth by expanding into offline channels and by realis ing synergies through media effectiveness, procurement and manufacturing. OZiva is another such example. The brand has scaled up significantly in the last 3 years, supported by a robust science- backed innovation portfolio. Between these two brands, we have now built an ARR of Rs. 1,100 crores business.
With Kissan, we are extending the master brand into newer demand spaces such as chutneys. Based on an internal study, chutneys offer significantly broader consumption potential with nearly four times as much consumption occasions as ketchups. This represents a significant opportunity to convert scratch cooking moments into branded package formats and thereby unlocking a large runway for growth.
Bodywash is a core strategic priority, and we have strong differentiated portfolio across Lux, Pears and Dove that addresses multiple consumer needs across price points. Our sharp execution and sustained brand investment has helped us triple our turnover over the last 3 years and firmly establish leadership in this fast - growing category.
In laundry powders, while we have enabled a large cohort of consumers to upgrade to premium laundry brands and formats, a significant section of market still continues to use mass powders. To accelerate premiumis ation here, we have intensified our activations with the Rs. 99 Surf excel pack this quarter. With an accessible price point and activations that highlights this, we intend to bring more first-time users into this premium segment and expand the category .

Starting January, we have made a few important changes to the HUL organi sation. The intent is to build a simpler, more agile organization that can execute our priorities with greater speed, accountability and precision. All Business Unit Heads will now directly report to me instead of the earlier dual - reporting structure. This will strengthen empowerment, accelerate decision - making and ensure more India for India choices are taken closer to the consumer.
There will also be a Chief Marketing Officer appointed under each of the Business Units who will pay a pivotal role in building desirable brands and landing superior innovation. Aligned with this unified India strategy, Unilever R&D organi sation has also created an India- focused R&D category design and deploy organi sation. This strengthens our ability to accelerate science- led consumer - centric SASSY innovation s, build stronger local design and deploy capabilities while ensuring India R&D stays fully connect ed with Unilever R&D to leverage the best of global science and technology and global innovation s for India.
I believe these changes will unde

rpin our growth ambitions by improving agility, driving sharper execution and strengthening the fundamentals that matter for sustained momentum. At the same time, we will continue to maintain an important and mutually interdependent relationship with Unilever and will benefit fully from Unilever's global science, R&D technology platforms, brand trademarks and central services like procurement, manufacturing excellence to name a few.
With that, let me now hand over to Niranjan, who will take you through our in - quarter results in detail.
Niranjan Gupta: Thank you, Priya. Good afternoon, everyone. Let me share a detailed overview of our quarterly performance, followed by our outlook.
We delivered, as you would have seen through our press release, a R evenue growth of 6%, which comprises of 5% U nderlying Sales Growth and 4% U nderlying Volume G rowth for this quarter.

Gross Margin remained healthy at 50.8%, which was plus 30 basis points year -on-year. The improvement in Gross Margin majorly reflects positive portfolio mix following the inclusion of M inimalist, which operates at structurally higher margin and was not part of the base.
EBITDA margin of 23.3% remains within our guided range, excluding I ce Cream. While absolute A&P increased, at 9.4% of turnover, on a bps basis it was down 30 bps year -on-year due to phasing. If we look at year -to-date level, our A&P remains same as 10% of revenue. We have invested, on an absolute basis, Rs. 185 crores higher versus last year and coupled with the buying efficiencies we continue to get, the impact is even higher, and we continue to remain competitive in terms of share of voice with the share of market.
Overall, EBITDA grew 3% year -on-year, while PAT before exceptional items grew by 1%. This reflects the impact of lower net other income due to softer interest rates combined with lower investable surplus post recent acquisitions and payout of special dividend in November '24.
We also accounted for a gratuity impact of Rs. 113 crores in the quarter, and this was accounted for in the normal items under employee benefit expenses. If you were to add that back, then our EBITDA would grow by 5%, and our PAT before exceptional items adjusted for that would grow by 4%.
Let me take a couple of minutes to walk you through the bridge from PAT before exceptional items to reported PAT. As I mentioned, PAT bei at Rs. 2,562 crores grew 1% year -on-year after factoring the gratuity impact. The reported PAT includes the following items:
Number one is the impact of increase in fair valuation of OZiva and Minimalist versus exceptional income from sale of Pureit business in the base . The higher fair valuation is a reflection of O Ziva and Minimalist 's continued strong performance over the last year.

And the second item is one- time non -cash gain arising from I ce Cream demerger accounted for in accordance with the approved scheme of demerger and applicable accounting standards. The detailed amounts on each of these is there in the notes to accounts. Consequently, the reported profit after tax for the period stood at Rs. 6 ,603 crores, up 121% year -on-year.
Moving on to our segment -wise performance for the quarter.
Home Care posted mid- single -digit UVG on a base of high -single digit UVG. USG at 3% reflects the continued impact of price reductions , which were taken previously, which would get anniversaris ed by June quarter.
The segment fundamentals remain strong, underpinned by superior products, robust brand equity and market development action s. As a result, the segment has continued to gain market share and has achieved its highest ever market share, further strengthening our leade rship position.
Fabric wash within this delivered competitive mid- single digit UVG, while Household Care continued its strong momentum delivering double- digit UVG.
Our Liquids portfolio, spanning laundry liquids, fabric conditioners and dishwash liquids, accelerated its growth trajectory recording strong double- digit growth driven by market development actions taken by us.
While U PG for the segment remains negative due to pricing actions taken during the year and as you have heard from Priya, we are taking calibrated price increases given currency depreciation and sustained inflationary pressure in non -feedstock for commodities.
Moving on, Beauty & Wellbeing delivered 6% USG, driven by outperformance in Hair Care and Health & Wellbeing.
Hair Care delivered double -digit growth, supported by high -single digit UVG.
The growth was led by outperformance in premium brands such as Dove and

TRESemmé . We also continued to strengthen our market -leading position during the quarter.

In Skin Care and Colo ur Cosmetics, winter portfolio continued its strong performance led by Vaseline . The winter portfolio delivered double- digit growth for the entire season, which includes part of September quarter as well. This was offset by a weaker performance in the non -winter portfolio . Driven by our focused efforts to deseasonali se the moisturizers category, our light moisturi sing portfolio comprising Ponds and Lakme recorded double- digit growth. Our decisive investments in C hannels of the F uture co ntinues to unlock strong double -digit growth this quarter, while we continued to strengthen our market share s.

Health & Wellbeing posted another quarter of robust performance with high double- digit growth. On trend , science- backed innovations remain a key growth engine for us, enabling differentiated product superiority and greater consumer trust.

Personal Care delivered 6% USG led by double- digit growth in premium Skin Cleansing and Oral Care. Skin Cleansing posted mid- single digit growth, driven by outperformance in our premium brands , Pears and Dove. We continued to reinforce our market leadership with double- digit growth in B odywash, another category where we are accelerating our market development activities.

Oral Care delivered double -digit growth supported by both price and volume. During the quarter, we further expanded our freshness portfolio with C loseup intense cool formulated with zinc and cooling beads for an instant burst of long -lasting freshness.

Our Deodorants segment has grown in double -digits, albeit on a small base. A s official sponsors of ICC women's cricket, Rexona continues to champion for and elevate female athletes providing a platform to encourage young women to participate in sports , break barriers and pursue their potential.

Moving on to Food s. Food s delivered 6% USG. This performance was broad-based and driven by high -single digit UVG.

Within this, Tea delivered mid- single digit UVG. Revenue recorded low single-digit growth, which reflects the impact of price reductions taken in a deflationary commodity environment earlier. Coffee continued its strong momentum of double- digit growth, supported by both price and volume.

Lifestyle Nutrition grew high -single digits, driven by Boost and Horlicks both. As market leaders in this segment, we remain committed to our initiatives towards increasing consumption. In this quarter, we continued to modernis e the Horlicks' brand and strengthen its relevance with consumers through the launch of Horlicks Superfoods in two states. Horlicks Superfoods brings together our proprietary Nutrimax technology which enhances nutrient absorpti

on and super

foods that support gut health and immunity. We also introduced a zero -added sugar variant with no artificial sweeteners or added sugar, aligned with emerging nutrition and wellness trends. Through this re -launch, we are combining the trusted taste of Horlicks with advanced science and modern nutrition.

Packaged Foods delivered high -single digit UVG. The performance was supported by K etchup, Mayonnaise, Soups and Unilever Food services. We continue d to deliver strong competitive double- digit growth in modern trade and e- commerce.

Coming to portfolio transformation. An update on the transformation agenda. With Minimalist our current focus is to unlock the next phase of growth for the brand by realis ing synergies. For instance, we already expanded the brand into 25,000- plus offline stores from 3,000 since acquisition. We have also seen a marked improvement in brand awareness and media effectiveness as we move to a full funnel marketing playbook . Lastly, we are also leveraging HUL technology to support creation of a robust pipeline of meaningful innovation. As a result of these actions, the brand has delivered strong double- digit growth in the quarter.

In line with our strategy of focusing on fewer and bigger bets, the Board of
Directors has approved the acquisition of remaining 49% stake in OZiva at an
investment of Rs, 824 crores. The brand has scaled up significantly in the last 3
years, driven by a steady flywheel of innovation and effective digital first
demand generation. The Health & Wellbeing segment presents significant
headroom for growth, and we will strengthen our participation here through
OZiva.
Continuing with our intent of sharpening portfolio, we have decided to divest our
minority stake in Nutritiona lab Private Limited, we are selling the stake to USV
Private Limited for a consideration of Rs. 307 crores.
We also recently concluded the I ce Cream demerger process in December. With
a dedicated management team and singular focus, we are confident that KWIL is
well positioned to capitali se on the growing market opportunity in India and
deliver sustained performance. The KWIL listing, as you would have seen from
the BSE notice will be listed on 16th of February.
We will continue to evaluate and transform our portfolio on an ongoing basis to
ensure we are focusing and investing disproportionately in high -growth demand
spaces.
Now coming to outlook. As you could see from our quarter results, it reflects a
step- up in growth, and we are moving with speed on our strategic priorities.
Our growth has also been broad -based as reflected by growing all the segments
and across our portfolio. Looking ahead, we expect the operating environment
to remain conducive for a sustained recovery in consumption.
Coupled by our internal actions which has been outlined by Priya just now, we
expect growth in financial year'27 to be better than financial year'26.
Growth will continue to remain our number one priority. We will invest in the
business as needed to support sustained growth, and hence, we expect
consolidated EBITDA margin to stay around the guided range.

With this, we conclude our prepared remarks, and I will now hand back to you,
Yogesh, to commence the Q&A session.
Yogesh Mulgaonkar: Thank you, Priya and Niranjan. With this, we now move to the Q&A. We request
you to kindly restrict the number of questions to a maximum of 2 at a time. In case
you have any further questions, please join the queue again. In addition to the
audio, our participants have an option to post the questions for the web option
on your screen. We will take those questions just before we end. With that, I
would l

ike to hand the call back to Dorwin to manage the next session for us.
Moderator: Thank you very much, sir. We will now begin the question -and -answer session.
Our first question is from the line of Manoj Menon from ICICI Securities.
Manoj Menon: Hi, Priya, Niranjan and Yogesh, Good performance and more importantly good
commentary. I just want to double -click on the comments, honestly the positive
comments from HUL after a fairly long period of time. You did allude to the macro factors and some int ernal actions you have taken in the presentation as well?
Just a couple of points beyond that, if you could just help us understand. One, let's say, what's the tonnage growth between UVG? Are you finding early signs
to, let's say, have a forecast of 2H better than 1H and FY’27 better than FY’26,
based on your internal green shoots or inferences or analysis?
Point number two, are there any early signs of elasticity gains which are finding
in the, let's say, if you can call it discretionary part of your, let's say, stable
portfolio?
The reason I'm asking because there are certain parts of the portfolio where the replacement cycle is probably 3 months or higher. To that extent, it's just an
assessment at this point. So , just if you could elaborate more on the optimism, that
this would be helpful?
Priya Nair: Yes, I can start and then Niranjan will add. I think, firstly, what I
want to say is that we have outlined two real key areas of the reason why we believe we are beginning to see the gradual improvement in our performance.

The first is the macro conditions, as we mentioned, I think that is very critical as well to understand the company of our scale and size that spans across length and breadth where we reach 9 out of 10 consumers. The macro conditions indeed play a significant role, whether it is the lower inflation, more liquidity in the market , overall consumer sentiment change indeed makes a huge difference,
along with all the reforms that have happened in the country. This plays a big role.
But coupled with that is the actions that we have taken and these are - whether it is in the fewer , bigger bets that I called out, the sharper segmentation of our portfolio or the doubl e-down in our channel capabilities, continuing strength in general trade while improving our strength and our resource allocation towards the future channels. This, combined with our continued portfolio transformation is indeed the reason we are beginning to see this acceleration. And this is where we will keep doubling down on driving volume- led revenue growth.
Our UVG for the quarter is the highest UVG that we have recorded in the last 12 quarters. So, this bodes well for us, and this is where we will keep focusing. And Niranjan, if you would like to add?
Niranjan Gupta: Yes, absolutely, Priya. And on the macro factors, if I just add like what you said, even the union budget which is focusing on more investment -led growth and focus on manufacturing and employment, even that augurs well moving forward over the long term on the consumption part of it.
Manoj Menon: Just a couple of things I was just trying to get was are you finding actually, let's say, in categories which are, mass market oriented, are you finding tonnage growth also giving you that confidence? And secondly, as we see, early signs elasticity gains as well from the price panel?
Priya Nair: Yes. Actually, our growth is quite broad- based. So , I think that's the best way to see it across our categories, whether it is Home Care, Personal Care, Foods or Beauty & Wellbeing, what we feel happy about is the growth is broad- based, Manoj.

Manoj Menon: Yes. And the second question is there'

s a mention about category partnership with the q -commerce players and interestingly, all three of them are mentioned there. Is there anything more you could tell us quantitative and qualitatively what does it mean? The reason I'm asking because one example which comes to your mind is probably 20, 30 year s back Proctor & Gamble used to have a partnership with Walmart, which included a lot of data sharing, which actually helped both the parties. W hat sort of magnitude we could think of this partnership? What does it mean for Unilever and also for those players, predominantly for Unilever from your side?
Priya Nair: So firstly, what I want to say is we are in an omni -channel environment in India. And all our channels are critical to us, especially given the scale of HUL and the number of brands we have even in a single category portfolio, it is important that we win a cross channels. And in India, all channels grow. What is true is that the new channels grow faster, of course, the quick commerce growth is more at this moment of time. And that's the reason why we are doubling down behind that.
But it's also because, as you mentioned and you alluded to , the capabilities that you require for each channel s are different, and we are doubling down to build the capabilities for each channel. So as regards to quick commerce, what we have done is that we have set up a new organi sation for quick commerce.
It is now 3% of our business, growing almost 100% quarter -on-quarter. And we are stepping up investments not just in people dedicated to the channel, but also in bespoke supply chain, tech and digital marketing capability . Our partnerships, like you were saying, Manoj, are really working with these partners because the data system exchange that we can now do to enable stronger forecasting and really deeper platform exchange that we can have is ensuring that we drive up our availability, which in quick commerce is very key to success.
We are happy to see the early joy because we have seen our 1,400 basis points of

improvement in availability over this period as we have put these changes into play. So, it's absolutely partnership, which is data based but much more than that

as well. Maybe I'll just add one thing, sorry, Manoj, it's also the opportunity to innovate now for SKUs, brands and really segment our portfolio into the channel. So yes, that's what I wanted to add.

Manoj Menon: Loud and clear. Thank you so much.

Moderator: Thank you. Our next question is from the line of A bneesh Roy from Nuvama. Please go ahead.

Abneesh Roy: My first question is on Beauty & Wellbeing. So , I see two different poles of performance. So , Hair Care double- digit growth, largely volume -led, while if I see Skin Care and Colo ur Cosmetics, you have called out that ex of the winter portfolio, it has been a bit weak. Is there any takeaway from Hair Care, which can be taken to Skin Care and Colo ur Cosmetics? And is the D2C competition much higher in Skin Care and Colo ur Cosmetics, is that the reason?

Priya Nair:

Yes. I think firstly, let me comment on our Hair Care business. We are distinct leaders in Hair Care, Abneesh. We have very strong positions that really straddle the pyramid right from now Nexxus at the top of the pyramid, which we have brought in recently from our Unilever stable, Dove, TRESemmé to Clinic Plus at the bottom. And really, we have been driving premiumis ation over time, developed the market. We are the leaders in conditioners. That's really our playbook of success. And our playbook is well written and continues to play out for us in Hair Care.

In Skin Care, we have actually had a story of two halves, as we mentioned. Our winter portfolio we have had over the season, a very strong double- digit performance. Our summer portfolio has

been relatively challenged. It's been a very harsh winter. And whether it's talcum powder, sunscreens or our ma ss skin brightening portfolio, this has been relatively challenged in the quarter.

We believe this will bounce back as the season comes. And really now we have a portfolio even in S kin Care which spans from M inimalist and S imple at the top of the pyramid to Vaseline, Lakme, Ponds in the middle to Glow and Lovely at the

bottom. So, we now feel like we have the portfolio of brand. And we have built also the segments in which we play from moisturis ers, mass skin brightening, sunscreens, serums, we now have the entire play of segments and demand spaces across Skin Care as well.

And that's what we will double -down , very simply , what is being built at the top end of India amongst the top 80 million to 100 million consumers with the S kin Care market segmenting, our opportunity will be to democratize this at scale, and this will be our focus going forward.

Abneesh Roy: Sure. My second question is on the overall strategy. Two parts to that. One is you called out fewer , bigger bets multiple times. So, wanted to understand any more portfolio rationalization? Is it under consideration? And what was the thought process when HUL had acquired, say, three years back Nutrition alab and within three years, what changed?

Was growth a challenge because it was such a small acquisition, you could have continued to hold it on and then see, why within three years because in three years, we never see HUL do this kind of a change?

And second, on your question on your new step of direct reporting of category heads, any other big global market of Unilever, has it seen similar change? And when and how do you see this impacting growth for HUL in India?

Niranjan Gupta: So, Abneesh, what I'll do, I'll pick up the portfolio part of it and organization part, I will let Priya answer. So, on the portfolio, A bneesh, what the theme of sharpening portfolio, rotating it continuously, that will continue because this is a dynamic world. And therefore, what we do is you put money on bets and then you see which one you need to double- down.

Actually, I would say that we are being swifter in our action s and more decisive in terms of moving forward. So like OZiva, as you heard, has done exceedingly well. We had put money in both OZiva and WBN at that point in time. We saw

OZiva, we had acquired 51%. So , we decided now to double- down on OZiva and put the money there and move decisively with that.
Now it doesn't mean that we will not do any bolt- on acquisition in this category, we will do. But we will continue to rotate the portfolio and we will be decisive and swift in our actions that we do. This is a minority stake, and therefore, we decided to divest. So, nothing to do with the performance of the WBN as such.
Priya Nair: As regards to the organization, I think our focus firstly is to simplify the organization and create speed and agility for the organization. And that's really our focus. We had a dual reporting structure. What we have moved to is a simplified reporting structure.
And we continue to benefit from all the advantages we have as a global corporation whether it is in technology, R&D, the brands, trademarks that we enjoy as a global corporation with a simplified speed of decision -making and agility, and that's really our focus. Of course, HUL is a listed entity, and we have always had with HUL, the CEO of HUL taking decisions, we have just simplified the organization for speed and decision making.
Abneesh Roy: Thanks. That’s all from my side. Thank you.
Moderator: Thank you. Our next question is from the line of Arnab Mitra from G

oldman Sachs. Please go ahead.
Arnab Mitra: I had a couple of questions. My first question was, you mentioned in your outlook, you expect a better FY'27 compared to FY '26. Should we expect this to be a consistent improvement trend starting from what we delivered in December quarter? Or there could be ups and downs in the path?
Why I ask this question specifically is we are not sure if there was any restocking benefit in this quarter, also the base was quite low for this quarter. So just trying to understand how we should think about a consistent improvement from here on.

Priya Nair: So firstly, Arnab, the way you should think about the guidance we have given is second half of '26 will be better than the first half '26 and '27 will be better than '26. So that's the guidance that we are providing. When it comes to this quarter the way y ou should think about this quarter, October, we continue and we had guided you in the previous quarter, that we continue to see some transitionary effects of GST, we have seen the restocking into November. But the way to look at it overall in this quarter, we should see this quarter as normal as regards to GST, and that's really our guidance.
Arnab Mitra: My second question was on Home Care. So, if you look at the Home Care numbers now for a pretty extended period of time, USG has been below UVG. Now you did mention pricing as a lever as commodities have gone up a bit. But is that pricing being negative for an extended period of time, largely tha t? Or is it a lot to do with also competition and in that context, the shift towards liquids, is it a headwind or a tailwind for pricing given that it's a more premium format, and we are seeing a sharp shift? So again, if you could help us understand the m oving parts on pricing and therefore, can that move positive going head?
Priya Nair: I think firstly, on our Home Care performance, the first thing I want to mention is that we are at the highest ever recorded market share of Home Care as we stand in this quarter. So, for us, that's been a good milestone.
We continue to have good mid- single -digit UVG. The pricing has been benign, and that is a bit linked to commodities, and a bit linked to competitive pressure. We are seeing some non -feedstock commodities now inflate, and we mentioned that, and we have already begun to price in Home Care, and we will continue, albeit low -single digit pricing, but we will continue to price in Home Care gradually , staying competitive.
As regards our overall liquid strategy, liquid firstly is at a price premium to

powder. This augurs well for us. We are the leaders of liquids. Our biggest focus is on market developing liquids to scale. Still only in India, 7% of the market is liquid. There's a huge headroom to grow. And this is our focus to really grow

liquids substantially and market develop the liquids category as the leader of Home C are, there is still also significant headroom in powders. There's still a very large tonnage of mas s powders in the country and continuing to premiumie the powder category is a key focus for us as well.

The other thing I think worth mentioning is that we will begin to anniversar ize going into next quarter, competitive pricing decisions we had to take, and that augurs well for pricing growth coming into next quarter for Home Care.

Arnab Mitra: Thanks so much for your detailed answer. That's it from my side. All the best

Moderator: Thank you. The next question is from the line of Latika Chopra from JP Morgan. Please go ahead.

Latika Chopra: My first question was on pricing itself, but at an aggregate portfolio. You just mentioned Home Care could see some bit of pricing coming back.

But when you look at the rest of your portfolio, if you could share colou r on how we expect pricing to play out in the coming quarters given some of the other commodities are relatively benign?

Niranjan Gupta: So if you look at the commodities, you have a divergent trend, you heard all the crude base, crude sequentially is up. You can see that non -feedstock on the crude, they have gone up. We also see Palm, which is stable to inflationary, tea which was deflatio nary is also showing signs of the plainers moving up.

So, while we don't see hyperinflation, but we do see a stable to an inflationary kind of stuff coming back. And therefore, while I would not guide for a quarter , but overall, for the year, if you look at it, we do expect a low single- digit price increases over the year.

Latika Chopra:

Understood. The second question I had was on specific segments. The first one was Personal Care, where you saw mid -single digit growth of S kin Cleansing. Just wanted to understand the way the quarter progressed, do you expect that the volume growth has potential to accelerate here sequentially as some of the GST rate cut benefits start to flow fully from Q4 onwards? And if you could also

comment on comp etitive dynamics and market share trends for key brands in this portfolio?

Niranjan Gupta: So, if you look at it, S kin Cleansing, firstly, within S kin Cleansing, our premium brands have been growing very well, double- digits. So, we have Dove, we have Pears and therefore, that augurs very well for the mix of the portfolio. And as far as the GST -led benefits are concerned, see, the GST -led benefits will pan out over a long period of time. Not just on S kin Cleansing, but across the GST portfolio, which happened because overall, it leads to an increase in the consumer confidence, consumer sentiment and over a long term, consumption increases do happen. So, you will see a long -term benefit coming out and not a short -term price based on GST.

Latika Chopra: Yes. I'm just trying to understand whether the re- stocking benefits are still to show up in the numbers. Or they were already there in November and December?

Niranjan Gupta: So, the December quarter, you can assume that all the benefits have come in. And also, because it came in November itself, it can be treated as a normal quarter of growth as a platform for future.

Latika Chopra: All right. And just lastly, sorry to include, but on Nutrition, Horlicks saw high -single digit growth. I just wanted to understand how sustainable this is and the confidence on growth revival here. And if you could share some of the key interventions which seem to be working for you?

Priya Nair:

Yes. So, Latika, this is firstly our third consecutive quarter of positive UVG on our Lifestyle Nutrition business. So, we see that there is much more work ahead, but

we are in the right direction and trend. Overall Boost, which is 20% of our business
has been growing strong double -digit.
Horlicks has done very well this quarter, and we are both in terms of correcting
our price pack architecture, which was challenge for us . We have also
relaunched Horlicks in two states with Horlicks Superfoods and the proposition

really has a technology, which is the new NutriMax technology that allows for
much better nutrient absorption. And we have also launched a Horlicks no -
added- sugar variant which uses a technology to enhance taste without the
addition of sugar or artificial sweeteners.
So, with this, we are going to roll this out across the country. It's currently gone
into two states, and this is an area we will keep doubling down. We have also
launched Horlicks into in the ready -to-drink format. An

d we really will extend in
this manner, the Horlicks nutrition brand into whatever is relevant for consumers.
Moderator: Our next question comes from the line of Mihir P Shah from Nomura.
Mihir P Shah: Just a few clarifications. First, post the divestment of the ice cream business, what
can be considered as the margin guidance range? It used to be 22% to 23%. So ,
should one expect it to inch up further or are you holding on to that range still?
Niranjan Gupta: So, our guided range has been that 22% to 23%. We also outlined that the range,
therefore, you will see a benefit of the ice cream demerger to the extent of 50
basis points. So basically, we remain with this guidance that we have provided.
Mihir P Shah: Sorry, so it should be 22.5% to 23.5%, is that how much should be understood?
Niranjan Gupta: Well, that's the implied number.
Mihir P Shah: Understood. Secondly, just wanted to understand the new launch that you
highlighted in the dets business o n 99 on easy wash pack. What is the grammage
here? Is there any price change that we are noticing in this pack?
Priya Nair: No. I think the focus of this pack is really to bring the put down price close to the
put down price of mass powders with a focus on a monthly consumption pack.
So really, that's the focus. It's a new price point at which we have launched an
easy wash pack , and that's really the focus of this particular packaging.
Mihir P Shah: Understood. Got it. Secondly, just wanted to understand while December quarter is a normalized quarter post
the October and the November -December de-

stocking -re-stocking impact, should one consider in the near term similar growth
on volume front to continue or there can be a case for volumes to go down
because there is just about a re- stocking that has happened in November and
December? So maybe there can be some softness in the coming quarters?
Priya Nair: Yes, we have guided clearly that we see second half to be better than the first
half of '26, and we believe '27 will be better than '26, and we'll maintain this guidance.
Mihir P Shah: Got it. And lastly, just wanted to understand if you can help us break down the
algo for the double -digit earnings growth that highlighted earlier? Because low
single -digit pricing growth , volumes probably where we are and you are holding
on to your margin guidance, which is not shifting. So how can one triangulate to
the double- digit earnings growth guidance in the coming year?
Niranjan Gupta: I think let me just reiterate what we have said is, first of all, growth will continue
to remain our Number 1 priority. And we will continue to invest whatever it takes
to ensure that volume -led growth happens and competitive growth happens.
And as far as our margins are concerned, we will stay within the current
guidance. And overall, our guidance for the top line is for fiscal year '27 to be better than fiscal year '26. So as of now, this is
what our guided framework is.
Moderator: Our next question comes from the line of Aditya Soman from CLSA.
Aditya Soman: So, a question on Skin Care. And I think you briefly sort of responded to this
earlier. But when I look at your growth on Skin Care and Cosmetics, let's say, relative to a platform such as Nykaa, we find
that the growth is meaningfully
lower than the brand and even some of the private brands that they have. Now
is this someth ing largely a function of mas s Skin Care growing slower or is there
anything more or context in which we should understand these numbers?

Priya Nair: Yes. I think it's very important when you look at our Skin Care business, look at the scale and size and the depth of the portfolio that we have that spans across the country. We are the largest Skin Care business in the country, spanning from right

at the top of the pyramid right up to the mass rural consumer with brands that we have. I won't comment on what other people's growths are.
What I want to say is that what our focus is. So, our focus, as I mentioned, and I will repeat, is we now have a portfolio that spans from the D2C brands like Minimalist at the top, we are building Simple, which is our Unilever brand. We always have the optionality of bringing other Unilever brands into our portfolio. We have Lakme, Ponds, Vaseline that play in the middle to the top of the pyramid, and we have Glow & Lovely that plays right up to the bottom of the pyramid.
We will keep democratizing new formats and benefits across the length and breadth of India. This , as a market leader , is our key focus and continue to play with the changing aspirations , as consumer aspiration change will continue to play in each of the segments and demand segments in the country. So that's really our focus in Skin Care.
Aditya Soman: No, I understand. And I think the context for my question was actually more from a perspective, are you seeing a difference at price points in terms of the growth? I mean would it be fair to say that growth at lower price points or at the more mass price points is lower than the premium ones or there isn't that much of a difference?
Priya Nair: I think the growth across channels tend to be different because of the size of the channels. I don't want to comment on price points, but it is absolutely correct that you will see Channels of the F uture growing faster than the core channels and consumers across the pyramid. It really depends on which geography, which segment, so that would not be correct for me to guide to.
Aditya Soman: Understand. No, that's very clear. And then secondly, on Home Care. So, one of the things you indicated was obviously, we are seeing sort of an entry level Surf excel product also come in at a more affordable price point. But between liquids and powders are we consistently seeing liquids for the same brand being priced the same or lower if you were to calculate it on a price per use basis? So, some

of the work that I did suggested that let's say, for Surf e xcel like -for-like front load or a top load machine wash, the price per use on liquid now is lower than powder.
Priya Nair: No, the price per use of liquids on average is higher than the price per use of powders. It also depends on the consumption. I think what you are not taking into account is how consumers consume products. The consumption at a minute you move into machine wash is totally different from a bucket wash. The minute you move to liquids is totally different from powders. So, I don't want to get into a complex math equation on what it is. But what I want to suffice to say is that the price per use of li quids is higher than the price per use of powders.
Moderator: Our next question comes from the line of Percy from IIFL.
Percy: I just wanted to check on the pipeline, both on, not just distributor level, but even retailer level. As of December end, would it have normalized in the sense that would it be at the same level as it was in August end?
Niranjan Gupta: Yes, we can safely assume that.
Percy:
Understood. And given that October was a bad month for you, but you still did organic growth, excluding Minimalist of like 5% for the quarter, which would mean that November, December is at a higher rate. So, should we expect that higher rate of November, December, that kind of run rate to continue for the next few months? Would that be the right way to sort of analyse it?
Niranjan Gupta: I think the right way will be to take our overall December quarter numbers as the normalized numbers for the foundation to be

taken as a platform , moving
forward.
Priya Nair:
And just clarifying maybe because we saw down -stocking in October month, we saw a re -stocking in November from trade. So therefore, we are seeing that it's a normalized quarter because there is the effect of the down -stock, but there's also an effect of the re -stock and therefore, is a balance between the two, we're saying, treat the quarter as normal.

Percy: Just help me understand what is really hindering growth? Because we are at, let's say, 3%, 4% volume growth, 5% value growth, per capita consumption and incomes in India are much lower compared to developed countries. And if this is the growth that we are seeing, not now, but since a very long time, what really is the missing piece for us to , in terms of understanding to be bullish on FMCG consumption in India?
Priya Nair: Yes. Firstly, I want to say we have delivered our highest ever UVG in the last 12 quarters. And I just want to emphasize that with 6% revenue growth. So that's the first thing I want to emphasize. We are seeing macros overall in the country improving and a company that is as deep and wide as we are in the country, that plays a key role. And we are definitely seeing, as we mentioned, an improvement in macros, whether it is in terms of consumer sentiment or indeed, in all the measures that have be en taken.
That combined with the steps that we have taken have resulted in this performance for the quarter. And we continue to share the outlook that we had, which is that second half of '26 will be better than first half of '26 and FY'27 will be better than FY'26.
Percy : Would it be a stretch for us to expect double- digit top line growth from HUL? And if so, I mean, if that has to happen, what really has to happen? Does the macro have to sort of improve significantly more than what we are expecting it to? Or do you think t hat it is within the realm of possibility with a gentle improvement in macro plus the steps that you are putting in place to sort of boost the growth at your end? This is something that we can sort of at least have within the scope of imagination.
Niranjan Gupta: As of now, what we can say is that A, the external or macro or the operating environment on economy as well as the consumption scenario is on the improving trend. Equally, our own actions have started to play out based on our strategic priorities. Based on all of that, as of now, what we are guiding is fiscal year'27 to be better than fiscal year'26.

Moderator: Our next question comes from the line of Harit Kapoor Kapur from Investec.
Harit Kapoor: So, my first question was on margins. I just wanted to understand why we are still fairly focused on that 12.5 to 13.5 range -- implied range. This quarter, we've done 13.7 if you adjust the Labor Code, close to 14 in your calculations. Also, you have a situa tion where there's modest inflation. Historically, HUL or large FMCGs have done well from a profitability standpoint in modest inflation because that's when kind of pricing power kicks in. And hopefully, there is more operating leverage in revenue. So what am I missing? Is it that reinvestment rates will sharply go up as we focus on growth? J ust wanted to under stand your thought process here?
Niranjan Gupta: As w e ha ve outlined already that top line growth will remain our number 1 priority. And within that, our strategy is volume- led growth. So that's why we have prioritized growth over margins, and therefore, margins we have said will remain within the guided range. I would say margin is bes t to look at EBITDA margin, not to look at our margin, which is a PAT margin because the rest is a derived number.
Harit Kapoor: Y

es, I was talking about EBITDA margin only, 13.7 is your number after the Labor Code adjustment .
Niranjan Gupta: EBITDA margin , sorry, if I may correct. Our EBITDA margin is 23.3%, which is 2 4% after charging the Labor Code impact of Rs. 113 crores .
Harit Kapoor: Correct. What I was trying to -- sorry, what I was trying to say was if I adjust -- if I

ex the Labor Code impact, we are already in high 23s this quarter and almost 24 this quarter. So, the question was, with all these factors, couldn't we land at a higher number, but I got your point?
The second one was on the ad spend bit. So, if you look at the standalone entity, you have seen a little bit of a dip on the absolute ad spend number. Is there something in this quarter that we have spent slightly lower on the cohort which will adjust going forward, the ad spend number will increase? How should we kind of look at that?

Niranjan Gupta: So first of all, we should look at all our numbers on a consolidated basis. Now if you look at a consolidated basis, you are right, as far as quarter A&P is concerned, that looks to be 30 basis points lower. Although on an absolute basis, it's not gone down. Having said that, the best way to look at A&P is to look at a longer period horizon because quarter -to-quarter, the activity, launch phasing, all those keep happening. When you look at the 9 -month of this fiscal, our A&P to percentage revenue is 10%, which is same as the previous year. In fact, on an absolute basis, our A&P has gone up by Rs. 200 crores approximately.
And plus, if you combine that we are buying efficiencies, that means that in effective terms, it's gone up even more than Rs. 200 crores. As we move forward, obviously, we will continue to invest behind brand and therefore, there would be that step up whatever is required to happen behind A&P, or any other brand investment will happen.
Harit Kapoor: My minimum point was here was that it seems like the A&P increase is all driven by the D2C portfolio, the 2 new brands is what it seems like in your numbers. And just the last question was on the liquids and detergent piece. Just wanted to understand, Home Care margins are at peak levels -- I mean, are at the highest levels ever that you've seen.
If you could just give us a sense of how that defers between liquids market share and detergent market share? Any sense on that because competitive intensity is higher across, but more so in liquids. So, any colo ur on that would be helpful. That's my last question.
Priya Nair: Yes, I'll just begin on the liquids and then Niranjan can take over. We are leaders in liquids, powders and in bars and our focus is on growing the market towards these premium formats. And so, therefore, we are well placed across formats.
Niranjan Gupta: Yes, absolutely. And in terms of looking at the margins, yes, we are at a reasonably healthy margins. I wouldn't say something which is over the top, but I

would say, healthy margins. And the way we look at it is that we are within those the price value equation with the consumers has been maintained. We stay competitive on that front. And the inflation that is happening benign or small inflation that's happening is offering us the opportunity for calibrated price increases as well.
Priya Nair: And our mix in Home Care is a premium mix is what you must keep in mind and it's premiumizing even more, so our margin shift in Home Care is very structural,
and it is not based on what our price competitiveness challenge that we will find ourselves in. So, it's a very structural shift over time that has taken place because
we have become a much more premium Home Care business over t

ime.
Moderator: Our next question comes from the line of Jay Doshi from Kotak.
Jay Doshi: Just pressing a little bit on Percy's question. What has to change for HUL to deliver 10% revenue growth? So, is it primarily a macro constraint or a portfolio issue?
And in that context, are street expectations of double -digit earnings growth misplaced?
Niranjan Gupta: So, let me just repeat what I said to the earlier similar question is that when you look at the macros, they have, in the recent times, shown improving trends. So, when you look at a consumer sentiment, consumer confidence, the operating environment, we all talked about in the earlier part of our presentation that we are seeing an improvement in that.

Second is our strategic actions which we are taking have also started to play out.
It is based on these 2 combined factors. And this quarter, we have delivered a revenue growth of 6% and the highest UVG across the last 12 quarters. So based on all of that, we are guiding right now is that fiscal year'27 to be better than fiscal year'26 on the top line and the margins to stay in the guided range becau se growth will be our number 1 priority moving forward.
Jay Doshi: Okay. If I may just ask so if you are already at 6% revenue growth in second half, if we assume this as a normalized quarter, so second half this year will be 6% and

if you're expecting a better FY'27 with low -single digit pricing, then double digit earnings growth should not be very difficult, right?
Niranjan Gupta: Fiscal year'27 better than fiscal year'26 is on the top line and margin to stay within the guidance. So, it's not based on a quarter. The second half of FY'26 better than first half of FY'26. I repeat, the top line in FY '27 to be better than full year '26 and the margin to remain within guidance. So, we stay with that as of now. Beyond this, we will not be able to guide any number.
Moderator: Our next question comes from the line of Nihal Jham .
Nihal Jham : This is Nihal Jham from HSBC. Two questions. First is on Beauty & Wellbeing that when you say looking at better growth in FY'27, fair to assume that Beauty & Wellbeing will be the segment that will drive the highest growth among the 4? And within the Beauty & Wel lbeing segment, how do you look at the portfolio ex of OZiva, Minimalist and Hair Care which was sort of the better performing portfolio, but how do you see the growth in the part of the portfolio other than these 3 parts?
Priya Nair: I think firstly, all 4 of our categories drive growth for us. Of course, we have different growth rates across categories. But just like this quarter, all 4 of our categories are critical for us to drive growth. For Beauty & Wel lbeing, our total business is critical across the pyramid given the size and scale of our leadership in both Hair Care and in Skin Care, we need our entire portfolio to go.
And of course, we keep moving our portfolio towards high -growth spaces. This includes some brands that you are mentioning but also includes high -growth spaces of existing brands. So let me talk you through it just to be clear. So, for example, we entered sunscreens with Lakmé. We have light moisturizers with Ponds and Vaseline. And we have in H air C are, masks with Dove and serums.
So, our existing brands also extend into higher -growth spaces. So, we grow both through the premiumization of our existing brands into higher growth sp aces through the rotation of our portfolio into high -growth brands and through

continuing to develop and democratize the market down the length and breadth of the pop strata. So, I hope that gives you color of how we see our business.
Nihal Jham : Sure, Priya

. Second question was on quick commerce. Now just a conceptual understanding here, would it be fair to assume that, if I look at your portfolio, say, ex of some parts of foods, which could be classified as indulgence. Most of Q C for us is sort of just a demand shift, it's now that there is an incremental demand generation that happens given the categories we operate in. So that's one thought.
And if you could just comment on how to think of the profitability of this segment versus our traditional general trade profitability that incrementally, as this channel sort of keeps going up, is there any questions on the profitability that could come up?
Niranjan Gupta: Yes. So as far as quick commerce demand is concerned, it's a combination of the 2. So, you can't assume that it's completely a cannibalization. So, A, there will be a part which actually move from the current demand and also parts which generate demand because our portfolio in quick commerce is different. It is more margin -accretive, it's more premiumized portfolio.
And that takes me to the margin part of it. And therefore, when we look at from a Gross Margin perspective, q- com generates better margin than the modern

trade which generates better margins than the general trade, which is a function of the portfolio that we play.
Priya Nair: And just to add to what Niranjan is saying, essentially, we find in all our categories
that consumer regime starts to change and grow as we are able to discover new
products and formats. And therefore, if they were buying, say, 1 beauty product,
2 beauty products, they start buying 6, 7 beauty products.
And therefore, the regime starts to expand. It's also the nature of the consumers
that who are today on quick commerce versus the consumers who are in general

trade , mass down the pop strata. So that's the other way for you to think about
how quick commerce actually aids discoverability of brands and formats.
Nihal Jung: Understood. That is, it from my side. Thank you.
Moderator: The next question comes from the line of Manish Poddar from Invesco Mutual
Fund. Please go ahead.
Manish Poddar: Yes. I just had 1 question, so probably an extension to the things which other particulars were asking. So, ma'am, you see the let's say, cut down at the margins
by about 2% would it entail getting higher growth? Or is it right to understand Unilever is actually doing whatever investments are required? And given the size,
scale and the categories where we are, the growth outcomes are good
outcomes?
Niranjan Gupta: So firstly, let's start by putting that our strategy is, firstly, its growth is number 1
priority. That's number one. Number two, we are saying that the growth will need
to be volume- led and that's the entire plank of the strategy. Then we are saying
we operate at a huge scale.
So as you operate on volume, there are scale efficiencies, operating leverages,
all that kick in , across the spend line that we are talking about, which is what gives
us the confidence, that while ensuring that we are fully funding our big bets and
our growth, we can remain within the guided margin range.
Manish Poddar: But would that mean, let's say, if you do 2% higher spends, would that entail, let's say, if there's one factor you can get 2% higher growth?
Niranjan Gupta: It doesn't work that way actually because eventually, you have to maintain the
price- value equation and price competitiveness. Otherwise, it becomes zero -
sum game very soon.
Manish Poddar: Okay, got it. Thanks.
Moderator: The next question comes from the line of Tejas Shah from Avendus Spark.

Tejas Shah: My first question pertains to this one India R&D initiative that we are tr

ying. So, in
the last Analyst Day at your office, you showcased your R&D capabilities, which
looked quite impressive to most of us nonspecialists. So what were we missing
that this change is now expected to fix? And will it fix more of a growth issue,
premiumizatio n or its more cost efficiency as well?
Priya Nair: Yes. I think firstly, we benefit from all our global technology capability and knowledge across our categories, and that's what you would have seen, and I am
glad it was impressive last year and continue to be so. I think what we want to focus on is speed, agility and customization for India. So, I woul d like to use 3
words that we want to further dial up. It is speed, agility and customization for consumers in India.
Tejas Shah:
Sure. But as an analyst, where should I see the benefit of this? Will it be more on higher .
Priya Nair: Speed, agility and more relevant consumer innovation for India. Based on all the
technological platforms that we continue to enjoy and benefit from as a global
corporation.
Tejas Shah:
Fair point. Second, this is a kind of labo uring the previous point that we have
explicitly guided that FY'27 will be better than FY'26. But then we also called out
that we can't decouple much from macro. So just wanted to understand, what
kind of macro scenario have we kind of budgeted for now? And then what kind
of tolerance level that budget has for us to kind of hold on to our guidance?
Niranjan Gupta: Yes, the macro scenario of budgeted is what is happening today, which is

essentially an improved consumer sentiment, consumer confidence and the overall consumption demand as you see increasing both across rural and urban. So that's what is being plotted n ot any different from current momentum.

Tejash Shah: Niranjan, just when I see that our finance minister has kind of projected 10% nominal GDP growth rate for the economy. And we are hesitant to kind of commit to double- digit growth even at the EBITDA level. So just wanted to understand

that let's say, if that number has to come down, should we expect, that will be kind of worse off from where we are today in terms of guidance?

Niranjan Gupta: So, there is a way that we guide our numbers, and we will stick with FY'27 to be better than FY'26. And we have factored in the risk -adjusted scenarios on both macros and our internal actions.

Moderator: Ladies and gentlemen, I would now like to hand the conference over to Mr. Yogesh Mulgaonkar to take up any questions from the web. Over to you, sir.

Yogesh Mulgaonkar: So, we don't have any questions on the web. With that, we now come to the end of the Q&A session. Before we end, let me remind you that the playback of this event will be available to the Investor Relations section of our website in a short while. Thank you, everyone, for your participation, and have a great evening. Thank you very much.

Niranjan Gupta: Thank you.

Priya Nair: Thank you.

Moderator: Thank you. On behalf of Hindustan Unilever Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Disclaimer: This transcript has been edited to remove any grammatical inaccuracies or inconsistencies of English language that might have occurred inadvertently while speaking.

Call: May 2026

7th May, 2026

Stock Code : BSE: 500696
NSE: HINDUNILVR
ISIN: INE030A01027

Dear Sir /Madam ,

Sub: Transcript of the Earnings Call for the quarter and financial year ended 31st March , 202 6

This is further to our letter dated 30th April , 2026 , whereby the Company had submitted the link to the audio/video recording of the Earnings Call held post announcement of Financial Results for the quarter and financial year ended 31st March , 202 6.

Pursuant to Regulation 30(6) read with sub-para 15, Para A, Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the Transcript of the said Earnings Call, for your information and records.

The transcript of the Earnings Call is also available on the Company's website at https://www.hul.co.in/files/mq -26-earnings -call-transcript.pdf .

Please take the above information on record.

Thanking You.

Yours faithfully,
For Hindustan Unilever Limited

Radhika Shah
Company Secretary & Compliance Officer
Membership No: A19308

BSE Limited,
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Exchange Plaza, 5th Floor,
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Bandra (E),
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"March Quarter & Financial Year 2026
Earnings call of
Hindustan Unilever Limited"
April 30th, 2026

Speakers :
Ms. Priya Nair - Chief Executive Officer & Managing Director
Mr. Niranjan Gupta - CFO, Executive Director, Finance
Mr. Yogesh Mulgaonkar - Head of Investor Relations & Head of Finance, Personal Care

Moderator: Ladies and gentlemen, good day and welcome to the Hindustan Unilever Limited
Conference Call for the results of quarter and financial year ended 31st March
2026. As a reminder, all participant lines will be in the listen -only mode and there
will be an opportunity for you to ask questions after the presentation concludes.
Should you need assistance during this conference call, please signal an operator
by pressing the star key followed by zero on your touchscreen phone. Please note that this confe rence is being recorded.
I now hand the conference over to Mr. Yogesh Mulgaonkar, Head of Investor
Relations and Head of Finance, Personal Care. Thank you and over to you, sir.
Yogesh Mulgaonkar: Thank you, N eerav. Good afternoon, everyone. Welcome to the conference call
of Hindustan Unilever Limited. This evening we will be covering the results for the
Quarter and F inancial Year ended 31st March 2026. On the call with me is Priya
Nair, CEO and Managing Director, and Niranjan Gupta, our CFO.
We will start with prepared remarks from Priya and Niranjan. We expect this to take around 20 minutes, leaving us approximately an hour for the Q&A. We will
look to end the call by 5:15. Before we get started with the presentation, I would
like to draw you r attention to the safe harbor statement included in the
presentation for good order's sake.
With that, over to you, Priya.
Priya Nair: Good afternoon, everyone. Thank you for joining us on the call today. Let me briefly set the context in which we operated in this quarter.
During the period, demand conditions remained stable across the market. This
stability was aided by a supportive macroeconomic environment shaped by a
series of fiscal and monetary measures implemented through the course of the
year. These actions, combine d with lower headline inflation for a large part of the
period, provided some relief to household budgets, creating a more enabling backdrop for consumption.

In March, the escalation of the Middle East crisis led to a sharp spike in crude and
crude- linked commodity costs, along with supply -side disruptions and
continued rupee depreciation. We are navigating this geopolitical volatility with operational agility to protect our consumer franchise. Niranjan will elaborate on
this later in the presentation.
Against this operating backdrop, we delivered an 8% C onsolidated Revenue
Growth. This was supported by 7% U nderlying Sales Growth, primarily driven by
volumes. Importantly, this represents our highest quarterly growth in 12 quarters, reflecting both the ongoing transformation of our portfolio and the step -up of
on-ground execution.
Performance was broad -based with all segments delivering healthy growth.
From a profitability perspective, EBITDA grew 6% year -on-year with EBITDA
margin at 23.7%, coming in at the higher end of our guidance. Profit A fter Tax
before exceptional items at Rs. 2 ,711 crores grew 4% year -on-year.
Moving to our financial year performance, with a turnover of Rs. 63,763 crores,
we delivered 5% USG driven by 4% UVG. Importantly, this headline performance
reflects a clear and consistent step -up in growth through the year, with the
second half of the year being better than the first half. We exited March quarter ‘26 with 7% USG, accelerating from the 2% USG in FY ’25.
The improved momentum is on account of a series of decisive actions that were
taken over the last few quarters on portfolio, execution, and investment. First, we
crafted sharper priorities with a clear focus on volume- led growth. Across
categories, we have invested to make our brands more desirable and
strengthened execution at the point of sale, ensuring growth is broad- based and
sustain

able.
Recognizing the rapid evolution of shopping behaviour , we have intensified our
omni -channel execution. The creation of a dedicated Quick Commerce
organization enables us to step up our effectiveness while maintaining a strong
focus on G eneral Trade and M odern trade. Resource allocation has become

more deliberate with a focus on making fewer, bigger bets in areas with the
highest growth potential. For instance, we have recently committed Rs. 2,000

crores of capex investments in premium formats of Beauty and Home Care.
We have actively rotated our portfolio to sharpen the quality and growth profile of the business. Strategic actions such as the demerger of I ce Cream, along with the investments at O Ziva and Minimalist, are already enhancing the growth mix of the portfolio.
The company has also been reorganized to drive speed and sharper execution.
The move to a U nified India organization, including the introduction of a Chief Marketing Officer role and the creation of a dedicated India R&D structure, has simplified decision -making and enabled faster response to market and channel dynamics.
Taken together, these actions have further strengthened the fundamentals of the business and are translating into a consistent step -up in the growth momentum that you see today.
Our growth agenda is anchored on our four key priorities. Let me share the progress we have made against each of these. The first pillar is radical consumer segmentation. This is deeply embedded in every decision that we take, whether it is product, propos ition, pricing, or the channel we use to reach and persuade our consumers. It is the foundation of our approach towards brand building and sales.
We have been consistent in our objective of creating desire at scale through the SASSY framework. This is not about isolated initiatives on selective brands; it is about fundamentally stepping up how our brands show up across the pillars of Science, Aesthetics, Sensorial s, Said by others, and Youthful.
Vim Liquid exemplifies how deep science and innovation power our brands.
RhamnoTech , our proprietary bio -surfactant technology, delivers breakthrough grease cutting while remaining gentle on hands and advance sustainability, thus creating a science- backed competitive advantage. Driven by multiple such

initiatives aimed at elevating desirability, Vim Liquids has achieved robust double- digit growth this year.
On Aesthetics, Dove illustrates how we are upgrading on -shelf appeal. For instance, we elevated the packaging of Dove versus the core range using premium design cues, refined finishes that enhance perceived value and signal care, expertise, and quality. Co mbined with a similar pivot across other SASSY elements, the brand delivered competitive double- digit growth for the year.
On Sensorials, Vaseline demonstrates how enhancing in -use experience can meaningfully improve desirability with an iconic large brand. Vaseline has upgraded its sensorials with a weightless technology. It has a richer texture that absorbs fast, feels light , and disappears on the skin, yet works deeply beneath.
Supported by innovations and portfolio expansion that meets evolving consumer preferences, Vaseline has surpassed the Rs. 1,000 crore milestone this year and delivered healthy double- digit growth.
The strong performance of these brands reinforces our belief that desire, when built at scale backed by execution, is the powerful driver of both growth and portfolio quality.
The two other elements of the SASSY brand framework are Said by others and Youthful, both critical to build contemporary relevant brands at scale. We have sharpened the effectiveness and efficiency of our reac

h and persuasion models.
We are deploying a more integrated media mix using televis ion and outdoor effectively in rural and mass markets, while stepping up targeted digital and social advertising where it delivers the highest impact.
On social and digital platforms, we have built a strong, distinct influencer -led ecosystem. Today we work with a network of 30,000 creators, which has almost doubled year -on-year. This has resulted in a sharp increase in the volume and diversity of the bra nd assets we are creating.
As Gen Z influence on purchasing decisions continues to rise, we are reshaping our brands to be more contemporary, experiential, and youthfully relevant. This

is reflected in how we design. For instance, we are leveraging high -reach platforms such as sports, also while experimenting with AI -led campaigns like

that of Closeup and Bru. Together, these efforts are strengthening how our
brands are perceived and talk ed about. We are seeing a deeper engagement
across platforms, reinforcing the role of modern brand building in sustaining growth momentum.
Futureproofing and accelerating our frontline machine through an omni -channel
approach is a key priority. In G eneral Trade, we are expanding reach and
availability and have increased our direct coverage by around 2 lakh outlets in the year. Beyond overall coverage, we are also investing in dedicated
infrastructure to serve special ity retail channels at scale, enabling sharper
execution in high -value outlets like open format stores, chemists, and cosmetic
stores.
In Modern Trade, our priority is to build category captaincy and drive category
growth. We are doing so by scaling market development cells, premiumizing the
portfolio through in -store demand generation, and deeper joint business
planning with key customers. As a res ult of these focused actions, we have
continued to gain market share in these channels.
E-commerce continues to be a strong growth engine. The digital -first approach
to assortment, data- led demand generation, and improved availability and
fulfilment has resulted in this channel delivering over 25% growth during the
financial year.
In Quick Commerce, we have significantly scaled our capability and execution.
The creation of a dedicated cross -functional organization along with tech
investments have enabled us to respond faster and operate with greater relevance for this channel.
Overall, we are aligning our frontline and omni -channel consumer journeys,
ensuring our brands are present and competitive wherever consumers choose
to shop across physical and digital touchpoints.

Another important shift we have made is to be far more choiceful in where we
invest, doubling down on a few bigger bets that can meaningfully move the
growth needle.
In Beauty & Wellbeing, this strategy has translated into an acceleration of our
Masstige & Wellbeing portfolio through a combination of organic and selective
inorganic actions. We have quadrupled our business over the last year, creating a platform with an annual revenue run rate of Rs. 1 ,200 crores.
Our Skin Care market development cell has grown double- digit by expanding
into new benefit spaces and creating regimes with sun care, light moisturizers,
and facial cleansing. We are expanding category participation and
strengthening long- term growth momentum.
In Personal Care, we continue to premiumize the portfolio in a disciplined
manner. Premium S kin Cleansing Bars led by Pears and Dove delivered double-
digit USG and UVG for the year, supported by dedicated investments to reinforce proposition and product superiority. Our B odywash portfolio has also recorded
strong double -digit growth while simultaneousl

y gaining share, reflecting
successful market development along with premiumization.
In Home Care, the liquids portfolio stands out as another big bet success story.
The business delivered double- digit growth, crossed the Rs. 4,000 crores
turnover mark, and is gaining share, reinforcing the benefits of sustained investment behind format innovation and execution. Within powders, our action
to successfully upgrade consumers from mass to premium offerings is proving to
be a strong tailwind. These are driving sustained market share gains, taking us to
the highest ever share in this format of po wders.
Turning to Foods, we are seeing a clear shift in the growth trajectory, supported
by broad- based performance across the portfolio. Lifestyle Nutrition has
delivered four consecutive quarters of positive UVG, growing at double- digit in
the second half. This reflects multiple actions taken during the year, from pack -
price architecture changes to expansion into newer formats like RTD, protein,

and the relaunch of Horlicks. We will continue to stay the course on these actions
and increase consumption in this category.
Coffee is another example of delivering double- digit growth supported by

sustained investments towards superior sensories, elevated aesthetics, and high - impact activations.
Collectively, these examples highlight the transformation of our portfolio as we pivot towards higher growth demand spaces and strengthen our competitive positioning, ensuring we are well -placed to capture emerging opportunities and drive sustainable growt h.
Looking back, full year ‘ 26 has been a year where we have made clear progress, strengthened the foundations of our business. At the same time, we are clear that this is just the beginning of a longer journey. There remains a significant headroom for us and much more to be done. Despite a dynamic external environment, we are entering in full year 2027 with greater clarity, stronger fundamentals, and a clear sense of direction. We remain committed to staying the course, continuing to sharpen execution and build on this momentum to deliver sustainable competitive growth over the long term.
With this, let me hand over to Niranjan to take you through the quarter results in detail.
Niranjan Gupta: Thank you, Priya. Good afternoon, everyone. Let me share a detailed overview of our quarterly performance, followed by a full year update, and I'll conclude that with the outlook.
As Priya mentioned earlier, March quarter ’26 we delivered 8% C onsolidated Revenue growth, driven by a robust UVG of 6%. Our EBITDA margin stood at 23.7% at the higher end of our guidance, and in absolute terms, our EBITDA grew 6% on year -on-year basis.
Our Profit After Tax before exceptional item grew 4% on year -on-year basis, while the R eported Profit After Tax grew by 20% year -on-year. The reported

profit includes the combined impact of proceeds from divestment of Nutritionalab Private Limited in the current quarter and O Ziva fair valuation in the base period.
Moving to segmental performance for the quarter, Home Care delivered 9% Underlying Sales Growth driven by high -single digit UVG. This marks the segment's strongest performance in 11 quarters.
Fabric Wash delivered double- digit growth that was broad -based across formats. Liquids portfolio delivered robust double- digit growth, building on an already strong base of the previous year. This performance further consolidates our leadership in this emerging ca tegory.
Household Care posted another quarter of double- digit volume growth supported by outperformance in Vim Liquid.
Given heightened commodity inflation in crude- linked derivatives, we have implemented calibr

ated price increase across F abric Wash and H ousehold Care in June quarter as well. This may lead to some rebalancing between volume and price growth in the short term.
Moving on to Beauty & Wellbeing, this segment delivered 8% USG driven by mid- single digit UVG.
Within this, H air Care recorded strong double- digit volume- led growth. The performance was broad -based across brands and formats. We have continued to strengthen our market leadership in this category, anchored in relevant propositions and superior technology -led innovation. As market leaders, driving premiumization remains a fundamental priority. During the quarter, we intensified our market development initiatives resulting in a 25% increase in the distribution of shampoo bottles in G eneral Trade. This is key to ensuring sustained and healthy growth in this portfolio.
In Skin Care and C olour Cosmetics, the premium segment delivered double- digit growth driven by investment in our market development cells. However, this was

softened by the mass skin portfolio. In C hannels of the F uture, we continued our strong double -digit growth resulting in sustained market share gains in this dynamic and competitive space. We continued to build our Ma sstige portfolio in Beauty and Wellbeing with Minimalist delivering strong double- digit growth and Simple scaling to an annual revenue run rate of more than Rs. 160 crores.

Overall, we continue to step up our play in Beauty & Wellbeing led by volume growth in premium portfolio and C hannels of the F uture.
Personal Care delivered 5% U nderlying Sales Growth during the quarter driven by pricing. Skin Cleansing within this posted high -single digit growth, the highest in 12 quarters. Our priority in this segment is to drive market development in premium cleansing bars and B odywash. By prioritizing evolving consumer needs for skin - related benefits in soap and broadening consumer reach through access packs, we are committed to achieving sustained growth and strengthening our leadership within this category. As a result, premiu m skin cleansing delivered double- digit volume- led growth and gained market share.
Oral Care recorded low -single digit growth for the quarter with Closeup delivering competitive results. We are focused on expanding into new demand spaces and broadening our portfolio to address evolving consumer needs. In line with this, we launched Pepsodent's Sensitive Care toothpas te, further strengthening our presence in higher -benefit spaces.
Coming to Foods now, this segment delivered 5% USG driven by high single- digit UVG.
In Beverages, Tea delivered low single- digit volume growth. Coffee continued its strong double -digit growth momentum supported by both volume and price.
Lifestyle Nutrition delivered double- digit growth during the quarter driven by Horlicks and Boost. Over the last year, we have taken a series of actions to rebuild consumption in this segment. More recently, we relaunched Horlicks as Horlicks

Superfoods and also expanded into new demand spaces including ready -to- drink and protein, which is available in select online platforms. These actions are beginning to show momentum, even as we recognize there is more work ahead. We remain focused on consistently executing against our agenda as we continue to transform Horlicks into a lifestyle essential.
Packaged Foods reported mid- single digit growth driven by Unilever Food Solution, Ketchup, Chutney s, and Mayonnaise. Kissan's expansion into chutneys is seeing encouraging early traction.
Moving on to our full year performance, on a consolidated level, we delivered 5% USG driven by 4% UVG. EBITDA margin at 23.6% was at the higher

end of the
guidance. Our overall EBITDA grew by 2%. We stepped up investments in A&P for the full year with Rs. 270 crores increase in absolute spends. Profit A fter Tax before exceptional item was at Rs. 10 ,324 crores.
Looking at segment -level performance for full year ’26, as you can see, we delivered broad- based growth.
Home Care delivered 4% USG powered by high -single digit UVG as attractive propositions and doubling down on market development activities drove continued market share gains through the year and reinforced our leadership.
Beauty & Wellbeing recorded 6% USG for the year supported by ongoing portfolio transformation and premiumization as we reposition the business towards high -growth demand spaces.
Personal Care for the year delivered 4% USG driven by premiumization and sustained investment behind brands alongside consistent execution across channels.
And Foods reported 5% USG led by mid- single digit UVG, marking a step- up driven by portfolio expansion into high -growth demand spaces and sharper propositions.

Across segments, margins remained healthy as we balanced cost discipline with investments to drive competitive volume- led growth.
Our robust balance sheet remains a key pillar of our strategic and financial growth model. Our total reserves for HUL as at the end of financial year ‘ 26 stood
close to Rs. 49,000 crores. A strong reserve provides us the financial flexibility to navigate volatility while continuing to invest behind growth priorities.
Our cash flow from operations stood close to Rs. 10,500 crores, underpinned by strong execution across the business, robust cash conversion, and focus on

working capital discipline.
Both our ROCE and ROE have improved on year -on-year basis. Together, these
metrics reinforce the robustness of our financial growth model.
We are sharpening capital allocation to do two things in parallel: fuel growth and sustain strong shareholder returns. During the year, we deployed significant
capital of Rs. 3,500 crores into bolt -on acquisitions that strengthen our presence
in attractive fast- evolving demand spaces, including digital -first premium B eauty
& Wellbeing platforms such as Minimalist and O Ziva.
In parallel, we have also signed off a Rs. 2,000 crore s planned capex investment
to expand capacity in the premium formats. These are tangible examples of how
we are allocating capital to build the businesses of the future.
Our dividend approach reflects a conscious outcome of the choices we are
making, redirecting capital into opportunities we believe will be growth
accretive while still maintaining sustainable returns for shareholders. The Board
has declared a final dividend of Rs. 22 per share, subject to approval of
shareholders, taking the total dividend for the year to Rs. 41 per share.
Before closing, let me briefly outline the impact of the ongoing Middle East
situation on our business. Crude oil -linked supply chains were impacted, creating
disruptions in the supply and rise in the commodity prices. This, combined with continued currenc y depreciation, increased the input costs.

First, from a supply -side perspective, we responded with operational discipline,
leveraging our global procurement and supply chain network. And while the
situation remained volatile, we were focused on supply continuity and fulfilling
consumer demand. We are happy to report that we were able to manage our production and supplies without any disruption.
As regards to the cost, we have stepped up in parallel the savings funnel and
equally we have taken pricing to the extent of 2% to 5% already. And as we
navigate this, depending on how the costs pan out, we will be taking

further price
increases as may be necessary.
While doing that, we continue to optimize all our lines of P&L and the cost savings
and looking at non- working media in particular to look at optimization while
ensuring that our key brands remain fully funded on key media investments.
Coming to mid- term outlook, from a demand standpoint, as we said, the demand
environment remains stable, the rural and urban both increasing. There are short -
term volatilities which could be created by the geopolitical situation, but as of
now, India stand s out as the key emerging country with even IMF forecasting 6.5%
growth.
This, combined with the strength of our brands and our robust financial position,
we expect FY ’27 to be better than FY ’26. The choices we have made around
portfolio, organization simplification, channel expansion, and execution will continue to deliver results for us.
As far as margins are concerned, our approach remains consistent and disciplined, and we expect the mid- term margin guidance to remain around our
current guided range of 22.5% to 23.5%.
Our focus is clear and unchanged. Competitive volume- led growth is our
number one priority.
With this, we conclude our prepared remarks, and I will now hand back to
Yogesh to commence the Q&A session.

Yogesh Mulgaonkar: Thank you, Priya and Niranjan. With this, we now move to the Q&A. We request
you to kindly restrict the number of questions to a maximum of two at a time. In
case you have any further questions, please join the queue again. In addition to
the audio, our pa rticipants have an option to post the questions through a web
option on the screen. We will take those questions just at the end.
With that, I would like to hand the call back to N eerav to manage the next session
for us.
Moderator: Thank you very much. We will now begin with the question -and -answer session.
The first question is from the line of Manoj Menon from ICICI Securities. Please go
ahead.
Manoj Menon: Hi team, my first question is actually on the volume drivers. One, if you could just

help us understand, because it's been a good six months after the GST price cuts etc. in certain categories. If you talk about, let's say, the positive effects of price elasticity gains, let's say for example in a shampoo bottle, one example which comes to my mind, or any other example you want to highlight, what's actually happening in terms of consumption?

Secondly, over the last three months, six months, if you could just help us understand the drivers of UVG, is it more tonnage, more mix, etc.? That's question number one. Thank you.

Priya Nair: Yeah, thanks Manoj. So, you know Manoj, I think I will break this up into a few parts. The first is we are doubling down behind market development and market making. For HUL, this has always been the largest part of our volume -led growth. So really what you're seeing also is a reflection of us intrinsically going behind those few big bets that we are talking about.

Just to give you an example, we talked about liquids. Liquids in Home Care has now become Rs. 4,000 crores, growing at strong double -digit. This is all mostly volumetric. So therefore, those are the examples of the kind of actions. So, the first bucket is market development.

The second is really in terms of, our core brands and getting penetration gains on our core brands in terms of share gains. Overall, we are turnover weighted gaining shares, and this is both volumetric and value, but even volume- led share gains. That's the second bucket of how we are getting volume gains. So really becoming more competitive.

The reason and how we are doing that is really by doubling down behind our bra

nds, ensuring we step up both the marketing, the execution on the ground across the omni -channel environment in which we play. And the channels focus is the third bucket where across channels we have built our capabilities and that's beginning to bear fruit.

So therefore, we really see this, the three buckets of volume- led growth and that's the outcome and the fruit we are beginning to see. So that sort of I hope answers the question, Manoj.

Manoj Menon: Sure, just one quick clarification if I may. If I understood the response for the, let's say, the elasticity gains etc. post the GST cuts, what I understood is that yes, there are gains, but all of it is probably being reinvested for even faster growth. I s that the right takeaway?

Priya Nair: That is absolutely the right takeaway . So there are more macro factors which are resulting in the right favourable conditions. But Manoj, what I am saying is w e are doubling down behind our capability and initiative so that we are able to really benefit from favourable conditions, but it's really about our stepping up our competitiveness and doubling down behind market development across the channels and really improving our channel capabilities and footprint. So, three sort of buckets I would give you.

Manoj Menon: Okay, got it. Now second and the last question, I will come back in the queue. It's quite pleasing to see the turnaround in Lifestyle Nutrition from a revenue perspective, even double- digits current quarter. Now obviously there are three

elements to the growth, which is the core, you know, the I would say the higher value pro ducts and probably the newer products what you woul d have done.

But to get to double -digit growth, I woul d presume that the core has to really fire, right?

And if yes, if you could, you know, let's spell out a couple of, let's say, drivers for that growth and your confidence because this turnaround has happened after a long time. So just would be quite helpful if you could just comment about your confidence o f, let's say, sustaining a double -digit growth, let's say over the next one year and beyond. Thank you.

Priya Nair: Sure. So, I think, we are quite pleased with, you know, the trajectory of improvement we are seeing on our Lifestyle Nutrition business. Three, four buckets of what are the actions behind it. The first is an improvement in our pack -

price architecture. So, we have improved our overall pack -price architecture and that is giving us gains. The second is we have relaunched Horlicks in the South

of India with the Horlicks Superfoods mix with a new technology. The early signs of that have been extremel y positive for us.
And the third bucket is the new areas which Horlicks has entered. We have entered into RTDs, we have doubled down behind biscuits, and we have just launched Horlicks Protein. That's a very new limited launch into almost as we speak into the premium Quick Commerce and modern trade channels. So very early start to the protein. So, you are absolutely right, Manoj, that it's firstly the core and the new segments are beginning well, but they are still small and huge headroom for us to grow those new segments.
Our focus will be to first roll out the Superfoods launch across the country, which is what we will be in the process of doing. And secondly, really double down behind these new segments we have entered. I also want to give a mention to Boost, which continues to perform very well for us. And we have also with Boost core we have doubled down, but also entered into RTDs on Boost, and the early signs of that have been good for us as well.
Manoj Menon: Thank you and have a good day. Thank you.
Priya Nair: Yeah, thanks Manoj.

Moderator: Thank you. Next question is from the line of Abneesh Roy from Nuvama Wealth Management. Please go ahead.
Abneesh Roy: Yeah, thanks and congrats on recovery. My first question is again on Lifestyle Nutrition. In the past, we have seen that whenever milk is inflationary, Horlicks and Boost also suffer in demand because obviously a large part of the consumption is linked. N ow in an El Nino year, generally we see fodder availability being impacted and that does drive up the milk prices.
Would you see that as a big challenge in terms of this growth recovery? Because you have seen good recovery, but can this derail, say in H2 or that kind of a timeframe when milk becomes inflationary? That is my first question.
Priya Nair: Yeah, Abneesh, actually Horlicks gets drunk both in milk and in water. So that's the first thing I wanted to mention. Yes, it's absolutely true that it gets drunk with milk, but it also in the East of the country, in fact, mostly it is put into water. So that's the first thing you need to know. The second thing is I actually think we are in a time in which, you know, nutrition is actually a key trend. So, I think the focus and that's what we are doubling down behind, which is to, you know, remind consumers of the nutritive benefits of Horlicks and Boost. And that's our key focus.
The third is the new modern areas in which we are expanding the brand, whether it is RTD, whether it is protein, and we are only just beginning honestly . With, you know, the democratization that we can do of nutrition across the length and breadth of the country. So that's how I see it as really returning to the basic fundamentals of the category, which is nutrition -led benefits, which is what, you know, is the value of this category.
Abneesh Roy: Sure. My last question is overall macro. I f we see HUL as a company, in Q3, Q4 has seen a good recovery and the recovery has accelerated. In Q4, if I see almost every staples company has done well and better than expectation. Now if I see outlook, clearly one or two challenges are there. El Nino c hallenge mostly I think H2 rural demand will get tested. And H1 obviously inflation is there.

I think post May 4th, the petrol -diesel price hike extremely likely and FMCG price hikes are happening. So, if you combine all this, how confident are you that FY ’27 can still be better than FY ’26 for you and maybe for the sector also?
Priya Nair: Yeah, first let's talk about the rainfall prediction and I will ask Niranjan also to weigh in. You know, while absolutely, we have all seen the rainfall forecast and the monsoon forecast for the country at 92% and below normal. I think it's important to look at other factors as well, including the reservoir levels in the country. The reservoir levels in the country are at significantly above the normal levels of last year. So that sort of bodes well for the country as well.
So, if you look at factors like that, you have to look at the issues like the spread of the rainfall. So, there are many factors to be taken into consideration, including the MSP price of food grains and how that pans out in terms of rural wage

income. So, you know, we are going to watch that closely, Abneesh, very simply. But we remain positive that, in the end, even if there is more inflation in the country overall, we are still talking about headline inflations of 4% to 5%, which as a staples company, we believe that our products are relatively low elasticity on price in comparison with other categories. So, we remain quite confident about that.
The second area that you are talking about is the overall inflation, and I think that's what I was trying to address, that listen, yes, we will have more pricing that will come in, but overall staples tends to be more low pric

e elasticity as compared to other categories because we are in the end talking about everyday categories, right? Detergents, soaps, shampoos, tea. These are everyday categories and therefore low on elasticity. Niranjan, if you would like to add?
Niranjan Gupta: No, absolutely Priya. And I mean, if we look at the H1 inflation, Abneesh, as you pointed out, the answer is the elasticity. And if we talk about H2, which is more rural income -based demand pattern that we are talking about, just to again reiterate that what we have seen is there are three counter -factors to the El Nino effect this time. We talked about reservoirs being 10% higher, then MSP, 5 %-6% higher. Apart from that, the grain stocks which are with the government because

of the last two years' record production, they are also at a record high. So effectively speaking, there are wherewithal available for equalizing, neutralizing the rural income dent part of it. And eventually it also depends on the dispersion of the rainfa ll month -wise and the geographical phasing.
So as of now, given the reservoirs, given the grain stocks, and given the MSPs, we don't expect, unless the rainfall is like below 85%, we don't expect any impact on the rural demand on the H2 as of now.
Priya Nair: And probably maybe I will just add, Abneesh, that in the end, listen we can't control the macroeconomic uncertainty or volatility, but what we are going to focus on and this has always been the case in these kind of volatile times, that we are very strongly placed as HUL because of the financial strength, the overall operational agility, our scale, we are well -placed to navigate this short- term sort of, medium to short -term volatility, but stay focused on our long -term opportunities.
Niranjan Gupta: Plus, the fact that our portfolio straddles across price pyramid. So therefore, we are able to capture even in case, in the outer case, where if there is some down - trading that happens in some parts of India.
Abneesh Roy: Sure, thanks. One very last small follow -up. So last two, three years we have seen every state election, all parties promise the populist programs and all this Mahila , Ladli Behna Yojana etc. So, have you seen rural demand for you still faster than urban? And within rural also, whichever state is say giving that Rs. 2,000, Rs. 3,000 subsidies to the women, is the growth faster there versus states where I think still if it has not happened?
Priya Nair: Overall, we have seen rural and urban demand to be more or less equal, Abneesh.
Abneesh Roy: And any colour on rural subsidy versus non -subsidy states?
Priya Nair: I wouldn't be able to comment on that.
Abneesh Roy: Sure, thanks. That's all from my side.

Moderator: Thank you very much. Next question is from the line of Vivek from Jefferies India. Please go ahead.
Vivek: Thank you. My first question is, you have mentioned volume growth is the top priority, which is great, and you have also retained your margin guidance. And you have explained some of this, in the previous questions also, responses also. But how do you plan to manage, especially in the context of the volatility that we are seeing in the input prices?
I mean, we are speaking on a day when Brent has crossed $120, rupee has depreciated below 95. How do you get that margin confidence also, and if the priority is volume growth , do you not think you may have to take some chance with the margins?

Niranjan Gupta: So, Vivek, the way we are navigating this space, as I said already, is that we have seen a cost inflation of around 8% to 10% so far on our material cost base. Against that, we have already taken a price increase to the extent of 2% to

5% depending on portfolio to portfolio.

And we are continuing to navigate. See, the Brent going up to $ 120 on a single day, as you know, nobody can forecast because they are not fundamentals of demand and supply that are guiding the Brent prices or the currency right now. So, they are fluctuating in a wide range. But we will continue to navigate and take appropriate pricing, so that is one part of it.

The second, of course, is the accelerating the savings funnel and given our operating leverage, given our huge base of the cost and the supply chain that we operate, there are elements where we are optimizing far more. We talked about, let's say, non -worki ng media without impacting the media behind the brands or, let's say, overheads. And the margin is effectively a band that we are operating. So, we have said a band of 22.5% to 23.5%. Now that band allows us to operate at sometimes a higher end of the band when things are favourable in terms of cost scenario, and maybe lower end of the band when things are not so favourable .

So, we do feel at this point in time confident enough that we will be able to guide with that band that we have.

Vivek: Got it. My second question is, can you just briefly elaborate a bit more on what you are planning to do under Quick Commerce as you mentioned, and this Rs. 2,000 crore s capex towards premium formats? Can we have a bit more details?

Priya Nair: Sure. So, Vivek, let me talk about the capex first. The capex is essentially focused on premium formats, liquids across Home Care, Personal Care, and Beauty. So that's where we have invested. So, it's a Rs. 2,000 crore s capital investment that we are making towards growth of these formats, which is in line with our strategy and our big bets that we've shared. So that's sort of to give you a colour on the capital investment.

The second thing is on Quick Commerce. So essentially our Quick Commerce organization we created, which is working well for us as you can see, to focus on driving our capability building for what is right for that channel. So it is focused on both the dema nd generation side in terms of how we market, availability, supply, technology, and really the end- to-end go -to-market and ensuring that we are able to build our capability to serve Quick Commerce very different from how we will serve G eneral Trade and as equally important or more important in terms of scale and size, but really ensuring that we build the right capabilities for the right channel. So, it was really doubling down to create new capabilities with Quick Commerce, and this has augured well for us. We shared last quarter that our customer availability has gone up almost 1 ,400 basis points, and that's been a good vindication of really putting together the kind of capabilities it takes to win in Quick Commerce.

Vivek: Okay, and just a follow -up if I may. On the Q uick Com merce bit, Priya, does that mean because you will have more dedicated resources , if there is a white space, does that also mean that you would be open to, let's say, bolt -on small acquisitions wherever white spaces are there?

Priya Nair: I mean, in line with our strategy, we have always maintained we are open to bolt - on acquisitions, Vivek, and that continues.

Vivek: Perfect. Thank you, wishing you all the very best.

Moderator: Thank you. Next question is from the line of Latika Chopra from JP Morgan. Please go ahead.

Latika Chopra: Yeah, hi. Thank you for the opportunity. My first question was on broader top line and market share. Just wanted to quickly clarify if you came across any pre - buying from channel partners ahead of anticipated price increases in some of your categorie

s which you took in March and April.

And second bit was, we have come across reports regarding how smaller players may be finding it difficult to operate amidst supply disruption and raw material availability and of course in an associated commodity inflation environment. Are you witnessing any such trends in your core categories which in turn are aidin g market share gain momentum for you, in the recent months? So that's the first question.

Priya Nair: Yeah, Latika, I will answer and also ask Niranjan to add. So, in terms of pre- buying, we did not witness any pre- buying from traders in the quarter. So that's simply the answer to that question. As regards, what we are witnessing whenever there have been challenges and disruptions, in volatile times, organizations and we have a strong position.

So, let's take categories in which we have a strong position like Home Care. We are well -positioned because of both our overall financial position, we operate in premium parts of Home Care, we are well -positioned because of the scale in which we operate to really navigate volatility.

So, in that sense are we well -positioned to navigate volatility? Absolutely. But we will also double down behind costs which doesn't matter to consumers, go behind all the lines of the P&L where consumers are not affected and ensure that we have a very, very strong disciplined and over the years we have done this in

many, many times of disruption where we have gone behind shaving off costs that do not matter to consumers. So, in that sense, you know, it's the discipline of the organization combined with the capability and scale of the organization, we believe we are well -placed.

Niranjan, is there anything you woul d like to add? Yeah , go on Latika.

Latika Chopra: Yeah, the second question I had was on Personal Care. You know, this vertical has continued to see volume decline. Just wanted to understand, how should we think about your confidence in growth returning here, if you could share some more colour on the trends and the initiatives? Thank you.

Priya Nair: So, Latika, overall Personal Care for us and, you know, let's break it down as soaps has been inflationary over now almost a year. It has been an inflationary commodity and therefore we have taken up prices as has the industry. And we continue to get therefor e USG growth. Our focus has been on really premiumizing our portfolio. So, Dove and Pears are growing strong double -digit. In Bodywash again, not only have we grown strong double -digit, but we have also gained almost 400 basis points of share in Bodywash , so it's now becoming very material for our Personal Care category.

And with that, we are moving in the same way consumers are moving to truly ensure that we premiumize our portfolio. We are also doubling down behind Lux, which is our core brand in mass. And that's really sort of the actions we are taking across our Personal Care business. So just to give you a sense. I don't know, Niranjan, if you woul d like to add anything?

Niranjan Gupta: No, absolutely Priya. So, I think our focus is on driving the premiumization in Personal Care and we are already seeing double- digit across the premium brands of Personal Care, B odywash, market development that's working well, gaining market share there. So that's the strategy there and it's auguring well. And of course, we will gain increasingly moving forward the volumes on the core base as well.

Latika Chopra: Thank you so much.

Moderator: Thank you. Next question is from the line of Arnab Mitra from Goldman Sachs. Please go ahead.

Arnab Mitra: Hi, thanks for taking my questions. My question was first on Home Care. No

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Home Care obviously has the maximum input cost inflation that you would be facing. And if I look at the post -Ukraine FY ’23 year, HUL had taken high double-

digit price increases in Home Care almost very immediately after the input cost inflation came in. This time, I think from what I heard from Niranjan on TV, the price

hikes are a lot more modest.

Is there any reason for that in the sense that is the input cost inflation not yet hit you to that extent as of now, or is there anything different in the operating

environment like liquid detergents is now there in the category or any
competitive situatio n why the price hikes are lower this time compared to the
past?
Niranjan Gupta: So, Arnab, these are two different situations actually. When you looked at the
previous situation of the increased inflation that happened, that was more
structural and therefore more longer -term in terms of how it was to pan out and
that's how it panned out. As far as the current situation is concerned, it's not one-
way street, it's very volatile. We have already seen crude going up to $ 110, moving
down to $ 85, moving up, moving down.
So, it's a very short -termish situation as of now, which is not dependent on
structural demand or supply issues. It's based on the geopolitical war issue that's
happening. And that is why we have to be measured in the price increases that
we take and therefor e we are taking in steps. Of course, we are also helped by
the covers that we have and therefore that allows us to ensure that we take modest while ensuring that we have a decent focus also on our operating profit
growth.
So that's the reason, Arnab, in terms of taking modest price increases. And of
course, it's also backed by the savings program that Priya talked about,
accelerating. And of course, if it continues to happen, then we will consider more

price increases moving forward. But we will navigate the space given that it's not
structurally demand -supply led.
Priya Nair: But Arnab, if your question is will we take price if, crude inflation continues? Yes.
Simply we will take price because we operate at the premium end of Home Care
and we have strong brands; they are relatively low on elasticity. And we will of
course do it judiciously always between price, costs, as we have always done. But if, we find that this becomes more structural, we continue to take price. So, I think
what Niranjan mentioned was the first round of pricing we have taken based on the cost impact that we had for that quarter.
Arnab Mitra: Sure, thanks. That's helpful. And my second question is also on Home Care that in
this inflationary environment, what is your experience normally in terms of how
the volume growth behaves in the category of premiumization? Does it get
affected in the category and are you able to typically gain share from local or regional players in this environment? So, any colour on how you think the top line
or the volume and the mix and market share could do in this environment?
Priya Nair: Yeah, I think, I mentioned it but maybe I will just explain how we see this. The first
is that overall, in these moments, the strength of our portfolio that it spans across
the pyramid right from Wheel at the bottom to Surf e xcel Liquid, F abric
Conditioners at the top, sort of helps us navigate the volatility.
The second is the strength of our brands and the fact that we have pricing power
in these categories versus, other players. And the third is that our financial
operating sort of agility, which allows us to navigate this volatility, puts us as we believe in a very strong place to navigate the times, we are in.
Arnab Mitra: Sure. Thanks, that's it from my side.
Priya Nair: Thanks, Arnab.
Moderator: Thank you. Next question is from the line of Avi Mehta from Macquarie Group.
Pl

ease go ahead.

Avi Mehta: Yeah, hi. I just had one clarificatory question, which was on if you could give us
some details on what has weighed on the mass skin care segment and any actions
that you have taken which could help offset these pressures?
Priya Nair: Yeah, I think, first I want to put colour totally on our Beauty & Wellbeing business.
Our Beauty & Wellbeing business grew USG at 8%. Remember that the USG does
not include at this moment Minimalist, which lies at the revenue line, not yet in the
USG line. And underlying level our overall Beauty & Wellbeing business will be
growing double- digit. And therefore, that's how revenue growth should be close
to double- digit. So that's how you need to see our overall Beauty & Wellbeing
business.
Within that, in S kin Care as you are asking, the skin care market is premiumizing
and we are seeing now very strong double- digit growth and market share gains

in our premium skin care portfolio across formats, whether it's sun care, light moisturizers, facial cleansers, we are now seeing v ery strong momentum there.
Our premium skin beauty portfolio is now operating between Minimalist, Simple, OZiva, and Nexus at an ARR of close to Rs. 1 ,400 crores. And therefore, you know, this augurs well as it gets larger in terms of size. So that's really how we are driving the portfolio.
Within the mass skin care portfolio, it was subdued both on Glow & Lovely and especially on talcum powders because talcum powders in March quarter given the seasonality had a very weak quarter. So, we will look as we go into this quarter how that fares. But our focus is really on driving, this up -trading premiumization which is now getting to scale in our business.
Avi Mehta: So Priya, if I may , just to read and correct me if I understand is wrong, but what you are saying is that the industry structure demands that we focus more on the premium end and that is why some of it is natural, some of it is seasonal , this whole change that we are witnessing in this S kin Care segment of B eauty. Is that a right understanding or I would be inaccurate?

Priya Nair: Yeah, I mean, that's absolutely right. That's how the way consumers are behaving in the category is consumers add more products to their S kin Care regime. And therefore, by nature that's what happens in S kin Care, the market tends to grow through addition of new formats, new benefits, and that's really where our focus is, in line with how consumers are moving.
Avi Mehta: Got it, got it. That clarifies. That's all from my side. Thank you very much for this.
Priya Nair: Thank you.
Moderator: Thank you. Next question is from the line of Mihir Shah from Nomura. Please go ahead.
Mihir Shah: Thank you for taking my question. Congrats on a great set of numbers. Firstly, just on e clarification. If this 8% to 10% cost inflation that you are witnessing, is there any low -cost inventory in that? And if one is to strip that out, what is the kind of cost inflation that you are seeing here?
Niranjan Gupta: I'm not sure I got the question. I think this is the 8% to 10% cost inflation is on our material cost, accounting for our normal covers that we have. So that's the cost inflation that we see and that's the way we see. Of course, there may be players who may be facing more than that depending on how efficient or non -efficient their buying’s are on the market. But we do have an efficient procurement system, based on which we are seeing 8% to 10% material cost increase.
Mihir Shah: Got it. No, I was asking basically in this 8% to 10%, do you also have certain low - cost inventory that you had bought earlier, and that is why the cost i

nflation
seems to be lower versus the kind of prices that we see in our RM basket? So that was the question.
Niranjan Gupta: No, we are operating with normal covers.
Mihir Shah: Understood. Secondly, if you can throw some insights on the steps that you have taken when you say you have rewired go -to-market capabilities. Is this confined to only quick commerce and all these steps are now behind? And if so, which are the categories that have seen the most change and the benefit due to this?

Priya Nair: Yes. Our steps in terms of rewiring our GTM are not just in quick commerce, but across the channels. So, one of the areas we have invested in, in the quarter and we will continue to drive this investment is in GT specialist stores. So, these are open format stores, chemist and cosmetic stores where we are investing to create a specialized force and drive up our assortment.
So, our investments are not just in quick commerce, which we have invested, but also in general trade. And we continue to invest, of course, in modern trade, where we have a strong business. So, it's across the channel. So, it's really this omnichannel portfolio. And frankly, it's reflecting across our business. So, I don't want to say it's affecting one category more than the other, which is why you've seen a more holistic result across our segments.
Mihir Shah: Understood. And lastly, if I can just put in one more. If one has to presently split portfolio into two buckets, core and growth, can you share what is the saliency of y our growth portfolio and the growth rate that it is growing at?
Priya Nair : I'm not clear. You will have to explain again what you mean.

Mihir Shah: So, Priya, I mean, so there are certain categories and brands that have been
growing closer to 20%, 30% plus growth rate. I just wanted to understand if you
can split the future growth categories or power spender categories if you
accumulate that into one bucket, what is the kind of contribution it gives to the overall sales? And what is the kind of growth rate that it is growing at,
aggregating at?
Priya Nair : Honestly, we don't split our business in this fashion. It's very difficult for me to
answer this question. So, I will not be able to split for you the business like that.
We have given some colour to it as we have gone. So, for example, in soaps, we
have explained to you that our brands like Dove and Pears are growing double
digit. These are actually premium brands. Or in Bodywash, we are growing
double digit. But I don't want to put a colour to number. We don't split our
business in that fashion.
Mihir Shah: Understood. No, I thought you mentioned Rs. 1 ,200 crores in Beauty & Wellness ?

Priya Nair : Beauty & Wellness .
Mihir Shah: Correct. So, if I aggregate for all the other segments, like how you have put Rs.
1,200 crores for Beauty & Wellness , I was probably hoping to get a mix from there.
But no problem. I'll take this off -line later on. Thank you and all the very best.
Priya Nair: Thank you so much.
Moderator: Thank you. Next question is from the line of Amit Sachdeva from UBS Securities.
Please go ahead.
Amit Sachdeva: Yeah, hi. Thank you so much for taking my question. My first question, Priya, is on
Beauty & Wellbeing growth rate. Clearly, I see that mass is dragging the growth
rate of Skin Care, which is led by premium, which is growing very well. But mass
is a given, which is a very large category for us. So, in that sense, it needs to be
crowded out by newer brands. And so, the pace of crowding out this very
resilient but slow growing portfolio or no growing portfolio seems to be still
lacking.
So, do you need to aggressively bu

ild more brands or benefit spaces there? Is the
pace you are comfortable with? Or you need to bridge both portfolio gaps? But
this is like despite trying several alternatives last year as well, this has not work ed.
So how this overall portfolio could grow in double digits? Given QC is there are,
so many barriers to entries are broken and there's a new opportunity, how we
should think about this business growing into double digits?
Priya Nair: The biggest opportunity for us in Skin Care is to democratize formats that are today very niche at the top end of the portfolio. So, if you take, for example,
sunscreen, you take light moisturizer, you take even face washes, the penetration of these categories is still low. So, our opportunity and that is what we are
focusing, so it's not just about more brands. It's about driving and democratizing at scale, which only HUL can do given our scale and size, these formats are across
the length and breadth of the country.

So, I will give you an example of that to bring it to light. We have launched Lakme
Sun Gel in the quarter. It's at a Rs. 10 price point for a sun gel. That certainly
democratizes. It's a 2% penetration format, to give you a sense of how lower the
penetration is. For all the new brands that we talk about, the penetration of
sunscreen is 2%. So, the real opportunity to educate India on what is required in
Skin C are.
The first format in a hot country like India is sunscreen and sun protection is
required, and therefore, educating and making them accessible. So, it's not just
about access, it's about educating about the needs of sunscreens. And that's really how we will democratize the format. And we are doing this with Lakme,
and we will do this with us by other brands, Pond's. So really how we democratize this kind of format.
So that's how we should think about it. So, is there a role for premium brands?
Sure, and that's why we have built Minimalist and Simple. Simple is now at an ARR
of Rs. 160 crores. So that's how we are building our portfolio at the top. But it's also,
in addition to that, the way to think about Skin Care and what HUL can do given
our scale and size in Skin Care, is to democratize our new formats at scale.

We have launched now across Vaseline, Pond's, light moisturizers, and these are what we are scaling up, and really de -seasonalizing the moisturization category, which is currently very much a winter category into across the seasons of the country. So just think about it in that fashion. I can go on and on. I can talk about this for half an hour. But let's take, Vaseline.

We have launched Vaseline Gluta -Hya, which is a format which is designed for an Indian humid, hot kind of condition versus thick heavy moisturizer, and then we democratize it with pack -price architecture. So that's how we should think of how the Skin Care category will grow. It's not just all about new brands, but it is certainly about many new formats, segments that will emerge in Skin Care. And that's the nature of the Skin Care category all over the world.

Amit Sachdeva: Got it. Yes, that was very helpful. Just if I may just a small follow- up here on D TC is that what, is the Minimalist revenue sizes? And I didn't see the mention of cosmetics growth this quarter. What was that?

Priya Nair : So, our overall revenue size of Minimalist is about Rs. 850 crores ARR. So that's about the revenue size of Minimalist. It's performed extremely well for us.

Amit Sachdeva: Sure. And what was the cosmetic s growth for the quarter?

Priya Nair: We don't break down the growth of all our sub -categories.

Amit Sachdeva: Got it. And my second question, Priya, is on pricing environment. Given the pricing is very volatile and given Niranjan said that you are judicially taking a view on that, but we are also coming out of the negative pricing which we saw in Home Care. And I assume that, continues to sort of benefit you in some way. How should we think about FY ’27? I just want a broad -based thought on that because should we look at like pricing could be 4% to 5% for the full year, given where the environment is? Or could it be still low single digits like we saw in last couple of quarters? At least , I would think that incrementally pricing environment becomes more conducive for you and probably competitively as well. If you can sort of, give some guidance on overall pricing one should think about for the full year next year.

Niranjan Gupta : Let me pick this up. So, you are right. I mean, there's a negative UPG is anniversarizing as we speak on Home Care, and because of the cost inflation, there's a pricing which is coming in. There would be some balancing of volume and price as well as we move forward, although the elasticity in our categories is low. And we have to navigate this.

What cost inflation you are seeing is as of now as we speak because these are not structural cost inflation based on demand and supply. So, I think we will have to navigate this space, it's very difficult to give out a number or b number for the full year. All we can say is that on the top line, we are confident of fiscal year ’27

to be better than fiscal year ’26 despite all the volatility that we are seeing in the market.

Priya Nair: And I think the only thing we can control is our performance. We can't control the volatility of the environment. And our focus is, we believe we are making the fundamental corrections that we need to do to accelerate our performance, which is why we have quoted, as Niranjan was saying, that FY ’27 will be better than FY ’26. And we remain confident about that. And in a volatile environment, we remain confident about our ability to navigate. But we will always be judicious about how to navigate th is.

Amit Sachdeva: Thanks so much and all the best. Thanks a lot.

Moderator: Thank you. Next question is from the line of Aditya Soman from CLSA India. Please go ahead.

Aditya Soman: Hi, thanks for the opportunity. So, three questions, I mean, two questions and a clarification. So firstly, on was there any restocking effect in the quarter given that we had some destocking and channel effect in the previous quarter?

Second question on tea, we have seen sort of on a relative weak base again softer volume growth.

So, is there anything specific in this quarter that impacted tea growth given that now input costs also seem to be under control? And then just a clarification on what you mentioned on the sort of 400 basis point market share gain in

Bodywash . Is this based on Nielsen data or does this include sort of broader data
on market share on Quick Commerce and the lik es of that?
Niranjan Gupta: So as far as restocking is concerned, we actually had alluded to that there's been
no restocking as far as our March quarter is concerned. So, these are the
underlying sales as you see. On tea, there's no specific reason for this one. I mean,
more importantly, it's more around the deflation that year -on-year that you see
on pricing, which has impacted the sales growth as far as tea is concerned. But
there's no fundamental reason for tea volumes.

And the third, which is the market share, which is Bodywash , yes, it's based on
Nielsen data, but we also know from overall that across the all the channels we
are able to grow Bodywash faster and there's a specific focus of market
development as far as body wash is concerne

d.
Aditya Soman: Thanks, Niranjan. And just on tea, so the volume growth is low -single digit , right?
That's the number you sort of gave.
Niranjan Gupta: Yes, yes. That's true. That's true. Within that, the premium brands have grown
faster.
Aditya Soman: Okay, clear. Okay.
Moderator: Thank you. Next question is from the line of Nihal Jham from HSBC. Please go
ahead.
Nihal Jham: Yes, good evening, Priya and Niranjan. Two questions. Niranjan, the first one was
a clarification that if we assume the current spot prices of our commodities, what
would be the inflation for us at present?
Niranjan Gupta: It's very speculative to take the current spot because the current spot what is today may not be tomorrow because I have seen the last 30 days the way it
moves. So, I don't think, Nihal, by doing those calculations one actually can get
led to very wrong decision -making. So, what we are doing is we are watching
the space and not reacting to any knee- jerk current spot prices. As we said, when
we have looked at the balance of the cost elements that are coming in the June quarter, we are seeing 8% to 10% cost inflation on overal l material basket for HUL.
Nihal Jham: Sure, Niranjan. Niranjan, the second question was again on the Home Care part
that, you know, we look at the earlier inflation cycle and at that point of time you
had taken price hikes commensurate to the point where our margins had also
been maintained. So, in line of the current competitive intensity, in case we end
up taking hikes, is it the case that the current environment gives us the
opportunity of maintaining margins, or maybe the environment in terms of

competitive intensity is different and maybe the other competition doesn't end
up following our price hikes? Just wanted to understand your thoughts on that.
Priya Nair: Listen, our number one priority will be to be competitive, very simply. We cannot
predict what our competition does, but it will be our number one priority to stay
competitive. We believe that we have enough flex between the guided range
that we have given to ensure that, if the challenges continue in terms of inflation,
we might well be at the lower end of the guided range and that's how this quarter
will be.
The range guidance we give is for the medium term and not necessarily just for the next quarter and that's the way for you to think about it, is that guidance is a
full- year medium -term guidance. And listen, if the volatility continues, our
priority, and I want to make that clear, will be to protect our competitiveness and
our consumer franchise and to strengthen our consumer franchise and in that
sense drive profit through revenue accretion.
Nihal Jham: Got it. Priya, just a clarification where I was coming from is that, in that phase the
EBIT or the EBITDA growth for the Home Care segment was actually very strong.
So, is there a possibility that this time around the inflation cycle actually ends up
benefiting us?
Priya Nair: I think listen; we have a portfolio that is across four segments. So, we use the total
segment across our four segments we will navigate and that creates a natural
sort of ability to manage the environment because of the strength of our
portfolio across our four segments, across our categories. You know, that's how we will look at it as total ly the enterprise.

Nihal Jham: Understood. Sure. Thank you so much.
Moderator: Thank you very much. Ladies and gentlemen, I will now hand the conference over to Mr. Yogesh Mulgaonkar to take questions from the web. Over to you, sir.
Yogesh Mulgaonkar: Yeah, in the web there's one question for you, Priya. It says Unilever globally is moving away from foods, yet HUL is doubling down on Horlicks, Boost, and

Coffee. How aligned is HUL's food strategy with the global direction and do we read more in this?
Priya Nair: Yeah, I think the HUL F oods business is very distinctively different from the Unilever F oods business. Our business of HUL is firstly a B everage business in T ea and C offee, a Lifestyle N utrition business, and in F oods, Kissan is our large brand, a very different local brand, very well entrenched in the segments in which it operates. And as you know, we have launched into chutneys and extended the brand recently.
So therefore that, combined with the opportunities that exist in India in F oods, is the reason why F oods is outside the perimeter of the Unilever transaction that we have done, and Foods continues to be a very important area and focus of strategy for HUL.
Moderator: Thank you very much. With this, I now hand the conference over to Mr. Yogesh Mulgaonkar for closing comments.
Yogesh Mulgaonkar: Yeah, with that we now come to the end of the Q&A session. Before we end, let me remind you that the playback of this event will be available on the Investor Relations section of our website in a short while. Thank you, everyone, for the participation and have a great evening.
Moderator: Thank you very much. On behalf of Hindustan Unilever Limited, that concludes this conference. Thank you for joining us and you may now disconnect. Thank you.